Annual report
2023

VTB

Scaling the heights

About report

VTB BANK'S ANNUAL REPORT IS ORIGINALLY DRAWN UP IN THE RUSSIAN LANGUAGE. IN THE EVENT OF ANY INCONSISTENCY OR CONFLICT THE RUSSIAN LANGUAGE VERSION SHALL PREVAIL.

VTB BANK (PJSC) ANNUAL REPORT FOR 2023 WAS APPROVED BY THE ANNUAL GENERAL MEETING OF SHAREHOLDERS OF VTB BANK (PJSC) (PROTOCOL NO. 62 AS OF 10 JUNE 2024).

The Bank's Annual Report for 2023 was prepared in accordance with the applicable Russian laws, including:

- Federal Law No. 208-FZ On Joint-Stock Companies dated 26 December 1995;
- Russian Government Resolution No. 1102 On the Specifics of Disclosure and/or Provision of Information Subject to Disclosure and/or Provision in Accordance with Federal Law On Joint-Stock Companies and the Federal Law On the Securities Market dated 4 July 2023;
- Russian Government Resolution No. 1490 On the Specifics of Disclosing Consolidated Financial Statements dated 13 September 2023;
- Bank of Russia Regulation No. 714-P On Disclosing Information by the Issuers of Issue-Grade Securities dated 27 March 2020;
- Bank of Russia's Information Letter No. IN-06-28/102 On Disclosure of the Corporate Governance Code Compliance Report in the Public Joint-Stock Company's Annual Report dated 27 December 2021 (together with Recommendations on Making the Report on Compliance with the Principles and Recommendations of the Corporate Governance Code);
- resolutions of the Bank of Russia's Board of Directors:
  - On defining information of credit institutions, non-credit financial institutions, and companies rendering professional services on the financial services market to be disclosed in accordance with Russian laws or Bank of Russia regulations that credit institutions, non-credit financial institutions, and companies rendering professional services on the financial services market have the right not to disclose from 1 January 2024 to 31 December 2024 inclusive, and information stipulated by Russian laws or Bank of Russia regulations that the Bank of Russia does not disclose on its official Internet website from 1 January 2024 to 31 December 2024 inclusive (dated 22 December 2023);
  - On the requirements on disclosing reports and information by credit institutions (parent credit companies of bank groups) in 2024 (dated 26 December 2023);
- other secondary legislation and recommendations of the Bank of Russia and executive authorities.

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Statement by the President and Chairman of the Management Board

Dear VTB Group customers, shareholders, partners and employees,

2023 saw the Russian economy growing following the previous year's dramatic upheavals.

It was a landmark year for our Group in a number of ways. We achieved a record-high net profit, maintained superior operating efficiency, expanded our loan portfolio in all segments, led the market in terms of active customer base growth, and made significant progress in migrating to domestic solutions and software. We also started integrating Otkritie Bank.

In 2023, the Bank increased its capital through two additional issues of ordinary shares worth RUB 243 billion, thus greatly strengthening our capital base.

We met or even exceeded all financial targets set for the last year. As our business was growing in scale, the Group's net operating income before provisions hit a new record of over RUB 1.1 trillion. The Group posted the highest-ever net profit of RUB 432.2 billion and return on equity at 22.3%. We completed a large-scale digital transformation effort within the shortest time in the market, which resulted in creating a completely new bank technology-wise.

In 2023, the number of active retail customers increased by 13% to 19.3 million — a quarter of Russia's economically active individuals, making VTB the leading Russian bank in terms of active customer base growth. VTB Group already serves more than 22 million customers, including those of Otkritie Bank. VTB Online users grew by nearly 20%.

Given the increased demand for lending resources in 2023, we continued to finance the real economy, with the total number of companies and entrepreneurs from all segments served by the Bank year-to-date reaching some 1.3 million. VTB participated in government business support programmes, offering preferential financing terms with a focus on facilitating lending to SME customers.

At the end of the year, the Bank expanded its customer base in the Corporate Investment Business. A special emphasis was placed on supporting the economy

and borrowers in critically important industries. The Group financially supported structural changes in the Russian economy, while also investing heavily in infrastructure development.

The borrowed funds were used as follows: infrastructure facilities were built in the Alabuga industrial park; a Deng Xiaoping logistics hub and related infrastructure in the Ethylene-600 industrial park in Tatarstan are under construction; a regional public road is under construction in Bashkortostan; and section 1 of Shirotnaya, a new urban expressway in St Petersburg is now at the construction stage.

VTB Group's loan portfolio grew by 21% over the year to reach RUB 21 trillion. At the same time, loans to legal entities rose by 19%. Loans to individuals showed a strong year-on-year increase by 25%, with VTB Bank now issuing every fifth retail loan in Russia.

Importantly, the business growth was aligned with better asset quality as the NPL share remained at historically low levels.

Thus, we strengthened our market position and created new opportunities going forward. The Bank's investment appeal was also rising, as evidenced by the number of retail investors increasing by 11% to reach an all-time high of 873 thousand.

In 2024 through early 2025, we are facing a major reorganisation effort, with Otkritie Bank and Sarovbusinessbank being merged with BM-Bank which will eventually merge with VTB. This will enable the Group to fully exploit synergies from the integration as early as in 2025.

In December 2023, the Supervisory Council approved VTB's new Development Strategy for 2024–2026. The document reflects the new context and envisages robust growth of business relying on our key competitive edges and unique expertise.

Our key focus will remain unchanged for the upcoming three years. VTB will continue as a major systemically important universal bank seeking to support the Russian economy and ensure best customer experience, while also aiming to:

- boost the retail business growth and reinforce the Bank's positions all over Russia;
- financially support structural changes in the Russian economy;
- increase settlements in national currencies of friendly countries;
- advance a platform and introduce state-of-the-art financial products and services.

The success of our new Strategy will depend on further improvements in corporate governance. Independent directors sitting on the Supervisory Council now account for 45.5%, which is the maximum permissible number given the requirement to ensure majority for government representatives there. They contribute to a higher level of transparency of the Council's operations, efficient control, and unbiased decision-making.

The Bank annually engages an external consultant to conduct independent assessment of the corporate governance status and quality. In 2023, the Bank retained its high ranking at 8+ in the National Rating of Corporate Governance (compiled by the Russian Institute of Directors based on annual monitoring results).

VTB Group also contributes towards national development goals, which is the focal point of the Bank's Sustainable Development Strategy and Corporate Social Responsibility Policy. In 2023, VTB continued to implement its six targeted charity programmes: A Sporting Country, Patriotism and a Country of Traditions, A Cultural Country, A Healthy Country, An Educated Country, and A Country for Business. In 2023, VTB implemented a total of 408 federal social projects and 2,286 regional charity projects in 82 regions.

Summing it up, I would first of all like to thank our team of nearly 100 thousand employees united by common goals and values. Together we have a lot of important tasks and projects to do with a view to solidifying our success in the new strategic planning cycle and beyond. We are willing to meet new challenges, show creativity and dedication, and become part of our ambitious plans.

I would like to express my sincere gratitude to the shareholders and customers of the Bank for the ongoing trust you placed in us. We will do our best to continuously improve our customer services using the latest technologies and to support the growth of the Russian economy, all customers and their families who empower VTB to manage their finances and plans.

Today, we are building VTB Bank as it should be in three years' time, like a business pillar, a convenient and reliable bank for 35 million retail customers, and an advanced platform based on domestic solutions. We have new strategic goals ahead of us, and I believe in their successful implementation as we are all set to go capitalising on our team, capabilities, and resources. Together we can do it!

Andrey Kostin
President and Chairman
of VTB Management Board

VTB Group today

MISSION

WE HELP PEOPLE MAKE THEIR PLANS A REALITY BY CREATING THE BEST FINANCIAL SOLUTIONS. WE ARE A TEAM OF PROFESSIONALS WORKING FOR OUR CUSTOMERS AND FOR THE ENTIRE COUNTRY.

IDENTITY

VTB GROUP IS THE LEADING RUSSIAN FINANCIAL INSTITUTION WITH A STRONG PRESENCE IN KEY INTERNATIONAL MARKETS.

VISION

A UNIVERSAL FINANCIAL GROUP THAT IS DEVELOPING BOTH DYNAMICALLY AND SUSTAINABLY, ONE THAT IS FOCUSED ON BEING THE FIRST-CHOICE FINANCIAL PARTNER FOR ITS CUSTOMERS AND THAT PROVIDES THE MOST CONVENIENT AND CUTTING-EDGE SOLUTIONS TO MEET THEIR NEEDS.

Values

WE VALUE OUR CUSTOMERS

We put our customers' needs first. We trust our customers and strive to earn their trust. We listen to our customers and act upon their feedback.

WE WORK AS A TEAM

We respect and trust each other. We support each other and help our colleagues grow. We achieve common goals.

WE ARE RESPONSIBLE FOR OUR RESULTS

We are focused on the result, not the process. Each of us is responsible for our contribution to the achievement of common goals. We openly discuss our successes and failures.

WE ARE PROACTIVE

We are passionate about what we do. We are proactive in addressing common challenges. We go beyond formal duties.

WE ARE CONSTANTLY IMPROVING OUR PERFORMANCE

We are open to change. We start by changing ourselves. We are not afraid to experiment.

VTB Group in the financial services market

VTB Group ("VTB Group" or the "Group") is a leader in the domestic financial services market and Russia's second largest financial group.

The parent bank of the Group is VTB Bank ("VTB Bank" or the "Bank"). The largest holders of VTB Bank's ordinary shares are the Federal Agency for State Property Management and the Russian Ministry of Finance; they own 40.0% and 21.8% of the Bank's ordinary shares respectively. As regards the Bank's preference shares, the shareholders are the Russian Ministry of Finance with 100% of Type 1 preference shares and the State Corporation Deposit Insurance Agency owning 100% of Type 2 preference shares.

The Russian Federation (represented by the Federal Agency for State Property Management and the Ministry of Finance) and the State Corporation Deposit Insurance Agency collectively own 87.0% of the Bank's share capital.

RUB 29 trillion

VTB GROUP'S TOTAL ASSETS

22 million

INDIVIDUAL CUSTOMERS OF VTB GROUP IN RUSSIA*

RUB 21 trillion

VTB GROUP'S LOAN PORTFOLIO

RETAIL BUSINESS: 33%

877 thousand

SHAREHOLDERS OF VTB BANK

RUB 22 trillion

VTB GROUP'S CUSTOMER FUNDING

RETAIL BUSINESS: 43%

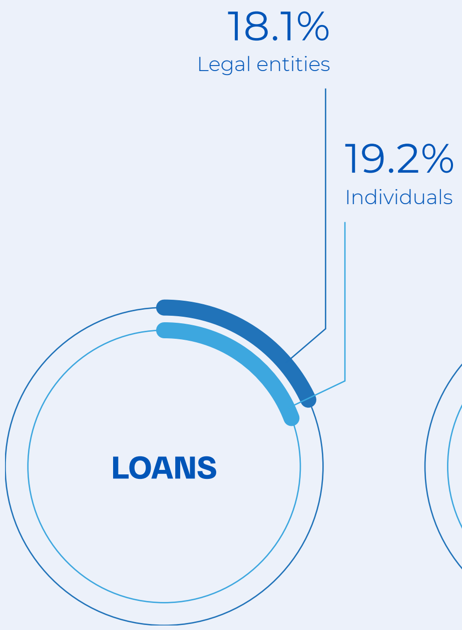
99 thousand

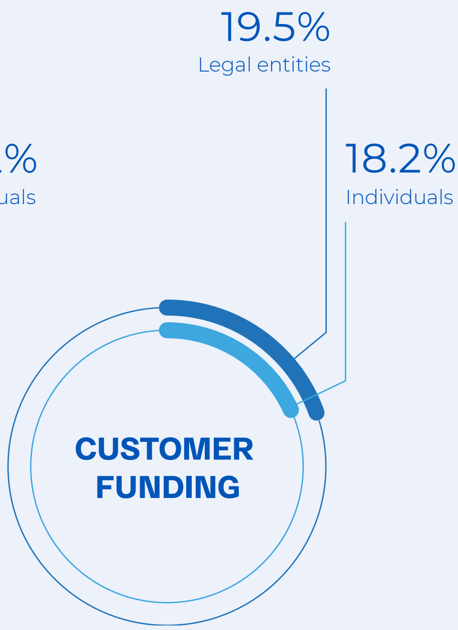
EMPLOYEES OF VTB GROUP

* Customers of VTB Bank and Otkritie Bank Financial Corporation (Otkritie Bank)

7 countries of international presence

Market shares of VTB Group in Russia as of 31 December 2023





19 thousand

ATMs

1.9 thousand

BRANCHES

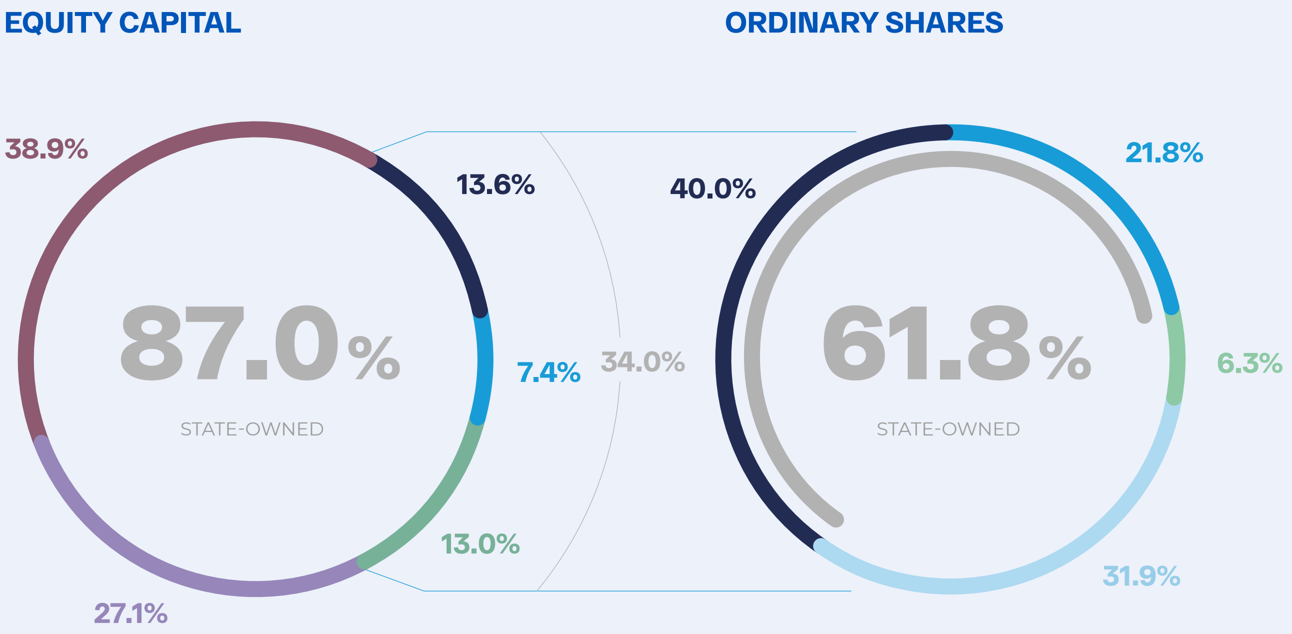
VTB BANK'S CREDIT RATINGS

RAEX RUAAA

ACRA AAA (RU)

NCR AAA.RU

Share capital structure of VTB Bank



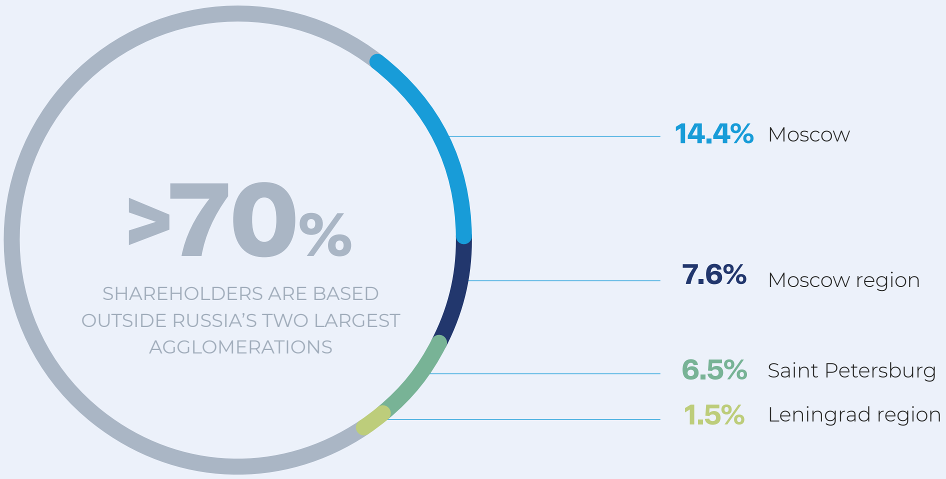
Equity capital:

- Federal Agency for State Property Management
- Ministry of Finance of the Russian Federation
- Free-float
- Preference shares Type 1 (Ministry of Finance of the Russian Federation)
- Preference shares Type 2 (State Corporation Deposit Insurance Agency)

Ordinary shares:

- Federal Agency for State Property Management
- Ministry of Finance of the Russian Federation
- Individual shareholders
- Institutional investors

REGIONAL DISTRIBUTION



MOEX MOSCOW EXCHANGE

LISTING

On PJSC Moscow Exchange, VTB Bank (PJSC) shares are included in the Level 1 quotation list and are included in the Moscow Exchange Index and the RTS Index, as well as the Moscow Exchange Index (all sessions), the Equity Subindex, the Broad Market Index, the Finance Index, the RTS Finance Index, the RTS Broad Market Index and the Moscow Exchange Index - Active Management (IMOEXW).

2023 facts and figures

RETAIL BUSINESS

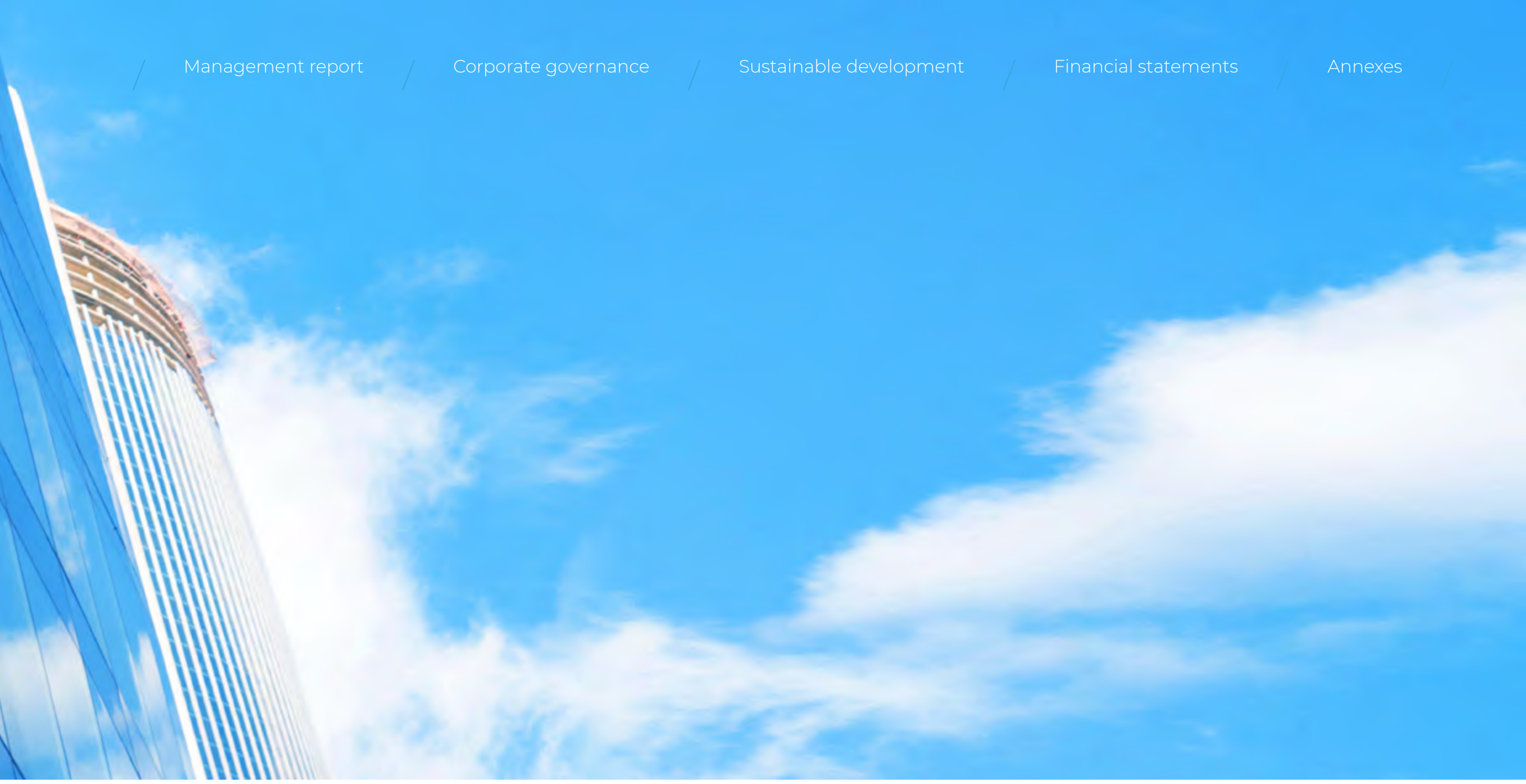
Active customers
VTB Bank and Otkritie bank

22 million

VTB Online,
MAU

15 million

Mortgage loans	Car loans	Cash loans
4.3 RUB trillion +30% in 2023	**412 RUB billion** +78% in 2023	**2.0 RUB trillion** +7% in 2023
Market share **22.5%**	Market share **12.5%**	Market share **18.2%**



MEDIUM AND SMALL BUSINESS

Customer base

1.3 million

Online access to

100 %

of standard products

Awards and accolades

>40

Loan portfolio

3.3 RUB trillion

Customer funding

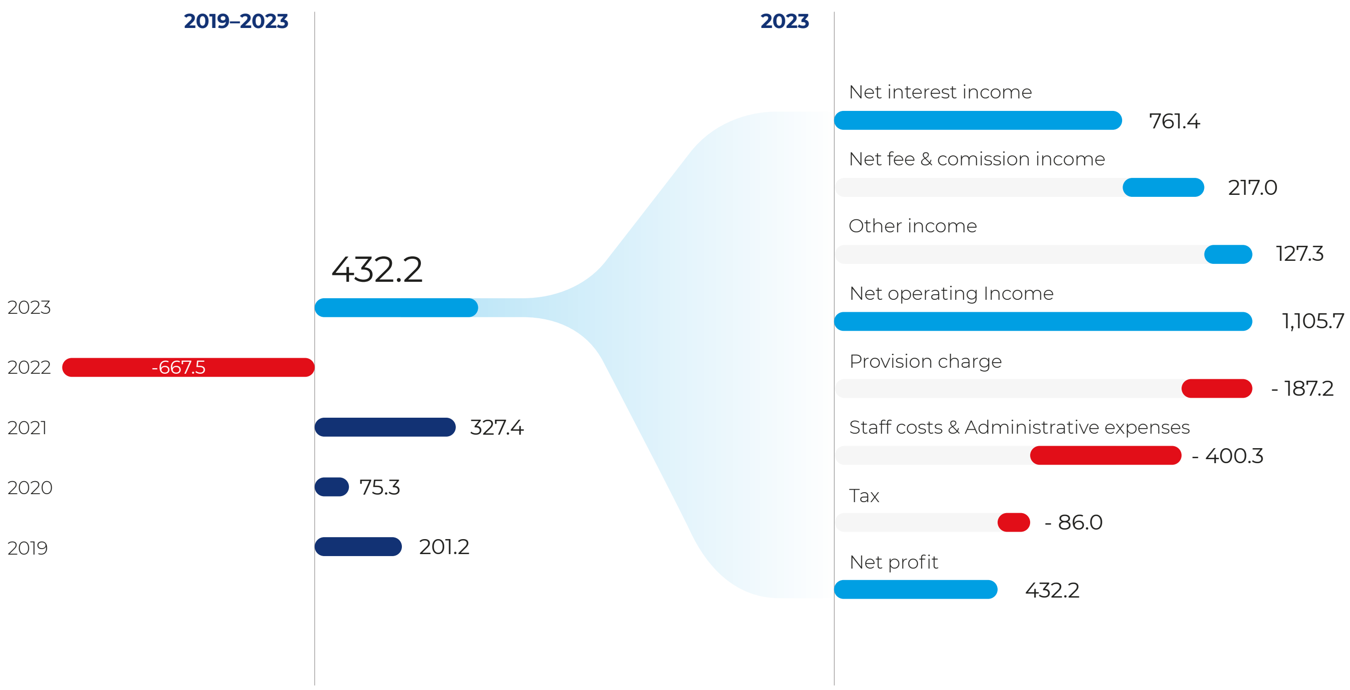
3.6 RUB trillion

Key Financial Highlights

2023 facts and figures

Net profit,
RUB billion

Net profit components,
RUB billion



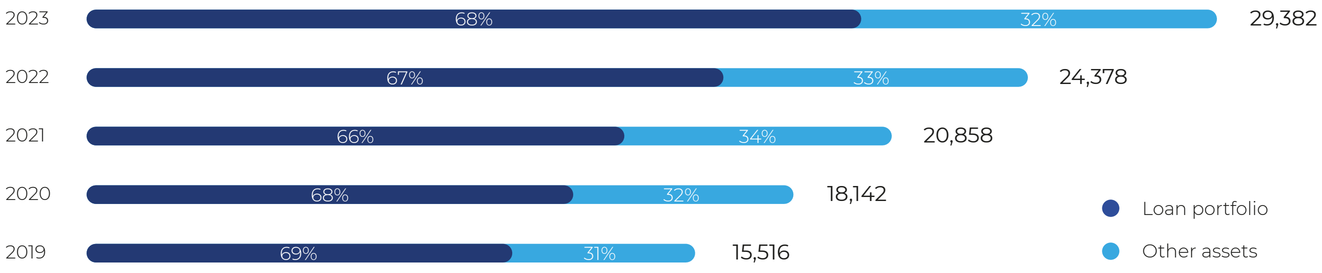
RECORD FINANCIAL PERFORMANCE

432.2

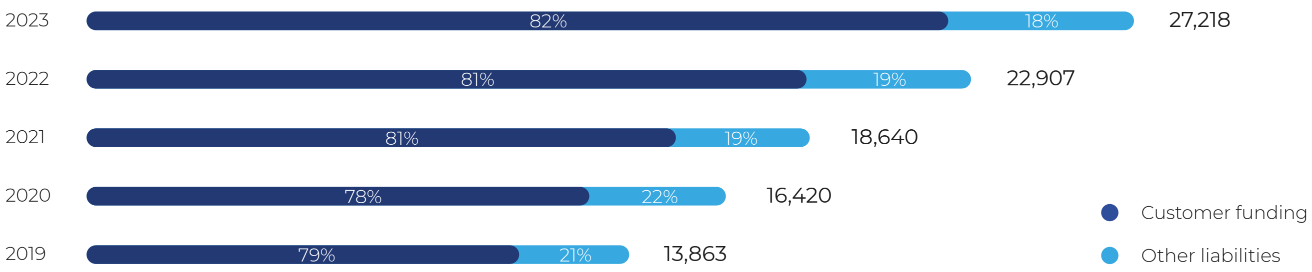
RUB billion

Net profit 2023

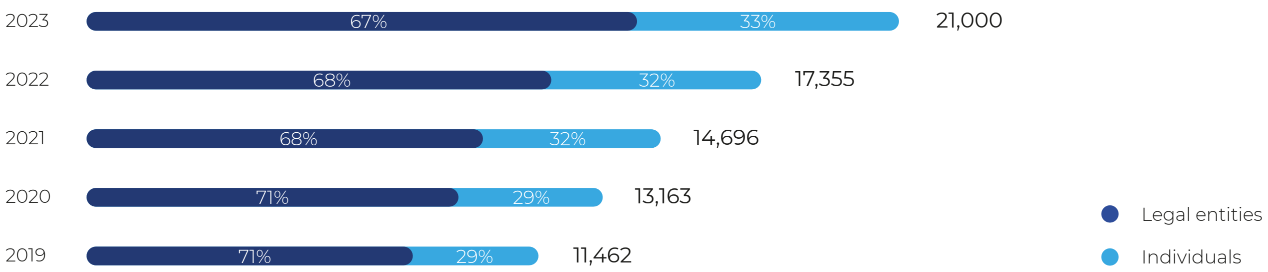
Assets, RUB billion



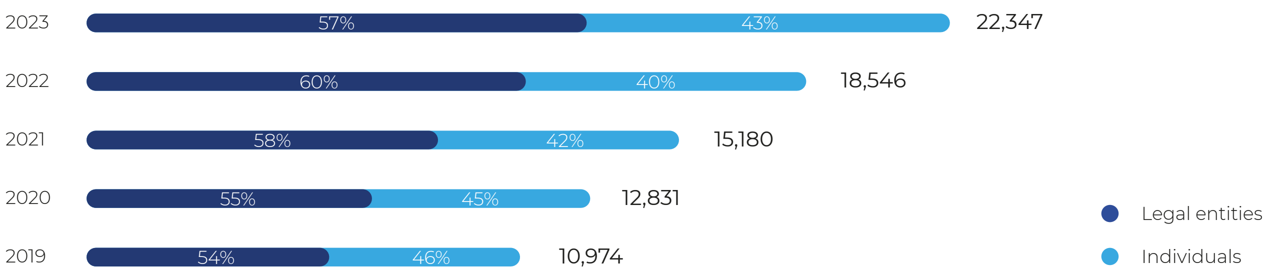
Liabilities, RUB billion



Loan portfolio, RUB billion



Customer funding, RUB billion



Expanding our horizons

01. Management report

1.1. Russian economy and banking sector

In 2022, the national economy withstood various external and internal upheavals. However, by 2023, the economic activities of households and businesses already started to show signs of recovery. The financial sector remained resilient and continued to perform its key roles, including channelling government support measures to bolster the economy. The strategic actions taken in past years to strengthen the standing of financial institutions, the elimination of unstable and disreputable financial intermediaries, and the establishment of autonomous payment and settlement infrastructure were significant contributors to this stability.

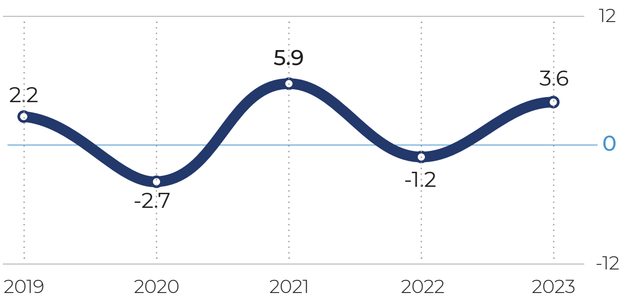
Economy

After enduring the shocks of 2022, the economy retraced the robust growth path. In 2023, GDP expanded at an above-potential rate, culminating in a 3.6% increase by year-end. Most sectors, barring mining, recorded positive growth trajectories, with manufacturing, commerce, and finance making the greatest contributions to the year's growth.

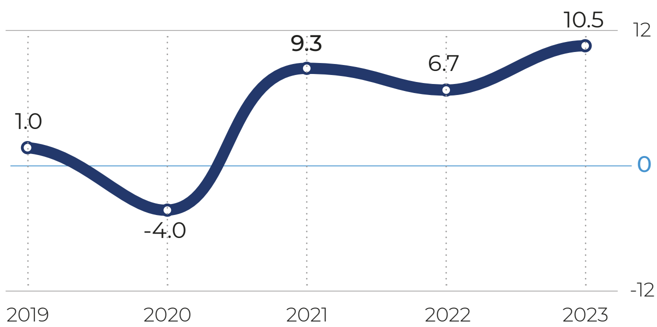
From the standpoint of consumption breakdown, household consumption (up 2.9 p.p) and gross savings of capital (up 4.5 p.p) were chiefly responsible for the uptick. Conversely, the principal downward pressure (down 4.4 p.p) originated from net exports, which diminished in real terms due to export contraction and import growth.

Macroeconomic indicators, % change year-on-year

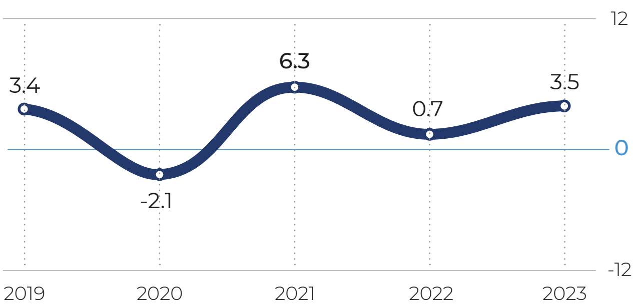
Gross domestic product, %



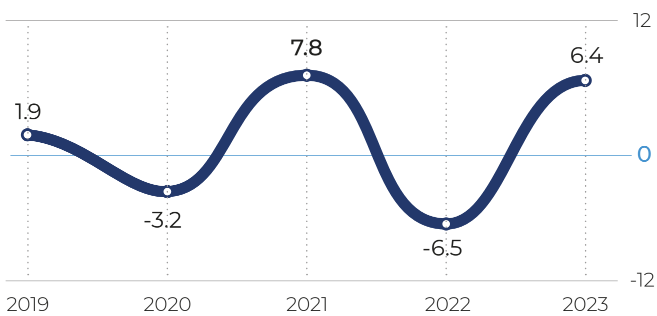
Gross fixed capital formation, %



Industrial production, %



Retail turnover, %



At the beginning of 2023, imports rebounded to late 2021 – early 2022 levels, expanding by 9.9% to USD 303.8 billion by the end of the period — primarily driven by increased machinery, equipment, and vehicle supplies. Exports normalised from their 2022 spikes, which were triggered by soaring energy prices. In 2023, commodity exports stood at USD 423.9 billion, a 28.4% year-on-year decline. The downturn was almost exclusively attributed to lower mineral commodity shipments: their export share dipped to 61.2% in 2023 from 66.1% a year ago, all the same remaining above the 2018–2021 average of 49%.

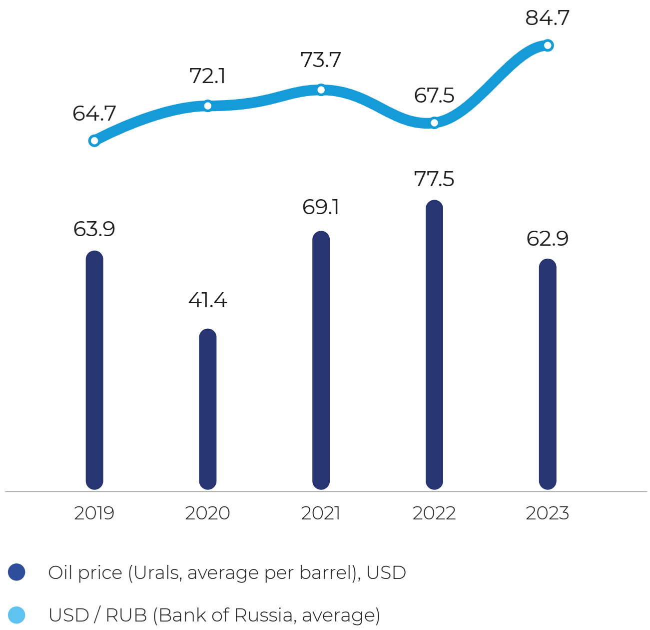
The year's average price of Urals receded by 19% year-on-year to USD 62.89 per barrel. The nominal average exchange rate weakened to RUB 84.7 per US dollar, or 25% less than the average in 2022. The exchange rate was largely influenced by trade patterns within the framework of the suspended fiscal rule and restricted cross-border financial flows.

The federal budget closed with a RUB 3.2 trillion deficit in 2023. Spending stayed high at RUB 32.4 trillion, with revenues of RUB 29.1 trillion.

Supply during the year failed to keep pace with burgeoning demand fuelled by rising budget expenditure, recovery in consumer spending, and structural economic reconfigurations. To mitigate economic overheating and curb inflationary pressures, the Bank of Russia escalated its monetary policy rigour. Throughout 2023, the key interest rate saw a substantial rise, more than doubling from 7.5% in July to 16.0% in December.

Inflation decelerated to 7.4% in December 2023, down from 11.9% a year earlier. Despite the slowdown, business inflation expectations hover near all-time highs. In their planning, businesses gear up for a projected annual inflation rate of 9.5%, the highest since 2019.

Oil price and exchange rates, %



Inflation and Bank of Russia key rate, %

In the labour market, pro-inflationary forces were still in play in 2023. Unemployment fell to 3% by December's end, regularly setting record lows and sitting well below levels that otherwise would not stimulate price hikes. Hence, the economy's demand for labour remains exceptionally high, scaling with the rate of economic growth that is above the potential equilibrium.

Banking sector

In 2023, the banking sector's assets regained their robust growth, surging almost 16%[1] over the year following a considerable expansion in the loan portfolio. This was partly driven by a resurgence in consumer demand and various government stimuli, notably subsidised mortgage lending. Nonetheless, the second half of the year saw a staggering hike in the key rate — by 8.5 p.p. to 16%. Consequently, bank product interest rates rose, and the altered conditions for subsidised mortgage initiated a cooldown in loan demand.

Overall, loans to businesses and individuals grew by 23.2% in 2023. Both portfolios climbed at the same pace. In the retail segment, mortgage loans were the locomotive of this growth, with their portfolio swelling by 30.1% over the year. This was largely due to the strong demand for subsidised lending programmes (despite the regulator's tightening of eligibility criteria) and heightened interest in market-rate loans as rates started climbing in the second half of 2023.

The fiscal stimulus positively influenced the rebound in consumer spending. Also, lower interest rates in the first half coupled with price hikes and anticipated high inflation fuelled the consumer (non-mortgage) lending sector. This segment saw an annual increase of 15.8%, a marked acceleration compared to the subdued rise of 2.2% in 2022. The rapid expansion of consumer lending drew regulatory scrutiny due to potential escalations in the debt burden of households and stronger inflationary pressures. In response, the Bank of Russia unleashed multiple credit-restrictive measures in 2023, such as raising the key rate and tightening macroprudential limits[2] aimed at curbing portfolio expansion.

Businesses were also active in borrowing, which resulted in the portfolio of loans to legal entities go up by 23.3% for the year, or 18.9% net of foreign currency revaluation, often substituting their foreign currency debt with rouble-denominated loans. Nonetheless, owing to the rouble's 27.5% depreciation year-on-year, the share of FX-denominated loans persisted at about 17%.

Notwithstanding the hike in leverage, asset quality has not been affected yet. The proportion of overdue loans dwindled from 4.8% to 3.7% during the year, while the provision coverage for these loans surged significantly from 178% to 203% from the reporting year's start.

The higher key rate, coupled with fierce competition in the market, nudged banks to raise interest rates on deposits and savings accounts, fostering an influx of money from both individuals and businesses. Consequently, funding from individuals saw a 22.7% increase in 2023 (20.5% net of foreign currency revaluation), with a notable 29.3% growth in deposits. Attractive rouble deposit rates tempered the appeal of their counterparts in foreign currency, prompting a 2.2 p.p. dip in the latter's share to 8.4% on retail accounts.

Balances on legal entity accounts rose by 18.8% for the year (14.6% net of foreign currency revaluation), with deposits gaining 24.3%. The proportion of foreign currencies within these balances shrank by 1 p.p. to 16.3%.

A combination of robust sector growth and one-off factors propelled bank profits to a historic high of RUB 3.4 trillion in 2023, with a return on equity reaching an appealing 26%. These figures manifest the banking sector's recovery, permitting the regulator to phase out support initiatives and progressively revert to stringent controls, ensuring the industry's sustained stability as was the case earlier.

1. According to the Bank of Russia's statistics for the banking sector.
2. A macroprudential limit is set to cap the proportion of unsecured loans in the portfolios of loans issued by banks and microfinance institutions. The Bank of Russia establishes these limits to curb the proportion of high-risk loans.

1.2. 2023 key events

01

January

VTB holds an Extraordinary General Meeting of Shareholders

The meeting was held in the form of absentee voting. The key agenda item was placement of the Bank's additional ordinary shares as part of the plan to strengthen its capital base. According to the plan, VTB seeks to grow the business, support customers, and propel the Russian economy as a systemically important bank.

02

February

VTB ranks among Russia's Top 10 Best Employers

The Bank received a high ranking from HeadHunter, Russia's largest online recruitment platform. The rating covered nearly 2,000 companies.

Banks unite their ATM networks

VTB, Otkritie Bank, and RNCB united their ATM networks, enabling free of charge cash deposits and withdrawals through any of the three banks' ATMs. A shared network is the first stage of integrating new banks into VTB Group.

Yuan transfers are available across Russia

VTB's retail customers can now transfer cash in yuans to Russian bank accounts. The service is available through remote channels, offices, and brokerage accounts.

API platform migrates to Russia-made software

VTB completed the migration of its proprietary API (Application Programming Interface) platform to Russian-made software independent of imported components. The migration allowed the Bank to maintain a stable and secure technological base to foster partnerships with various companies and ensure a seamless operations of all services powered by the platform.

03 March

Banki.ru names VTB the bank of the year

VTB received a prestigious award from banki.ru as the best bank of 2022. That year, the Bank was among the first major financial institutions in Russia to face sanctions-related challenges. Within a short period of time, the Bank transformed its operations to secure business continuity and provide maximum support to customers. On top of that, we became one of the trailblazers of import substitution in the domestic banking system primarily thanks to a good understanding of customer needs and our preparedness to cater to them.

The Bank places an additional issue of ordinary shares

The General Meeting of Shareholders approved the respective resolution on 30 January 2023. As part of the additional issue, the Bank placed 8.7 trillion ordinary shares in a private offering for a total of RUB 149.4 billion.

VTB sets up a digital back office

VTB completed the transformation of its operational function, which boosted the productivity of the back office by 2.5 times and increased the share of automatic processing to 99%, while reducing expenses on operational business support by over 20%.

04 April

VTB launches an online bank in VK

To prove its commitment to serving customers in social media and messengers, increase accessibility and enhance customer experience, VTB kicked off an online bank in VK Messenger, which serves as a launch pad for transferring customers to *VTB Online*. Customers do not need to enter their personal and payment details in the messenger as all transactions take place in the *VTB Online* web version. A two-factor authentication (in the social media and online bank account) makes all transactions secure. If the user is inactive during five minutes after authentication, the session is automatically terminated.

VTB holds an Extraordinary General Meeting of Shareholders

The meeting was held in the form of absentee voting. Its agenda featured a single item — an increase in the share capital through the placement of VTB’s additional ordinary shares.

05 May

The Bank places an additional issue of ordinary shares

The Extraordinary General Meeting of Shareholders approved the respective resolution on 25 April 2023. The issue has become the largest secondary placement in the Russian equity market over the last decade. As part of the additional issue, the Bank placed 5.1 trillion ordinary shares for a total of RUB 93.8 billion.

VTB once again recognised as the most innovative Russian bank

For the fourth time running, VTB topped the list of the most innovative banks compiled by the Skolkovo Foundation. In 2022, the Bank scored maximum points across most of the criteria, outperforming its strongest competitors.
The recognition came as a result of our proactive use of innovation management tools, cooperation with startups, efforts to create an innovative organisational structure, and participation in testing digital rouble.

06 June

VTB Business becomes a winner of the CNews Import Substitution of the Year prize

The project of VTB Business to substitute imported technologies in internet banking won CNews Awards as the internet bank for SMEs running on domestic software.

CNews recognises VTB’s API platform as the innovation of the year

VTB’s API platform won a CNews Innovations 2023 award as an ecosystem for digital transformation. The platform helped streamline and fully automate the connection of external partners from various industries to VTB services, while also making interactions among the Bank’s internal systems more efficient, improving their reliability and productivity, and accelerating the rollout of new products and services.

Bank holds an Annual General Meeting of Shareholders

Holders of 82.31% of the Bank’s voting shares took part in the Annual General Meeting of Shareholders, with 96% of them opting for e-voting functionality in the VTB Shareholder mobile app or on VTB Registrar’s website.

July

Mobile bank for large enterprises is now available

VTB launched *VTB Business Online CIB*, a mobile bank for large corporates. This is a proprietary solution powered exclusively by Russian-made technologies. VTB's corporate customers can now take advantage of a versatile app catering to their key financial needs, which includes the most popular banking services, products for electronic document flow, and account balance monitoring.

Customers with hearing loss can get advice in sign language

VTB Accelerator completed the testing of Adaptis, a domestic AI-driven platform designed to inform people with hearing loss about banking products. A video avatar will provide hearing impaired people with advice on financial matters and a full range of online communications through translation into the Russian sign language.

August

VTB pioneers transactions with the digital rouble

VTB was the first bank to successfully test digital rouble transactions in its *VTB Online* mobile app as part of piloting real digital money.

VTB is named the leader in the Russian private banking market

VTB topped Forbes' rating of the best banks for millionaires. The Bank rethought its relations with high net worth customers by replacing financial instruments no longer effective in the Russian market's areas related to foreign jurisdictions, and rebuilt banking service infrastructure. VTB was the first bank to sell physical gold free from a 20% VAT as an alternative investment.

September

VTB launches cross-border transfers in Indian rupees

Our retail customers can now transfer money to India to individuals and legal entities via *VTB Online* or in the office using bank details.

October

VTB finances the largest M&A deal in housing construction

As part of its MIC Group acquisition, VTB issued a RUB 45.6 billion loan to Samolet Group. The largest ever deal in the Russian housing construction market, the acquisition is also unprecedented in terms of structure.

VTB offers a new service of cross-border transfers with a cash withdrawal option

Retail customers can make instant money transfers to a number of countries in the currency of the transferee's country. Transferees can get cash in a service office without opening a bank account.

November

VTB is the first bank to enable digital rouble withdrawals from ATMs and cross-border B2B transfers in digital roubles

On the sidelines of the Finopolis 2023 forum for innovative financial technologies, VTB presented a prototype of cross-border B2B transfers in digital roubles from Russia to Belarus. The transaction was the first ever in the Russian banking sector, with VTB's corporate customer in Russia transferring Russian digital roubles from its account on the Bank of Russia's platform to the account in digital roubles opened by a company resident in Belarus. The real-time transaction was performed through *VTB Business Online* in just a few clicks. To make such a transfer, the transferor only needs to select a transferee and specify the amount, which is instantly credited to the transferee's account in digital roubles.

December

VTB launches oil trading for Russian customers

VTB launched a new oil trading business aimed at large Russian industrial enterprises. The Bank plans to offer a full range of services that oil traders usually provide — financing of oil product inventories, provision of a temporary credit leverage for the purchase of goods, along with logistics and shipment of goods to a location specified by the customer. In addition, VTB Group will create reserves of petroleum products and arrange for their storage. Own reserves will make it possible to provide customers with petroleum products in the shortest possible time, as they will eliminate the time needed for purchasing them on an exchange or from a manufacturer.

VTB Bank's National Corporate Governance Rating confirmed at 8+

Based on an annual independent review, the Russian Institute of Directors (RID) confirmed VTB Bank's national corporate governance rating at 8+, which corresponds to the Best Corporate Governance Practices indicator.
The RID analyses such components of corporate governance as shareholder rights, activities of governing and control bodies, disclosure scope, sustainable development and ESG integration. According to experts, the Bank introduced a number of major changes in 2023.

Number of individual shareholders hits all-time high

The number of VTB's individual shareholders keeps growing. In 2023, the Bank had a record 873 thousand individual shareholders, up 11% year-on-year.

Supervisory Council defines VTB's strategic targets for 2024–2026

The Supervisory Council named the following growth priorities for the Bank over a three-year horizon: financial support of structural changes and a new investment cycle in the economy, scaling up of the Retail Business while securing leadership as regards the quality of financial services, and a manifold increase in settlements in national currencies with friendly countries. Areas of special focus will include technological sovereignty, introduction of advanced AI-driven financial products and services based on the digital rouble and assets.

1.3. VTB Group's development strategy

1.3.1. LONG-TERM DEVELOPMENT PROGRAMME: 2023 HIGHLIGHTS

Main development trends in the Corporate Investment business

Key priorities of the Corporate Investment Business in 2023:

- developing a coverage model to expand the outreach and build more productive customer relations;
- improving product expertise and boosting lending efficiency;
- introducing a transactional business model of the new generation;
- retaining positions in certain investment banking segments.

In 2023, the Corporate Investment Business expanded customer coverage and worked to further develop a business model focused on a customised service taking into account industry specifics and individual needs. A special emphasis was placed on supporting the economy and borrowers in critically important industries.

Key advantages of the new transaction business model for customers:

- more options to manage cash flows online;
- dedicated solutions for the transport and urban environment;
- niche services tailored to the customer's business;
- top-quality service at an optimal cost for the Bank and the customer.

VTB customers can now benefit from a wider range of transactions in currencies of friendly countries, including account management, purchase/sale of, and transactions with, foreign currencies.

In investment banking, the key 2023 achievements include offering a variety of investment products available in the current environment to corporate customers, along with an increase in volumes and range of investment products for retail customers. As regards structured products for retail customers, VTB became the leader in terms of number and volume of issues in 2023. Together with a Russian trading company, the Bank set up a physical commodity trading arm.

Main development trends in the Medium and Small business

The Bank's key initiatives in the Medium and Small Business in 2023:

- creating a leading digital bank for small and medium enterprises;
- building a strong commercial model;
- making settlements in roubles and national currencies of friendly countries and establishing the required infrastructure, relations, and payment channels;
- working with the self-employed and widening the relevant product range;
- increasing lending volumes across all SME subsegments through in-house products and state support and development programmes.

The number of VTB's SME customers increased to some 1.3 million entrepreneurs in 2023.

An area of special focus was strengthening digital banking and omni-channel service. VTB launched VTB Business Platform, a unique ecosystem offering over 80 products and services from VTB and Otkritie Bank. A digital onboarding system is available for a number of products in the Prospective Customer Account.

VTB continued to develop digital lending mechanisms (express loans, express guarantees, preapproved loans are fully available online) and take part in state business support programmes. Back in 2019, VTB was one of the fist banks to start financing housing construction through escrow accounts[3], and today, we retain leadership in this segment.

In the reporting year, VTB put in a lot of effort in promoting cross-borders payments in roubles and national currencies of friendly countries (India, China, Vietnam, and CIS). New products and solutions for SMEs made relations with foreign partners much easier for VTB customers, saving them a lot of time and effort which they can invest in business growth. The Bank offered such new services as *FX FREEZE* service to freeze the FX rate for a future transaction, *Tender FX* to sell currency received from the currency exporter without entering the FX market, *Foreign Trade Design* (a turnkey service), and *Foreign Trade Assistant* (proxy transactions for the customer via the chat), a personalised *Foreign Trade Calendar*, and an automatic check of foreign exchange control documents for payments up to RUB 600,000.

VTB Online internet bank and mobile app for retail customers featured new functions for the self-employed, including lending solutions (consumer loans for the self-employed, mortgage and business loans). In-demand and high-margin non-banking services are also available now, as well as settlements with the self-employed enabled as one-off payments or a ledger of payments made via the Faster Payments System with closing documents issued to the payer. The service helps to simplify settlements with the self-employed in internet and mobile banks.

Main development trends in the Retail business

Key priorities of the Retail Business in 2023:

- the bank for everyday transactions — the Bank seeks to become the number one bank in terms of the share of the customer's wallet and customer satisfaction by improving customer experience linked to the Bank's transaction, lifestyle, and mobile bank solutions;
- the bank for important decisions — as an expert offering the best comprehensive service solutions, the Bank provides support and advice in making important decisions throughout the customer lifecycle;
- the bank with convenient and cutting-edge service — a financial institution offering the best-in-class omni-channel customer experience, with all products and services available both online via digital channels and offline through a network of offices;
- an intellectual sales model — the bank offering the required products in time and in the most convenient channel thanks to a deep data-driven understanding of customer needs.

In 2023, the Bank accelerated customer acquisition. The key drivers were the upgrade of settlement and savings solutions, development of a digital sales model, attraction of payroll customers, and a focus on social categories and retirees.

As the mobile bank became more functional and user-friendly, customers grew more active in this channel. As of the end of 2023, *VTB Online* served 17.7 million users, with 15.3 million taking actions at least once a month. They visited the mobile app and Internet bank over 300 million times per month. Over the year, 9.1 million products were sold through *VTB Online*, up 20% year-on-year.

VTB improves its transactional services to make everyday transactions as simple and accessible as possible. In 2023, we enabled individuals to make payments to businesses from current and credit accounts using the Faster Payments System and offered subscriptions for payments through the Faster Payments System. Bank customers can now pay utility charges from 19 thousand providers, and we added automatic payments by date, balance, and charge (for utility bills), along with a packaged payment option for taxes and traffic fines.

The *Social Calculator* service and the Allowances and Payments super service united their data on social support measures. Users can now find out about payments due to them and have them transferred to an account with VTB. There is also an option to automatically fill in the details in applications for kids' social support, including a general child allowance for low-income families. The Bank integrated public services into its channels, including notifications from government agencies and the use of maternity capital towards repayment of refinanced loans.

3. In accordance with Federal Law No. 214-FZ On Participation in the Funding of Construction of Apartment Houses and Other Real Properties and Amendments to Certain Legal Acts of the Russian Federation dated 30 December 2004.

In 2023, VTB improved big data and machine-learning tools and algorithms to build integral models and perform deep analytics. In-depth knowledge of customer needs and data-driven work are instrumental in developing a personalised approach, pricing, and offers in real time. The Bank's offline network became use-friendlier, too, after the most efficient and popular offices were reformatted as part of a large-scale upgrade in 2023.

Digital transformation strategy

An advanced operational and technological platform is key for the success of the business segments' strategies. Such platform relies on efficient operational support and information systems ensuring high automation and resilience.

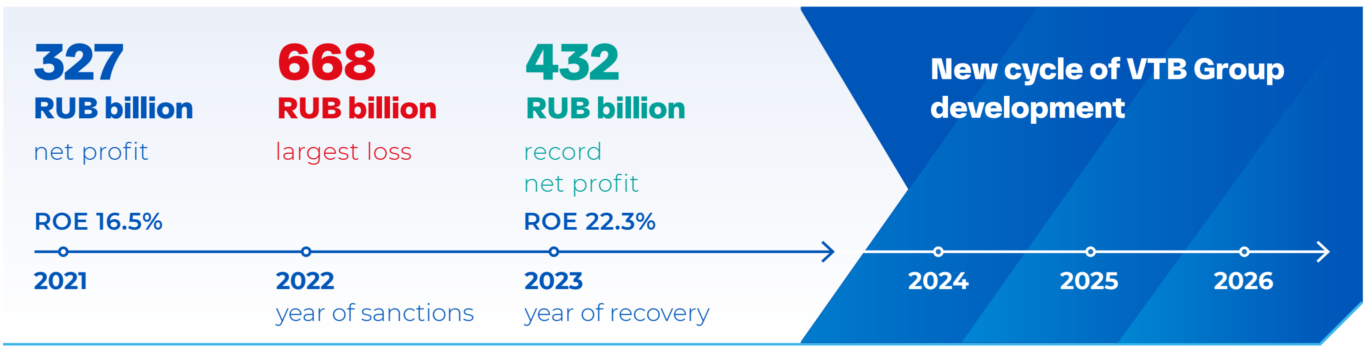
The key goal of 2023 was to set up an in-house import-independent platform to create digital products and implement comprehensive measures to substitute imported software and infrastructure components.

As part of perfecting the operational model, the back office saw the processing of its operations hit a record 99.62%, while the operational productivity reached 7.7%. Over 7 thousand employees leverage the digital platform for business process support to manage their tasks.

In 2023, following the enhancement of its technology components, the Bank held 7.6 billion transactions via the platform vs 7.3 billion in 2022, and optimised the processing efficiency per transaction by 7.7%. The reliability rate further improved from 99.99% in 2022 to 99.999% in the reporting year. The Bank introduced more than 7 thousand changes a month to its information systems while ensuring the availability of the key solutions at 99.999%, up some 20% or 0.009 p.p. year-on-year.

1.3.2. DEVELOPMENT STRATEGY FOR 2024–2026

Despite fundamental shifts in the Russian economy and serious external challenges, VTB Group was fully prepared for a new strategic planning cycle. Though adopted against a completely different backdrop, the previous strategic goals were fully met. In 2023, the Bank delivered a record net profit exceeding RUB 430 billion and return on equity of 22%.



Today, VTB is one of Russia's largest financial institutions far ahead of its competitors. As a systemically important universal bank, VTB offers a diverse range of financial products across all channels and customer segments. This opens up unique opportunities to capitalise on synergies, primarily related to customer attraction, unavailable to a majority of players.

VTB boasts top-tier expertise in investment banking and an unmatched experience in integrating with other banks. We take steps to further advance our best-in-class infrastructure for payments in soft currencies of friendly countries.

The Bank completed a large-scale digital transformation effort within the shortest time in the market. This resulted in creating a completely new bank technology-wise, which boasts strong reliability, productivity, and fast rollout of new services.

In 2023, the Supervisory Council approved VTB's new Development Strategy for 2024–2026. The document reflects the Group's vital role in the national economy and envisages robust growth of business relying on key competitive edges.

Trends in the new strategic planning cycle for 2024–2026

1.

Major structural changes in the economy

- Establishing and localising new production processes
- Developing new supply chains and logistics corridors
- Support of new infrastructure projects
- Fostering settlements in national currencies of friendly countries
- Digital transformation of the economy and strengthening of technological sovereignty

2.

Growing competition in the financial services sector

- Competition among industry leaders for being the customer's primary bank
- Competition for financial products targeting retail customers and entrepreneurs from non-financial players
- Developing new partnership models between banks and large retailers

3.

Creating a new consumption model and customer journeys

- Further acceleration and simplification of making new products available to customers
- High personalisation and better targeting of offers driven by advanced customer analytics
- AI-powered digital assistants

4.

Fast rollout of new technologies

- Advancing technological sovereignty and open-source technologies for business adaptability
- Considerably broader range of applications for AI-powered solutions

5.

Introduction and promotion of the digital rouble and assets

- Creating new models to make settlements between economic entities, including smart contracts
- Fast growth of digital financial assets
- Competition among banks for building the most convenient and functional app for digital rouble transactions

VTB's strategic priorities for the upcoming three years

- **Support of key structural changes in the economy** and reinforcing the Bank's positions as the best financial partner for investment projects. This will move VTB to the forefront of attracting and supporting investments in expanding and localising the production base, ramping up logistics and social infrastructure, and boosting housing construction.
- **A stronger foothold in the regions**, including a wider coverage of small towns and an increase in the pipeline of regional projects. Our goal is to improve VTB brand recognition and make the bank accessible to 100 million Russians. A special focus will be on projects aimed at improving the quality of life, creating jobs, and unlocking the economic, social and cultural potential in the regions.
- **Transformation and scaling up of the Retail Business** to achieve service excellence and come up with attractive products and solutions prompting the customers to choose VTB as the primary family bank. Our goal is not only to grow the active customer base to 35 million, but also to build much deeper customer relations.
- **Comprehensive support of SMEs** thanks to stronger communications and customer relations, creating the best transactional and digital bank, and opening new opportunities in lending and issuing guarantees. Our goal is to achieve a 1.5 times increase in SMEs opting for VTB as their primary bank.

- **Significantly stronger foothold in international settlements** and support for the country in unlocking its export potential. Having the widest international network among all Russian players, VTB will promote secure payment infrastructure that relies on its proprietary technologies. Our goal is to grow the share of foreign trade service segment to 15%.

- **Best-in-class quality management standard** and advanced solutions for customers. VTB will be working on a new quality management solution enabling us to review and provide a fast response to 100% of customer feedback. The customer's voice will be integrated in the continuous cycle of improving products and customer journeys. Cutting-edge high-tech solutions will include an AI-powered digital advisor, a new payment model based on the digital rouble and smart contracts, along with new investment tools built on digital assets.

- **Advancing a tech platform** to ensure technological sovereignty and robust internal efficiency. The platform is set to support the Bank's own strategic initiatives while also making VTB a reliable partner for the government in advancing the digital agenda, improving public services, and the digital transformation of major businesses and government agencies.

2026 targets

Net profit

RUB 650 billion

Return on equity at

~20 %

share of foreign trade services

15 %

Active retail customers

35 million

RESUMED DIVIDEND PAYOUTS

1.4. Quality management

VTB's quality management system is designed to give us a long-term competitive edge that comes from a robust customer experience across the segments in which the Bank operates.

Quality management system: core principles

- Customer centricity
- Continuous improvement of products and services
- Leadership
- Employee engagement
- Continuous training and development

The management of customer experience is integrated into all business units of the Bank:

- the Customer Experience Quality Centre that operates as a standalone unit coordinating the Bank's quality system and implementation of its customer centricity strategy;
- the Bank's functional units that work to identify gaps, develop and take steps to improve products and services on an ongoing basis.

In 2023, the Bank updated its system of key performance indicators (KPIs) for customer experience by adding new metrics based on customer surveys regularly measuring their loyalty and willingness to recommend the Bank. It enables VTB to find growth points and set ambitious goals for the team.

Key focus areas for improving quality management performance in 2023

The customer experience management at VTB relies on a combination of interconnected tools and processes conducive to handling customer feedback in a timely manner, identifying their problems, prioritising and implementing improvements, and tracking their effectiveness.

1. Developing and automating the customer experience monitoring and analysis system

Monitoring and analysing customer experience

- The system for measuring the quality of customer experience is in place to conduct regular comprehensive customer assessments in the Retail Business, Medium and Small Business, and Corporate Investment Business. It also helps identify best market practices, areas for improvement in perception, customer experience, and the quality of products and processes. In 2023, we expanded the system by increasing the measurement frequency and adding new interactions in the Retail Business, with a pilot measurement run by a subsidiary bank.
- We continuously assess customer experience across key interactions between a customer and the Bank. The feedback helps product and service channel owners identify process weaknesses, predict risks, develop, implement, and see the effect of respective improvements.
- The Bank's measurement system serves to identify customer attrition and retention drivers, which translates into proactive measures set to prevent customer churn and promote long-term loyalty.
- The Bank continuously monitors customer reactions in social networks, geo-services, mobile app stores, etc. These sources complement comprehensive customer analytics.
- We also analyse the root causes of customer dissatisfaction by conducting in-depth research focused on problem areas which helps identify the reasons behind discontent and possible ways to improve products and processes.

Analysing and optimising customer journeys

- In 2023, the Bank performed several full-scale customer journey surveys on key products and processes based on the comprehensive feedback collection methodology. Nine products and processes in the Retail Business and Medium and Small Business segments were assessed against peers to help identify areas for optimisation and growth.

Customer survey platform

- In 2023, we automated the process for launching survey campaigns and collecting feedback from our customers and employees. The integrated survey module allows for planning and launching surveys in standard channels, while also boasting personalisation, quoting and quick reporting functionalities.

Data infrastructure and reporting

- To analyse customer feedback in a timely manner, the Bank created centralised customer voice data infrastructure and developed automated reporting with multiple service quality metrics. Interactive BI dashboards help our business teams independently review surveys, complaints, calls and online reviews using a wide range of filters. The resulting data is then used to develop new measures for a more satisfying customer experience.

2. Improving customer knowledge and data-driven decision-making competences

Automated customer survey service platform for product teams

- In 2023, VTB maintained and fine-tuned its survey service platform, which enables our product teams to find the best possible solutions at different stages of product development. With the platform, the Bank can have customers involved in the process by interviewing service users and testing them, sharing best practices in interface development and customer experience management, and reviewing customer journeys and the functionality of new solutions. In 2023, we expanded the platform functionalities, enabling the teams to complete over 300 projects relying on the research services offered by the platform.

Customer Knowledge Library

- The Bank's Customer Knowledge Library for our product and service teams offers analytical reports on customers, markets, trends, etc. to help the teams keep abreast of the latest developments and create products and services aligned with customer needs. Currently, the Library has over 800 reports.

- In 2023, we introduced the Library of Market and Customer Insights, a new section for the ease of reference that presents the most interesting findings in the form of insights — handy takeaways about customer needs or behaviours.

Predictive models

- In 2023, we used machine learning algorithms to develop and deploy models for predicting customer satisfaction levels in the key Retail Business segments.

3. Enhancing the system of internal customer experience management

One of the key principles underpinning the Bank's quality management practices is to have employees of all levels engaged in the process. Superior internal customer experience lays the groundwork for ever-increasing loyalty from external customers.

- VTB conducts regular bank-wide assessments of the quality of internal services. In 2023, the assessment covered over 100 in-house processes and services with more than 23 thousand employees involved in measuring internal quality.
- The Bank has also put in place a continuous improvement system for internal services based on user feedback received during the measurements. After each measurement, service owners make plans to improve their processes. A consolidated improvement plan, as well as a report of progress made against that plan, are published on the Bank's internal portal.

4. Promoting the culture of customer focus as part of the "We Value our Customers" approach

A key dimension of the quality management system is to maintain a high standard of customer centricity culture among the Bank's employees.

- VTB won 13 prizes at the CX WORLD AWARDS, a professional award in the customer experience industry that annually recognises the most appealing and successful projects, initiatives, strategies, partnerships, products, technologies, improvement and upgrading efforts.
- We developed and launched a training programme in customer-oriented interactions and business conduct setting a holistic approach to customer interactions for every employee who deals with customers either directly or indirectly. Training provides an insight into the customer-centric approach, ethical principles of customer relations, basic standards, and terminology used by the Bank.
- VTB holds its annual "We Value our Customers: Best Practices" competition for employees of the Bank's branches and contact centres. It aims to promote the "We Value our Customers" approach among employees and make them understand the importance of following it in their daily work. The competition relies on the Library of Best Practices, which shares hands-on experience from VTB and other companies on how to deal with customers when the going is rough.

40

interactive BI dashboards addressing service quality in the system

300

projects implemented on the customer survey service platform in 2023

800

reports in the Customer Knowledge Library

~23 thousand

employees involved in internal service quality measurement projects in 2023

1.5. Results overview

1.5.1. FINANCIAL REVIEW

2022 Sanctions year in Russia

- Foreign assets were frozen
- Foreign subsidiaries were deconsolidated
- Customers were facing difficulties in FX settlements
- Currency risk hedging instruments were not available in the market

Record-breaking loss

-668 RUB billion

2023

- VTB Group achieved record-high net profit, solid loan growth and better credit quality (NPL at a historically low level)
- 19.3 million clients – the active client base of the retail business of VTB Bank, the Bank has become the leader in the growth of the active client base in Russia (+2.3 million people YoY)
- The Bank raised capital and identified ways for further development – a new strategy for the period of 2024-2026 was adopted

Record-high net profit

432 RUB billion

Return on equity

22 %

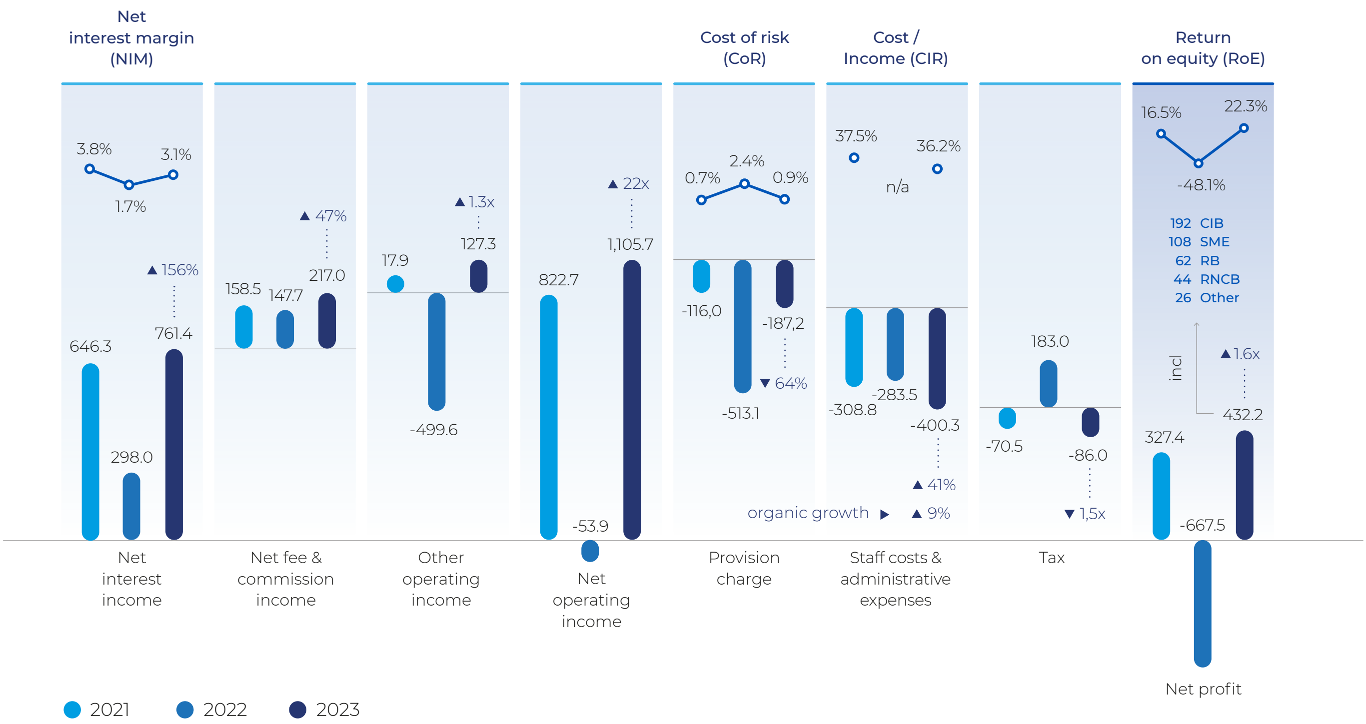
In 2022, VTB Group took the first blow among Russia's largest financial institutions to be affected by the toughest restrictions. With geopolitical risks realised, the Bank suffered much more than other credit institutions sanctioned by unfriendly states.

Services focusing on the nation's foreign trade operations, including major Russian exporters, were hit the hardest. VTB Group posted substantial losses as it saw its foreign assets frozen and foreign subsidiaries deconsolidated, while its borrowers and customers were facing difficulties in FX settlements with no currency risk hedging instruments available in the market.

2023 was a record year for VTB in terms of certain metrics, such as net profit, return on equity, active customer base growth, and historically low NPL levels. We met or even exceeded all financial targets set for the last year. The Bank's high profitability was achieved on the back of strong loan portfolio growth, stable quality of portfolios and robust cost efficiency, as well as the start of successful integration of Otkritie Group into VTB.

Analysis of VTB Group's IFRS income statement

Key income statement indicators[4], RUB billion



In 2023, VTB Group's business showed strong profitability, having earned RUB 432.2 billion, which represents a return on equity of 22.3%. The Group delivered record-high profits thanks to a sturdy momentum in key banking earnings amid improving cost of risk and robust cost management efforts combined with strong market transactions.

The Corporate Investment Business posted the highest net profit of RUB 192 billion, while the Medium and Small Business came in second with a net profit of RUB 108 billion. The Retail Business also delivered notable progress (RUB 62 billion). RNCB, whose figures remained undistributed between segments as at the end of 2023, generated a net profit of RUB 44 billion (with RUB 31.5 billion attributed to the acquisition effect and the rest to operating profit). Other segments, including the Corporate Centre and non-core assets, earned RUB 26 billion.

As compared to the pre-sanctions level of 2021 when the Group earned RUB 327.4 billion, we achieved strong growth across all components of net operating income, including net interest income, net fee and commission income, and other operating income. As our business was growing in scale, the Group's net operating income hit a new record of over RUB 1.1 trillion.

>1.1

RUB trillion

record-high net operating income

4. In 2023, the Group completed the valuation of certain components of the identifiable acquired assets and liabilities (those of Bank Otkritie Financial Corporation and its subsidiaries), restated the figures for 31 December 2022, and adjusted the related comparative information in its consolidated financial statements. Additionally, changes in comparative figures were due to the first-time adoption of IFRS 17 and other adjustments.

Net interest income and net interest margin

The Group's net interest income totalled RUB 761.4 billion, up 155.5% vs 2022 and 18% vs 2021.

The Group's net interest margin for 2023 stood at 3.1% (vs 1.7% in 2022, up 3.8% vs 2021). In the second half of the year, the Bank of Russia started gradually increasing its key rate, thus restraining the net interest income growth and putting pressure on our business margins.

761.4 ▲ 155.5%
RUB billion
net interest income
3.1%
net interest margin

Net interest margin momentum in 2023:

- Q1 2023 — 3.1%
- Q2 2023 — 3.3%
- Q3 2023 — 3.1%
- Q4 2023 — 2.9%

Net fee and commission income

The Group's net fee and commission income amounted to RUB 217.0 billion, up 46.9% vs 2022 and 36.9% vs 2021. Our net fee and commission income peaked in Q3 2023, which saw the strongest retail loan portfolio growth. At the same time, net fee and commission income is heavily dependent on bancassurance. In Q4 2023, the net fee and commission income growth decelerated quarter-on-quarter due to the retail lending market slowdown, interest rate hikes, and macroprudential limits.

217.0 ▲ 46.9%
RUB billion
net fee and commission income
0.8% flat
net commission margin

Other operating income

The Group's other operating income came in at RUB 127.3 billion as compared to other operating losses of RUB 499.5 billion in 2022 (up 611.2% vs 2021). The key factors positively impacting other operating income include FX gains (RUB 132.9 billion) and one-off effect from RNCB acquisition (RUB 35.4 billion before first day provision day).

Provision charge

The Group's cost of risk was 0.9%, down 1.5 p.p. as compared to 2022 due to the stable quality of the loan portfolio. At the same time, this indicator was below our target of 1%.

187.2 ▼ 63.5%
RUB billion
provision charge
0.9% -150 b.p.
cost of risk

Staff costs and administrative expenses

Staff costs and administrative expenses for 2023 totalled RUB 400.3 billion, up 41.2% year-on-year, as VTB Group increased its cost base following the acquisition of Otkritie Bank and RNCB. Excluding the new acquisitions, the Group's expenses demonstrated organic growth of 9%.

The increase in profitability significantly improved operating efficiency, with the ratio of costs to net operating income before provisions coming in at 36.2% in 2023 vs 37.5% in 2021.

400.3 ▲ 9% organic growth

RUB billion

staff costs and administrative expenses

36.2%

CIR

Analysis of VTB Group's IFRS balance sheet

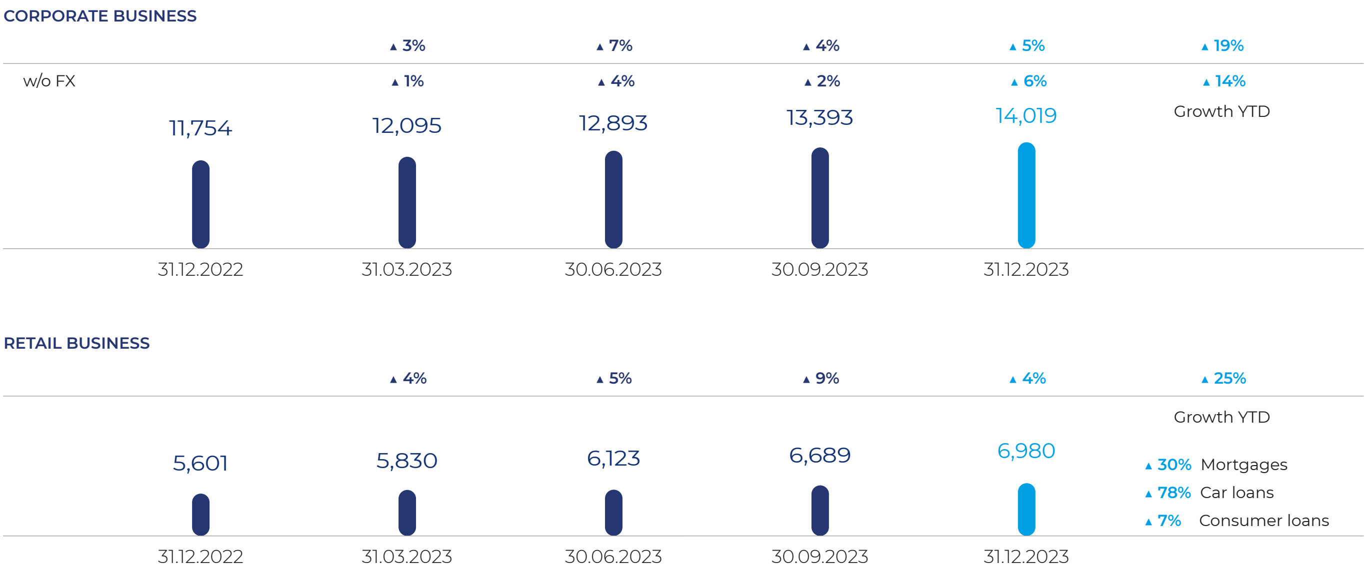
Assets

In 2023, VTB Group's assets grew by 20.5% to RUB 29.4 trillion. The total loan book before loan loss provisions amounted to RUB 21.0 trillion, up 21.0% over the year, or up 17.6% if adjusted for the effect of foreign currency revaluation.

Loans to individuals increased by 24.6% to RUB 7.0 trillion, with VTB Bank now issuing every fifth retail loan in Russia. Loans to legal entities grew by 19.3% to RUB 14.0 trillion, or by 14.4% if adjusted for the effect of foreign currency revaluation. The share of retail in the Group's total loan book rose from 32% as of 31 December 2022 to 33% as of 31 December 2023.

The mortgage market, like other segments, faced serious challenges in 2023. Despite this, the Group's mortgage loan portfolio delivered 30% growth coming in at RUB 4.3 trillion as of 31 December 2023.

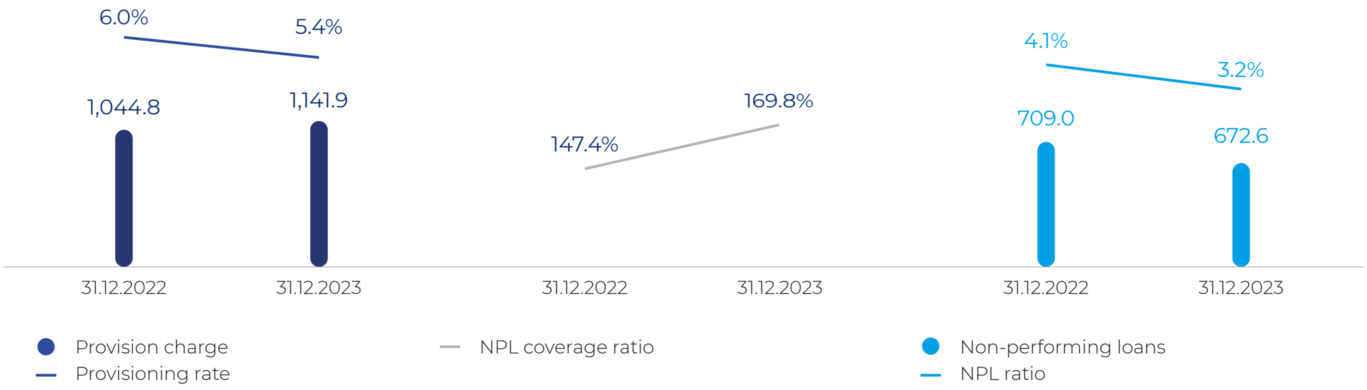
Loan portfolio before provisions, RUB billion



Asset quality

The share of non-performing loans (NPL) in the total loan portfolio shrank by 90 b.p. to 3.2% year-to-date. The provision coverage of the total loan book was 5.4% (vs 6.0% as of 31 December 2022). The NPL coverage was 169.8% (vs 147.4% as of 31 December 2022).

Asset quality, RUB billion



Liabilities

As of 31 December 2023, the Group's total customer funding increased by 20.5% to RUB 22.3 trillion, or by 17.4% if adjusted for the effect of foreign currency revaluation.

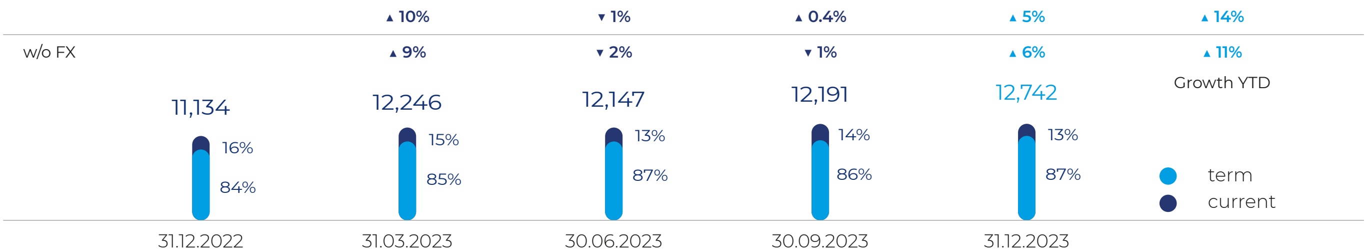
Funding from legal entities grew by 14.4%, or by 11.2% if adjusted for the effect of foreign currency revaluation, amounting to RUB 12.7 trillion.

Funding from individuals saw a 29.6% rise to RUB 9.6 trillion, or by 26.8% if adjusted for the effect of foreign currency revaluation.

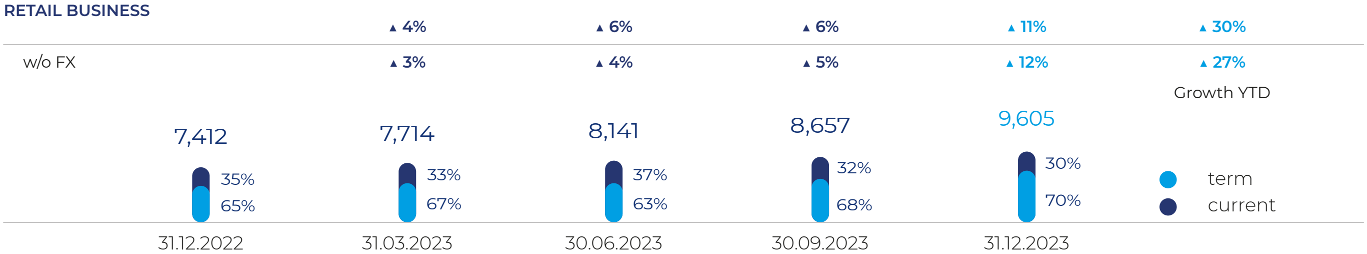
The loan-to-deposit ratio (LDR) was 88.9% as of 31 December 2023 compared to 87.9% as of 31 December 2022. The share of customer funding in the Group's total liabilities rose from 81.0% as of 31 December 2022 to 82.1% as of 31 December 2023.

Customer funding, RUB billion

CORPORATE BUSINESS



RETAIL BUSINESS



Capital and capital adequacy

VTB complies with all regulatory capital adequacy ratios set by the Bank of Russia at both the Group and the Bank levels.

In order to offset the negative impact of the sanctions on the Bank's regulatory capital, VTB initiated measures to increase its capital in 2023 by means of two capital injections. As part of the first capital injection in Q1 2023, the Bank placed 8.7 trillion ordinary shares in a private offering at a price of RUB 0.017085 per share for a total of RUB 149.4 billion. Of that number, 55 billion shares (RUB 1 billion) were paid in cash as shareholders exercised their pre-emptive right to acquire them. The remaining 8.7 trillion shares (RUB 148.4 billion) were paid for with non-cash funds by contributing 100% of RNCB shares (RUB 48.4 billion) to VTB's capital and converting the subordinated deposit received by VTB Bank from the National Wealth Fund in 2014 (RUB 100 billion).

As part of the second capital injection in Q2 2023, the Bank placed 5.1 trillion ordinary shares in a public offering at a price of RUB 0.018225 per share for a total of RUB 93.8 billion. Thus, two additional issues of ordinary shares increased VTB Bank's equity by RUB 243.2 billion. The Bank's capital adequacy ratios are at levels exceeding the regulatory minimums.

Capital and capital adequacy under RAS, including events after the reporting date, RUB billion

	2023	2022	Change
Capital			
CET 1	1,215.3	1,063.1	14.3%
Tier 1	1,657.8	1,451.7	14.2%
Total	1,761.7	1,659.0	6.2%
Capital adequacy (%)			
CET 1 N1.1 (min. 4.5)	6.76	6.99	-0.23
Tier 1 N1.2 (min. 6.0)	9.22	9.55	-0.33
Total N1.0 (min. 8.0)	9.82	10.93	-1.11
Risk-weighted assets	**17,948.8**	**15,173.6**	**18.3%**

1.5.2. CORPORATE INVESTMENT BUSINESS

To provide efficient customer service, VTB Group's Corporate Investment Business (CIB) has in place customer relationship management units and product units. The service model in the Corporate Investment Business offers a tailored approach to each customer, reliance on sector-specific expertise, and the selection of banking products based on the industry landscape and customer needs.

Product units are structured in such a way as to meet the requirements of customers of all segments:

- Lending, leasing, and factoring services
- Transaction business
- Investment business
- Brokerage business

CIB customer financing

Thanks to the Bank's timely response to the external changes affecting the lending business in 2022, we successfully navigated the key challenges posed by sanctions as early as 2023 and showed record growth.

Priority was given to rebuilding the business model with a focus on the domestic market and markets of friendly countries. This helped tackle Russia's persistent challenges of achieving technological sovereignty, substituting imports, developing infrastructure, and increasing labour productivity. To this end, the Bank ramped up its financing of major corporate customers by more than RUB 1.4 trillion, and took an active part in the design and development of state support programmes, including support for exports, investment projects, industrial mortgages, etc.

As far as the Bank's current portfolio is concerned, a programme to reduce its FX-denominated share in response to sanctions resulted in a 3x reduction in the number of transactions denominated in unfriendly currencies. This number is set to go down further to a negligible amount. Redomiciliation of the loan portfolio from foreign jurisdictions to the rouble area also contributed to mitigating country risks.

Coupled with the Bank's effort to support customers affected by sanctions, all of the above made it possible to bring the quality of the loan portfolio to the pre-sanctions level with the number of defaults close to historic lows. To meet strong demand for financing, the Bank streamlines its lending procedures to shorten disbursement times and facilitate the process for customers.

Leasing

VTB Leasing is one of the leading leasing companies in Russia, ranking among the Top 3 players in the market. The company is represented in 63 regions of Russia's eight federal districts, as well as in the Republic of Belarus. In the railway equipment segment, VTB Leasing consistently holds leading positions and ranks first in terms of new business volumes according to the Expert RA rating agency.

In 2023, the leasing portfolio gained 50% and reached RUB 953 billion. The new business volume doubled compared to 2022, coming in at RUB 419 billion. The Company signed over 46 thousand new contracts with customers, almost twice as much as in 2022.

Key segments in the company's leasing portfolio for 2023 were railway transport, trucks, and passenger cars, as well as special-purpose machinery. Car leasing was the best performer, with the growth of 114% and new business reaching RUB 244 billion. The truck segment went up by 138%, special-purpose machinery by 96% and passenger cars by 86%.

In the corporate segment, railway transport accounted for the largest share of VTB Leasing's portfolio in 2023. The volume of new business in this segment added 39% to reach RUB 116 billion.

Factoring

VTB Group is an innovation leader in the Russian factoring market, boasting the broadest product range for financing receivables and payables, as well as for inventory and finished goods warehouse management. At year-end 2023, the volume of factoring financing disbursed exceeded RUB 720 billion.

Over the next three years, the Group's strategic priority in the factoring segment will be business efficiency and balanced portfolio growth, with a focus on new markets and products, and development of the SME offering.

In addition to arranging Russia's first digital financial asset (DFA) deal, VTB Factoring also stands out as one of the most seasoned players in this market and the only participant that has worked with DFAs both as an investor and an issuer, including in foreign currencies, on several information system operator platforms. The total value of DFA transactions involving VTB Factoring in 2023 was RUB 21.8 billion. In September 2023, VTB Factoring won a prize for its Contribution to the Development of the DFA Market during the first ceremony of DFA AWARDS, a national award in the field of digital financial assets.

CIB transaction business

The Bank's transaction business comprises:

- trade finance (issuance, negotiation, and acceptance of guarantees, letters of credit, etc.);
- liquidity management products offering flexibility of financial flows while also cutting down operating expenses (account management, financing products, merchant acquiring, online banking and cash management services);
- banking support, a comprehensive product to mitigate the risks of contract / project execution at all levels (opening of separate bank accounts by contract / project participants, control of targeted use of funds throughout the cooperation chain, informing the customer about the spending results).

VTB Group provides and continuously improves a wide range of cash and liquidity management services for corporate customers. In 2023, VTB Bank introduced a number of new services aimed at improving customer experience and making existing technologies faster, more convenient and functional.

Digital rouble

The Bank has been involved in the implementation of the digital rouble since the project's launch by the Bank of Russia in 2020. We were among the first to present a prototype service for opening a digital rouble account and transferring digital roubles. On 15 August 2023, the project entered the pilot stage, with VTB also taking part. All VTB customers participating in the pilot got digital accounts and each of them conducted their first C2B transaction[5] using digital roubles. Functions supporting digital rouble transactions have already been implemented in VTB Business Online, an online banking system for major customers.

Customer migration to the new online banking system

In 2023, VTB completed migration of the Corporate Investment Business customers to VTB Business Online, a new online banking system for large businesses. The system is the Bank's in-house solution and is completely independent of imported components. It offers customers a wide range of online products, such as cash management services, payroll project, deposits, liquidity management, flexible authorisation settings, and other services. Thanks to a flexible role model, users can benefit from a one-stop shop when working with different companies. The system is omni-channel and is available in web-based, integrated, and mobile app versions.

5. C2B (Customer to Business) is a business model in which consumers offer their goods or services to companies.

Mobile banking app

VTB Bank launched VTB Business Online CIB, a mobile app for major businesses.

- Designed for Android smartphones, it can be downloaded from RuStore, NashStore, or the Bank's website;
- proprietary solution leveraging Russian technologies;
- a universal app enabling heads of financial departments and treasurers to perform everyday banking operations using their smartphones (generate statements, track payment statuses, monitor company accounts, sign documents with a basic electronic signature, make deposit applications);
- the app features a chat room with the Customer Support Centre for addressing all issues online;
- omni-channel platform — a transaction process launched in the app can be completed in the web version of the online banking system, and vice versa;
- the app can be accessed using a login and a password; it is also possible to set an access code or opt for biometric recognition for security purposes.

Corporate cards

The Bank has expanded its corporate card options for customers:

- corporate cards can now be added to the Mir Pay mobile app and used to pay for purchases;
- customers can now select the Bank's office with the most convenient location for corporate card delivery (previously, cards were only delivered to the Bank's office where the account was opened);
- SMS notifications on available transaction limits;
- corporate cards can be activated via ATMs.

Other transactional services

Corporate Investment Business customers can also benefit from:

- NFC[6] payments at points of sale;
- remote data updates and opening of subsequent accounts;
- topping up their accounts through ATMs without using corporate cards (by entering their login and password details).

6. NFC (Near Field Communication) — wireless data transmission technology.

Advanced solutions for urban transport

2023 saw the launch of the Bank's cutting-edge and convenient fare payment services for new public transportation modes and routes in Moscow:

- at the Big Circle Metro Line, as well as the third and fourth Moscow Central Diameters;
- on new electric vessel passenger routes along the Moskva River.

In the same year, two more Aeroexpress routes were connected to biometric fare payment. Iris recognition-powered payment systems were installed on railway routes to Moscow's Sheremetyevo, Domodedovo, and Vnukovo airports.

Depository services

VTB Bank's Depository is one of the largest in Russia in terms of the number of customers and the value of assets in custody, and is among the Top 2 major Russian client depositories. It offers a wide range of depository services for securities and financial instruments, including accounting for rights to securities, settlement of securities and money between parties to transactions, and support for corporate actions and structured transactions. The Bank's Depositary now has more than 4 million securities accounts.

Investment business

As 2022 was a highly turbulent year, the main focus for VTB Group's investment business in 2023 was to maintain and strengthen its position in certain segments. Our top priority were investment products offered to corporate and retail customers in the current environment under significant restrictions caused by sanctions, including limited access to foreign markets, settlement constraints, currency restrictions, etc.

We have come up with online comprehensive solutions for retail and corporate customers, including personalised pricing and optimised deal execution. VTB Group's customers can now benefit from a wider range of transactions in currencies of friendly countries, including account management, purchase/sale of and transactions with currencies. All of the Bank's retail customers have access to currency purchase and sale transactions based on dynamically updated exchange rates subject to the customer's service package and transaction amount.

As regards structured products for retail customers, VTB became the leader in terms of the number and volume of issues in 2023. The Bank streamlined and accelerated the process of issuing structured products to best meet the needs of retail customers. The Bank continues to improve its offering of structured products and shape a personalised approach to their provision.

VTB Group's commodities business also changed significantly. The main focus was on trading operations and financing of supplies of goods within Russia: precious metals trading on the Russian market, including development of physical metal trading and transactions with impersonal metal accounts for the Bank's retail and corporate customers, exchange trading of oil and oil products on the local market, financing of supplies of base metals, oil and other raw materials.

The Group also kept investing heavily in infrastructure development, including creation of industrial facilities and logistics centres, construction of roads, terminals, and other socially significant infrastructure.

Retail brokerage services

VTB Group Retail investments

2023

Assets of retail customers using brokerage services

1.4 RUB trillion ▲ +86% in 2023

Number of retail clients on brokerage services

3.2 million people ▲ +32% in 2023

Placement platform

93 RUB billion ▲ +82% in 2023

Direct financing of Russian companies through the purchase of bonds and shares via VTB My Investments placement platform

Awards

Investfunds Awards
Best mobile app of a brokerage company

The award organizers praised the VTB My Investments app for offering convenient access to a wide range of investment tools and user-friendly interface with a focus on important information

Stock market Elite 2023 contest held by NAUFOR
Best online brokerage service

Gold app
Russian Association for Electronic communications

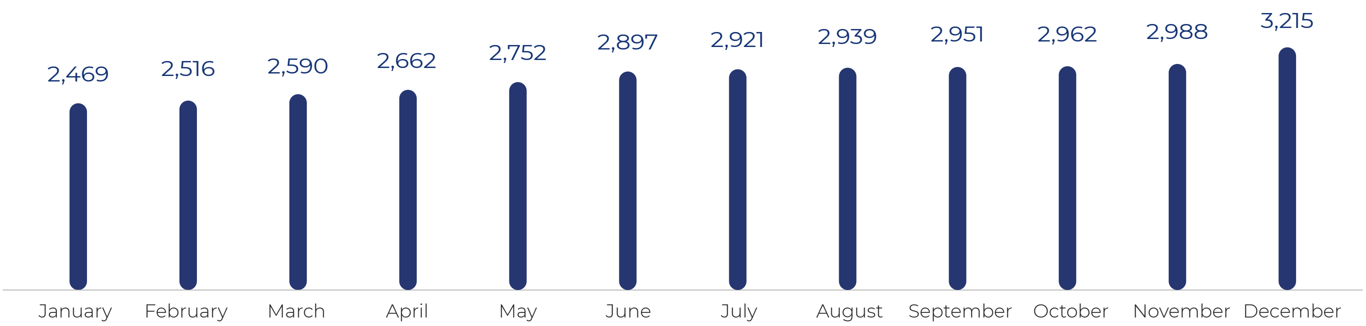
As of 31 December 2023, assets of retail customers using the Group's brokerage services stood at RUB 1.4 trillion. In 2023, customer assets of VTB Bank's retail brokerage business increased by 49% to RUB 1.1 trillion.

The number of customers using brokerage services at VTB Bank grew by 22.5% to 2,987 thousand, including over 840 thousand funded customers (up 7% year-on-year).

As a result of customer migration from Otkritie Broker to VTB Bank, the latter got 287 thousand unique retail customers, of which 59 thousand were already using VTB Broker and 228 thousand were new unique customers. Total assets of retail customers transferred from Otkritie Broker to VTB Bank's brokerage business amount to RUB 271.5 billion. Following migration, the volume of assets at VTB Bank was RUB 1.4 trillion as of 31 December 2023.

As of 31 December 2023, the number of customers using VTB Bank's brokerage services following migration from Otkritie Broker was 3,215 thousand (of which 2,987 thousand were customers of VTB Broker and 228 thousand were new unique customers from Otkritie Broker), including 949 thousand funded customers.

Retail customers in 2023



VTB My Investments mobile app is an investment platform and the flagship product of VTB Brokerage

The number of monthly active users (MAU) of the app is

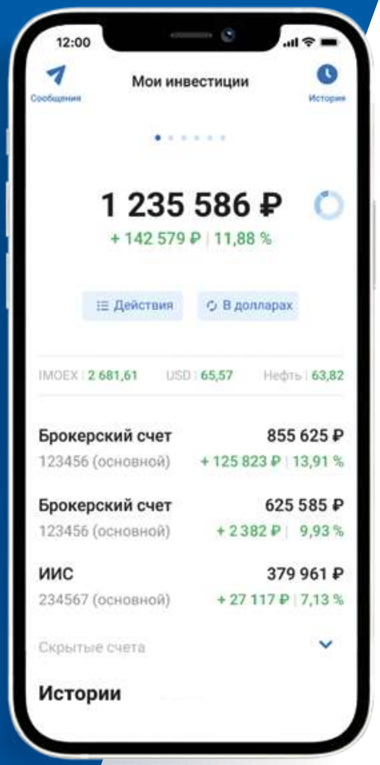
377 thousand people

up 14% year-on-year

The number of daily active users (DAU) amounts to

155.4 thousand people

up 19% year-on-year



The app offers customers the widest range of RUB and CBY-denominated placements in the market. In 2023, the app's users had an opportunity to participate in 968 placements (shares, bonds, Russian IPOs and SPOs). In 2023, VTB Broker customers bought RUB 93 billion worth of shares and bonds as part of initial public offerings (82% more than in 2022), making a significant contribution to increasing the capital of Russian companies (excluding VTB's additional issue).

Market leader in investment counselling

Digital investment advisory services cover all customer segments: from robo-advisor for the mass market of the Retail Business to Advisory for Privilege customers and Advisory Pro for Private Banking customers. These services help to stay in touch with customers 24/7 and increase the profitability of the customer portfolio.

We created the best and unique product offering in the Advisory Light market by automating advisory processes, which helped increase the number of customers served from 50 to 150 per advisor, with plans to raise this figure further to 300 customers by the time the product reaches its target functionality.

In 2023, assets under management (AUM) of customers using investment advisory services surged by 94% to RUB 54.4 billion, excluding customers transferred from Otkritie Broker.

- With respect to the Advisory PRO service, assets more than doubled (up 118%), coming in at RUB 36.3 billion.
- The Advisory Lite service yielded almost a 6x increase in assets to RUB 1.27 billion.
- Robo-advisor's AUM went up by 49% to RUB 16.4 billion.

At the end of 2023, the total number of customers using investment advisory services grew by 4.4%, excluding customers from Otkritie Broker. The number of customers using the Advisory PRO service saw a 61% increase, while the customer base of the Advisory Lite service expanded by more than 6 times.

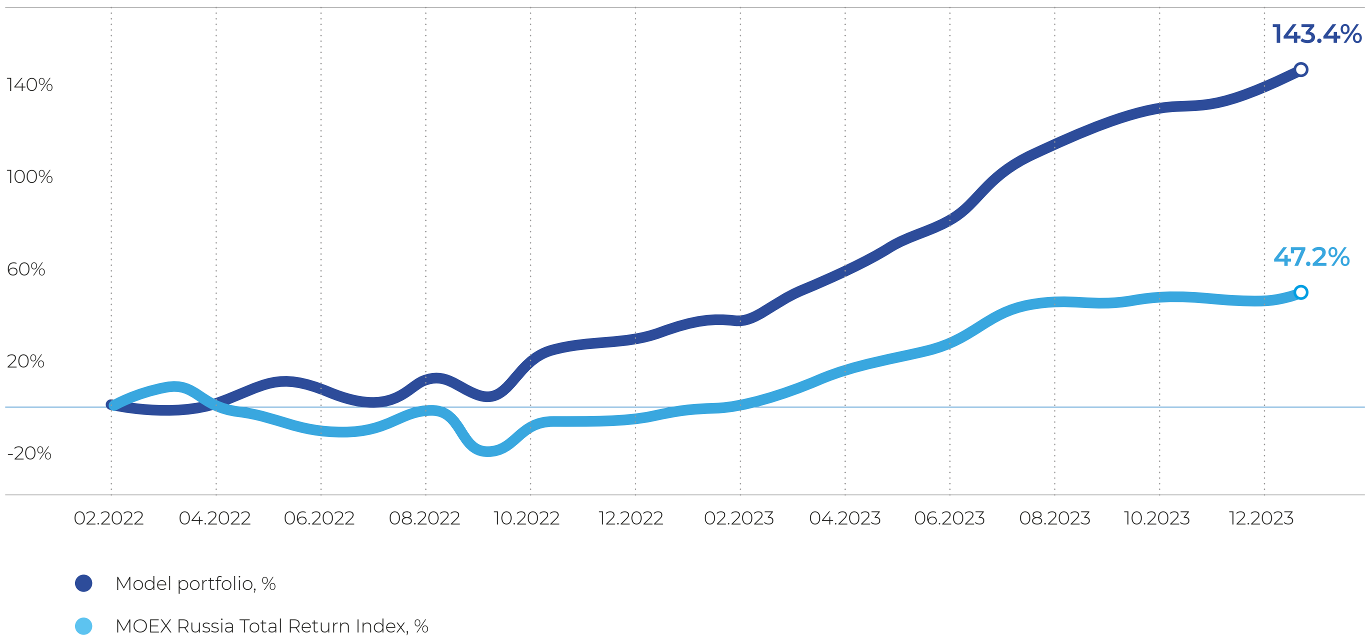
In 2023, the robo-advisor strategies outperformed benchmark returns by 2.7% and all the way up to 15.8% depending on the selected risk level. According to the selected strategy, returns ranged from 6.7% (ultra-conservative) to 69.4% (ultra-aggressive) for classic strategies and 61.4% for the Artificial Intelligence (AI) strategy. The latter strategy is chosen by every fourth customer of the robo-advisor.

Outperformance of all robo-advisor strategies

Robo-advisor strategy	Returns in 2023	Return performance against the benchmark	
Ultra-aggressive	69.4%	+15.80%	Better than 79% of equity funds in Russia
Aggressive	50.3%	+11.50%	
Balanced	33.2%	+7.90%	
AI	61.4%	+7.60%	
Conservative	19.3%	+5.10%	
Ultra-conservative	6.7%	+2.70%	Better than 65% of bond funds in Russia

Performance of the model portfolio

Russian Shares. Active Trading from 25 February 2022 to 29 December 2023



In 2023, our customers benefited from the following products and services:

- Topping up the brokerage account via the Faster Payments System and from the master account (instant and fee-free replenishment of a brokerage account from current and savings accounts in the Bank, as well as from accounts in third-party banks). In 2023, our customers topped up brokerage accounts for a total amount of over RUB 100 billion using both services.
- New types of stop orders — Trailing Take Profit and associated stop order Take Profit + Stop Loss. 2023 saw more than 2.2 million stop orders of the new type placed through My Investments.
- Iceberg orders (customers have an opportunity to sell/buy large amounts of securities hiding the actual order quantity and show only the tip of the iceberg to the market, which increases the probability of order execution without a significant impact on quotes).

- Interest accrued on the balance of securities (an opportunity to earn additional income by placing a clear balance of securities with the Bank and an additional cheaper source of securities for the Bank to regulate margins). More than 829 thousand accounts have joined the service since its launch.
- Advisory Pro (a digital investment advisory service for private customers) now has access to materials from VTB financial analysts (information on the issuer and its financial performance, growth drivers, and potential investment risks).
- From 2023, customers can compare and change tariffs, and view terms and conditions directly in the app.
- Securities transfers between subaccounts.
- Customer can now select a brokerage or bank account in the app to receive dividends, coupons, and other payments under securities held in a brokerage account.
- Customer can obtain a qualified investor status if they have a total of no less than RUB 6 million in VTB's IIA, brokerage, bank, or impersonal metal accounts.
- In the Exchange section, 14 Russian indices (Moscow Exchange, RTS, industry indices, government and corporate bond indices) became available to customers wishing to monitor market conditions.
- VTB Index was launched to help to understand VTB customers' current sentiment with respect to buying or selling shares. The list of the most popular stocks is updated every hour in My Investments.
- For customers migrating from Otkritie, OTC derivatives in OTC portfolios are now shown in a separate section.
- Together with the Retail Business, measures were developed to prevent misselling[7] of complex investment products, as well as open-end mutual investment funds, to customers above 70.
- In 2023, the web version of VTB My Investments was expanded to include the app's features.
- We launched gold and silver trading in the precious metals market of the Moscow Exchange.
- At the end of December 2023, the possibility to conclude margin transactions in the precious metals market of the Moscow Exchange was introduced.
- In December 2023, VTB My Investments' customers were presented with an option to open Type 3 IIAs.
- In 2023, the VTB My Investments app was once again recognised as the best in Russia, winning the Investfunds Awards in the Best Brokerage Mobile App category for the fifth time. At the Russian Association of Electronic Communications (RAEC) Awards, VTB My Investments received the Golden App special award for the fifth consecutive year. The award organisers noted the app's convenient access to a wide range of investment tools and user-friendly interface with a focus on important information.
- In 2023, VTB's brokerage business received the Best Online Brokerage Service award during the Stock Market Elite 2023 contest held by NAUFOR.

7. Imposing products and misleading customers.

1.5.3. MEDIUM AND SMALL BUSINESS

The Group's Medium and Small Business (SME) segment provides banking services to legal entities and individual entrepreneurs with annual revenues of up to RUB 25 billion. In Russia, VTB Group's banking business provides services to some 1.3 million companies and individual entrepreneurs. Given the actual activity of companies registered in Russia, this means that approximately one in three Russia's operating businesses uses VTB products and services.

In 2023, VTB showed growth across all key indicators. The loan portfolio (before provision charge) in the Medium and Small Business segment grew to RUB 3.3 trillion.

Customer deposits rose to RUB 3.6 trillion, including RUB 2.7 trillion in term deposits. **Every second business in the country that invested in deposits and similar products in 2023 used VTB products.**

VTB's main goal is to evolve from a bank serving businesses into a full-fledged partner for companies and entrepreneurs. With that in mind, we place great emphasis on financial and non-financial support for customers. For small and medium-sized businesses, VTB updated its product line and improved service conditions in almost all areas.

One of the key milestones in enhancing service quality was the launch of VTB's *Digital Business Platform* in October 2023, which brings together the Group's best offers for entrepreneurs. These include six cash management packages, payment acceptance tools and services, loans and deposits with online processing, a foreign trade digital ecosystem, and other banking and non-banking products. The platform boasts high reliability and a variety of support tools that save customers' time when tackling business issues.

Lending to Medium and Small Business

In 2023, the number of issued loans grew by 85% year-on-year. Bank financing was in the highest demand in Moscow, St Petersburg, the Krasnodar and Stavropol regions. The most financed sectors were residential and commercial construction, wholesale and retail trade, and agriculture.

As in the previous year, **loans for investment purposes accounted for a substantial part of the Bank's portfolio in this segment**. A high share of investment loans speaks for companies' consistent interest in expanding production, launching new projects and businesses, and entering new markets.

By the end of 2023, the Bank's trade finance portfolio for SME customers hit a record RUB 643 billion, exceeding the previous year's figure by more than a quarter.

Express loans with online processing

Express loans are available online both for the Bank's existing customers and for businesses and entrepreneurs not included in VTB's current customer base via the Prospective Customer Account on the Bank's website. In 2023, express loans gained momentum in all business segments, but were particularly popular among retail and service businesses.

In the reporting year, VTB launched express loans for SME customers under state support programme of the Ministry of Economic Development of the Russian Federation No. 1764. Individual entrepreneurs and legal entities can borrow up to RUB 10 million at a reduced rate and without collateral in a matter of five minutes. The requirements for the borrower are the same as those already in place under the programme: they must be an SME, Russia's tax resident, and be engaged in at least one of the government's priority sectors (trade and services, agriculture, manufacturing, construction, tourism, healthcare and education, transportation and storage, etc.).

VTB also tripled the amount of express loans for businesses: they can borrow up to RUB 30 million, attaching only accounting statements for the last quarter to the application.

Preferential lending under state support programmes

As in previous years, in 2023 **VTB took an active part in all major government business support programmes,** offering entrepreneurs preferential financing terms (currently, our portfolio includes about 20 types of government programmes). As of 1 January 2024, the share of preferential programmes in VTB's total loan portfolio in the Medium and Small Business segment exceeded 22%.

Main government programmes for preferential lending

- Preferential programme of the Ministry of Agriculture of the Russian Federation No. 1528
  2,616 loan agreements in excess of RUB 364 billion[8].
- Programme No. 1764 of the Ministry of Economic Development of the Russian Federation
  5,381 loan agreements exceeding RUB 257 billion.

  The Bank's share in Russia's total portfolio of transactions under this state support programme is about 20%. The Bank is also the largest participant of a project to run Programme No. 1764 of the Ministry of Economic Development and the SME Lending Programme in parallel. The Bank's share in Russia's total portfolio of transactions under this state support programme is some 46%.
- Programme to support domestic importers under Russian Government Resolution No. 895
  176 loan agreements totalling over RUB 88 billion.
- Industrial mortgage programme under Russian Government Resolution No. 1570
  224 loan agreements accounting for RUB 25.9 billion.

  This programme issues soft loans to industrial companies for the acquisition, construction, reconstruction, and modernisation of non-residential real estate for industrial production purposes according to the OKVED list.
- Preferential lending programmes for IT companies of the Ministry of Digital Development of the Russian Federation (No. 1598 and No. 407)
  19 loan agreements worth of RUB 9.8 billion.

As part of the efforts to support investment projects implemented by residents of priority development areas of the Far Eastern Federal District and the Free Port of Vladivostok (Russian Government Resolution No. 1818), the Bank continued to finance them at a preferential rate of up to 5%. In 2023, RUB 200 million was provided for a period of seven years to finance the construction of a production facility for assembly, repair, and upgrade of automotive and special-purpose vehicles. As of 1 January 2024, the total amount of financing provided under three agreements within the Programme's framework exceeded RUB 1.2 billion, with a loan portfolio of almost RUB 500 million.

>22 %

share of preferential programmes in the SME loan portfolio

VTB Bank also supports small and medium-sized businesses in Moscow and the Moscow Region:

- Programme No. 445
  6 loan agreements totalling approximately RUB 159 million.
  The programme targets SME customers registered in Moscow and operating in priority sectors (excluding the finance and insurance industries and the construction sector as required by Federal Law No. 214-FZ[9]).
- The Moscow Region's programme approved by Moscow Region Resolution No. 788/39
  47 loan agreements accounting for RUB 1.4 billion.
  The programme targets small and medium-sized businesses registered in the Moscow Region.

8. All data is as of 1 January 2024.
9. Federal Law No. 214-FZ On Participation in the Funding of Construction of Apartment Houses and Other Real Properties and Amendments to Certain Legal Acts of the Russian Federation dated 30 December 2004.

Financing housing construction

In 2023, VTB Bank kept financing housing construction[10]. Back in 2019, the Bank pioneered the use of escrow accounts, taking a leading position in the housing finance market.

As of 1 January 2024, funds in escrow accounts opened with the Bank under escrow agreements stood at RUB 413 billion (up 184% since the beginning of 2023).

Debts under project finance agreements using escrow accounts amounted to RUB 377.6 billion (up 179% since the beginning of 2023).

In terms of regional breakdown, the highest growth in the developers' loan portfolio in 2023 was posted by Krasnodar (3.8 times), Moscow and Novosibirsk (2.8 times), and Ryazan (2.2 times).

Developing deposit products

For businesses, VTB offers favourable rates and individual terms, as well as a range of new product services.

Our customers can make deposits and hold their minimum account balances in Chinese yuans. This is seen as an attractive alternative to deposits in unfriendly foreign currencies: in 2023, VTB recorded exponential growth in both the number and volume of CNY-denominated transactions. In the Medium and Small Business, deposits in yans grew more than 14 times over the year, with their volume going up more than 10 times, and the portfolio of CNY-denominated deposits and minimum account balances more than tripled.

VTB launched *NSO Lite and Overnight Lite* to enable even small companies and start-ups to earn income from depositing available funds. During the year, new customers have an opportunity to deposit funds on special terms — from as little as RUB 50,000 instead of the standard RUB 1 million. Both products are free of charge and available online.

In addition, VTB extended the time for SME customers to place deposits and minimum account balances in roubles and yuans until 9 pm local time in the regions where customers are serviced. This allows customers to make a decision and determine the amount to be deposited after all settlements are completed and funds are received from counterparties during the day in order to maximise additional income.

What makes VTB's deposit services even more convenient is a wealth of features for activating and managing products in the Internet and mobile banks. VTB customers actively use remote deposit options: 98% of deposit transactions are made online.

Foreign trade

2023 saw continued restructuring and adaptation to the new foreign trade environment. VTB was actively involved in this process, adjusting its activities with regard to both SME customers and the economy as a whole.

We posted manifold growth in key foreign trade indicators in 2023. In 2023, VTB's foreign trade turnover in national currencies of SME customers rose 5.7 times year-on-year. The number of entrepreneurs using national currencies for settlements increased 4.5 times, turnover grew 5.7 times, and the number of transactions went up 4.5 times. The number of new foreign trade contracts with friendly countries surged by 60%, and the number of new accounts in national currencies added 30%.

Such a strong growth on all fronts is largely due to VTB's unrivalled capabilities in dealing with national currencies and reliable settlements with friendly countries. Thanks to its network of subsidiary banks and branches, VTB can service

10. In accordance with Federal Law No. 214-FZ On Participation in the Funding of Construction of Apartment Houses and Other Real Properties and Amendments to Certain Legal Acts of the Russian Federation dated 30 December 2004.

foreign trade contracts without restrictions and carry out settlements in roubles and all major national currencies of friendly countries, even amid blocking sanctions and disconnection from SWIFT. In addition, VTB is constantly expanding its product offering, adding new features to the foreign trade digital ecosystem, making current services more convenient, and enhancing service conditions.

In 2023, we rolled out new digital solutions for our customers: smart foreign trade calendar, online contract profile, expert consultations, payments and documents via chat, pre-approved currency control, and much more.

In 2023, VTB launched two additional options — *Foreign Trade.Currency* and *Foreign Trade. Roubles* — to its cash management packages for medium and small businesses. These are comprehensive solutions for settlements in roubles and national currencies of friendly countries, coming with advisory services and favourable service conditions. The *Foreign Trade.Currency* option offers a 50% discount on opening a foreign currency account and free servicing, as well as special terms for currency exchange transactions and transfers in all major national currencies of friendly countries. *Foreign Trade.Roubles* provides for free cross-border transfers in roubles. Both options include reduced FX control fees, free advisory services, and features for international business: *Foreign Trade Monitor*, *Foreign Trade Contract Revision*, Contract Registration Using Scan Copy. As part of a *Foreign Partner Verification* service, one can get summary information on the counterparty with a 50% discount.

All foreign trade customers have access to individual transactions terms at favourable exchange rates:

- new *Foreign Currency* Sale service offers the Bank's special favourable exchange rates for a number of friendly currencies;
- customers can request an individual quotation from a dealer and effect transactions at the desired rate (Order);
- With an *FX Savings Jar* service, one can benefit from the best rates while increasing the volume of FX purchases and sales.

Currency exchange transactions are available to SME customers 24/7 via the Internet bank and mobile app.

To reduce the cost of transactions' customs and logistics support, VTB cancelled fees for issuing virtual customs cards. Several cards for different cardholders can be ordered with a single application through *VTB Business Platform*. A virtual customs card is a convenient tool for customs payments. It allows customers to make payments at the time of submitting the customs declaration without the need to advance funds and transfer reserve amounts to the account in case of changes in exchange rates and force majeure. The virtual card allows all types of customs payments to be made 24/7. The digital product retains its functionality and allows entrepreneurs to save time and money otherwise spent on paperwork and visits to the Bank's branches.

For secure international transactions, VTB also offers the *Customs Services* toolkit, a set of solutions for all stages from preliminary cost estimation to certification of goods and their delivery to the warehouse. One of the main advantages is a convenient, secure, and fully electronic process of transferring documents and information via the Internet bank. In 2023, *Customs Services* was supplemented with the Foreign Trade Design service for comprehensive support at all stages of a transaction: from partner search and settlements to logistics and customs solutions monitored by the Bank.

As the international trade market is actively reshaping and adapting to changes, expert support and a tailored approach to foreign trade participants have become crucial to maintaining the loyalty of SME customers. To this end, VTB has *Foreign Trade Expertise and Support Centre*, a revolutionary institution that brings together the best foreign trade experts and welcomes both experienced and aspiring international business entrepreneurs.

5.7x

growth of foreign trade turnover in national currencies in 2023

New cash management tools

As of the beginning of 2024, the number of cash management service packages in use by medium and small businesses neared 0.5 million, with almost 27 thousand additional service options enabled by customers. More than 116 thousand customers took advantage of the Bank's special offers (promos).

In early 2023, VTB came up with a special cash management offer for new customers. After opening their first current account, entrepreneurs are given a six-month 50% discount on the *All Inclusive* and *Most Important of All* packages (packages selected by every second new SME customer). The packages include all the necessary tools for fledgling businesses, including account maintenance, mobile and Internet banking, payments to VTB and other banks' customers, unlimited transfers to own cards and accounts of an individual entrepreneur, cash deposits, and business card issuance and maintenance.

Seven additional features can be added to service packages issued on special terms: *Payments+, Cash Withdrawal, Cash Register+, Personal Transfers,* as well as new options called *VTB Kassa, Foreign trade. Roubles*, and *Foreign trade.Currency*. Thanks to these options, one can increase the number and volume of individual transactions in a package and get additional services without overpaying for the next-level package.

To make it as easy as possible to start a business, VTB developed a new additional option, *VTB Kassa*, offering an instalment plan for those setting up and paying for a branded online cash register. About half of the cost is to be paid in the first month, with small fixed instalments to follow every month. The option provides for full technical support of the equipment, including replacement of the fiscal memory device and re-registration of the cash register.

The option can be connected to all cash management service packages, including the free For Starters package for start-up businesses. A single visit to the Bank's office is all it takes to sign up, and in just a few days a device is set up and ready to use. *VTB Kassa* combines the functions of an online cash register and an acquiring terminal with a built-in barcode scanner. It comes with a fiscal memory module and a contract with a fiscal data operator.

To provide loyal customers with even more benefits, VTB launched a *Partner Recommendation* referral programme. Existing SME customers can recommend the Bank to their business partners and enjoy free servicing. To invite a new user, customers only needs to enter his/her tax payer's ID and phone number in the Internet bank or mobile app, and then send him/her an individual promo code generated by the Bank to be activated when opening an account.

>17 thousand

entrepreneurs became VTB customers under the referral programme.

Transactional and operational processes

For corporate customers, the Bank rolled out a new service making it possible to deposit cash proceeds at ATMs without a card by using a login and password. This is seen as a more convenient and cost-effective way of self-service cash collection. The service enables businesses to independently collect cash proceeds through VTB self-service devices without using a business card. With a login and password provided through the Internet bank or mobile app, our customers' authorised employees can deposit cash into the account when and where needed in less than a minute using VTB's all-Russia ATM network.

In 2023, VTB's SME customers with business cards were offered an option to top up their current accounts at Post Bank's ATMs. As a result, the total number of self-service cash collection devices available to VTB customers increased by a third to over 18 thousand. In addition, cash deposits can now be made in some communities where VTB terminals are not available or are located far from the customer's office. The cost of cash deposits at Post Bank's ATMs is similar to that of VTB; under three cash management packages with enabled limits cash can be deposited free of charge.

Our SME customers can now receive payments with Mir electronic certificates issued for the purchase of certain types of goods, works, and services at the expense of budget funds. Accepted by both offline and online shops, electronic certificates expand the list of available settlement methods. POS terminals connected to the system of electronic certificates allow for one-click selection of a payment source when making a purchase. A certificate is linked to the Mir card, and the funds credited to it can be spent on goods, works, and services according to the list published in the *Unified Regulatory Reference Information System*, for example, medical and rehabilitation equipment or drugs.

VTB launched a number of services in close cooperation with state institutions. Jointly with NSPK (National Payment Card System), VTB introduced a cashless payment service for carriers. This socially important project has already been successfully implemented in several regions, with its geography expanding. Another hi-tech solution launched in 2023 was a cashless payment service for the self-employed in the Federal Tax Service's My Tax app. It enables the self-employed to generate payment links and accept payments by card or using the Faster Payments System.

Developing business services

In addition to the market's broadest line of banking products for medium and small businesses, VTB Bank also offers a range of non-banking services. In 2023, their number went up to 36 to include business registration, accounting and legal support, HR products, insurance products, cloud solutions, analytics and advertising services, etc. Thanks to VTB's platform solutions, customers can find suppliers and buyers, improve their expertise in business management, and gain access to electronic trading.

In 2023, VTB introduced a series of updates to its online accounting service. The VTB Accounting for Business service is now available in the Internet bank and offers full-fledged accounting and HR records without the need to install additional software.

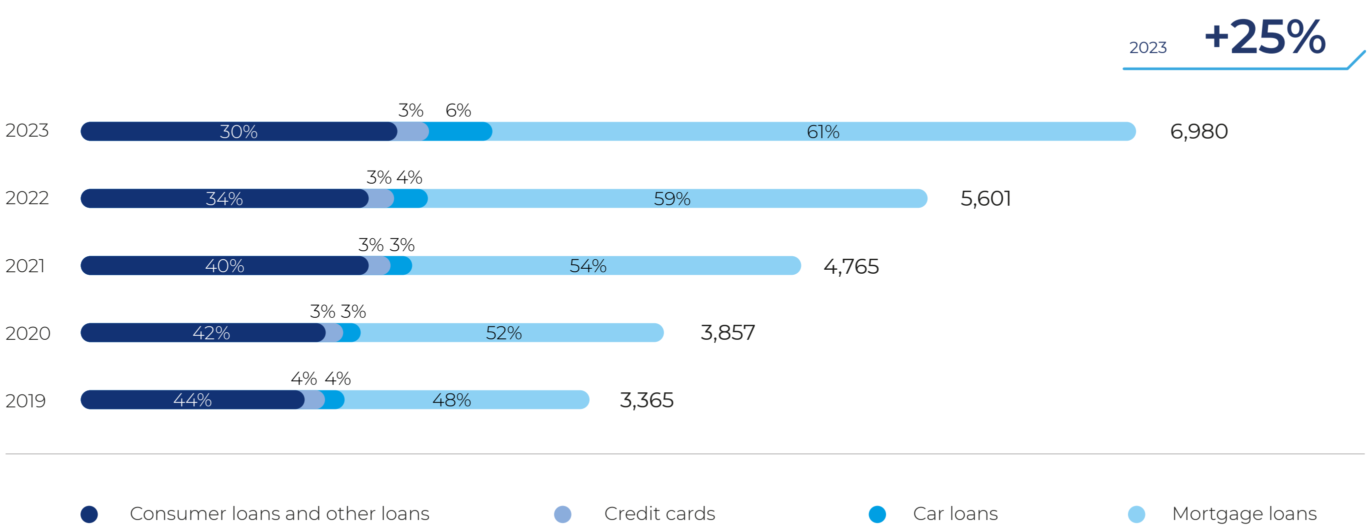
1.5.4. RETAIL BUSINESS

The Retail Business specialises in banking for individuals, providing a wide range of financial products and services that fully cover the needs of customers

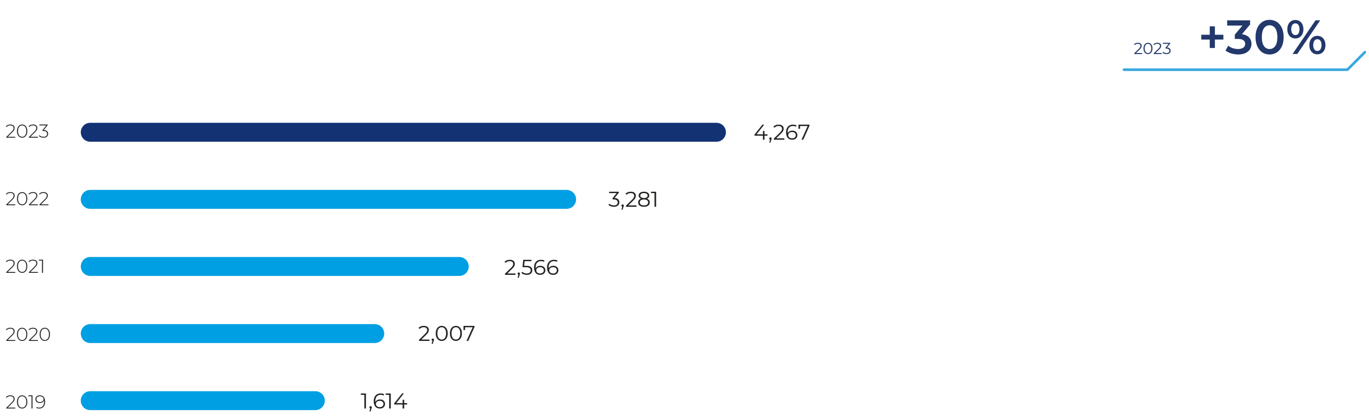
Retail lending

As of 31 December 2023, VTB Group's portfolio of loans to individuals was RUB 7.0 trillion, up 24.6% or RUB 1.4 trillion year-on-year. Over 70% of the growth came from mortgage lending, which accounts for a lion's share of the portfolio in the segment — 61%. Consumer and other loans, car loans, and credit cards make 30%, 6%, and 3% of the portfolio, respectively.

Loans to individuals, RUB billion



VTB Group's mortgage loan portfolio, RUB billion



Mortgage lending

Despite major challenges faced in the reporting year, the mortgage market still drove the Bank's whole retail lending.

VTB Group's mortgage loan portfolio increased by 30% to RUB 4.3 trillion in 2023. VTB Bank was the key contributor to that growth within the Group, keeping its position among leaders of the Russian mortgage market. In the reporting period, VTB Bank achieved the best mortgage sales in its history, with borrowers taking out around 293 thousand housing loans worth more than RUB 1,491 billion (in 2022, the sales totalled RUB 964 billion).

Key drivers of mortgage lending in 2023:

- Government support programmes. As part of the preferential initiatives, the Bank issued more than half of its mortgage loans (57% totalling RUB 856 billion), while in 2022 their share accounted for 54%. In the reporting period, the most popular preferential programmes were Government Support – 2020 and Family Mortgage.
- Banks' joint programmes run with developers to subsidise mortgage propped the market up amid increased lending rates.

Market trend — expanding digitalisation

Key mortgage digitalisation projects implemented by VTB in 2023:

- **Digitalisation efforts continued**
  Over 80% of mortgage application submitted remotely.
- **Mortgage offering scaled-up**
  The number of pre-approved offers grew from 300 thousand to 3–4 million per month, while the share in total mortgage loans issued soared from 2% in January to 20% in December 2023.
- **Mortgage application process implemented in mobile apps and VTB Internet bank**
  The share of applications via that channel grew by 12% in December 2023.
- **Customer journey in the digital channel simplified**
  The questionnaire size reduced by 60%. A fully online application introduced (with no paper documents required) and a loan decision made within three minutes.
- **Transition to electronic mortgages completed**

VTB is a reliable partner of the government in support programmes. As part of preferential initiatives in 2023, the Bank issued:

- 72.5 thousand loans worth RUB 413.8 billion under the government support programme for families with children, with mortgage loans granted at 6% per annum (5% in the Far Eastern Federal District);
- 3.7 thousand loans worth RUB 18.5 billion under the government support programme for young families with children in the Far Eastern Federal District and Arctic zone (at 2%);
- 46.4 thousand loans worth RUB 364.3 billion under the government support programme 2020 (at 8%);
- 7.2 thousand loans worth RUB 69.8 billion under the government support programme for IT professionals (at 5%).

Role in public social care system

The Bank is actively promoting the social responsibility agenda. We launched more than ten solutions, products and services aimed at public support, including those launched in 2023:

- RUB 413.8 billion issued as part of the government subsidised mortgage programme for families with children. VTB's share in this market segment is 19.7% (second place);
- in June 2023, VTB rose to the second place in issuing mortgage loans for IT professionals. In September 2023, VTB became the first in the market to start accepting applications for IT mortgage loans under simplified requirements for young professionals up to 35 years of age. A total of RUB 69.8 billion was issued in mortgage loans to IT professionals in 2023;
- in September 2023, VTB launched loans for new categories (teachers and doctors) as part of the Far East mortgage programme. A total of 1,042 loans worth RUB 6 billion were issued to teachers, while 415 loans worth RUB 2.1 billion were issued to doctors;
- the Unified Regional Mortgage Programme was expanded to five new regions (the Rostov, Samara and Ryazan regions, Republic of Chuvashia, and Khabarovsk Territory);
- in April 2023, lending for private housing construction using the services of contractors was launched as part of the key government support programmes (government subsidised mortgage programme 2020 for private housing construction, government subsidised mortgage programme for families with children for private housing construction, government subsidised mortgage programme for IT professionals for private housing construction). Since May 2023, the Bank has been issuing loans under the government subsidised mortgage programme 2020 for self-built private housing construction, which involves no contractors. A total of 2,881 loans worth RUB 17.9 billion were issued in 2023 as part of the private housing construction programmes.

Mortgage borrowers can also use mortgage repayment holidays[11]. In 2023, the Bank introduced repayment holidays as part of expanding its support for borrowers:

- for evacuated customers (granting a deferral of all loan payments of up to six months to customers who reside and/or own a mortgaged property in evacuated areas);
- for borrowers affected by natural or man-made disasters (such customers can also reactivate mortgage holidays);
- for individuals taking part in the Special Military Operation and their family members, under Federal Law No. 377-FZ[12] the Bank prolonged the grace period for repayment holidays granted in 2022 and introduced early termination of the holidays upon request of the borrower/their attorney.

11. Provided according to Federal Law of the Russian Federation No. 353-FZ On Consumer Loans dated 21 December 2013.
12. Federal Law No. 377-FZ On Specific Aspects of Performance of Obligations under Credit (Loan) Agreements by Persons Mobilised into the Armed Forces of the Russian Federation, Persons Taking Part in the Special Military Operation and their Family Members and Amendments to Certain Russian Laws dated 7 October 2022.

Consumer loans

VTB Group's consumer loan portfolio, RUB billion

In 2023, consumer loans were greatly affected by the Bank of Russia's policy aimed at curbing their growth, including requirements to comply with macroprudential limits which were introduced on 1 January 2023 and consistently tightened during the year. Premiums on risk ratios for consumer loans were also raised from 1 September.

In the second half of the year, the key rate was gradually increased. This was followed by the growth of consumer loan prices and, as a consequence, a decrease in consumer demand.

As of the end of 2023, VTB Group's consumer loan portfolio totalled RUB 2.0 trillion, up 7% year-on-year. VTB Bank customers took out 1.9 million consumer loans (up 60% year-on-year) exceeding RUB 1 trillion in total (up 38%). The share of online sales stood at 74%.

VTB intensified its focus on digitalisation and increasing the availability of cash loans.

Further development of remote servicing channels and launch of new products in VTB Online mobile app:

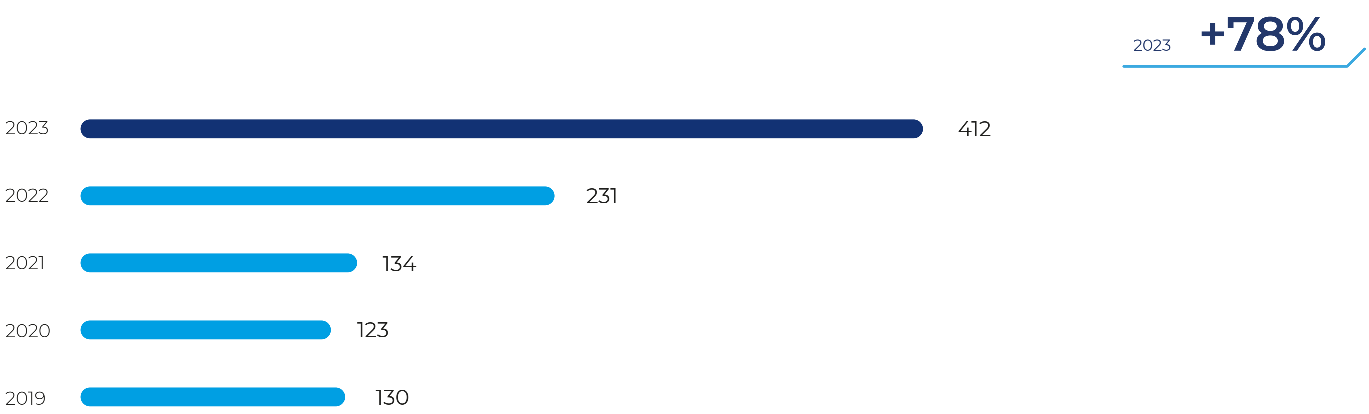
- internal refinancing in *VTB Online*;
- remote confirmation of income and employment through the *Digital Profile* in *VTB Online* (possibility to obtain a loan without visiting the office for non-payroll customers);
- generation of a pre-approved cash loan offer when the client provides consent on their Public Services account;
- courier delivery of cash loan;
- automatic filling in the website form with customer data about the employer when applying for a loan subject to authorisation through Public Services account (simplifying the customer journey).

Expansion of regional coverage with loan offerings; launch of new segments, products and services:

- loans secured by existing vehicle — an opportunity to obtain a loan on more favourable terms if the vehicle is pledged (reduced rate compared to the standard product, increased limit);
- Your Low Rate, a new commission-based service, an alternative to loan insurance that enables the customer to reduce their monthly payment and total overpayment on the loan by cutting the interest rate, as well as receive additional benefits under the Personal Bonus subscription valid within 30 calendar days (increased 10% Multibonus cashback in the Hotels and Airline Tickets categories, increased limit on the Faster Payments System transfers up to RUB 150,000);
- tranche loan — a loan available in two instalments (using only one's passport and subject to income verification);
- the maximum loan amount increased from RUB 30 million to RUB 40 million;
- introducing loan offerings to new regions (Republics of Ingushetia, Kalmykia, Tuva), easing of lending terms for a number of regions;
- launching loans in new segment (for self-employed borrowers).

Car loans

VTB Group's car loan portfolio, RUB billion



In 2023, VTB Group’s car loan portfolio grew by 78% year-on-year to RUB 412 billion.

Since August 2023, VTB Bank has been Russia’s leading car loan provider[13] and is maintaining its leadership and consistently increasing the distance from its competitors. In December, the Bank had 19.9% of the car loan market with sales totalling RUB 30.9 billion, an absolute market record in terms of issued loans. In the 2023, the Bank issued 170 thousand car loans worth over RUB 228 billion, a more than 3.5x increase in terms of volume and number compared to 2022.

In 2023, VTB developed digital channels, launched new products and participated in government support programmes in the car loan segment: The flagship product, *Auto Loan with Deferred Collateral*, grew and scaled up rapidly: it became available across the Bank’s own sales channels, including customer service offices. Thanks to the product modification and scaling-up, it showed explosive year-on-year growth (an increase of more than 8x in the number of issued loans and 10x in volume compared to 2022).

The car loan business has implemented RBP[14], which allows it to set personalised and fair interest rates for customers based on their credit potential. Customers with high credit scores now have access to a more attractive and lower rates, while customers with low credit scores get a chance to obtain a loan.

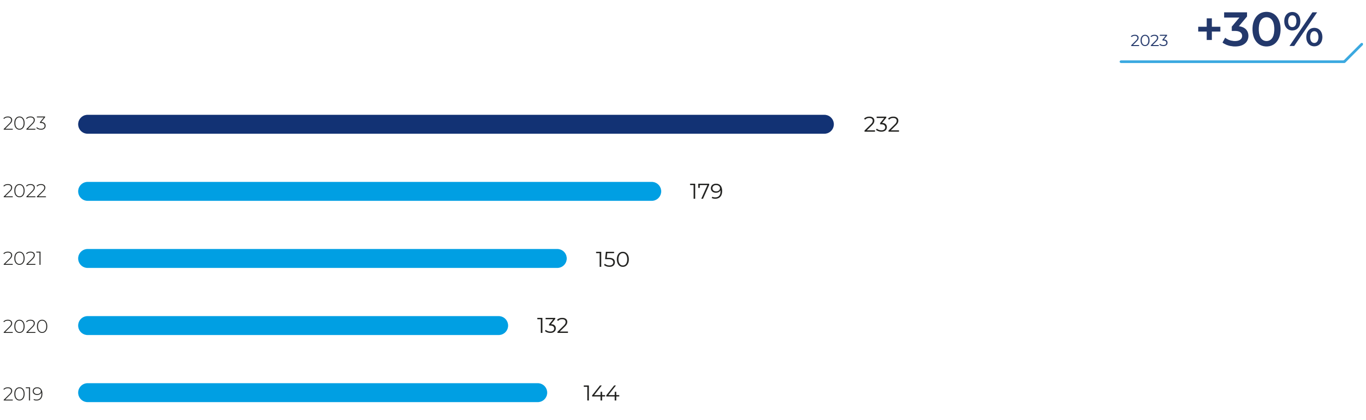
Throughout the year, the Bank worked on refining its customer product offering, improving and expanding the terms and conditions on car loans, while keeping product risk indicators at an acceptable level. Loan processing became much more convenient: now the digital customer journey in the *VTB Online* personal account can be completed in just a few minutes.

In 2023, VTB won numerous tenders held by carmakers and entered into joint special programmes with promising brands such as Omoda, Changan, JAC, Jaecoo, Kaiyi, BAIC, premium brand Voyah, Evolute electric vehicles, Sollers light commercial vehicles, KTM, SWM, Benelli motorbikes, and the new Pango brand of certified used vehicles. The Bank plans to continue build up its partner base in 2024.

14. Source: Frank Research Group.
15. Risk-based pricing.

Credit cards

VTB Group's credit card portfolio, RUB billion



As of the end of 2023, VTB Group's credit card portfolio totalled RUB 232 billion, up 30% year-on-year. VTB Bank accounts for the largest share of the portfolio.

In 2023, the Bank issued more than 1.7 million credit cards with a transaction turnover of RUB 440 billion. This result was achieved through several initiatives, including:

- launch of instalment plan in January 2023 with customers getting access to instalment payments by credit or debit card for any purchases from RUB 1,000;
- *Up to Interest-free 200 Days*, a campaign promoting Card of Opportunities, and 20% cashback. As part of the campaign, customers could get a Card of Opportunities with a grace period of up to 200 days for all purchases and receive a higher cashback in the first 30 days;
- launch of the *Family Bank* project in February 2023. *Family Bank* is a new card-based service format that combines everyday products and services for the whole family. Users can order additional cards for their relatives in *VTB Online* and receive them at their discretion: at home or in the Bank's office. Family members can make everyday payments within the set limit, manage the card, make regular payments and transfers, including via the Faster Payments System.

The range of services offered by the *Family Bank* is expected to be expanded within two years of starting the project. As early as 3Q 2023, a single credit limit for main and additional credit cards became available to users. The primary cardholder can order an additional credit card for a relative, control expenses and payment dates, and repay debts for all family members with a single payment in *VTB Online*.

The Bank developed a dedicated set of services for families with children. *VTB Online* now has access for young users for them to master basics of financial literacy in practice. However, underage customers can only use certain functions excluding access to any credit products.

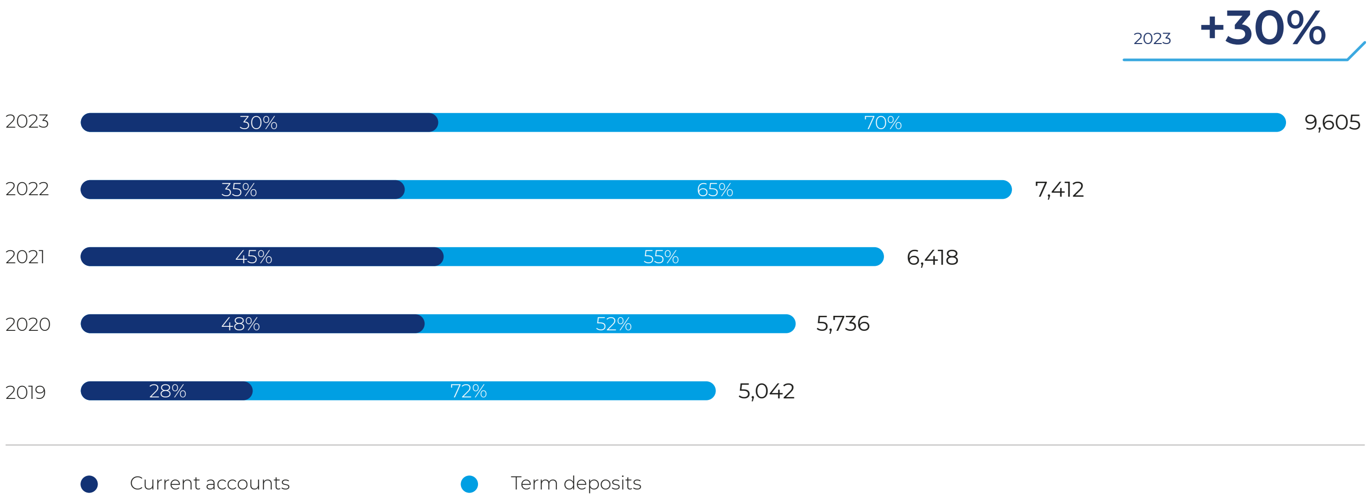
In 2023, VTB Bank also placed great emphasis on improving the customer experience. To this end, it launched:

- contactless payment sticker — in September 2023, such stickers became available to customers for easier payments;
- updated account and cards in the mobile app, with a brand new native interface of the credit card's main page put in place.

As part of its new strategy for 2024–2026, VTB Group also plans to strengthen its focus on the credit card business, making it a convenient product for customers. The key priority will be to improve the customer service offered, reduce the time of card delivery by courier, and expand the geography of delivery. Customer journeys will be simplified to make credit card processing as seamless and fast as possible.

Customer funding

Deposits and accounts of individuals (VTB Group), RUB billion



In 2023, VTB Group's retail deposits and accounts exceeded RUB 9.6 trillion, up 29.6% year-on-year. The structure of the customer funding shifted towards term deposits driven by a stronger depositor interest sparked by higher interest rates. The share of term deposits in total retail deposits of VTB Group as of 31 December 2023 was 70% compared to 65% at the end of 2022.

VTB Bank boasts the largest share of customer deposits in the Group. In 2023, about 403 thousand new customers opened savings accounts and made deposits with the Bank. The total number of savings account holders with positive balances and customers making deposits reached 5.5 million.

Today, a personalised approach to savings is what customers want, when each person can choose the parameters of the savings product they are interested in. Following market trends, the Bank reinvented its deposit and savings account offering to introduce new products:

- *VTB Deposit* in roubles and Chinese yuan. Depositors can choose from six terms for depositing funds — from three months to three years. The customer can opt for top-up or partial withdrawal of funds, as well as for interest payment — monthly to a separate account, monthly to the deposit or at the end of the term;
- *VTB Savings Account* with interest accrued on the daily balance, with the possibility of getting extra bonuses for purchases made with VTB cards, as well as for customers who receive their salary or pension to an account with VTB;
- campaign promoting the *Safe Box* savings account (special autumn offer). The increased rate was valid within four months for customers who made the first top-up of the *Safe Box* during the promotion period.

A special campaign *Deposit with Benefit for Pension Payment Transfer* was arranged for elderly customers. Customers who applied for a pension payment transfer and received their first pension payment before 31 January 2024 received a 1% increase in interest rate on an existing or new rouble-denominated deposit during its term but not more than six months, starting from the month when the first pension payment was credited to their VTB account.

The Bank conducted unique campaign with interest accrued on the balance of impersonal metal account, with customers who opened precious metal accounts in gold during the validity period receiving interest also in gold.

To monitor income in the mobile app and Internet bank, the basic functionality of savings products was expanded: scenarios were introduced to inform customers about the potential income on a VTB savings account and the amount of income lost if a deposit is closed early.

Debit cards

Family Bank now features the possibility to order an extra debit card for a third party through *VTB Online*. Customers can select courier delivery of an additional card when ordering for a third party and issue a *Card for Life*[15] with full functionality to underage customers (previously only the *Children's Card* could be issued).

It is now possible to order a payment sticker (since August 2023), including for a third party, including a child. As of the end of 2023, sticker payments accounted for 25% of POS card[16] turnover, and the number of payment stickers issued exceeded 400 thousand.

Customised local resident's cards (social cards) were improved. Local resident's cards can be used to make everyday payments, send or receive money transfers, pay fare, receive social services and benefits. In 2023, the card for residents of the Ryazan Region was launched and the possibility to issue *Uralochka* non-personalised resident's card was realised.

Courier delivery service developed. A new sales model and a new incentive system for employees were rolled out. Delivery slots were also revised and standardised: from 10:00 am to 8:00 pm in large cities and from 9:30 am to 9:00 pm in Moscow. Delivery on days-off is available in some cities.

Operations on marketplaces intensified. *Pay Online* campaigns were held, which imply 10% cashback for purchases on marketplaces.

All these initiatives combined attracted 1.4 million new debit card and current account holders, up 63% year-on-year. The number of transactionally active debit card holders was up 13% year-on-year to 9.1 million. POS turnover using the Bank's cards increased by 11% year-on-year to RUB 2.5 trillion.

MULTIBONUS loyalty programme

MULTIBONUS 2023 loyalty programme

>14 million
participants

23 billion
bonus points accrued

7.4 billion
bonus points exchanged for products in the Multibonus catalogue by the programme customers

11.1 billion
bonus points exchanged for money

1.5x
year-on-year increase in the total cashback accrual per customer

15. VTB Bank's flagship debit card.
16. Retail purchases using a card.

When choosing a bank, customers consider its loyalty programme along with reliability, convenience and cost of service. That is why VTB keeps working to improve its *Multibonus* loyalty programme.

In 2023, the loyalty programme not only strengthened its position, but also laid the groundwork for future changes that will substantially improve the Bank's loyalty programmes in 2024. At the end of the year, VTB launched a new system for cashback accrual as part of its loyalty programme, making it easier than ever to receive bonuses from the Bank. Since December, the loyalty programme has been gradually introducing new, improved opportunities for customers to flexibly manage their cashback: the customer is offered an independent choice of categories with cashback. Bank employees piloted the loyalty programme, which plans to launch the updated terms and conditions for all customers in 2024.

As of the end of 2023, some 14 million customers were signed up to the programme. They received 22.8 billion bonuses over the year, up 12% compared to 2022. This was due to a general increase in customer spending on the back of market growth, as well as a large number of short-term promotional offers with higher cashback.

Payments

In 2023, the number of VTB Bank customers who make payments at least once every 30 days increased by 40% to 6.6 million. The growth was predominantly driven by the Faster Payments System (C2B payments), automatic top-up of mobile phones, and payment of utility bills and taxes.

Customer category	December 2022	December 2023	Change
Customers who make payments at least once every 30 days	4.7 million	6.6 million	40%
Customers who pay utility bills at least once every 90 days	1.7 million	2.4 million	41%
Customers who top up mobile phones at least once every 30 days	3.6 million	4.5 million	25%
Customers who pay through the Faster Payments System at least once every 30 days	1.0 million	2.4 million	140%
Customers who pay traffic fines at least once every 90 days	0.2 million	0.4 million	100%
Customers who pay taxes at least once every 30 days	0.2 million	0.9 million	350%

In 2023, payments totalled RUB 3.5 trillion, up 90% year-on-year. Including:

- utility bills — RUB 124 billion (up 38%);
- mobile communications — RUB 44 billion (up 28%);
- traffic fines — RUB 2.3 billion (up 88%);
- taxes — RUB 20.5 billion (up 90%);
- C2B payments via the Faster Payments System — RUB 178 billion (up 344%).

4.4x

increase in C2B payments via the Fast Payment System in 2023

Key payment initiatives 2023

- The launch of Switch to VTB, a technology that allows customers to migrate their payments from another bank in one click. After such migration, invoices are created for the customer, accruals are loaded with the option to pay or offer to create a template for the transaction.
- Possibility of automatic traffic fine payments.
- Photo payment without entering details, using the photo of a receipt, cheque or invoice.
- Viewing photos from traffic police cameras to see the reasons for fines. Customers can see whether the traffic violation really happened and pay the fine without going to the Public Services portal.
- Displaying commission in payments using bank details on the screen of entering the amount.
- Protection against repeated invoices from suppliers, which have already been paid by the customer.

Transfers

2023 saw VTB become Russia's leading bank in terms of cross-border transfers. Key innovations in overseas transfers:

- cross-border partner platform (17 countries added);
- service of cross-border transfers with cash withdrawal via partners;
- expansion of transfers to cards in CIS countries.

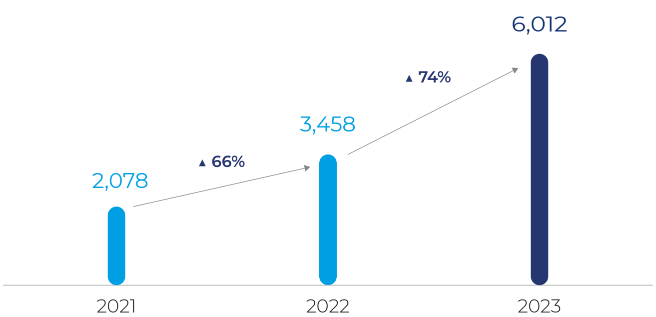
Key innovations in transfers within Russia:

- a set of process operations that improved the quality and reduced the impact of accidents on the accessibility of transfers;
- supporting foreign phone numbers;
- regulatory requirement of the Bank of Russia 683-P[17] — confirmation of transfers using bank details to minimise the risks of fraudulent transactions;
- improved function of automatic top-up of VTB accounts from accounts with other banks;
- targeted technology of personalised rates for free transfers via the Faster Payments System.

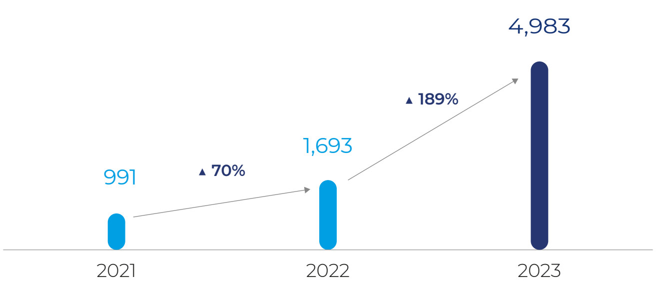
As of December 2023, 9.7 million of the Bank's customers used the transfer service on a monthly basis, excluding transfers between their own accounts (up 32% year-on-year).

RUB 6.0 trillion was transferred to third parties in 2023, up 74% year-on-year. The volume of incoming transfers almost tripled — RUB 5.0 billion in 2023 compared to RUB 1.7 billion in 2022. The number of cross-border transfers more than quadrupled — from 81 thousand in 2022 to 348 thousand in 2023.

Outgoing transfers, RUB billion



Incoming transfers, RUB billion



17. Bank of Russia Regulation No. 683-P dated 17 April 2019, On Mandatory Requirements for Credit Institutions to Ensure Data Protection in Banking to Counter Unauthorised Funds Transfers (as amended on 6 December 2023).

VTB Online

VTB Online is the key channel for servicing VTB Bank's retail customers. As at the end of 2023, *VTB Online* served 17.7 million users, with 15.3 million or 80% of active customers signing in and performing actions online at least once a month. They visited the mobile app and Internet bank over 300 million times per month.

VTB Online accounts for more than 97% of payments and transfers made by the Bank's customers, as well as for 46% of all retail sales. Virtually 100% of credit decisions are made in one minute. In 2023, 9.1 million products were sold through *VTB Online*, up 20% year-on-year.

The Bank keeps improving the functionality of *VTB Online*. 2023 saw more than 450 launches designed to develop products and services and improve the user experience.

Thanks to its performance in 2023, VTB Online received high praise from market experts and more than 20 awards in 12 prestigious competitions. It topped the rankings of the best banking web applications:

- first place in the Digital Office category according to Markswebb;
- best mobile bank 2023 — according to Go Mobile.

Key changes to VTB Online in 2023:

- it can now be accessed through any platform, device, browser, and operating system;
- the web version became a full-fledged alternative to mobile banking thanks to the launch of new features — Face and Touch ID support for quick login, access to contacts from the address book for transfers, support for push notifications, access to the camera for QR payments and other features;
- app was approved for *Aurora OS*, a certificated Russian smartphone operating system;
- the share of chat enquiries in the total number of the contact centre enquiries went up to 45% in December 2023. In total, there were 24.5 million chat sessions in 2023. More and more customers are choosing this channel to communicate with the Bank. Chat automation grew to 78%;
- *VTB Online* became twice faster;
- the main screen and key sections *Payments* and *Transfers* were fully updated;
- a hybrid Android-based *VTB Online* app was launched to ensure that users always have access to the most up-to-date version without having to look for update in app stores;
- Credit Potential service was launched, enabling a customer to access the maximum possible loan allocated for each of the available pre-approved lending products in a single location;
- VTB ID service provides a shared, simplified login to other digital solutions of VTB Group and third parties (mos.ru, *Multibonus*, *VTB Pension Plan* and *Square Metre*). *VTB ID* spares customers the need to remember passwords from more than 100 websites; they can promptly log in using their account. During the year, customers used *VTB ID* 21 million times;
- VTB was the first bank to successfully test digital rouble transactions in its mobile app;
- confirmation of transfers using bank details and confirmation of SIM-card change through the IMSI code were launched.

Development of special segments

Payroll customers

8 million

payroll customers

+10% year-on-year

In 2023, VTB Bank had 8 million payroll customers at 100 thousand companies. During the year, their number increased by 500 thousand customers, which is a record high growth in any given year. Total transactions to pay salaries exceeded RUB 5.4 trillion.

With a payroll card, customers can enjoy special terms and conditions of the Bank's products and services. For payroll customers, the Bank has the market's best savings and loan offers, charges reduced fees, and has higher limits for key cash transactions. Information on regular transfers of salaries to customers gives the Bank an understanding of their real financial situation, enabling it to make special offers on products that are available remotely, with no visit to the Bank's office required. This helps save time for customers and provides them with a 24/7 access to banking services.

The Bank adapts to the market's changing environment and works with its customers for them to get the most out of VTB payroll cards. For example, in 2023 we introduced improved cashback terms under the Multibonus loyalty programme. In 2023, the monthly volume of transaction banking operations exceeded RUB 150 billion.

VTB also continues to enhance customer experience for corporates, creating technology solutions that make their interaction with the Bank even more convenient, attractive, and easy. In 2023, to save customers' resources, the Bank made its systems intended for accountants considerably easier to use by optimising processes and handling queries faster. On top of that, for companies whose employees get their salaries credited to cards of more than one bank, we launched a dedicated tool for accountants to handle all payroll payments via remote servicing in one bank only. Employees can independently order their cards and choose a convenient time and place to collect them: either at the Bank's office or via courier delivery service.

VTB remains the leader in payroll solutions and continues to enhance its products and services in order to remain a reliable partner for payroll customers and their families.

Pensioners

As of the end of 2023, VTB ranked second among Russian banks by number of customers who receive pension payments. During the year, their number exceeded 1.6 million people, with total pension payments of more than RUB 300 billion.

In 2023, VTB implemented a number of initiatives to support its customers who use VTB cards to receive pension payments:

- referral programme with cash rewards: as of the end of 2023, applications to have their pension payments transferred to VTB cards under this programme were submitted by nearly 100 thousand customers;
- Bank-financed insurance against any fraudulent operations with the customer's account and card: in 2023, total insurance payouts came in at RUB 126 million;
- an additional 1% per annum on rouble deposits upon redirecting pension payments to VTB cards, with applications submitted by more than 60 thousand customers;
- additional cashback at pharmacies, made available to over 341 thousand customers.

>1.6 million customers

use VTB cards to receive pension payments

+1.6x year-on-year

+56% growth in pension payments received

Public services recipients

VTB is an active member of the public social care system

8

RUB billion

average monthly social benefits credited in 2023

+1.6x year-on-year

In 2023, average social benefits credited to individuals' accounts with the Bank rose 1.6 times to reach RUB 8 billion. As of December 2023, the number of customers who receive social payments to their accounts with the Bank increased by 50% to 790 thousand.

Through its channels, the Bank provides customers with public services. VTB was one of the first banks to cooperate with government agencies under the *Social Treasury* programme, which was approved by the Russian Government in 2021, and launched a range of digital services in *VTB Online* to meet the needs of customers throughout the family life cycle, from the child's birth to pension payments.

In 2023, the Bank continued enhancing its *Social Calculator* service, which helps customers keep abreast of the many social support measures offered by the government. In just two minutes, customers can get all information about federal-level allowances for children that their family is eligible for, and immediately apply for some of them. Account details for having allowances credited to customers are filled in automatically to avoid errors and reduce the time required to complete the application. In 2023, more than 550 thousand customers of the Bank made use of the *Social Calculator*, with 46% of them finding government support measures that they were eligible for. More than 60 thousand people completed the application process and started receiving benefit payments to their VTB cards. The *Social Calculator* service won the Retail Finance Awards 2023 as the best social project.

Social Calculator: Best Social Project of 2023 at Retail Finance Awards 2023

VTB was the first Russian bank to offer its customers an online tax credit for their property, a service that remains hugely popular. The entire process is done remotely, with no need for customers to provide documents in paper form, fill in a 3-NDFL tax return, or visit the Bank's office or tax inspectorate. As many as 11% of the Bank's mortgage borrowers that have taken out a mortgage loan since 2020 have already made use of the service for simplified property tax refund. In 2023, VTB customers had over RUB 6 billion of taxes refunded to their accounts with the Bank. The average time from application to a refund credited to the customer's account is down more than 4 times — to 26 days instead of four months for applications filed conventionally at the Federal Tax Service.

One of the most important measures of social support for families with children is the maternity capital programme of subsidies. 80% of the families that receive it use the money to improve their housing conditions. At VTB, we have made this process easier for our customers: allocating your subsidy money towards mortgage repayment now takes just a few clicks, with no need to submit documents in paper format or leave home, and the process is now twice as fast. Today, 88% of applications for early repayments of mortgage loans using maternity capital money are filed online. In 2023, together with the Social Fund of Russia, we improved the mechanism for managing maternity capital using the Bank's remote channels. As a result, the share of rejections for applications to use maternity capital towards repayment of refinanced loans was down 5 times from 2022. In 2023 alone we saved our customers applying via *VTB Online* some 20 thousand hours.

In 2022, the Bank was the first in the market to offer its customers an option to add their single social account details to their personal profile at the Public Services portal to receive social benefits they are entitled to depending on their life situation. In 2023, the Bank was chosen by 17% users of the Public Services portal as the bank to handle their single social account, which is twice as many as in 2022.

In September 2023, *VTB Online* launched the *Allowances and Payments* super service, offering customers comprehensive access to all social services while sparing the need to provide documents in paper format or visit any offices. Customers can get information about the allowances they are entitled to, submit an application (with bank account details filled in automatically), and have them credited to their account and tracked via *VTB Online*. There is also a news blog for customers to keep abreast of key developments in this area.

All customers who receive children's allowances to their VTB Mir cards can enable a free of charge insurance plan for children's critical illnesses. The policy applies to all customers' children aged under 18 and covers cancer, including finding the bone marrow donor, paying for the transplantation surgery, obtaining the right medications, and reimbursing associated costs. The plan also includes coverage for heart diseases. It is unique and stands out from other products available in the market as it also covers children suffering from congenital heart diseases. More than 50 thousand children from all over Russia have already been insured under the plan.

As part of its social mission, the Bank went ahead with a number of major regional projects to support healthcare facilities in 2023.

VTB is enhancing its integration with the Russian Ministry of Digital Development, Communications and Mass Media as a provider of public services. In April 2023, the Bank was the first in the market to enable its customers to receive government notifications through its channels. Available on a subscription basis, the service was accessed by over 58 thousand people, with more than 235 thousand notifications received via *VTB Online*.

The Bank's robust infrastructure makes sure customers can interact with the government seamlessly and with no disruptions. In 2023, as part of the electronic notarial writ of execution service, which VTB pioneered in the Russian market, more than 68 thousand notarial writs of execution were issued electronically. A twofold increase from 2022, this saved the Bank a total of RUB 249 million.

To comply with Russian laws, starting 18 May 2023, the Bank was the first in Russia to receive information about the death of its customers from the Federal Tax Service. As a result, the time required for the Bank to be notified of a deceased customer was down 15 times, reaching an average of four days and enabling the Bank to update its records accordingly and preserve account balances until contacted by legal successors of the deceased.

Branch network and self-service terminals

As of the end of 2023, the Bank's network comprised around 1.3 thousand offices, potentially covering over 50 million users, mostly in cities with population in excess of 100 thousand.

23 thousand

Combined ATM network

In line with its new development strategy, the Bank seeks to considerably expand the geography of its operations by 2026 and tap into cities with population of over 50 thousand people. By the same year, the total number of the Bank's offices is expected to grow by 40% to 1.8 thousand.

The office network is one of the Bank's key sales channels, with one in two transactions executed at an office. Every day, the Bank services more than 100 thousand people through its brick-and-mortar network.

VTB's offices have various ways of customer interaction, with standard offices, light-format offices, and services provided off the premises all available to suit the needs of different segments. As one example, customers that entered into payroll transaction agreements with VTB, as well as partner real estate developers and car dealerships have VTB personnel available directly at their offices. We are also testing the format of bank kiosks at the premises of our partners, with on-site service strongly on the rise. The Bank cooperates with universities across Russia, opening offices at their campuses for students and professors to benefit from.

An apparent trend of 2024 is transition towards light offices that operate in a simplified format, and VTB Bank is set to follow suit. Migration to the new format offices will help reduce launch costs per office while also adapting financial products to the needs of people in smaller cities and towns. Supporting all transactions and with personnel available to provide advice on any financial product, seven light offices were already piloted in the second half of 2023 in the Ivanovo, Sverdlovsk, and Kemerovo regions. They are all located in places with heaviest customer traffic, such as shopping malls or locations close to the most popular municipal organisations. While the functionality is the same, light offices have a space area of no more than 50 m^2.

In Russia, VTB owns a combined network of self-service terminals of four banks (VTB, Post Bank, Otkritie Bank, and RNCB), comprising more than 23 thousand ATMs. The number of customers that rely on VTB's ATMs remains unchanged, and there are increasingly more other banks' users that opt for the VTB network of ATMs to deposit or withdraw cash.

In 2023, the following initiatives were implemented to make the use of VTB's ATMs more convenient:

- *Easy to Find:* VTB started providing its ATMs at shopping malls, railway stations, and other locations with heavy customer traffic. To stand out from peers, the Bank revamped the design of its ATMs. Also, more of them are now available in the Moscow Metro, with 388 ATMs at 230 stations. To make it easier for customers to locate ATMs, VTB enhanced the functionality of its ATM map in *VTB Online* and on the Bank's website;

- *Cash Deposits and Withdrawals Made Easier:* 90% of our ATMs have NFC modules, enabling faster transactions through tapping of a card or payment stickers (for customers who are iOS users). Also, iOS users can withdraw cash without their card by using a QR code generated in the *VTB Online* app.

The time needed to withdraw or deposit cash was reduced after VTB upgraded its user interface. On top of that, ATMs now wish their customers a happy birthday, address them by name, and offer personalised deals with favourable terms. Customers can also use ATMs to unblock their account with *VTB Online*.

Customer–360

In 2023, VTB achieved considerable improvements in harnessing big data and machine learning algorithms to build integral models that enable deep analysis of customer data. This helps the Bank put together a tailored customer contact policy and personalised offers and prices, including in real-time mode.

In May 2023, the Bank launched a unique single logic for the selection and prioritisation of customised offers not by segment or product but by customer propensity and relevance. The Bank uses behavioural filters, which later on are expected to be replaced with neural and AI algorithms.

With its infinite digital shelf of products and services, the Bank can reach out to its entire active customer base in 50+ categories of product offerings. Over 84% of the Bank's customers have access to more than five products.

In December 2023, the recommendation model technology was scaled to all of the Bank's customer-facing offices. As a result, in addition to having their query handled, customers also get an offer that ties in, directly or indirectly, with that original query.

Plans for the Bank's CRM team going forward include leveraging AI to improve customer experience, build CRM sales forecasts, and create ways to retain customers. AI solutions can also be used to analyse data, identify customer needs, and personalise the Bank's offers.

Insurance and related services

In 2023, VTB Group developed and launched new insurance products:

1. **Insurance for mortgage borrowers in *VTB Online* prior to loan issuance:** with this convenient service, customers can apply for comprehensive mortgage insurance using the *VTB Online* app as part of a loan transaction.

   The business process has been digitalised, enabling mortgage borrowers to enter into insurance contracts online without submitting any additional documents. Getting an insurance policy takes less than five minutes and just a few clicks. Risk assessment and insurance premium calculation are all done automatically. In the run-up for the launch of this digital product, the Bank negotiated with insurance companies to secure special terms for its customers. From now on, all customers taking out a mortgage loan will be getting extended insurance coverage.

   Another major development of 2023 was the improvement of the customer journey for those extending their mortgage insurance contracts. Thanks to that, customers can now view all their existing insurance contracts and risks that require coverage under loan agreements on a single screen in the Insurance section of *VTB Online*.

2. ***SportsCover* plan available via *VTB Online*:** a digital insurance product for those doing any sport or activity. With this insurance, you can get your medical treatment expenses reimbursed if you get injured in any of the 172 sports we cover. Depending on specific needs, the plan is available for the duration of a competition (14 days), holiday (30 days), or a calendar year. The plan is also suitable for children's sports teams. In the online app, customers can choose the insurance period and coverage amount to make sure they are comfortable with the cost.

3. **Travel insurance for Privilege and Prime customers:** 24/7 assistance with medical care and coverage of medical expenses in Russia (if you are at least 100 km away from where you live) and abroad, as well as coverage for medications and trip cancellation. The plan also provides additional options and coverage of insurance risks such as lost or delayed luggage, cancelled trip, delayed flight, or personal accident, with civil liability coverage, legal support, and sports and leisure insurance all readily available at your request. With this plan, customers also ensure protection for their families. It can be enabled free of charge via *VTB Online* or relationship managers.

VTB also improved a number of social insurance products, which are provided to customers free of charge. Under the *Fraud Protection Insurance* plan, intended for those who receive their pension payments to VTB cards and individuals who take part in the Special Military Operation and get their allowances credited to VTB's *Army of Russia* card, the Bank simplified the package of documents that must be submitted upon the occurrence of an insured event, and also reduced the processing period to 10 business days. From now on, the product makes it possible to receive insurance payments not only if money was debited from the customers' accounts without due authorisation but also whenever customers themselves transferred money to fraudsters as a result of manipulation or abuse of trust.

Customers who receive their children's allowances to VTB cards are now insured free of charge, with the policy covering children's critical illnesses.

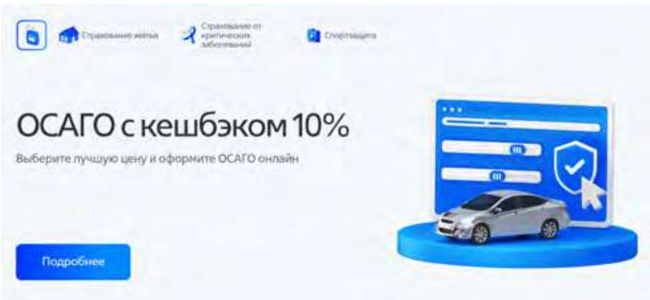
VTB Bank, together with the Pulse partner insurance company, MDMG, and Doctis, began developing a pregnancy insurance plan, designed to help reduce child mortality and increase the birth rate. The project will cover pregnant women who have been registered with a maternity welfare clinic and are taking part in studies to detect pregnancy pathologies at various stages. They will have free access to insurance and healthcare services throughout their pregnancy. The project is expected to be launched in 1H 2024.

Also in 2023, VTB Bank provided free of charge accident insurance to 210 thousand customers that took out cash loans from the Bank. The insurance was enabled for customers that signed up for the *Personal Bonus* service, including as part of the *Your Low Rate* option.

Insurance claim settlement

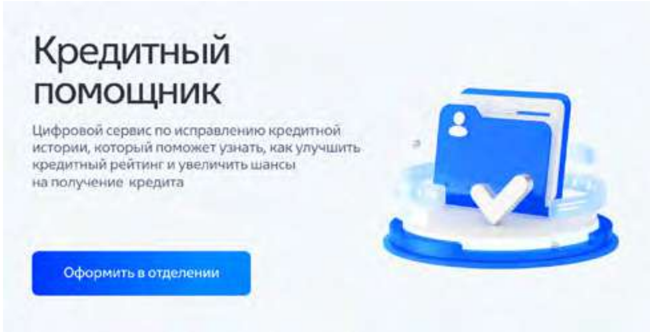
In 2023, VTB Bank customers who signed up for an insurance plan under cash loans were provided with a unique opportunity to submit an insurance claim directly via VTB Online. The process takes 10-15 minutes and requires no originals of documents or a visit to the Bank or insurance company. VTB also works on expanding the functionality and implementing the claim submission option for other insurance plans, such as fraud protection or credit card protection.

In addition to developing convenient services as part of the claim settlement process, the Bank also seeks to protect the interests of its customers by liaising with the insurance company for ad hoc handling of any complex issues that customers or their successors may face. Additional information on the Bank's insurance products is available on its website at https://www.vtb.ru/personal/drugie-uslugi/strahovye-i-servisnye-produkty/.



Loan Assistant

In 2023, the Bank developed the Loan Assistant, a new service unparalleled in the market to help customers adjust their credit history and improve their credit score. The service is designed to identify and amend any errors on the part of credit history bureaus that bring down customers' credit scores and prevent them from taking out loans.



Calculation of an individual's credit score as one of the criteria to assess a potential borrower is a process that is difficult for consumers to comprehend. In making decisions on loan applications, the Bank usually relies on information from credit history bureaus as one of the key factors. If such information contains errors, discrepancies, or overlaps, this means the Bank can be misguided and make wrong decisions on the loan amount or event reject loan applications when assessing the credit score of potential borrowers.

Using the new service, customers can check information from all credit history bureaus that store their data. The result is a single aggregated report with detailed information on existing and repaid loans in a format that is easy to understand. Customers can either accept the data or challenge it. If errors are detected in any credit history, the Loan Assistant service helps rectify them, thus improving the credit score and the chances of approval for loan applications. In particularly complex cases, customers can be redirected to partner microfinance organisations to obtain a loan for improving their credit score.

Additional information on the Loan Assistant service is available on the Bank's website at https://www.vtb.ru/personal/drugie-uslugi/strahovye-i-servisnye-produkty/kreditnyj-pomoshchnik/.

Pension business

VTB Pension Fund is one of the leading players in the Russian pension market. The Fund provides a full range of services for compulsory pension insurance and non-state retirement benefits, including corporate pension programmes.

The Fund is a member of the National Association of Non-state Funds (NAPF). It plays an active role in the work of specialised committees and commissions of the State Duma, Ministry of Finance, and the Bank of Russia to develop the legislative and regulatory framework for non-state pension funds.

In 2023, the pension business's assets amounted to RUB 350.9 billion, while its savings under compulsory pension insurance increased by 5.3% year-on-year to RUB 310.4 billion. The amount of pension reserves under non-state coverage stood at RUB 34.1 billion, up 22.7% year-on-year. The number of customers who signed non-state pension agreements with VTB Pension Fund grew by 21.8% to exceed 192 thousand.

VTB Pension Fund pursues a balanced investment policy to preserve and increase customer funds through an optimal combination of returns and investment security. The accumulated yield on non-state pension savings credited by the Fund from 2009 to 2023 to customer accounts as part of a balanced investment portfolio was 156.74%, with an average annual yield of 6.49%. For a conservative investment portfolio, this figure stood at 155.97%, with an average annual yield of 6.47%.

VTB Pension Fund is the only fund in the pension market to consistently retain the highest-possible financial reliability ratings from two rating agencies: Expert RA (since 2012) and the National Rating Agency (since 2020). In December 2023, the National Rating Agency once again reaffirmed the best-possible reliability and service quality rating on the national scale for non-state pension funds: AAA|ru.pf|.

VTB Pension Fund is the only non-state pension fund with the highest-possible financial reliability ratings from two rating agencies without a breach of continuity

The agencies positively assess the strong growth of the Fund's obligations under compulsory pension insurance and non-state retirement benefits, along with the high level of diversification of the Fund's customer base and superior quality of pension assets.

Other positive factors include the well-established and strongly regulated risk management framework, as well as transparency of the Fund's information.

The Fund's reliability was also recognised by independent experts. In 2023, VTB Pension Fund won Russia's 18th annual Financial Elite Award in the Reliability category.

The Fund works to optimise its digital services, which are increasingly popular among customers. In 2023, the Fund's customers made more than 22.5 thousand online voluntary pensions contributions, up 70% year-on-year. Over a quarter of the contributions were made under new non-state insurance plans taken out by customers (an increase of more than 2.5 times vs 2022). The remaining three quarters of the contributions were made under existing contracts.

The number of contributions made by VTB Pension Fund customers through the Faster Payments System reached 34%, with their volume exceeding 77% of total contributions made by customers through the Fund's online service.

Otkritie Pension Fund is one of Russia's largest non-state pension funds, which became part of VTB Group in late December 2022. The Fund is a member of the NAPF. In 2023, the Fund also joined the Russian Managers Association, where it emerged as an expert on financial planning and pension savings.

As of 31 December 2023, Otkritie Pension Fund's total assets amounted to RUB 668 billion, with the number of compulsory pension insurance customers exceeding 6.8 million. 494 thousand customers use Otkritie Pension Fund for their non-state pension savings. The total number of pension customers now exceeds 179 thousand people. Non-state pensions are paid to 141 thousand people. The number of the insured receiving pension payments amounts to 38 thousand people (an increase of 13% year-on-year).

The Fund's total pension savings stand at RUB 579.6 billion, with pension reserves coming in at RUB 73.6 billion. In 2023, Otkritie Pension Fund paid RUB 14.24 billion in pension payments to its customers. Compared to 2022, total pension payments were up by 15.5%, and payments under compulsory pension insurance plans added 31.4%. In 2005–2023, the accumulated yield on compulsory pension insurance and non-state pension plans credited to accounts of the Fund's customers was 246.89% and 243.56% respectively, with the average annual yield of 6.8% and 6.7% respectively.

To implement corporate pension plans, the Fund works with more than 900 businesses in various industries. In 2023, customers made contributions under corporate (non-state) pension plans opened with Otkritie Pension Fund for a total of RUB 5.2 billion, an increase of 13% year-on-year. For co-funded corporate pension plans, the average monthly pension contribution of individual customers grew by 13.3% compared to 2022.

On a regular basis, the Fund successfully undergoes stress tests by the Bank of Russia to assess the sufficiency of its assets to honour its obligations in case of negative market scenarios. In late August 2023, the Expert RA rating agency confirmed Otkritie Pension Fund's financial reliability rating at ruAAA with a stable outlook.

In 3Q 2023, the Fund launched a new online tool for its customers — a progressive web app (PWA), which can be easily installed on a mobile device. Using the web app, Otkritie Pension Fund customers can check their pension account balance, enter into a non-state pension agreement, top up a respective account or configure automated top-ups, submit pension applications, update personal data, request copies of documents, or ask any questions to the Fund using a chat.

Otkritie Pension Fund's operations received praise from the expert community. In November 2023, following an expert jury vote, Otkritie Pension Fund became a two-times winner of the Investment Leaders Awards 2023, which recognises the best performers in the investment market. The Fund won the Best Corporate Pension Plan category, as well as the Personal Account of the Year category.

In the Investments in Human Capital category, Otkritie Pension Fund won an award for developing and introducing a co-funded corporate pension plan that includes a set of programmes on financial security and social literacy for employees of the Fund's corporate customers. In the Investments in Digitalisation category, the Fund secured an award for the launch of Personal Account 3.0, a PWA, and a chatbot for customers. The project was run in 2023 as part of improving customer communication and experience.

Through their personal accounts, Otkritie Pension Fund's customers can submit online applications for statutory pension and non-state pension. In 2023, online applications were submitted by 17.8 thousand people. Today, more than 20% of all pension applications submitted to the Fund are handled remotely. To do that, individuals that have not yet reached their retirement age need to access their personal account on the Fund's website, attach scanned copies of documents, and use a simple electronic signature to sign the application.

Consolidation of VTB Group's pension business in 2024. In 2024, two non-state pension funds that are part of VTB Group — VTB Pension Fund and Otkritie Pension Fund — will merge. As a result, VTB Pension Fund will become the leader of the pension market, with 10.5 million customers and more than RUB 1 trillion in assets under management.

The merger procedure that will see Otkritie Pension Fund amalgamate into VTB Pension Fund will be as seamless for customers as possible as they will not be required to enter into any new agreements for either compulsory pension insurance or any non-state pension plans. The merger will not affect existing corporate pension plans. Their terms will remain unchanged, with no signing of updated agreements required on the part of corporate customers.

The merger of the two funds will help optimise business processes through transition to a single IT platform while also unlocking all the advantages of each of the fund. As one example, Otkritie Pension Fund's customers will get access to a unique service that supports voluntary pension contributions via the Multibonus programme.

As Otkritie Pension Fund's legal successor, VTB Pension Fund will be responsible for preserving and increasing the funds of Otkritie customers and for honouring all pre-existing obligations in full. VTB Pension Fund plans to complete the major project to acquire Otkritie Pension Fund in 2Q 2024.

>1

RUB trillion

projected assets under VTB Pension Fund's management following the merger with Otkritie Pension Fund in 2024

1.6. Risk management

Risk management policy, organisation, and structure

The most significant types of risks to which VTB Group is exposed

CREDIT RISK	OPERATIONAL RISK	COUNTRY RISK
MARKET RISK	LIQUIDITY RISK	CONCENTRATION RISK

Key elements of the risk management process

Risk identification, assessment, and monitoring	Control over the size, structure, and concentration of risks	Identification of effective measures to optimise and minimise risks	Regular risk reporting

One of VTB Group's key principles of risk management is to take the Group's risk appetite into account when managing its activities. Risk appetite is determined in accordance with stakeholder and regulatory requirements, objectives of the development strategy, business plans for upcoming periods, and best practices. This approach also involves integration of risk appetite into business planning and management decision-making procedures.

The Group's risk appetite is based on quantitative and qualitative indicators. It is approved by the Supervisory Council as part of the Risk and Capital Management Strategy.

The qualitative indicators are a set of statements about the acceptable level of risk to ensure the Group's sustainable development serving as guidance for the quantitative indicators. The quantitative indicators of risk appetite are set for the following risk types — credit, market, operational and regulatory (compliance), liquidity and concentration risks, as well as aggregated risk categories such as consolidated risk-related losses, assets and liabilities structure, and capital adequacy. VTB Group has established a procedure for monitoring risk appetite and guidance on response to violations of risk appetite reference values.

Key principles of the Group's risk management system:

- compliance with legal and other mandatory requirements;
- transparency of risk-associated activities for shareholders, investors, and other stakeholders, and respect for their interests;
- risk analysis and management on a consolidated basis covering all of the Group's Russian and foreign banks, as well as its key financial companies;
- optimal distribution of risks within the Group;
- minimising exposure and potential losses from risks in the markets where the Group operates;
- development of a risk management culture within the Group's companies, including by improving employees' skills in terms of identifying and preventing potential risks and losses in their areas of responsibility;
- effective integration of risk and capital management tools into the Bank's (Group's) overall governance framework, strategic and business planning procedures, and business processes;

- improvements in the risk management system reflecting sustainability risk factors;
- application of modern methods for assessing and monitoring risks and use of automated risk management systems based on industry best practices.

The Group's risk management system has a tiered structure, which includes consolidated (Group-level) and local risk management levels. It is based on regulatory requirements. The Group's key business areas (reporting segments) include Corporate Investment Business, Medium and Small Business, Retail Business, Other Business, Treasury, Corporate Centre, and Non-Distributed Acquisitions. Corporate Investment Business, Medium and Small Business, and Retail Business are business units responsible for providing services to different customer segments. Treasury, Other Business, Corporate Centre, and Non-Distributed Acquisitions are not deemed as standalone business units.

The system also takes into account other requirements for the effective organisation of internal processes. It is coordinated by the Group's dedicated Risk Competence centres. The standard organisational structure of the Group's banks and financial companies includes an independent risk assessment and control unit that corresponds to the appropriate risk profile, specific features, and scale of the business. Each Group company or bank has a senior executive (Chief Risk Officer) responsible for comprehensive risk management.

The organisational structure of risk management within VTB Group includes:

- Group-level collective bodies;
- headquarters;
- governing bodies, dedicated collective bodies (committees), and structural units / authorised officers of the Group companies.

The Group continuously oversees the organisation of risk management and risk management policy within the Group's companies, primarily through corporate governance (including in the form of VTB Bank representatives on subsidiaries' supervisory councils / boards of directors), as well as through the Group's Risk Competence centres. Key risk management internal regulations of subsidiaries are approved by their governing bodies based on feedback from the Risk Competence centres.

As part of the development of internal procedures for assessing capital adequacy, the following results have been achieved:

- sustained compliance with regulatory capital requirements established by the Bank of Russia;
- compliance of VTB Group's internal capital adequacy ratios (with respect to economic capital) with regulatory requirements;
- improving the system to control significant risks as a way to ensure the required level of risk monitoring in different areas of business;
- close attention to data integrity and quality as a means of improving efficiency of internal procedures for assessing capital adequacy;
- capital planning and capital adequacy monitoring, which take into account the results of stress testing.

The Bank's main internal regulations specifying key principles of, and approaches to, the organisation and development of its risk management system (including subsidiaries covered by the Group's consolidated risk management):

- VTB Bank's Regulation on Risk Management System[18];
- VTB Bank's Risk and Capital Management Strategy and the Procedure for Managing VTB Bank's Most Significant Risks[19].

In 2023, new versions of VTB Bank's Risk and Capital Management Strategy and the Procedure for Managing VTB Bank's Most Significant Risks were approved[20] by the Supervisory Council.

Main strategic objectives in risk and capital management:

- implement the Risk and Capital Management Strategy and other risk and capital management resolutions adopted by authorised bodies (including on a consolidated basis);

18. Developed in line with the Methodological Guidelines of the Russian Government and approved by the Supervisory Council (Minutes No. 14 dated 5 November 2020).
19. Developed in accordance with the regulatory requirements of the Bank of Russia; subject to revision and update at least once a year.
20. Minutes No. 15 dated 24 October 2023.

- comply with regulatory and supervisory requirements on organisation of the risk and capital management system;
- identify risks inherent in the Bank's (Group's) activities (including specific business areas, types of operations (products), and counterparty segments) and highlight significant (most significant) risk types based on the relevant methodology;
- identify and analyse potential risks in the development and implementation of new products and services and/or upon tapping into new markets;
- promote risk culture and enhance responsibility for risk-related decision-making at different management levels;
- ensure optimal balance between risk exposure and financial performance across the Bank's (Group's) operations;
- apply efficient methods for assessing and controlling (limiting) significant risks based on best practices;
- maintain an adequate risk and capital reporting system to apprise governing bodies, authorised collective bodies and executives, and to submit reports to relevant supervisory bodies;
- continuously monitor adequacy of capital required to cover risks, including through modelling and analysis of potential shock impacts on the Bank's (Group's) financial position (stress testing);
- ensure effective integration of risk and capital management tools into the Bank's (Group's) overall governance framework, strategic and business planning procedures, and business processes;
- improve the risk management system taking into account sustainability risk factors.

VTB Bank's Development Strategy seeks to create an integrated risk management system that corresponds to the nature and scale of the Bank's operations and risk profile and is aligned with the economic environment and the Bank's business development needs.

The Bank's risk management function is developed and improved in accordance with regulatory requirements and recommendations of the Bank of Russia, as well as best practices.

Structure of VTB Bank's risk management system:

- General Meeting of Shareholders;
- Supervisory Council and executive bodies;
- credit committees (related to different levels and customer segments);
- Retail Risk Committee;
- Finance Committee;
- Credit and Market Risk Management Committee;
- Operational and Regulatory (Compliance) Risk Management Committee;
- Audit Committee of the Supervisory Council;
- other dedicated committees and structural units involved in risk management processes.

Credit risk

Credit risk means the risk of incurring losses as a result of a counterparty's non-performance or improper performance of its obligations to the Bank / Group companies.

Credit risk is managed both locally by individual companies and at the Group (consolidated) level.

Credit risk management at the Group level

At the local level, VTB Group companies assume and manage credit risks independently (including through insurance and hedging), within their scope of authority and limits set for risk indicators, and in accordance with Russian laws. VTB Group companies are responsible for the results of their lending activities and the quality of their loan portfolios, and also for monitoring and controlling credit risks associated with their portfolios.

The key elements of the Group's consolidated credit risk management include:

- developing and adopting uniform standards concerning credit procedures, decision-making processes, models, and methods for managing credit risk to be used throughout the entire Group (including the methodology for assessing counterparties, pricing in credit operations, monitoring, provisioning, and stress testing);
- establishing limits and other restrictions within the Group (including consolidated limits on counterparties / groups of related counterparties, major transactions, countries, industry sectors);
- assessing the capital necessary to cover the Group's credit risks;
- regular consolidated reporting on the Group's credit risk to the Group's governing bodies for review.

Consolidated risk management covers all key assets and off-balance sheet operations of the Group companies that assume credit risk and require control over concentration within the Group as a whole. For the purpose of consolidated control and reporting, the scope and range of such operations is determined by the Group's coordinating bodies.

In 2023, dedicated units within VTB Bank, including the Non-Core Assets Department and the Financial Settlement Department, were responsible for identifying, monitoring, and managing bad debt at the Group level.

In 2023, the corporate credit risks of subsidiary banks were managed by the Corporate Credit Risk Department. As the Group's Risk Competence centre for corporate credit risks, the Corporate Credit Risk Department is responsible for developing uniform approaches to, and methods of, managing corporate credit risks, evaluating them on a centralised and systematic basis, and developing an optimal structure of corporate credit risk accepted by the Group, including its compliance with the Group's risk appetite.

In 2023, the Retail Credit Risk Department was responsible for the centralised management of retail risks at VTB Bank's subsidiary banks. Together with the Expertise and Fraud Monitoring Department and Underwriting Department, the Retail Credit Risk Department ensured expert monitoring of the credit procedure in terms of decision-making and controlled compliance with the limits on non-standard transactions. The Retail Credit Risk Department is the Group's risk competence centre dealing with retail credit risks and responsible for developing uniform approaches to, and methods of, managing retail risks, evaluating them on a centralised and systematic basis, and developing an optimal structure of retail risks assumed by the Group, including its compliance with the Group's risk appetite.

Credit risk management at the VTB Bank level

VTB Bank manages credit risks by:

- restricting credit risk through the Bank's existing system of limits, which comply with the Bank of Russia's mandatory regulations and other requirements;
- accepting collateral and insurance to cover credit risks, charging adequate fees for the credit risk, and establishing provisions for losses on loans;
- controlling the level of credit risk assumed by the Bank for each counterparty by way of risk assessment, as well as regularly monitoring the credit portfolio, individual customers, transactions, and collateral (including by ranking borrowers); and
- preventing credit risk at the loan application review stage and taking prompt measures when monitoring reveals credit risk factors.

The Bank applies the following main methods of credit risk assessment:

- determining a customer's level of credit capacity by analysing financial and non-financial indicators and conducting an expert assessment (in line with the Bank's internal procedures for customer ranking);

- employing scoring models and automated credit-related decision-making procedures, as well as verifying customer data using automated anti-fraud systems as part of retail credit risk assessment;
- estimating potential losses from credit risk as part of calculating and creating loss provisions (in line with the requirements of the Bank of Russia and IFRS);
- assessing capital adequacy and the scale of credit risk when calculating the required ratios established by the Bank of Russia;
- determining internal capital needs (economic capital calculation) for credit risk based on the actual quality of the loan portfolio (as required by the Bank of Russia); and
- stress testing loan portfolio losses under different macroeconomic scenarios.

The main tool for credit risk monitoring and mitigation is the system of established credit restrictions (limits). The key types of credit risk limits were established as follows:

- limits on a counterparty (a group of related counterparties), for example, limits on operations with a counterparty (a group of related counterparties), including sub-limits for various types of operations with a credit risk / designated purpose;
- limits on the concentration of credit risk (by industry, country, major counterparties, credit products, etc.);
- limits on expected losses in operations exposed to credit risk; and
- limits in accordance with the requirements (required ratios) of the Bank of Russia (for example, limits on exposure to substantial credit risks, borrower / group of related borrowers).

The Bank employs collateral to reduce credit risk.

Liquidity risk

Liquidity risk means the risk of losses in the form of Group company being unable to finance its operations, i.e. ensure asset growth and perform obligations as they become due without incurring losses in an amount that would be unacceptable for the financial stability of the Group / Group company.

Liquidity risk management at the Group level

The liquidity risk management involves the Finance Committee and the Treasury Department of the Bank, as well as the Market Risk Division of the Integrated Risk Management Department.

The Finance Committee reviews and approves regulations on liquidity risk management, adopts the methodology for assessing liquidity risks, sets internal requirements, limits and liquidity ratios, develops measures to achieve them, and monitors their implementation. The Finance Committee regularly approves a resource plan for the upcoming period and monitors progress against it.

Methods for controlling and mitigating liquidity risk include:

- setting and monitoring internal liquidity ratios/requirements (including for the purposes of monitoring compliance with the required ratios established by the Bank of Russia / relevant internal risk appetite metrics);
- monitoring liquidity gaps calculated using the scenario analysis for different periods to identify disparities between receivables and payables;
- making and implementing decisions to manage assets and/or liabilities of the Group in order to maintain liquidity risk at a level that corresponds to internal and regulatory liquidity ratios.

Liquidity risk management at the VTB Bank level

Liquidity risk management comprises the following steps:

- identification;
- assessment and control; and
- mitigation.

Methods for controlling and mitigating liquidity risk at the Bank level include:

- monitoring liquidity gaps calculated using the scenario analysis for different periods to identify disparities between receivables and payables;
- making and implementing decisions to manage assets and/or liabilities of the Bank/Group in order to maintain liquidity risk at a level that corresponds to internal and regulatory liquidity ratios;
- monitoring key internal and external factors that may have a substantial effect on the Bank's liquidity;
- monitoring restrictions on excess liquidity and concentration risks;
- setting (by resolutions of the Bank's governing bodies in charge) limits/red flags for the risk of liquidity sources concentration/reference values for the liquidity sources concentration indicator of the Bank's risk appetite and monitoring their implementation by the Bank's unit in charge.

Market risks

Market risks mean risks of downward pressure on the financial results from an unfavourable change in the value of assets or liabilities of the Bank/Group affected by market indicators, i.e. risk factors (FX rates, interest rates, credit spreads, share prices, stock indices, etc.).

Based on the nature of the assumed market risks, activities of the Bank/dedicated subsidiaries are divided into trading book and bank book activities.

The quantitative indicators of market risk appetite of the Bank/Group are set by the Bank's Supervisory Council as part of its resolution on key Bank and Group risk appetite parameters for a respective period, which are pre-reviewed (pre-approved) by the Bank's Management Board. Proposals on the list and values of market risk appetite metrics by operation and business area are reviewed by VTB Bank's Finance Committee based on materials prepared by the Integrated Risk Management Department and approved by the Treasury Department.

The Regulation on the Procedure for Managing Market Risks[21] categorises operations based on the nature of assumed market risks and approaches to managing them, controls of limits and restrictions, and response if they are exceeded. It also governs reporting on the Bank's/Group's market risk.

Market risk assessment includes:

- assessment of the market risk (risks of the trading book and the currency risk of the banking book);
- assessment of the banking book's interest rate risk;
- assessment of financial result volatility of instruments in the revalued banking book portfolio.

21. Enacted by VTB Bank Order No. 735 dated 21 April 2021.

Interest rate risk of the banking book

Interest rate risk of the banking book is the risk associated with changes in the money and debt market rates on sensitive positions in the banking book. Interest rate risk management includes:

- setting risk appetite for interest rate metrics (economic capital or net interest income sensitivity) both for the Group and Group companies;
- determining the procedure for setting credit interest rates and base interest rates for retail credit products;
- setting commissions for active operations and compensation spreads for active and passive operations to reduce / cover interest rate risks;
- initiating operations with interest rate derivatives to reduce the gap in timing and conditions between interest rates on assets and liabilities by currency.

Main parameters used to assess interest rate risk:

- economic capital to cover interest rate risk, measured by assessing reductions in the net current value of the Bank's interest rate in case of preset changes in the base yield curve (severe stress scenario);
- sensitivity of a one-year horizon net interest income to a 100 b.p. interest rate change and sensitivity of the interest rate to a simultaneous 100 b.p. change in the base yield curve;
- sensitivity of a one-year horizon net interest income to an unfavourable change in the base yield curve under a stress scenario.

Currency risk of an open currency position

The Bank calculates economic capital to cover market risks, which includes economic capital for currency risk arising from the open currency position of the banking and trading books combined. Stress scenarios are approved by the Bank's collective bodies. Currency risk is assessed on a regular basis.

The Bank also assesses currency risk using a Value-at-Risk (VaR) methodology that estimates the maximum potential negative impact on profit before tax resulting from changes in FX-denominated structural positions over a given holding period for a given confidence level. The VaR methodology is a statistically defined probabilistic approach that takes into account market fluctuations and risk diversification by recognising offsetting positions and correlations between products and markets. Risk can be assessed uniformly across all markets and products, and it is possible to aggregate risk levels to arrive at a unified metric.

The Bank's VaR model is based on historical data and factors in the interdependence of exchange rates. The Russian rouble serves as the base (risk-free) presentation currency.

Market risk of trading operations

VTB Group is exposed to market risk through its trading book. The trading book includes activities for the purpose of generating a profit from their revaluation or hedging of other trading operations, as well as their financial result. Key indicators for market risk assessment:

- to assess the risk of losses — stress-testing of trading book positions under moderate or crisis scenarios based on stress ratios approved by the authorised bodies of the Bank/Group/subsidiary (these scenarios are also developed taking into account potential additional losses caused by concentration of the Group's position in different types of financial instruments);
- to assess volatility of the trading book financial result — VaR calculated by the historical modelling method with assumptions/parameters set for relevant instruments; and
- to assess accumulated actual losses on trading operations from the beginning of the calendar year — loss on the trading book (stop-loss) accumulated from the beginning of the year.

The level of accepted market risks on trading operations is monitored based on the internal system of limits defined in the Bank's / Group's internal regulations.

The Integrated Risk Management Department continuously monitors compliance of the market risk limits with the approved market risk appetite parameters and in case of changes in the market environment (higher volatility of risk factors, change in correlation between them, lower liquidity of certain instruments, etc.) submits proposals to the Finance Committee to adjust the limits so that they comply with the market risk appetite parameters.

Subsidiaries organise monitoring and controls for market risk levels based on the Group's standards, taking into account the requirements of the regulator and the risk profile of their operations.

Parameters for VaR calculation

Stress loss is the amount of loss that may be incurred by the Bank/Group under a sudden negative change (stress) in market risk factors. When estimating the loss on the occurrence of a stress scenario, the risk of concentration in financial instruments is also taken into account.

Stress scenarios for changes in market risk factors and the methodology for stress testing market risks are determined by the relevant decisions of designated bodies. Stress testing scenarios are reviewed from time to time (at least once a year) and the results of the review of the scenarios are submitted to the designated bodies.

Stress limits are set for all trading book transactions. Limits can be broken down into sublimits by initiating unit and portfolio.

VaR is calculated on the basis of the following parameters:

- historical period — two years;
- forecasting horizon — one trading day;
- confidence level — 95%;
- method used — historical modelling.

Operational risk

Operational risk means the risk of direct and indirect losses resulting from deficiencies or errors in internal processes, actions of staff and other parties, failures and deficiencies in information, process and other systems, as well as external events.

Legal risk, information security risk, including cyber risk, and information systems risk are parts of operational risk.

The operational risk management system identifies separate types of operational risk, the management procedures for which are within the responsibility of dedicated units.

To control exposure to operational risk, Bank-wide control indicators for operational risk level and their target values are set over the planned annual period. These indicators are cascaded to the Bank's business lines, units, and support and control departments, including their standalone structural units responsible for operations/transactions and processes falling within their remit. To ensure operational reliability over the planned annual period, the Bank sets target indicators of operational reliability, with their threshold values cascaded to relevant process owners.

To manage operational risk, the Bank has implemented the following unified mechanisms to identify, assess, and monitor the level of operational risk:

- a centralised process to collect information on operational risk incidents and resulting losses;
- monitoring of key operational risk indicators, control indicators for operational risk level, and target indicators of operational reliability;
- operational risk self-assessment;
- scenario analysis.

Before any new products, services, processes, or systems are implemented, they are subject to mandatory analysis in order to identify and assess operational risks in a timely manner. Said mechanisms — operational risk management tools — are used for quantitative and qualitative assessment of the operational risk level. Based on the results of the assessment, mitigating actions are developed and taken, and management reports are prepared.

The Bank uses the following methods to respond to operational risks:

- taking mitigating actions: developing and implementing the necessary corrective measures to reduce the negative impact of operational risk on the quality of processes and the gross losses (total losses from the materialised risk before accounting for reimbursement);

- accepting risk: readiness to accept possible losses within the established limit subject to the limit control procedure[22];
- avoiding risk: refusal to provide particular types of services or operations due to a high level of operational risk (used if measures to minimise risk are not economically feasible);
- transferring risk: operational risks are insured; the risk is transferred to another party — a counterparty and/or customer (used if the Bank / Group companies are unable to manage the operational risk independently).

The Bank uses the following principal measures to reduce the negative impact of operational risk:

- changing processes;
- establishing additional forms of control;
- training employees, including those involved in processes;
- using automated solutions;
- identifying and assessing operational risks prior to implementing (developing) new activities, banking products, processes, or systems; and
- taking other measures to minimise the adverse impact of operational risk.

The main measures aimed at limiting losses from the materialisation of operational risk events include:

- setting thresholds for decision-making authority and establishing limits, overseeing the authority;
- developing plans to ensure the continuity and/or recovery of critical processes and the functioning of information systems, as well as plans to ensure the security and integrity of information systems and information (including by putting in place backup communication channels, geographically dispersed server rooms, autonomous power, heat and water supply sources, fire prevention initiatives); and
- insuring operational risks.

In 2023, the Bank had the following risk insurance programmes:

- insurance against crime;
- personal data insurance;
- insurance against losses associated with software installation or upgrade;
- insurance for money and valuables while in storage and during transit, liability insurance for the Bank's certification centres;
- liability insurance of the Bank's executives;
- insurance against risks related to business activities (including buildings, equipment and vehicles).

Quantitative assessment measures the level of operational risk calculated using data on net losses from the materialisation of relevant events, and includes:

- the amount of operational risk calculated at least once a year;
- the current risk appetite level;
- the capital required to cover losses from operational risk events determined in internal procedures for assessing capital adequacy (economic capital); and
- stress testing of operational risk conducted at least once a year as part of internal procedures for assessing capital adequacy.

In order to calculate economic capital to cover the operational risk, the Bank applies the Advanced Measurement Approach in line with international best practices.

Performance of the operational risk management system and its elements, including completeness and accuracy of the operational risk management procedures adopted by the Bank, is assessed on an annual basis.

22. Risk acceptance is considered by the Bank's authorised body in line with the established procedure, provided that such consideration takes place prior to the implementation or modification of a process, product or service, and materialisation of operational risk events or one of the additional criteria (for example, if the cost of measures to minimise operational risk, including risk control procedures, exceeds the Bank's possible losses from the materialisation of operational risk and is economically inexpedient).

Model risk

Model risk means the risk of errors in the processes of developing, verifying, adapting, accepting and applying the methods used in quantitative and qualitative models for assessing assets, risks, and other indicators used in making management decisions. Model risk is a type of operational risk.

In order to ensure effective management of model risk, the model risk management function is assigned to a dedicated independent unit, the Model Risk and Validation Department, which regularly validates and analyses the effectiveness of models. In addition, it determines, together with the Integrated Risk Management Department, the level of model risk, which is taken into account when determining the Bank's capital adequacy in the context of internal procedures for assessing capital adequacy.

In model risk management, the Bank follows the principles of regularity, completeness, confidentiality, the distribution of responsibilities, the functioning of three lines of defence, as well as the principle of conservative analysis. The stage of evaluating (validating) the effectiveness stands out of other stages of the model life cycle. The Bank carries out regular (at least once a year) validation of significant models.

To ensure the identification of model risk, a consolidated register of models has been created and is updated on a regular basis, while the Bank's designated body regularly considers issues related to recognising models as significant based on the data in the register as well as other available information.

Quantitative assessment of model risk is carried out both in the context of operational risk management procedures and by the Model Risk and Validation Department in the context of each significant model, including during regular model validation procedures. Model and process risk ratios are aggregated in order to calculate the capital needed to cover the Bank's model risk. This is carried out in accordance with the Methodological Guidelines for the Calculation of Model and Residual Risks.

The standard methods for responding to model risk are complemented by a regulated procedure for making recommendations and instructions to the model owners / developers based on the results of a performance assessment. As a rule, the recommendations and instructions are aimed at:

- making changes to the model in order to improve its quality;
- improving the processes associated with the implementation and application of the model;
- improving IT systems;
- improving the quality, availability, and completeness of data; and
- adding a conservative approach to the model (model results) to cover the model risk.

To oversee the effectiveness of the model risk management system, regular audits of the Bank's activities are carried out by an independent unit, the Internal Audit Department, in accordance with the requirements of the Bank of Russia and the procedures established by the Bank's internal regulations and directives.

Sustainability risks

Taking into account the complex interrelationships between risks, the Bank pays attention to **sustainability risks** associated with the environmental, social, and governance aspects that might have a positive or negative impact on the Bank's financial performance.

Sustainability risk management is integrated into the Bank's risk management system. This integration begins with an assessment of sustainability risk factors' impact on the significance of bank risks. This ensures that the impact of sustainability risk factors on the Bank's financial position is aligned with the risk and capital management approaches applied.

The Bank has defined qualitative risk appetite to limit financing for projects / counterparties that do not meet sustainability principles, and segments its corporate loan portfolio accordingly. To assess risk materiality, the Bank identifies the exposure of its loan portfolio to the environmental, social, and governance risk factors (sustainability risk factors).

The loan portfolio is assessed in several stages:

1. calculation of the loan portfolio's exposure to sustainability risk factors;
2. identification of material sustainability risk factors;
3. calculation of the loan portfolio's exposure to material sustainability risk factors;
4. consideration of the loan portfolio's exposure to material sustainability risk factors in categorising materiality of the industry credit concentration risk.

Time to take action

02. Corporate governance


VTB

2.1. Overview

VTB Group corporate governance

VTB Group operates as a strategic holding structure. This model requires a common growth strategy for all Group companies, a single brand, centralised finance and risk management, and unified controls.

Under its current management model, the Group is governed along two key lines:

- administrative management — exercising the rights of the parent bank as the majority shareholder by allowing its representatives to participate in the governing bodies of subsidiary companies;
- functional management — managing business, support and control lines within VTB Group as a whole. Functional coordination is an additional governance tool that provides for a deeper expert review of management decisions.

To achieve its key strategic goals, the Group focuses on the following business lines: Corporate Investment Business, Medium and Small Business, and Retail Business.

Each business line requires certain functionality to ensure its success in the respective segment — from corporate customers in need of complex investment advice to individuals looking for simple mobile payment solutions. Each line has a unique product and service offering.

Our Corporate Centre sets the overall strategic course and promotes best practices. It oversees the Group's global operations and interacts with other functions to deliver against business lines' strategies for various markets where VTB is present.

The existing corporate governance framework enables the Bank to develop a global customer service offering, closely coordinate each and every business line across its footprint, boost margins by unlocking synergies and promoting best practices, and reduce costs by leveraging shared infrastructure and resources. It also serves as a platform for the effective integration of assets acquired by VTB Group. The Bank focuses on improving its governance framework and ensuring full compliance with corporate and antitrust laws in the countries of operation.

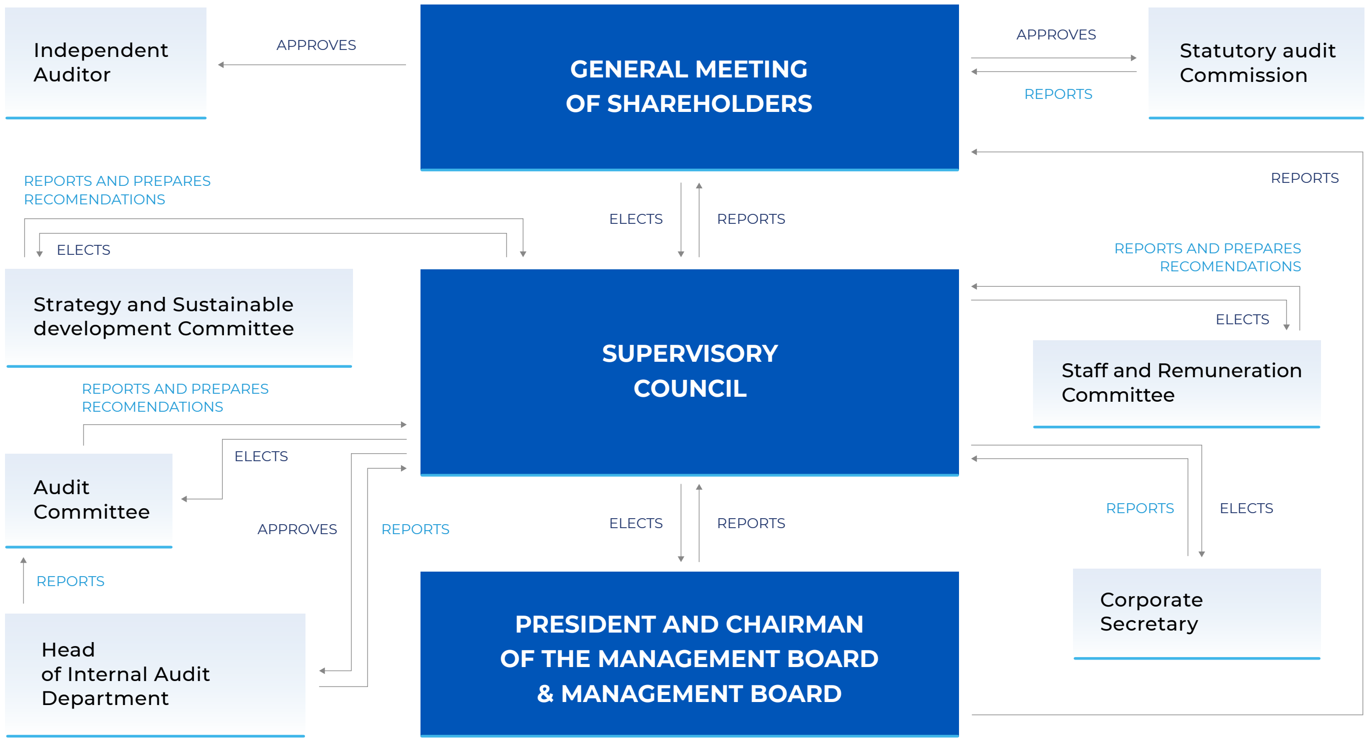
For more details on our business lines and their performance, see Results Overview

VTB Bank corporate governance

Corporate governance at VTB Bank provides for interaction between its executive bodies, the Supervisory Council, shareholders and other stakeholders. It seeks to ensure the Bank's long-term sustainable development, including by protecting the rights of shareholders and investors, promoting its investment case and transparency, setting up robust risk assessment tools to enhance shareholder value, and guaranteeing the efficient use of shareholder and investor funds.

The Bank's corporate governance framework relies on the principle of full compliance with Russian laws and stock exchange regulations, taking guidance from the Corporate Governance Code[23] and recommendations of the Basel Committee on Banking Supervision and the Financial Stability Board.

23. Approved by the Bank of Russia's Board of Directors, see Information Letter No. 06-52/2463 On the Corporate Governance Code dated 10 April 2014.



The corporate governance principles and procedures of VTB Bank are set out in internal regulations, with the Bank's Corporate Governance Code[24] used as the highest-level document. In 2022, it was updated to reflect the latest best practices and the Bank's commitment to sustainability.

The Bank's corporate governance framework relies on the following principles:

- equitable and fair treatment of all shareholders provided with an opportunity to exercise their rights and legitimate interests;
- professionalism and accountability of the Supervisory Council, active participation by independent directors and members of the Supervisory Council nominated by minority shareholders in managing the Bank;
- strategic management, efficient control over executive bodies, and oversight of the risk management and internal control framework exercised by the Supervisory Council;
- sound, bona fide and effective management of the Bank's day-to-day operations by executive bodies and key executives;
- compliance with Russian laws and the national laws of the countries of operation;
- commitment to ESG standards;
- strong business ethics and zero tolerance to corruption;
- robust internal controls, internal and external audits;
- cooperation with investors, creditors, and other stakeholders in order to increase the Bank's assets and capitalisation; and
- continuous improvement of corporate governance practices.

The General Meeting of Shareholders is VTB's supreme governing body. Any holder of ordinary shares may

24. Approved by the Bank's Supervisory Council (Minutes No. 1 dated 17 January 2022).

exercise the right to participate in managing the Bank by voting on the agenda of the General Meeting of Shareholders. For the ease of convenience, VTB was among the first Russian banks to introduce remote e-voting at General Meetings of Shareholders.

The Supervisory Council, which is elected by shareholders and held accountable to them, provides for strategic management and oversight of executive bodies. The Supervisory Council approves the Bank's strategy and long-term development programme, sustainability strategy, and the policy on remuneration and compensation payable to executive bodies and other key executives. It also plays a key role in the Bank's material corporate events and determines key principles of, and approaches to, risk management and internal controls.

The Supervisory Council has the following committees:

- **HR and Remuneration Committee** drafts recommendations on key appointments and incentives for members of the Supervisory Council and the Bank's executive and control bodies;
- **Audit Committee** focuses on analysing and maintaining sound and effective internal controls; and
- **Strategy and Sustainable Development Committee** considers and makes recommendations on strategic development, sustainability, ESG matters, corporate governance and capital management improvements.

Furthermore, the Bank has the Supervisory Council Administration, a special function led by the Corporate Secretary who is approved by the Bank's Supervisory Council.

The Bank's executive bodies — collective (Management Board) and sole (President and Chairman of the Management Board) — manage ongoing operations and deliver on objectives set by shareholders and the Supervisory Council. They report to the General Meeting of Shareholders and Supervisory Council.

The quantitative and personal make-up of the Management Board, election of its members, and early termination of their powers are approved by resolutions of the Supervisory Council.

The Management Board is chaired by the President and Chairman of the Management Board.
The Supervisory Council determines the term of office for members of the Management Board, which shall in no event exceed five years. If members of the Management Board are appointed to replace other members following early termination of their powers or due to an increase in the number of the Management Board members, their term of office may not exceed the term of the President and Chairman of the Management Board.

For more details on the competencies and responsibilities of the Management Board, see the Regulation on the Management Board

To mitigate management risks, liability insurance is purchased for the Bank, members of its Supervisory Council and executive bodies.

The Bank's financial and business activities are monitored by the Statutory Audit Commission and the Internal Audit Department, a standalone business unit reporting to the Supervisory Council. The Internal Audit Department reviews and assesses the effectiveness of the Bank's risk management and internal controls, and verifies the reliability, completeness, fairness and timeliness of accounting and management statements. Furthermore, it ensures a unified approach to managing internal controls in the entities controlled by the Bank, gathers information about their current status, and develops improvement recommendations. The Supervisory Council approves the Internal Audit Department's work plans and monitors their implementation.

The Bank and its minority shareholders have established the Shareholders Consultative Council, an independent expert advisory and consultative body consisting of minority shareholders, with its meetings also attended by members of the Bank's Supervisory Council and executive bodies. Members of the Shareholders Consultative Council meet with senior management to discuss the most important matters affecting the interests of shareholders, including those related to strategy development and implementation, and corporate governance improvements.

Development of corporate governance in 2023

Corporate governance improvements are an integral part of the Bank's efforts to enhance itsoverall effectiveness. That is why the Supervisory Council and executive bodies keep a close eye on them.

VTB Bank monitors changes in corporate laws and practices and makes consistent efforts to enhance corporate governance in the Bank and the Group companies.

One of the key highlights in 2023 was approval by the Supervisory Council of VTB Bank's Development Strategy for 2024–2026[25]. Prior to its approval, the document had been reviewed by the Supervisory Council's Strategy and Sustainable Development Committee, with members of the Supervisory Council holding dedicated meetings to refine key points of the Strategy.

In the reporting year, the Bank engaged external consultants in line with the recommendations of the Bank of Russia's Corporate Governance Code and VTB Bank's Corporate Governance Code to conduct an independent assessment of the Supervisory Council's performance, including evaluation of the Supervisory Council's Committees and the Bank's Corporate Secretary. The assessment relied on interviews and surveys of the Supervisory Council and analysis of the Bank's internal regulations to provide highly unbiased evaluation covering all material aspects of the Supervisory Council's activities. The effectiveness of the Supervisory Council was praised by both members of the Council and external experts. The latter pointed to the comprehensive follow-up action by the Bank on recommendations issued as part of the previous independent assessment. The assessment report was submitted to the Supervisory Council in July 2023[26].

In 2023, the Bank completed annual self-assessment of the corporate governance system pursuant to VTB Bank's Methodology for Assessing Corporate Governance[27]. This involved surveying members of the Supervisory Council who praised maturity of the corporate governance framework and assigned it an average score of 3.98 (out of 4).

In 2023, the Bank continued to strike a delicate balance between the special disclosure requirements that were in force during the reporting period and the need to keep shareholders informed about its operations. The Bank decided to use the right granted to Russian issuers by the regulator and to disclose a limited scope of information that is subject to disclosure under applicable Russian laws and regulations of the Bank of Russia. Information and materials that need to be disclosed in the run-up to the General Meeting of Shareholders were made available in both hard copies and on the Bank's website.

For more details on disclosure, see Information Policy and Disclosures

The Annual General Meeting of Shareholders elected a new Supervisory Council, which now has five independent directors[28] (maximum permissible number of independent directors given the requirement to ensure majority for government representatives in the Supervisory Council).

During its first meeting, the new Supervisory Council elected members of the Strategy and Sustainable Development Committee, along with the Audit Committee and HR and Remuneration Committee made up of independent directors only. The shareholders also elected a new Statutory Audit Commission with a seat reserved for a representative of minority shareholders.

25. Approved by the Bank's Supervisory Council (Minutes No. 18 dated 20 December 2023).
26. Minutes No. 12 dated 31 July 2023.
27. Approved by the Bank's Supervisory Council (Minutes No. 2 dated 24 February 2022); updated to reflect recommendations of the Bank of Russia and other experts, as well as the Bank's focus on sustainability.
28. Independent directors meet the independence criteria established by the Moscow Exchange and the Bank of Russia's Corporate Governance Code.

The Bank annually engages an external consultant to conduct independent assessment of the corporate governance quality, which helps the Bank consistently implement applicable best practices. The assessment is performed by the Russian Institute of Directors (RID), a recognised expert institution promoting corporate governance and measuring its quality for Russian companies. The RID's methodology includes 160 criteria across four components: shareholder rights, governing and oversight bodies, information disclosure, and ESG.

In the reporting period, the Bank retained its high ranking at 8+ in the National Rating of Corporate Governance (compiled by the Russian Institute of Directors based on annual monitoring results). The 8+ score is assigned to companies, which experts believe to comply with Russian corporate governance laws, adhere to a significant portion of the Corporate Governance Code recommendations, and have immaterial risks of losses for owners due to corporate governance quality issues.

Compliance with the Corporate Governance Code

VTB Bank complies with substantially all provisions of the Bank of Russia's Corporate Governance Code (the "Code").

Following review of the Report on Compliance with the Principles and Recommendations of the Corporate Governance Code as part of its annual exercise to monitor progress of public joint-stock companies in implementing the Code, the Bank of Russia praised VTB Bank for achievements in embedding the Code's recommendations into its operations.

The actual compliance with the Code is disclosed in the Report on Compliance with the Principles and Recommendations of the Corporate Governance Code, which is subject to review and approval by the Supervisory Council and is included in the Bank's annual reports.

Report on Compliance with the Principles and Recommendations of the Corporate Governance Code

2.2. General meeting of shareholders

The General Meeting of Shareholders is VTB's supreme governing body. Any holder of ordinary shares may exercise the right to participate in managing the Bank by voting on the agenda of the General Meeting of Shareholders. Holders of preference shares may vote only when explicitly provided for by the applicable Russian laws.

The decision to convene the General Meeting of Shareholders is made by the Supervisory Council. Information about the date and place of the meeting (when it is held in person) and the shareholder record date for such meeting is published on the Bank's official website and posted in the VTB Shareholder mobile app pursuant to applicable laws and the Bank's Charter.

The Bank consistently prioritises transparent communication with shareholders notifying them about each meeting and participation procedures via all available channels. Aligning with best practices in sustainable development, VTB has refrained from sending physical information letters to notify of shareholder meetings for several years now. Instead, we use remote channels such as the Bank's and registrar's websites, the VTB Shareholder mobile app, shareholder newsletters, personal emails to shareholders, and social networks.

The year 2023 was marked by many corporate events: besides the Annual General Meeting of Shareholders, VTB Bank convened two extraordinary general meetings.

During the voting period, shareholders could personally visit shareholder centres in Moscow, St Petersburg and Yekaterinburg for a consultation. At these meetings, shareholders had the opportunity to review relevant materials and cast votes using terminals. Shareholders were also consulted on the agenda items and draft resolutions of the meetings.

Shareholders could participate in the meeting via the e-voting system developed by the Bank's registrar, JSC VTB Registrar. Votes can be cast at Registrar's website or its branches, in the VTB Shareholder mobile app and in shareholder centres. If it was not possible for the shareholders to e-vote, they could apply to a branch or division of VTB Registrar for assistance in filling a paper ballot, instruct a nominee shareholder or fill in a paper ballot themselves.

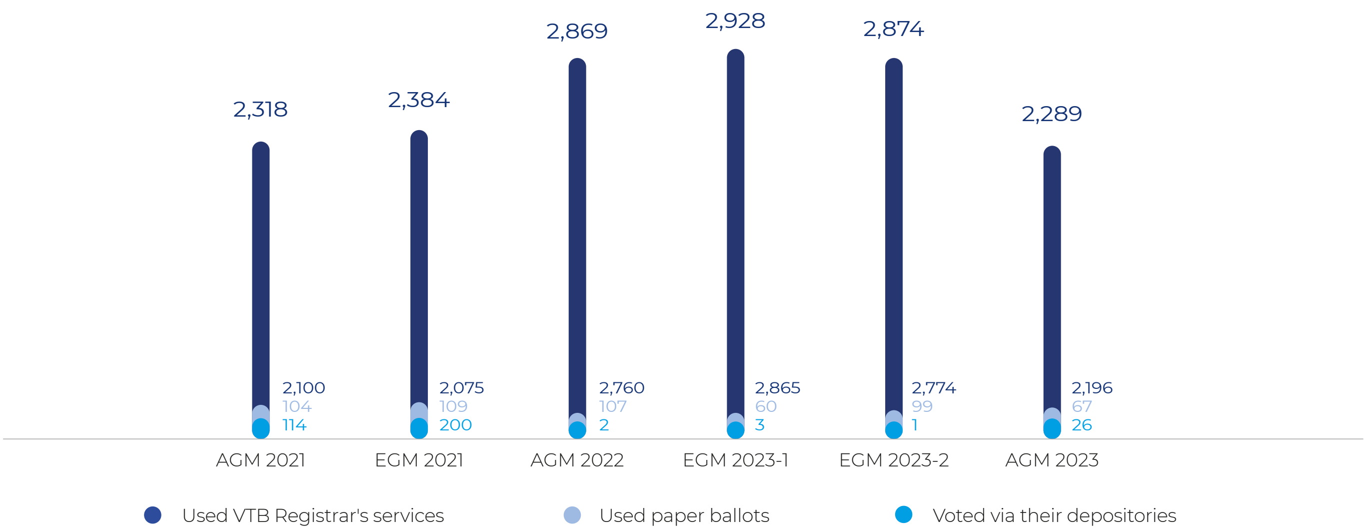
General meetings of shareholders in 2023

30 January
Extraordinary General Meeting of Shareholders

25 April
Extraordinary General Meeting of Shareholders

30 June
Annual General Meeting of Shareholders

Participants of General Meetings of Shareholders



Extraordinary General Meeting of Shareholders held on 30 January 2023

98.0%
shareholders cast e-votes

2.0%
used paper ballots

2,928
shareholders

30 January 2023
Meeting date

8 January 2023
Record date

61.6%*
Quorum

In absentia

* Shareholders from unfriendly countries did not take part in the vote

An extraordinary General Meeting of Shareholders was held in the form of absentee voting on 30 January 2023, with two matters on the agenda:

1. approval of amendments to VTB Bank's Charter;
2. increase in the authorised capital of the Bank by offering additional ordinary shares.

Additional shares were issued for the Russian Government to contribute RNCB shares to VTB Bank's capital and convert claims under the subordinated loan made by the National Wealth Fund in 2014.

An absentee voting on the meeting agenda took place from 9 to 29 January 2023. The meeting was attended by 2,928 shareholders, collectively holding 61.6% of shares, of whom only 60 used paper ballots. Both decisions were passed by overwhelming majority — 99.9% voted FOR on item 1, and 99.8% on item 2.

To bring the adopted resolution to life, the Bank offered additional shares by private subscription from 7 February to 27 March. Shareholders who either voted against the resolution or abstained from the vote enjoyed a pre-emptive right to acquire the newly issued shares. In total, the Bank offered 8,743,250,481,071 shares at a price of RUB 0.017085 per share.

Extraordinary General Meeting of Shareholders held on 25 April 2023

96.6% shareholders cast e-votes

3.4% used paper ballots

2,874 shareholders

25 April 2023 Meeting date

31 March 2023 Record date

76.9%* Quorum

In absentia

* Shareholders from unfriendly countries did not take part in the vote

An extraordinary General Meeting of Shareholders (the "meeting") was held in the form of absentee voting on 25 April 2023, with only one matter on the agenda:

1. increase in the authorised capital of the Bank by offering additional ordinary shares.

The meeting saw the participation of 2,874 shareholders, who held 76.9% of shares.

The voting concluded with passing the decision: 99.91% of participating voters supported it.

To bring the adopted resolution to life, the Bank offered additional shares by public subscription from 23 May to 8 June. Investors acquired 5,145,877,646,781 shares at a price of RUB 0.018225 each. VTB shareholders enjoyed a pre-emptive right to purchase the new shares, proportionate to their existing ownership of ordinary shares.

Annual General Meeting of Shareholders held on 30 June 2023

97.1% shareholders cast e-votes

2.9% used paper ballots

2,289 shareholders

30 June 2023 Meeting date

06 June 2023 Record date

82.3%* Quorum

In absentia

* Shareholders from unfriendly countries did not take part in the vote

As decided by the Supervisory Council, the Bank's Annual General Meeting of Shareholders was held on 30 June 2023 in the form of absentee voting[29]. The absentee voting on 12 agenda items took place from 7 to 29 June 2023:

1. approval of VTB Bank's annual report;
2. approval of annual financial (accounting) statements;

29. Pursuant to Federal Law No. 25-FZ dated 25 February 2022.

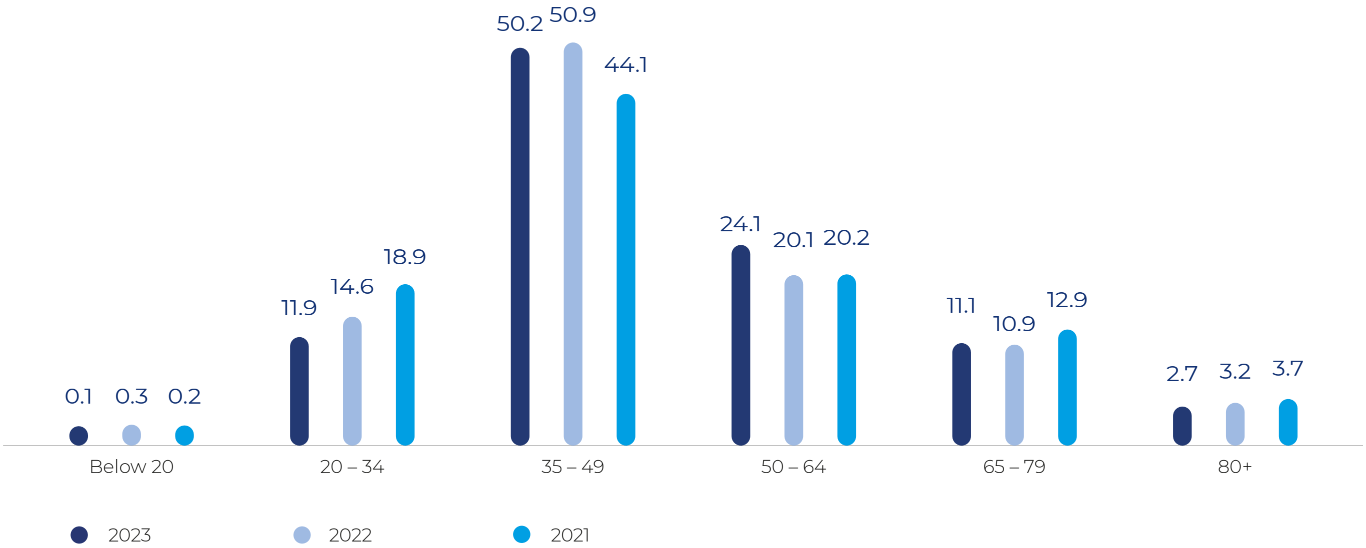
3. profit distribution, including payment (announcement) of dividends for 2022;
4. distribution of retained earnings from previous years and loss for 2022;
5. determination of the number of members of the Supervisory Council;
6. election of members to the Supervisory Council;
7. determination of the number of members of the Statutory Audit Commission;
8. election of members to the Statutory Audit Commission;
9. appointment of an audit firm (individual auditor);
10. approval of Amendments No. 6 to the Bank's Charter;
11. approval of the new version of Regulation on the Management Board;
12. approval of the new version of Regulation on the Statutory Audit Commission.

The meeting saw the participation of 2,289 shareholders, who held 82.3% of shares. The voting concluded with passing the decision for all agenda items: over 99.96% of participating voters supported it.

The meeting elected a new Supervisory Council and a new Statutory Audit Commission. Traditionally, governing and control bodies included representatives of the Shareholders Consultative Council. The meeting also resolved not to pay dividends for 2022.

As part of the preparations for the General Meeting of Shareholders, the Bank continued its practice to create dedicated websites for general meetings of shareholders. Using a proven procedure, we launched a website for the 2023 Annual General Meeting of Shareholders featuring information about the meeting, materials on agenda items, statements from the Bank's top management, and supporting resources. Every day, we updated the number of shareholders who cast their votes. During the meeting, the dedicated website saw over 8,500 users.

Shareholders participating in annual general meetings broken down by age, %



2.3. Supervisory Council

The Supervisory Council is one of the most important elements of VTB Bank's corporate governance framework. In its activities, the Supervisory Council is guided by the interests of the Bank and its shareholders. It acts for the benefit of its shareholders and in accordance with the applicable Russian laws, the Bank's Charter, the Regulation on the Supervisory Council and the Corporate Governance Code.

Key focus areas of the Supervisory Council:

- elaborating and adopting the Bank's development strategy, digital transformation strategy and sustainable development strategy;
- forming the Bank's executive bodies and overseeing their activities;
- assessing the efficiency of the Bank's risk management and internal controls;
- determining the HR policy, including remuneration payable to executive bodies and senior managers; and
- participating in the decision-making process.

The Supervisory Council determines the modus operandi of the Bank's corporate governance framework by adopting internal regulations that govern the principles and procedures of its individual elements and oversees the corporate governance framework as a whole. The Charter stipulates that the establishment and termination of powers of executive bodies, approval of employment terms with their members, including remuneration and other payments, are reserved to the Supervisory Council. The Council's oversight of executive bodies' activities encompasses several core areas:

- execution of the Bank's strategy;
- delivering on targets;
- risk management;
- performance of the internal control framework;
- compliance of the Bank's operations with the applicable Russian laws and regulations.

Remit of the Supervisory Council

The Supervisory Council plays a key role in the Bank's material corporate events. The Supervisory Council reviews critical matters, including:

- defining the Bank's priorities;
- convening the Annual General Meeting of Shareholders and passing relevant resolutions for its assembly and conduct;
- pre-approving the annual report;
- electing and re-electing the Supervisory Council's Chairman;
- forming executive bodies and terminating their powers;
- putting forward the Bank's restructuring or liquidation proposals, applications for share and/or convertibles delisting to the General Meeting for review;
- increasing the authorised capital by issuing additional shares within the authorised number and categories of shares, as defined by Federal Law No. 208-FZ On Joint-Stock Companies dated 26 December 1995 and the Bank's Charter;
- approving the registrar, terms of the registrar agreement, and its potential termination;
- putting forward the transfer of the sole executive body's functions to a managing company or an individual manager to the General Meeting for review;

- reviewing matters arising from the receipt of a mandatory or voluntary tender offer to purchase in excess of 30% of the Bank's shares;
- reviewing financial results for the reporting period (quarter, year);
- assessing performance of the Supervisory Council, executive bodies, and management;
- determining remunerations for members of the executive bodies and management;
- approving regulations on the Internal Audit Department;
- approving the risk management policy;
- approving the dividend policy.

Composition of the Supervisory Council

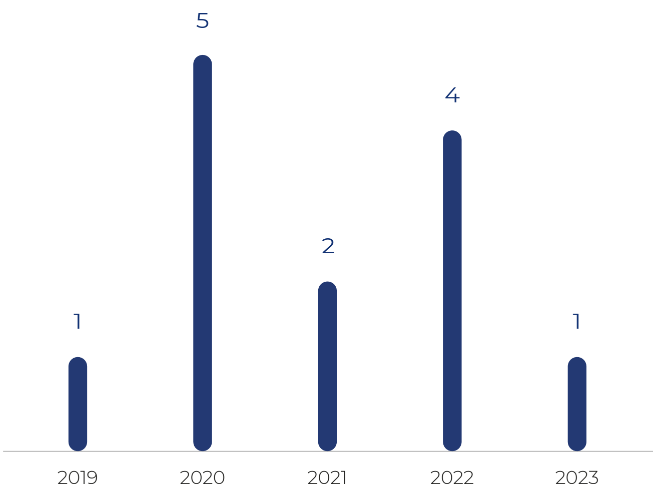
Members of the Supervisory Council are elected by the General Meeting of Shareholders for a period extending until the next General Meeting of Shareholders. Shareholders holding at least 2% of the Bank's voting shares have the right to propose their nominees to the Supervisory Council. Also, the current Supervisory Council may do so at its own discretion. Members of the Supervisory Council are elected through cumulative voting by the General Meeting of Shareholders.

Since 6 July 2022, a member of the Supervisory Council stepped down, leaving the Council with ten members as of 1 January 2023.

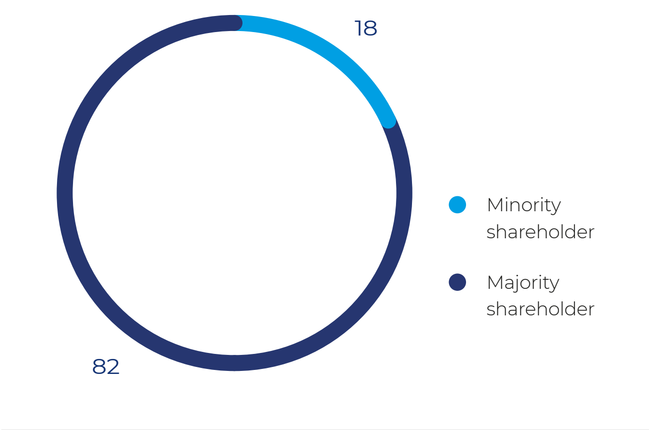
The Annual General Meeting of Shareholders, held on 30 June 2023, elected a new Supervisory Council composed of eleven members. As of 31 December 2023, ten directors were non-executive, with five classified as independent. Such a combination of executive and non-executive directors (including independent directors) is fully in line with international best practices and ensures that the interests of all shareholder groups are represented.

The composition of the Supervisory Council is reviewed annually for their professionalism, experience, performance, and strategic fit.

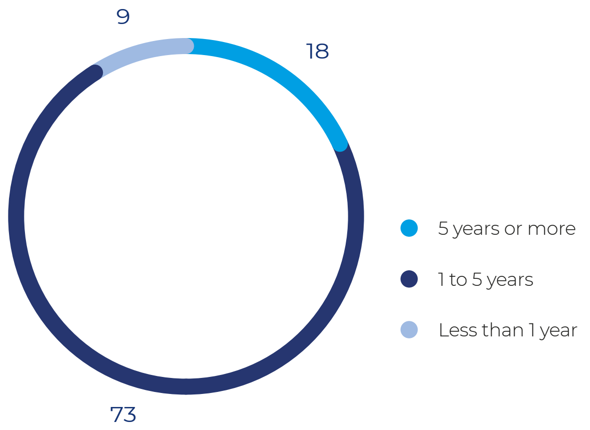
Changes in the Supervisory Council, people



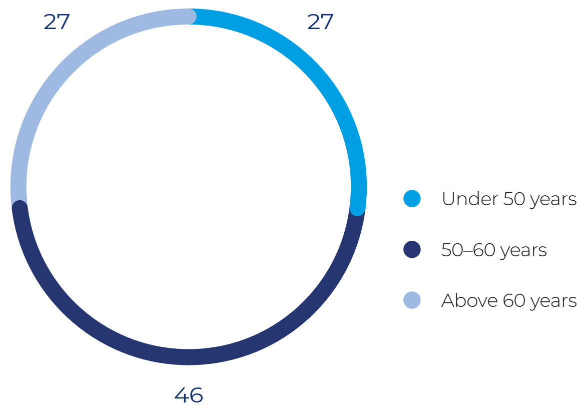
Shareholder representation, %



Duration of service, %



Composition of the Supervisory Council by age, %



In 2023, no transactions were made involving the acquisition or disposal of the Bank's shares by members of the Supervisory Council.

Independent directors

VTB places a great emphasis on maintaining a proportion of independent directors among the members of its Supervisory Council. Their contribution to the Council's performance helps strengthen shareholders' and investors' confidence, transparency of the governance framework and unbiased decision-making.

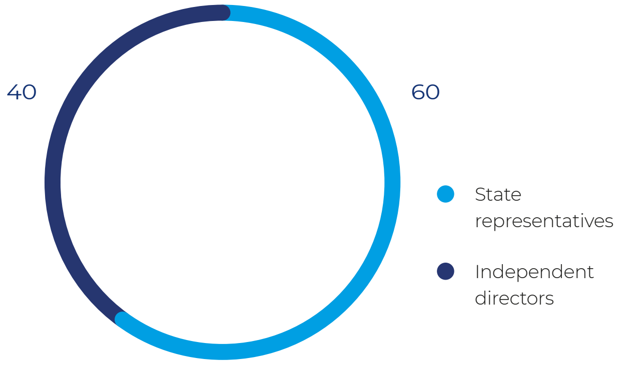
Independent directors take part in the discussion and approval of resolutions, monitoring of the Bank's performance and competitive position, analysis of the management performance, assessment of risk management and internal control tools and framework, as well as settlement of corporate conflicts.

Independent directors may not be in any relationship with the Bank that would prevent them from fairly and impartially making decisions with regard to VTB's development strategy and day-to-day operations. In determining the independence criteria for the members of the Supervisory Council, the Bank is guided by the applicable Russian laws, the listing rules of the stock exchange where the Bank's securities are traded, and the Bank's internal regulations.

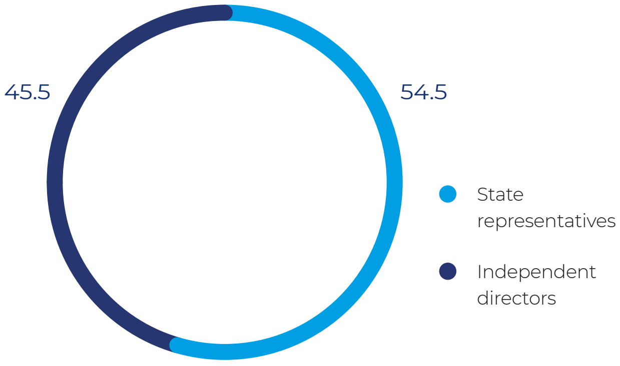
Independent directors must avoid actions that could compromise their independence and promptly inform the Supervisory Council of any circumstances that might influence their status.

By resolution of the Bank's Supervisory Council, a senior independent director is elected from among the independent directors. The senior independent director acts as an advisor to the Chairman of the Supervisory Council, fosters the Council's effective performance, and coordinates interaction between independent directors. This involves organising and presiding over their meetings when required and liaising with the Bank's shareholders.

Proportion of independent directors, %



1 January 2023 – 30 June 2023



30 June 2023 – 31 December 2023

Chairman of the Supervisory Council

The Chairman coordinates the activities of the Supervisory Council, convenes and chairs its meetings, keeps minutes, and presides over General Meetings of Shareholders. The Chairman is elected and may be re-elected from among the members of the Supervisory Council by a majority vote. In the absence of the Chairman, the respective duties are assumed by a member of the Supervisory Council appointed by the Supervisory Council.

The Chairman of the Supervisory Council may not concurrently hold the position of the President and Chairman of the Management Board, neither may they sit on the Bank's Management Board or be otherwise employed by the Bank.

On 28 July 2023, the Supervisory Council meeting elected the Chairman from among its members[30].

Induction of Supervisory Council members

For newly elected Supervisory Council members, the Bank hosts an induction programme[31]. As part of the Programme in 2023, new members met with an existing member of the Supervisory Council, Management Board team, and the Corporate Secretary to get an insight into the Bank's Development Strategy, digital transformation strategy, corporate governance framework, risk management and internal controls. They also came to grips with internal regulations and other information required for them to perform their duties effectively.

30. Minutes No. 12 dated 31 July 2023.
31. The programme aims to ensure the effective operation of the Supervisory Council and improve corporate governance practices in line with the best principles, including those set out in the Corporate Governance Code approved by the Bank of Russia's Board of Directors, Regulation on the HR and Remuneration Committee, and the Bank's Corporate Governance Code. Approved by a resolution of the Supervisory Council's HR and Remuneration Committee on 9 August 2019 (Minutes No. 77).

Induction procedure for members of the Supervisory Council

1. Studying regulations relating to the activities of the Bank's governing bodies
2. Holding consultations with the Corporate Secretary on how the Supervisory Council operates
3. Holding meetings with the heads of the key business units and members of the executive bodies

In December 2023, the Corporate Secretary reported to the Supervisory Council's HR and Remuneration Committee on the induction programme's implementation for newly elected members in 2023[32].

Liability insurance for Supervisory Council members

Supervisory Council members are insured under the Directors and Officers (D&O) Liability Insurance programme. The programme covers damages (including legal costs) arising from unintentional misconduct, negligence or omission by members of the Supervisory Council in the course of the Bank's financial operations which are reimbursable in connection with possible claims raised by investors, shareholders or government authorities during the insurance period. Such claims may relate to the personal responsibility of members of the Supervisory Council for mistakes made in the decision-making process, flaws in risk management and financial controls resulting in a loss, impairment of the Bank's shares or assets, or damage caused to third parties.

In 2023, the directors liability insurance contract was renewed after the Bank's Operational and Regulatory (Compliance) Risk Management Committee deemed its extension advisable.

Heads of terms of the liability insurance contract for members of the Supervisory Council

Insurer	Gas Industry Insurance Company
Period covered	25 August 2023 — 25 August 2024
Amount of coverage	RUB 5 billion
Additional coverage per independent director	RUB 75 million

32. Minutes No. 116 dated 14 December 2023.

Preventing conflicts of interest

The Supervisory Board oversees conflict of interest management among the Bank's management, shareholders, and employees, as outlined in Section 4 of its Corporate Governance Code. To this end, the Bank has in place a system for identifying conflicts of interest and managing transactions where such conflicts may arise, guided by VTB Bank's Regulation on Reporting Interested-Party Transactions.

The Bank's Regulation on the Supervisory Council assigns the following responsibilities to its members:

- not to exploit their role or information acquired about the Bank's operations for personal gain;
- not to disclose confidential and insider information about the Bank's operations that is considered official, commercial, banking, or any other form of legally protected secret;
- to prioritise the Bank's interests, refrain from making biased decisions favouring particular shareholders or employees, and to duly assess potential risks and adverse outcomes for the Bank in decision-making;
- to promptly inform the Chairman of any personal interest or conflict of interest in decision-making and abstain from voting on such matters.

Additionally, the following measures are in place to govern and prevent conflicts of interest for Supervisory Council members:

- members who are public servants do not receive remuneration or compensation[33];
- for nominees to the Supervisory Board, documentation is thoroughly reviewed[34], including verifying a nominee's compliance with restrictions related to appointment to the Bank's Supervisory Council and holding/receiving positions post-election set out in the applicable Russian laws. If serving as a public servant, the nominee must provide written confirmation of adherence to such restrictions.

Should a conflict of interest at any point impact or potentially impact the Bank's executive bodies, the Supervisory Council takes charge of its resolution, specifically its Strategy and Corporate Governance Committee. Members of the Supervisory Council facing a personal conflict of interest are suspended from the resolution process.

Report on the activities of the Supervisory Council

Meetings of the Supervisory Council are convened at the discretion of its Chairman or at the request of a Council member, the Statutory Audit Commission, the auditor, the Management Board, the President and Chairman of the Management Board or the Head of the Internal Audit Department. A quorum is formed by the attendance of at least half of the elected members.

Decisions are taken by a majority vote of participating members unless otherwise provided for by the Bank's Charter and the Regulation on the Supervisory Council.

For decision-making purposes, each member of the Council has one vote. When considering agenda items, the members of the Supervisory Council evaluate potential conflicts of interest between them and the Bank and refrain from voting on (and, if necessary, discussing) any matter that may, in their opinion, lead to a conflict of interest.

The Supervisory Council's schedule covers the period between Annual General Meetings of Shareholders and is approved by the Council. Meetings are scheduled in advance based on the Bank's business

33. The Bank's Regulation on Remuneration and Compensation to Members of the Supervisory Council (Minutes of the General Meeting of Shareholders No. 56 dated 1 July 2021).
34. The document review procedure is established by the Bank of Russia's Regulation No. 625-P On the Procedure for Approving by the Bank of Russia of Candidates' Appointment (Selection) to Positions in a Financial Institution; for Notifying the Bank of Russia about Selecting (Terminating Authorities), Appointing (Releasing from Office of) Top Managers, Other Officials in Financial Institutions; for Assessing Compliance with the Qualification Requirements and (or) Requirements for Business Reputation of the Top Managers, Other Officials and Founders (Shareholders, Members) of Financial Institutions; for Forwarding Information to the Bank of Russia by a Member of a Financial Institution's Board of Directors (Supervisory Board) on Voting (Non-voting) against a Decision Made by the Board of Directors (Supervisory Board) of a Financial Institution; for Requesting Information from the Bank of Russia and the Latter's Replying Regarding the Availability (Non-availability) of Information in Databases Stipulated by Articles 75 and 76.7 of Federal Law No. 86-FZ, Dated 10 July 2002, 'On the Central Bank of the Russian Federation (Bank of Russia)'; and on the Procedure for Maintaining Such Databases dated 27 December 2017.

cycle and may be held in person or in the form of absentee voting. If necessary, they may be held out of schedule. The format of each meeting is determined in accordance with the Bank's Charter with due regard to the importance of its agenda, with the most important matters to be resolved at in-person meetings.

At each meeting, members of the Supervisory Council are updated on the implementation of their resolutions and instructions as well as directives of the Russian Government. Members may review meeting materials in advance, along with the Committees' recommendations and opinions on agenda items.

Any member who is unable to attend a meeting in person has the opportunity to participate via conference calls and video conferencing (including to vote on agenda items), as well as to submit their written opinion. Any member who submits their written opinion prior to the meeting is considered to have taken part in the meeting. A written opinion may be issued in hard or soft copy, with the latter to be signed with an electronic signature using special software.

Year	Number of meetings and absentee votes	In person	In absentia	Number of matters considered
2023	19	5	14	125
2022	18	4	14	144
2021	20	7	13	150
2020	15	5	10	122
2019	16	6	10	142

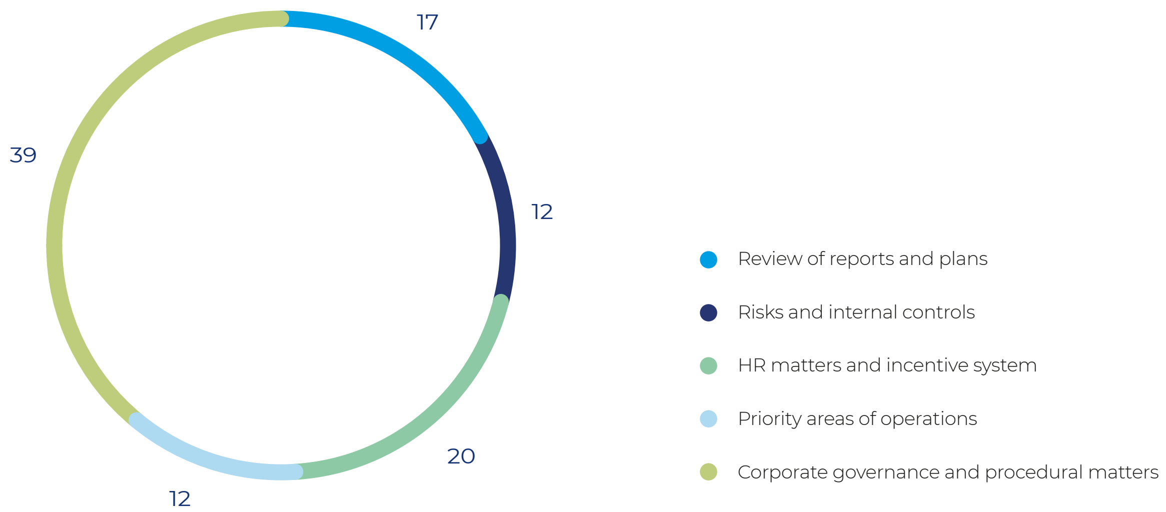
Following a meeting in person or in absentia, minutes are made to reflect the voting results and the opinion of each member of the Supervisory Council on agenda items.

In 2023, the Supervisory Council engaged with minority shareholders and also considered the Report on Cooperation with the Bank's Shareholders and a shareholder relations plan for the next calendar year.

Members of the Supervisory Council - representatives of minority shareholders took part in meetings with the Supervisory Council and meetings of the Shareholders Consultative Council.

The Supervisory Council considered a total of 125 matters in 2023, including 47 matters with the Committees' recommendations.

Matters considered by the Supervisory Council in 2023, %



Information technology used by the Supervisory Council

Since 2018, members of the Supervisory Council have been using their mobile accounts as a single access point to materials from current and past meetings of the Supervisory Council and its committees, as well as information about decisions made, participants and other data required for them to perform their duties effectively, including financial statements, press reviews, internal regulations, etc. On top of that, members of the Supervisory Council can vote remotely using an electronic signature.

In 2023, the Supervisory Council adopted Online Committee, an import-substituted system to support the activities of collegial governing bodies.

Performance assessment of the Supervisory Council

VTB Bank conducts annual assessments of its corporate governance framework, which also includes a self-assessment by members of the Supervisory Council using a questionnaire based on the Methodology for Assessing the Bank's Corporate Governance Framework approved by the Strategy and Corporate Governance Committee.

The methodology introduces the following measures of merit:

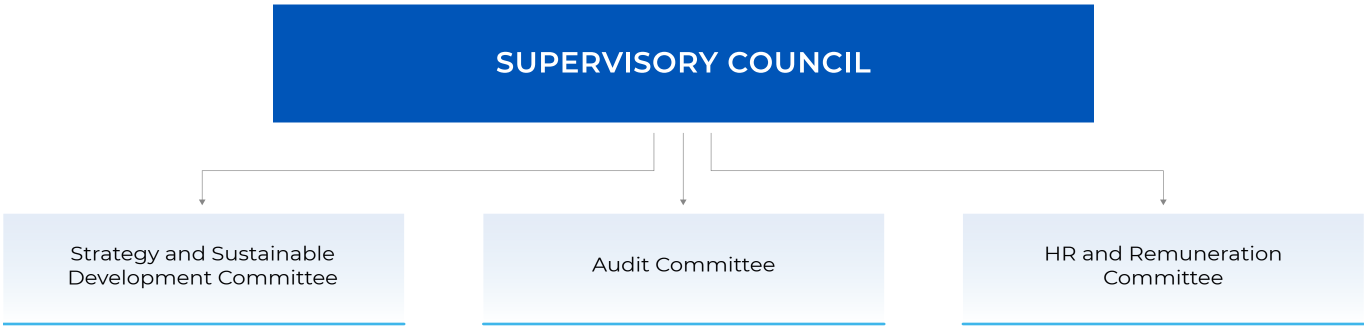
- dividing powers between the governing bodies and strategic management;
- forming the executive bodies and overseeing their activities;
- determining the principles of, and approaches to, organising a risk management system;
- monitoring internal controls;
- preventing conflicts of interest involving shareholders, members of the Supervisory Council, executive bodies;
- activities of the Supervisory Council;
- composition, structure and overall competence of the Supervisory Council; and
- information policy and disclosures.

In 2023, for the second time the Bank engaged external consultants in line with the recommendations of the Bank of Russia's Corporate Governance Code and VTB Bank's Corporate Governance Code to conduct an independent assessment of the Supervisory Council's performance.

More detailed information about the annual self-assessment of the Bank and on the independent assessment of the work of the Supervisory Council with the involvement of external consultants, as well as main results of the assessment are disclosed in the section "Development corporate governance systems in 2023» of the annual report.

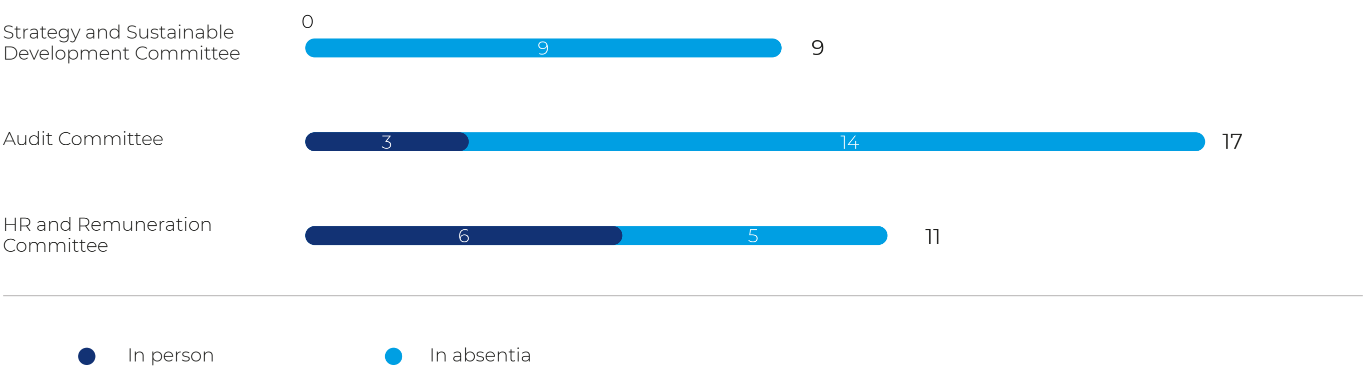
Supervisory council committees

For effective management and supervision, as well as for the preliminary detailed study of certain matters, VTB Bank has committees that develop recommendations on the most important matters within the competence of the Supervisory Council.



	Number	Independent directors	Non-executive directors	Executive directors
Strategy and Sustainable Development Committee	8	5	7	1
Audit Committee	4	4	4	0
HR and Remuneration Committee	3	3	3	0

Total number of meetings / absentee votes of committees in 2023



Strategy and Sustainable Development Committee

"In 2023, the Strategy and Sustainable Development Committee formulated recommendations for the Supervisory Council on key matters of strategic and business planning, sustainable development, and strategic directions. It reviewed and recommended for approval the Bank's Development Strategy and Long-Term Development Programme for 2024–2026, amendments to the Digital Transformation Strategy for 2022–2024, as well as the Bank's business plan and budget for 2024, and the Investment Programme and Operational Efficiency Improvement Programme for 2024. It also provided recommendations on increasing the Bank's authorised capital and prices of the Bank's additional shares to be offered as part of restructuring.

The Committee also considered a report on the implementation of the Bank's Long-term Development Programme for 2020–2023 based on the results of 2022 and a report on sustainable development for 2022. The Committee reviewed results of the corporate governance framework's appraisal and the Supervisory Council's performance assessment for 2022."

Chairman of the Committee

Duties of the Strategy and Sustainable Development Committee

The Committee assists the Supervisory Council in resolving matters in the field of strategy, sustainable development, social and environmental responsibility, as well as corporate governance. Its main duties are:

- establishment of strategic goals and priorities in the development of the Bank, including in the field of sustainable development, social and environmental responsibility, for the short, medium, and long term, and monitoring their achievement;
- support and improvement of the corporate governance framework;
- improvement of the Bank's equity strategic management activities.

29 matters

reviewed by the Strategy and Sustainable Development Committee in 2023

Key focus areas of the Strategy and Sustainable Development Committee in 2023

Strategic goals and priorities:

- Long-Term Development Programme and Development Strategy for 2024–2026;
- amendments to the Digital Transformation Strategy for 2022–2024;
- business plan and budget for 2024;
- Investment Programme and Operational Efficiency Improvement Programme for 2023 and 2024;
- report on the implementation of the Long-Term Development Programme for 2022;
- Sustainability Report for 2022.

Capital management:

- distribution of profit based on the results of 2022 and dividends;
- increase in the authorised capital of the Bank by placing additional shares and their offering price;

- plan to restore the Bank's financial stability;
- action plan to preserve regulatory capital adequacy on solo and consolidated bases.

Corporate governance:

- reports on the corporate governance framework's appraisal and the Supervisory Council's performance assessment for 2022.

Audit Committee

«The Audit Committee, comprising exclusively independent Supervisory Council members, exercised thorough control of the Bank's financial and business operations in 2023. This involved quarterly monitoring of the structure and evolution of consolidated financial results and validation of the financial statements' quality and reliability through external auditor review, whose selection is also controlled by the Committee. Discussions on managing various risk types ensured continuous oversight of the internal control framework's reliability and effectiveness.

The Committee also strongly focused on enhancing operational excellence and digitalisation. These efforts ensure effective tracking of control environment shifts during VTB's critical transformation processes."

Chairman of the Committee

Duties of the Audit Committee

Establishing an audit committee within the board of directors or supervisory council is a standard corporate governance practice globally. It ensures the creation, consistent evaluation, and upkeep of an internal control framework suited to the organisation's scale and operations, along with facilitating smooth collaboration with the internal audit function. To handle these tasks, VTB Bank has the Audit Committee, which:

- assesses and upholds the effectiveness of the Bank's internal control and risk management frameworks;
- exercises general supervision over the preparation of financial statements and the functioning of the internal control framework;
- controls and analyses the activities of the Bank's Internal Audit Department;
- interacts with the external auditor of the Bank.

The exclusive competence of the Audit Committee includes the assessment of candidates for the Bank's external auditor, assessment of the auditor's report, the effectiveness of the Bank's internal control procedures, as well as the development of proposals for their improvement.

33 matters

reviewed by the Audit Committee in 2023

Key focus areas of the Committee in 2023

In 2023, the activities of the Audit Committee were focused both on reviewing the mandatory matters provided for by the Regulation on the Audit Committee of the Supervisory Council. Special attention was paid to managing various types of risks, the Bank's operational excellence and digitalisation, as well as the areas of activities of internal and external auditors.

Control over the preparation of accounting (financial) statements:

- control over ensuring the completeness, accuracy and reliability of the Bank's financial statements;
- regular review of VTB Group's consolidated financial statements under IFRS.

Analysis of the risk management framework and maintenance of an effective and adequate internal control framework:

- monitoring the implementation of procedures for the identification, assessment, management and monitoring of risks associated with the preparation of accounting (financial) statements;
- discussion of strategic matters of the Bank's and VTB Group's development and risk management, including the corporate and retail loan portfolios' quality, and risk management results;
- review of the recommendations of the Bank's Internal Audit Department and the external auditor in order to identify risk areas in the Bank's operations that require priority attention as part of internal and/or external audit procedures;
- review of the outcomes of operational excellence and digitalisation efforts under the Paperless Banking programme;
- analysis of tools used to maintain the effectiveness of the internal control framework in the field of anti-money laundering and combating the financing of terrorism;
- preliminary analyses of amendments to the Bank's principal internal regulations that shape risk and capital management strategies, along with the application of advanced risk and capital management methods.

Interaction with the external auditor:

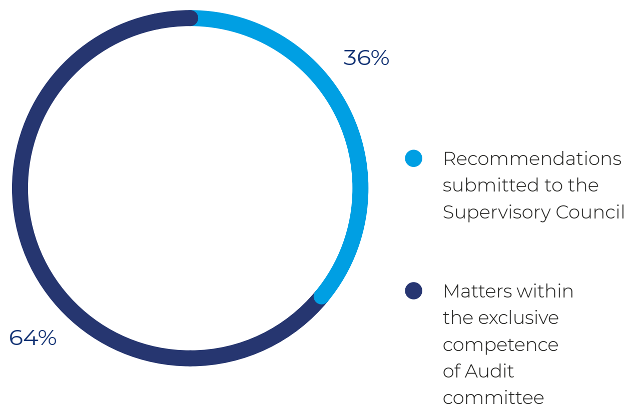
- appointment of an audit firm for the mandatory annual audit and providing the Supervisory Council with recommendations on potential external auditor;
- detailed discussion with the external auditor of approaches to the implementation of audit procedures at the stage of planning the audit of financial statements;
- analysis of the results of the external auditor's activities, evaluation of the external auditor's opinion and its recommendations as part of the audit/review procedures of the interim and annual financials of the Bank and VTB Group (under RAS and IFRS).

Performance of certain instructions of the Supervisory Council:

- monitoring of the amount of bad loan write-offs (legal entities and individuals) from the provision for possible losses on loans, borrowings and equivalent debt.

Monitoring the activities of the Bank's Internal Audit Department:

- preliminary review of the general work plan of the Bank's Internal Audit Department for the next calendar year;
- discussion of the reports of the Internal Audit Department on the main identified violations, errors and shortcomings in the operations of the Bank and its subsidiaries, including information on the measures taken to implement the recommendations and eliminate the identified violations;
- self-assessment of the Internal Audit Department's activities to ensure alignment with International Standards for the Professional Practice of Internal Auditing and the Bank's Ethics Code.



HR and Remuneration Committee

"In 2023, the Human Resources and Remuneration Committee reviewed changes to the Management Board's composition, defined key performance indicators to assess Management Board performance, and addressed other matters within its scope of competence. The Committee developed and presented its recommendations to the Supervisory Council.

It also played a key role in proposing candidates for the Supervisory Council and the Bank's Statutory Audit Commission."

Chairman of the Committee

27 matters

Reviewed by the HR and Remuneration Committee in 2023

Duties of the HR and Remuneration Committee

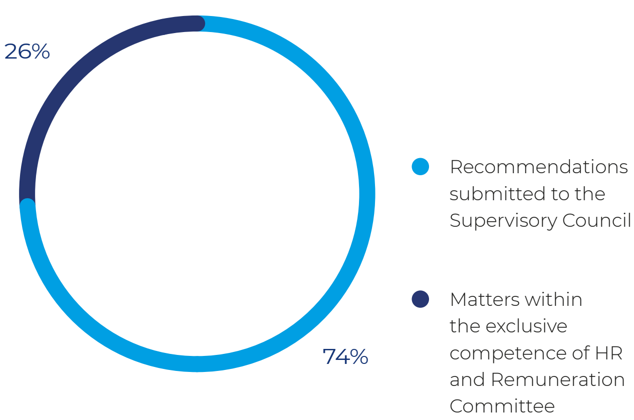
The HR and Remuneration Committee assists the Supervisory Council in addressing matters within its competence in accordance with the Regulations on the HR and Remuneration Committee. It is formed from members of the Supervisory Council who have professional knowledge and experience in its activities. Its main duties are:

- ensuring continuity in the activities of the management bodies and the Statutory Audit Commission of the Bank;
- organisation of evaluation of the activities of the governing bodies and the Statutory Audit Commission of the Bank;
- review of the Bank's personnel policy, including in the field of remuneration and control of its implementation;
- assistance in ensuring compliance the with applicable Russian laws regulating the activities of members of the governing bodies and the Statutory Audit Commission.

Key areas of the Committee's work in 2023

In 2023, the Committee considered the matters of forming the composition of the Supervisory Council and the Statutory Audit Commission, determining the amount of remuneration for work as part of the Statutory Audit Commission, forming the composition of the Bank's Management Board and remuneration of members of the Bank's Management Board, proposals on key performance indicators for evaluating the performance of the President and Chairman of the Management Board and members of the Management Board, consideration of issues of monitoring and control of the remuneration framework, assessment of the Supervisory Council performance, report on the Induction Programme.

The Committee also reviewed the compliance of Supervisory Council members with the independence criteria set out in the Moscow Exchange Listing Rules and addressed additional matters within its remit.



Remuneration payable to members of the Supervisory Council

The amount of remuneration and compensation payable to members of the Supervisory Council and the procedure of their payment are determined in accordance with the Regulation on Remuneration and Compensations for Members of the Supervisory Council[35].

Members of the Supervisory Council may receive remuneration and compensation for expenses incurred in the course of their duties during their term in office, depending on their actual involvement in the activities of the Supervisory Council and its committees.

In case of early termination or re-election of members of the Supervisory Council by an extraordinary General Meeting of Shareholders, the remuneration of a newly elected or former member of the Supervisory Council is determined pro rata to the time spent as a member of the Supervisory Council, as the Chairman of the Supervisory Council, as the senior independent director, as a member of Supervisory Council's committee or as the Chairman of Supervisory Council's committee during the corporate year.

Payment of remuneration is subject to attendance in person or participation via a conference call or video conferencing in at least half of the meetings held, as well as participation in at least half of the absentee voting held by the Bank's Supervisory Council or its committees.

In accordance with the applicable Russian laws, no remuneration is paid to members of the Supervisory Council who are public servants.

Remuneration is paid by the Bank through bank transfers; no other forms of remuneration are stipulated.

During their term in office, members of the Supervisory Council who are not public servants are compensated for all expenses they incur in the course of their duties, including accommodation, meals, travel expenses (including VIP lounge services), other transport fees and service charges.

Corporate Secretary

As the Bank's officer, the Corporate Secretary:

- oversees compliance by the Bank's governing bodies and employees with the applicable Russian laws, the Bank's Charter and internal regulations enabling its shareholders to exercise their rights and legitimate interests;
- ensures liaison between the Bank and its shareholders;
- promotes corporate governance practices; and
- contributes to the efficient operation of the Supervisory Council.

The Corporate Secretary functionally reports to the Supervisory Council and also administratively reports to the President and Chairman of the Management Board. The Corporate Secretary is appointed and dismissed by, accountable to and reports to, the Supervisory Council. The Supervisory Council reviews and approves the Corporate Secretary's report on an annual basis. The report for 2022 was approved by the Supervisory Council on 6 March 2023.

The Supervisory Council Administration operates under the guidance of the Corporate Secretary. The Corporate Secretary serves as secretary to the Supervisory Council and the General Meeting of Shareholders.

The Supervisory Council's HR and Remuneration Committee reviews nominees for the Corporate Secretary role, evaluates their eligibility, and makes recommendations to the Supervisory Council.

35. Approved by the Annual General Meeting of Shareholders (Minutes No. 56 dated 1 July 2021) in line with the recommendations of the HR and Remuneration Committee.

The Corporate Secretary acts pursuant to the Regulation on the Corporate Secretary[36], which incorporates the requirements of the Listing Rules of the Moscow Exchange, the recommendations of the Corporate Governance Code approved by the Bank of Russia, and the guidelines of the Federal Agency for State Property Management.

The Corporate Secretary's primary responsibilities include:

- organising and holding the General Meeting of Shareholders;
- facilitating the activities of the Supervisory Council and its committees;
- supporting the Statutory Audit Commission;
- managing the disclosure and storage of corporate documents;
- coordinating and overseeing interactions between the Bank and its shareholders, contributing to corporate conflict prevention;
- enhancing the Bank's corporate governance framework and practices;
- coordinating communication with federal executive bodies, the Bank of Russia, the registrar and securities market organisers, including liaising with the Moscow Exchange regarding the listing of the Bank's shares on Level 1 quotation list.

36. Approved by the Supervisory Council (Minutes No. 22 dated 7 September 2015).

2.4. Control and Audit

Internal control and audit

The internal control framework

is a vital element of the Bank's operations, which enables more efficient achievement of our strategic goals. It comprises financial and other control procedures to support the Bank's activitiesoperations and ensure employee compliance with adopted rules, asset safetysecurity, accuracy and completeness of issued documents, as well as accurate and timely performance of transactions, including those of our customers.

Internal control framework envisages control procedures for each of the Bank's areas of operations: from control mechanisms (the four-eyes principle) for all high-risk transactions to delegating authority and applying complex risk assessment and management techniques approaches involving different departments.

VTB Group's internal control framework ensures:

- **OPERTIONAL EXCELLENCE** AT VTB BANK AND VTB GROUP
- **EFFECTIVE MANAGEMENT OF ASSETS AND LIABILITIES** (INCLUDING ASSET PROTECTION) AND RISK MANAGEMENT
- **RELIABLE, COMPLETE, AND TIMELY FINANCIAL AND MANAGEMENT INFORMATION DISCLOSURE AND REPORTING**
- **INFORMATION SECURITY**
- **COMPLIANCE WITH APPLICABLE LAWS,** REGULATIONS, RULES, AND INTERNATIONAL STANDARDS OF INTERNAL AUDIT
- **NO INVOLVEMENT OF VTB GROUP OR ITS EMPLOYEES IN UNLAWFUL ACTIVITIES**

The internal control framework is a set of governing bodies, units, and officers in charge exercising control functions in line with the Bank's regulatory documents.

VTB BANK'S INTERNAL CONTROL STRUCTURE

- **GOVERNING BODIES** (GENERAL MEETING OF SHAREHOLDERS, SUPERVISORY COUNCIL, MANAGEMENT BOARD, AND PRESIDENT AND CHAIRMAN OF THE MANAGEMENT BOARD)
- **STATUTORY AUDIT COMMISSION**
- **CHIEF ACCOUNTANT** (AND THEIR DEPUTIES)
- **BRANCH MANAGERS** (AND THEIR DEPUTIES) **AND BRANCH CHIEF ACCOUNTANTS** (AND THEIR DEPUTIES)
- **BANK'S UNITS** (OFFICERS IN CHARGE) EXERCISING INTERNAL CONTROL WITHIN THEIR AUTHORITIES SET OUT BY THE BANK'S REGULATIONS

Internal audit and compliance control are important elements of the internal control framework providing an independent assessment of the controls structure. VTB Group's internal control and audit functions operate in line with best practices and in compliance with applicable laws of the countries across the Group's footprint. In addition, the VTB Group Management Committee established an Internal Audit Coordination Commission as well as a Coordination Committee for Compliance and Internal Control aimed at preventing money laundering, financing of terrorism, and financing the proliferation of weapons of mass destruction.

Structural hierarchy and convergence of internal control mechanisms provide for an appropriate level of their independence. Internal controls are monitored on an ongoing basis by the management and employees of the Bank's units, as well as by the Internal Audit Department.

Audit Committee

The Audit Committee was established under the Supervisory Council to ensure effective control over the Bank's financial and business operations.

For more details on the Audit Committee, see Supervisory Council Committees

Internal Audit Department

The Internal Audit Department helps the Bank's governing bodies to manage the Bank's operations in an efficient manner. It monitors the internal control framework, audits the Bank's risk management, accounting and financial statements, and provides independent recommendations on the improvement of the banking operations and controls.

The Internal Audit Department is a standalone unit of VTB Bank reporting directly to the Supervisory Council, which approves the Department's work plans, oversees their implementation, and reviews audit findings and reports as regards the monitoring of internal controls and the implementation of the recommendations to address identified issues.

The Internal Audit Department's organisational structure comprises units in charge of auditing the Corporate Investment Business, Medium and Small Business, and Retail Business, IT and support and control functions, as well as regional units. To ensure effective internal control monitoring in the Bank's regional network, some of the Internal Audit Department's employees are part of permanent dedicated teams at the branch level.

The Internal Audit Department lays particular emphasis on developing remote/digital means of audit to enable VTB Group to significantly increase the number of audited transactions, deals and procedures as well as the sampling depth, to automate the auditing of the Bank's processes and units, and to maintain and improve the quality of internal audit.

In 2023, the Internal Audit Department focused on minimising the time of communicating audit results to the Bank's relevant units and expanding the scope and focus areas of express audits, with fast-track result documentation and accelerated communication of outcomes to relevant units. The Department achieved its strategic targets and goals aimed at developing the internal audit methodology and digitalisation of its activities, in full and in due time.

The Department duly communicated the audit results to the Bank's management and relevant units. In 2023, it held 40 scheduled audits and checks, including 19 comprehensive audits of business processes and 21 audits of branches, as well as 500 thematic audits of the parent company's controls structure[37] and over 500 audits across the Bank's regional network. In addition to scheduled monitoring audits to oversee the progress in implementing digital solutions, technologies, and products, the Department conducted over 100 express audits.

Apart from auditing and monitoring the Bank's internal control framework, the Internal Audit Department focuses on overseeing, coordinating, and maintaining unified standards for, internal audit practices and competencies at VTB's subsidiaries. In 2023, the Department carried out various control measures across the Group's subsidiary companies and banks on a centralised and end-to-end basis.

The Bank's plan for 2024 places special emphasis on corporate lending, business profitability and sales efficiency, funding, digitalisation, anti-fraud protection, budgeting, and risk management.

The Internal Audit Department provides the Supervisory Council's Audit Committee and the Bank's external auditors with information on the internal control framework and key shortcomings identified during the audit period. In 2023, the Audit Committee of the Bank's Supervisory Council recognised the results of internal audit activities for 2022 as fully consistent with the targets and goals[38].

The Internal Audit Department has developed and started implementing the Quality Assurance and Improvement Programme, which defines the key methods and approaches to ensuring the robust performance, continuous development, as well as quality and efficiency improvement of the Department's operations covering all of the areas of internal audit. An external independent assessment of the Bank's internal audit function recognised the high level of maturity of the Internal Audit Department in terms of its objectivity, professionalism and use of state-of-the-art approaches and technologies.

Compliance control

The Bank has put in place a compliance framework. Compliance stands for the adherence to Russian laws and the Bank's internal regulations, as well as standards of self-regulatory organisations.

The Bank's compliance framework is based on the following principles:

- independence — there is a standalone unit in charge of managing compliance risks (regulatory (compliance) risks[39]);
- resource adequacy — the framework has sufficient and relevant resources for its effective functioning.

37. A set of governing bodies and units set out in the Bank's regulations and guidelines defining the Bank's organisational structure.
38. Minutes No. 217 of the Supervisory Council's Audit Committee dated 14 April 2023.
39. The risk of losses resulting from non-compliance with laws, the Bank's internal regulations, and standards of self-regulatory organisations (mandatory for the Bank), as well as losses on fines and/or other penalties imposed by external supervisory authorities.

The Bank has a dedicated unit: the Compliance Control and Financial Monitoring Department. Its key objectives are:

- to support the internal control framework in the field of countering money laundering, financing of terrorism, and financing the proliferation of weapons of mass destruction in accordance with Russian laws and requirements set out by the Bank of Russia and other regulatory authorities;
- to minimise the risks of suspicious transactions made by customers;
- to send daily reports to the Federal Financial Monitoring Service;
- to take part in managing operational risk as regards the risk of errors in exercising internal control;
- to manage regulatory (compliance) risk;
- to prevent and fight corruption;
- to provide functional coordination for VTB Group companies in terms of countering money laundering, financing of terrorism, and financing the proliferation of weapons of mass destruction, as well as internal (compliance) control in accordance with the core principles for managing a group of banks and in line with the laws of the countries of subsidiary incorporation and headquarters.

Interaction with customers

Recognising the special importance of combating money laundering, the Bank has always singled out this area as one of its highest priorities, where compliance with oversight requirements is mandatory and unconditional.

The Bank's goals for 2023 were to grow its customer base, boost customer activity, provide excellent customer service and develop the product line. To achieve these goals, it was essential to leverage synergies from business, IT, and compliance units.

In the reporting year, thanks to the direct daily contribution of the Compliance Control and Financial Monitoring Department, the Bank developed and offered new products to its customers and upgraded digital services, which have already proven sought-out in the market. Collaboration with businesses was aimed at finding simple, easy and balanced solutions to fit both innovative business demand and the Know Your Customer regulatory requirements.

One of the explosive growth areas in 2023 were cross-border transfers in friendly currencies. The Bank built up its mobile and web app capacities by expanding the geography, boosting speed, implementing and improving simple, convenient and user-friendly way to transfer money by phone or card number and payment details. To get a competitive edge and provide more transfer options for individuals, the Bank was one of the first to launch cross-border transfers via the Bank of Russia's Faster Payments System. It enables users to complete an instant cross-border transfer using only the phone number. Today, individuals can make more than 20 types of transfers via the *VTB Online* remote servicing channel.

So-called multiproducts (several products provided simultaneously under a single document, as well as additional non-banking services) are gaining momentum as a tool to boost customer loyalty. To that end, the Bank made consistent steps to streamline the provision of a number of its multiproducts in 2023. Examples include a combined contract for current account and payroll services; a current account contract with corporate finance management option to monitor expenses-related transactions and enable payment acceptance within the group of companies; a current account contract with a partner accounting and HR service. These multiproducts, notwithstanding a combination of cash management and other services, are fully aligned with the applicable financial monitoring and compliance requirements.

Integration with Otkritie Group

In 2023, the decision to integrate Otkritie into VTB Group and first steps in this field brought on new challenges and strategic goals. We completed the first-stage planning, preparations and priority measures to align the technologies and procedures, harmonise products, and develop unified customer service approaches. Thanks to this, we were able to launch the actual integration (transferring customers and their products to VTB Bank) by the end of the year.

In order to carry out the integration without impairing customer interests and our regulatory duties, the Compliance Control and Financial Monitoring Department developed core migration principles as regards AML/CFT defining the main requirements for customers and their identification details, and a set of measures to be implemented before customer migration. In cooperation with other units, the Department developed the easiest and most convenient way to move customers to VTB Bank, which served as the starting line for mass migration.

Compliance risk management

The Compliance Control and Financial Monitoring Department tracks and monitors events related to regulatory (compliance) risk on a daily basis, analyses their causes, gives recommendations to other units, and oversees their implementation.

The Compliance Control and Financial Monitoring Department is in charge of methodology for business ethics, anti-corruption requirements set out by Russian laws, and handling queries by employees, customers, counterparties, partners and others regarding the potential conflict of interest, corruption practices, violations of corporate conduct and business ethics rules, unauthorised use of insider information, and market manipulation (via the hotline for reporting violations and abuse). The Department receives and analyses these queries, provides feedback to settle the cases and prevent them in the future, and provides training and consultations for the Bank's employees in this field.

Information concerning regulatory (compliance) risk with a breakdown by business areas is reported to the Bank's designated bodies on a quarterly basis.

In 2023, the Bank took part in the Russian Business Anti-Corruption Rating conducted by the national non-governmental organisation Russian Union of Industrialists and Entrepreneurs. Following the analysis of its procedures and processes, VTB Bank received a top rating of AAA+++, which attests to the Bank's exceptional anti-corruption efforts.

Coordinating the Group subsidiaries

VTB Group Management Committee has established a Coordination Committee for Compliance and Internal Control (the "Committee"), which ensures the efficient development of internal (compliance) control in order to prevent money laundering, financing of terrorism, and financing the proliferation of weapons of mass destruction by VTB Group companies and improve practical interaction in this area through joint work of dedicated units and experts of the Group companies.

During its meeting in 2023, the Committee encouraged the ongoing exchange of best practices and solutions in compliance and countering money laundering, financing of terrorism, and financing the proliferation of weapons of mass destruction between the Group companies. It also gave instructions to enhance internal control framework and regulations within the Group overseeing their timely, full and proper implementation by the Group companies (in line with the laws of the countries of subsidiary incorporation and headquarters).

The key instructions were:

- to improve mechanisms for identifying and managing regulatory (compliance) risks. The Group companies developed and optimised procedures, as well as implemented new communication channels, to prevent commercial bribery and corruption, detect conflicts of interest, encourage employees to use the hotline for reporting violations and abuse, and assess and minimise regulatory (compliance) risks;
- to enhance the efficiency of money laundering risk management. Based on the new classifications of suspicious transactions, the Group companies enhanced their tools to minimise the risk of and prevent such transactions, including during the launch of new banking and non-banking services;
- to maintain operations in the new economic environment. The Group companies continued to fully adhere to the existing restrictions, while also maintaining customer loyalty.

Participation in governmental projects and legislation

In 2023, the Bank of Russia's digital rouble project proceeded to an active stage. During the year, the Compliance Control and Financial Monitoring Department was directly involved in developing requirements as regards the prevention of money laundering and financing of terrorism, and testing IT solutions to pilot the digital rouble platform, including by opening digital accounts and making digital rouble transactions. The AML/CFT controls developed by the Department laid the foundation for the future roll-out of the pilot project and its fine-tuning for customer use.

VTB Bank is a permanent member of specialised committees of professional associations: the Association of Banks of Russia (the Association "Russia"), the National Financial Market Council and Compliance Council under the Federal Financial Monitoring Service. As a permanent member, the Bank takes part in the development of legislative initiatives, proposes improvements to regulatory standards in the area of anti-money laundering, combating the financing of terrorism, and compliance, and joins efforts with representatives of specialised financial organisations and government agencies to develop integrated solutions and uniform approaches to the implementation of legislative requirements.

Statutory audit commission

The Bank has in place a Statutory Audit Commission to exercise control over its financial and economic operations, which makes sure the Bank's operations are aligned with the interests of its shareholders and comply with the applicable Russian laws.

The Statutory Audit Commission oversees the following:

- the Bank's compliance with Russian accounting regulations, compiling reports and reporting;
- reliability of information contained in the reports and other financial documents;
- set-up of the internal control framework;
- steps taken in furtherance of instructions from the Russian President and the Russian Government.

The Commission acts on the basis of the Charter and the Regulation on the Statutory Audit Commission of the VTB Bank. The Commission is elected at the Annual General Meeting of Shareholders, which determines its size and composition for the period until the next Annual General Meeting. At the meeting held on 30 June 2023, the Annual General Meeting of Shareholders elected a new Statutory Audit Commission made up of five members, including a chairman, for a new term.

In 2023, according to the 2022–2023 work plan[40], the Statutory Audit Commission reviewed the data included in annual accounting (financial) statements for 2022 in compliance with the Russian Accounting Standards (RAS), including the statement of financial results and other documents presented to the Annual General Meeting of Shareholders. It also assessed the Bank's compliance with the applicable Russian laws in 2022. Following the review, the Statutory Audit Commission prepared and approved an opinion, where it acknowledged the overall accuracy of the accounts and the absence of material grounds for not confirming the data in the balance sheet and the statement of financial results as of 1 January 2023.

In its opinion, the Statutory Audit Commission reaffirmed the following:

- no violations of regulations of the Russian Federation as regards accounting and reporting procedures or financial and business operations were found that could have had a significant impact on the Bank's financial results for 2022;
- the Bank's annual accounting (financial) statements for 2022 and other financial documents are reliable and fair and provide a true picture of the Bank's financial position as of 1 January 2023;
- the Bank's Annual Report for 2022 was prepared in accordance with the applicable Russian laws;
- the information contained in the report on interested-party transactions completed by the Bank in 2022 is accurate;
- the Bank complies with the statutory requirements set by the Bank of Russia;
- the Bank's corporate governance, risk management and internal controls meet the requirements set by the Russian laws and regulations of the Bank of Russia and are in accordance with the nature and scale of the Bank's operations.

The opinion of the Statutory Audit Commission on its audit of the Bank's financial and business operations in 2022 was presented to the Annual General Meeting of Shareholders on 30 June 2023.

In line with its 2022–2023 work plan, the Statutory Audit Commission held two in-person meetings which reviewed the following matters, among others:

- implementation of the staff and administrative budget in accordance with RAS;
- execution of the business plan for net operating income including provisions (RAS);
- implementation of the Development Strategy and Long-Term Development Programme;
- integration of the provisions of the Bank of Russia's Corporate Governance Code into the Bank's programme documents;

40. Minutes No. 1 dated 27 June 2022.

- assessment of the organisation and monitoring of internal controls;
- the procedure for calculating dividends paid by the Bank;
- implementation of the non-core asset disposal programme;
- implementation of the Investment Programme;
- compliance with procurement procedures;
- implementation of instructions and directives of the Russian Government;
- the accuracy of information contained in the report on interested-party transactions completed by the Bank in 2022;
- internal regulations governing the activities of the Statutory Audit Commission;
- election of the Chairman of the Statutory Audit Commission;
- approval of the Statutory Audit Commission's work plan for 2023–2024 (corporate year);
- approval of the programme for auditing financial and business operations for 2023–2024 (corporate year);
- approval of the programme for verifying the analysis of the Bank's internal regulations by the Statutory Audit Commission.

In 2023, VTB Bank regularly provided the members of the Statutory Audit Commission with information necessary to monitor the Bank's financial and business operations, including annual and interim accounting (financial) statements under RAS, consolidated financial statements under IFRS, as well as information on the Bank's implementation of directives and instructions issued by the Russian Government, on the Long-Term Development Programme and on the non-core asset disposal programme.

In 2022, the Bank's Annual General Meeting of Shareholders approved the Regulation on Remuneration and Compensation Paid to Members of the Statutory Audit Commission in accordance with the recommendations of the Supervisory Council's HR and Remuneration Committee (Minutes No. 58). According to this document, the remuneration is paid to members of the Statutory Audit Commission for the period from election to the Statutory Audit Commission at the General Meeting of Shareholders to election of a new Commission at the next General Meeting (the "Calculation Period"). Remuneration payable to the Statutory Audit Commission for performing its duties in the Calculation Period includes the following components:

- the basic part for performing relevant duties;
- a bonus for chairing the Statutory Audit Commission.

The basic part of the remuneration paid to members of the Statutory Audit Commission is 20% of the average remuneration paid to a member of the Bank's Supervisory Council who is not a public servant. The basic part is payable to a member of the Statutory Audit Commission provided they were present at and / or attended remotely in the form of a conference call and / or video conferencing at least half of the meetings and participated in at least half of absentee votes held by the Statutory Audit Commission in the Calculation Period.

The Bank established a bonus equal to 30% of the basic remuneration paid to Commission members for chairing the Commission. The bonus is payable to the Chairman of the Statutory Audit Commission for performing relevant duties provided they were present at and / or attended remotely in the form of a conference call and / or video conferencing at least half of the meetings and participated in at least half of absentee votes held by the Statutory Audit Commission in the Calculation Period.

The actual remuneration paid by the Bank to each member of the Statutory Audit Commission is determined by the Commission Chairman and reviewed by the Supervisory Council's HR and Remuneration Committee.

External auditor

Every year, VTB Group engages an independent external auditor to check and verify its annual accounting (financial) statements and consolidated financial statements.

In March 2023, VTB Bank held an online tender to select an auditor for carrying out a statutory annual audit of the Bank's accounting (financial) statements for 2023[41]. The auditor was selected by a tender commission consisting of authorised Bank employees and a representative of the Federal Agency for State Property Management.

Following the online tender, VTB Bank and Centre for Audit Technologies and Solutions LLC signed a contract on the audit of the Bank's accounting statements under RAS and VTB Group's consolidated financial statements under IFRS for 2023.

Information on the auditor's remuneration

	Reporting period for which the audit / review was carried out	Procedure for determing the amount of the auditor's remuneratiopn	Actual amount of remuneration paid by the Bank to the auditor, RUB thousand (including VAT)
Audit	Compulsory annual audit of financial statements		
	2023	Open tender, the results of which were approved by the Supervisory Council	71,677.1
Review	Review of interim consolidated financial statements under IFRS		
	3 months of 2023	Purchase from a sole supplier	26,400.0
	6 months and 9 months of 2023		77,400.0
Audit of the Sustainability report	2023	Purchase from a sole supplier	3,000.0
Audit of the Implementation of the Long-term develop-ment programme	2023	Purchase from a sole supplier	5,168.9

There are no deferred or overdue fees for auditor's services.

41. Held in accordance with the requirements set out by Federal Law of the Russian Federation On Banks and Banking Operations No. 395-1 dated 2 December 1990. The tender procedure was governed by Federal Law of the Russian Federation No. 44-FZ *On the Contract System of the Federal and Municipal Procurement of Goods, Works and Services* dated 5 April 2013.

2.5. Investor relations

VTB Group's senior management and dedicated units engage with investors on an ongoing basis. Such units include the Investor Relations Department and its Shareholder Relations Service (responsible for communications with retail shareholders), as well as the Corporate Secretary. Another unit interacting with shareholders is VTB Registrar, a subsidiary of VTB Bank.

In 2023, face-to-face investor events resumed after the pandemic played a crucial role in shareholder engagement. The offline format has proved its effectiveness and, alongside remote communication channels, has become an integral part of investor relations programmes.

The Bank and Group's subsidiaries implement various projects and programmes intended to enhance minority shareholders' engagement in VTB Bank's governance and to increase their loyalty and interest in the Group's long-term development.

Key investor and shareholder facts and events in 2023:

- increasing in the number of retail investors to an all-time high of 873 thousand;
- offering two additional issues of the Bank's ordinary shares;
- holding two Extraordinary General Meetings of Shareholders and one Annual General Meeting of Shareholders in the form of absentee voting;
- resuming disclosure of financial statements (on a quarterly basis) and key financial highlights (on a monthly basis);
- resuming in-person meetings with shareholders and financial literacy events;
- creating Controlling Stake, a new Telegram channel for retail investors;
- fixing issues with access to the Shareholder mobile app for iOS users, developing a web version of the app;
- holding Building Trust in the Stock Market, an online conference for retail investors;
- promoting cooperation between VTB's Shareholders Consultative Council and the Association of Retail Investors (holding joint events, including the Retail Investor: New Era, New Opportunities forum).

873 thousand

retail shareholders, a new record figure

The share of retail shareholders in total free float stood at 16.4% as of the end of 2023.

Shareholder growth factors:

- rapid influx of new private investors to the stock market;
- offering of additional issues of ordinary shares;
- resumption of financial reporting;
- improved financial performance of the Bank;
- implementation of a programme to enhance shareholder loyalty and engagement;
- new formats for shareholder relations.

Shareholder meetings and events

In 2023, VTB resumed regular in-person meetings with minority shareholders. These events offer a unique opportunity to engage with existing and potential investors, while also enabling minority shareholders to obtain first-hand information on current developments in the Group and corporate plans for the nearest future.

In 2023, the first event of this kind was a workshop held in Samara at the beginning of February, while the reporting year's final event was the Investor Day in St. Petersburg. In the reporting period, VTB held a total of eight events for shareholders and customers of the Group, with overall attendance exceeding 1.5 thousand people. Guests praised the events and an opportunity to ask pressing questions, most of them focusing on the Group's current and projected financial performance, new development strategy, and potential resumption of dividend payments.

For the purposes of developing the agenda for upcoming meetings and selecting relevant speakers, the Group relies on feedback from shareholders (particularly, evaluation of past events), hot topics, and submitted proposals. Apart from the Bank's management, regular participants in the 2023 events included officials from the Association of Retail Investors and the Association of Bondholders, and representatives of VTB Group's subsidiaries, SOGAZ Insurance Group and VTB's Shareholders Consultative Council.

1 **Kaliningrad**

WORKSHOP FOR INVESTORS AND SHAREHOLDERS

129 PARTICIPANTS **34** QUESTIONS

2 **St. Petersburg**

INVESTOR DAY

477 PARTICIPANTS **86** QUESTIONS

3 **Krasnoyarsk**

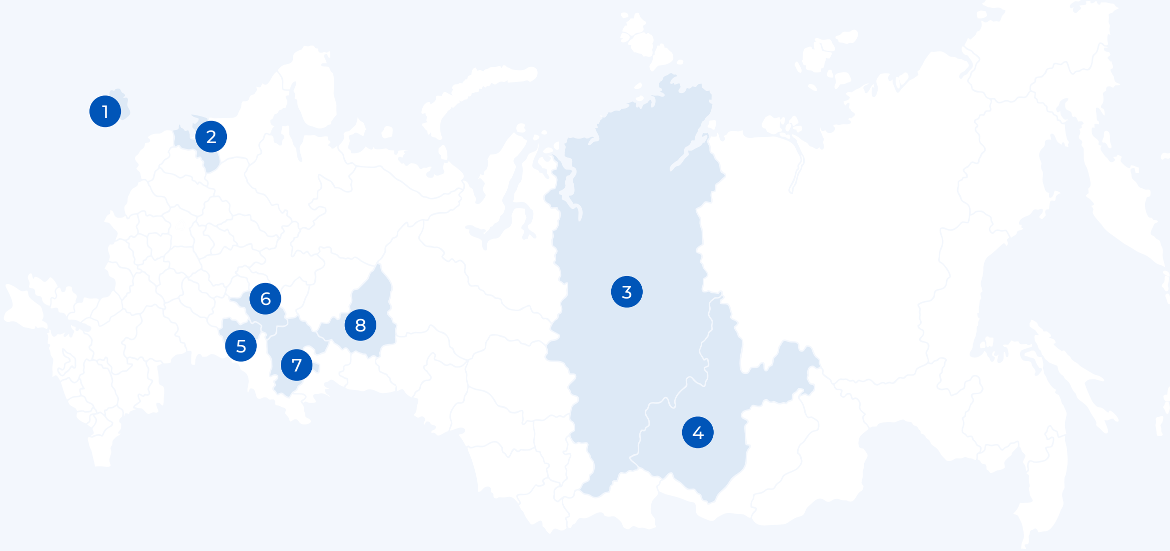
WORKSHOP FOR INVESTORS AND SHAREHOLDERS

100 PARTICIPANTS **15** QUESTIONS

4 **Irkutsk**

WORKSHOP FOR INVESTORS AND SHAREHOLDERS

87 PARTICIPANTS **10** QUESTIONS



5 **Samara**

WORKSHOP FOR INVESTORS AND SHAREHOLDERS

97 PARTICIPANTS **5** QUESTIONS

6 **Kazan**

INVESTOR DAY

153 PARTICIPANTS **12** QUESTIONS

7 **Ufa**

WORKSHOP FOR INVESTORS AND SHAREHOLDERS

105 PARTICIPANTS **16** QUESTIONS

8 **Yekaterinburg**

INVESTOR DAY

366 PARTICIPANTS **28** QUESTIONS

In 2023, the Bank continued offering webinars and podcasts to shareholders and investors, as this practice had proven its efficiency over years. In December, the Bank's management held an online meeting with the Association of Retail Investors as part of the Association's Dialogue with the Issuer project. The participants discussed VTB's financial performance, dividend policy and development strategy, while also speaking about the Bank's shareholder relations. The podcast of the meeting was accessed by over 1,000 people.

One of the innovations in 2023 was the launch of an online conference platform for retail investors, which hosted its first event (Building Trust in the Stock Market conference) on 7 June 2023. The conference was attended by stock market experts, officials from the Association of Retail Investors, Association of Bondholders, Expert Council for the Protection of Retail Investor Rights under the Central Bank of Russia, Investor Protection Club under the Moscow Exchange, VTB's Shareholders Consultative Council, and well-known financial bloggers. The experts answered shareholder and investor questions, with the online conference garnering over 3,000 views.

SHAREHOLDER mobile app

>89 thousand

users of the old mobile app version

>4 thousand

users of the new mobile app and web version

After it became available on the Russian platforms (following blocks by foreign platforms – App Store and Play Market), the Shareholder mobile app added new features and offered its users a new web version.

The mobile app for retail investors is unique in the Russian market, as it enables shareholders (regardless of their place of residence or share registration) to perform most of the necessary actions remotely, access news about the Bank and VTB Group, participate in management by voting at General Meetings of Shareholders, and receive event announcements. Starting 2023, investors can also use the app to register for events, ask questions to speakers, take part in polls and tests, and attend online conferences.

App users have access to recommendations from the leading analysts of VTB Group and information on stock prices, and can keep track of their investment portfolio and catch up on important corporate updates. The app enables users to view all shareholder privileges. In addition to that, the app keeps shareholders updated on financial and corporate law changes and provides them with relevant advisory and support information.

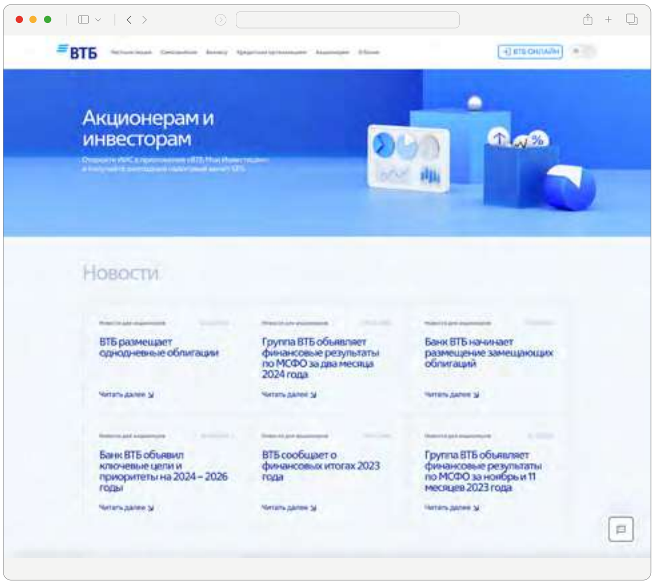
The updated app version was installed by around

5,000 shareholders

with the web version accessed by more than

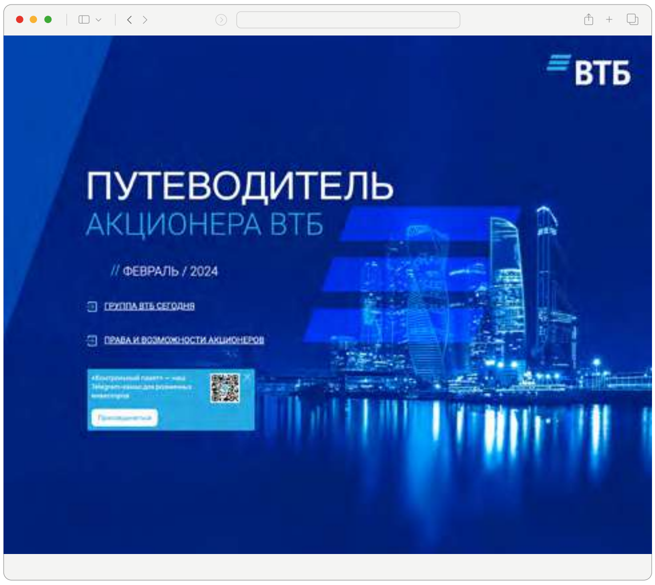
1,000 users

Investor relations section on the VTB website and shareholder's guide



>1.16 million

views in 2023



>20 thousand

views in 2023

Shareholder newsletter

Email newsletters have traditionally been one of the most popular and efficient communication channels. Shareholder News Digest, an information newsletter distributed through email, covers:

- financial results of the Group;
- corporate events of the Bank;
- shareholder meetings;
- business news of VTB Group;
- online shareholder communications;
- shareholder privilege programme.

~200 thousand recipients

of VTB's shareholder newsletter

The Investor Relations section on the VTB website and the Shareholder's Guide, an interactive advisory hosted by a separate dedicated website, boast the highest penetration and traffic rates among all digital communication channels. Both resources offer regular upgrades and add new sections. In 2023, cumulatively they garnered over 1 million views. The most visited subsections were Shareholder Events, Shareholder Privileges, and VTB Stock Dividends.

Social media

Social media are a fundamental shareholder relations channel. The Bank's accounts cover an audience of over 50 thousand people. In January 2023, we launched the Controlling Stake Telegram channel, which is used alongside the VKontakte community and an account on Pulse (Tinkoff Investments social network for retail investors) to keep shareholders updated on financial market news and important events at VTB Bank. In 2023, the Bank posted approximately 500 information and news pieces, which garnered over 8,500 comments and reactions from users.

The Bank's social media provide extensive coverage of VTB Group's corporate events and initiatives, and operations of the Shareholders Consultative Council. Dedicated publications spotlight preparation and implementation of corporate procedures, including SPO and General Meetings of Shareholders. Followers have access to key financial market news and updates on changes in Russian corporate governance and stock market laws.

>50
thousand users
following the Bank's accounts for shareholders on social media

Online training courses

Given an increase in the number of its shareholders, the Bank develops training courses to improve the financial literacy and investment culture of retail investors.

In 2023, the Bank joined forces with the Shareholders Consultative Council to create an online financial literacy test assessing investor knowledge of corporate governance, stock market instruments and VTB's practices in shareholder relations. The test results are used to draft meeting agendas and determine focus areas for educational programmes.

With reliance on investor feedback, including the test results, the Bank developed *I am a Shareholder*, an interactive corporate governance course launched in early 2024 for those seeking to participate in company management and looking beyond simple purchase and sale operations to focus on share ownership. The project's goal is to foster investment culture in the private segment and shift emphasis from speculation towards long-term investments. This marathon course combines theoretical and practical knowledge in corporate law, economics and finance, while also reflecting singularity of the Russian stock market environment in the current situation.

Management of shareholder queries

In 2023, the Bank processed an average of 552 queries from minority shareholders per month, with the total number of queries reaching 6,623.

Shareholders primarily used electronic communication channels (>90% of queries). In 2023, the number of queries on corporate events and procedures, brokerage services and share registration demonstrated year-on-year growth.

>6
thousand queries
from minority shareholders processed in 2023

Shareholder centres

Shareholder centres run in Moscow, St. Petersburg and Yekaterinburg are important tools facilitating communication with minority shareholders in the regions of their greatest concentration. In 2023, Moscow's shareholder centre relocated to a more convenient location in terms of its accessibility and proximity to the metro station.

Shareholder centre locations

The main goal of shareholder centres is to provide personal advice on registration and ownership of VTB shares, which is of particular relevance for the older generation. Another important mission is to provide shareholders with materials for General Meetings of Shareholders. In 2023, three General Meetings of shareholders were held (one annual and two extraordinary), which preordained the main topics of shareholder queries during that period. Most queries revolved around resolutions adopted by the Meetings and procedures applied for their implementation.

Availability of shareholder centres in the regions of operation helps engage an increasing number of shareholders in a meaningful dialogue with VTB. In 2023, Yekaterinburg and St. Petersburg hosted Investor Days, the most important shareholder events attended by a total of approximately 1,000 people.

Support for veteran shareholders

The Bank pays special attention to the social support of veteran shareholders and traditionally congratulates them on the Victory Day. In 2023, memorable gifts were handed out to 274 shareholders from 21 regions. Most of them (240 people) are residents of St. Petersburg and the Leningrad Region, including those who survived the Siege of Leningrad.

Preferential products for shareholders

The special offer programme has been in place since 2017, providing shareholders with a wide range of services across the retail portfolio. Shareholders are entitled to a set of privileges (including premium services) pro rata to their stake in the Group. The programme is highly popular among investors, with 309 thousand minority shareholders having benefited from preferential services by the end of 2023.

Shareholders can apply for their privileges at any VTB branch. The shareholder's status is checked automatically. Clients of third-party brokers may be required to provide a proof of securities they hold.

The special offer programme is part of the Bank's wider system governing relations with shareholders and investors entitled to special tariffs and service terms for key products. Shareholders have access to the Prime and Privilege packages of preferential services, discounted insurance programmes, reduced brokerage, registration and depository fees, and pension insurance products. In August 2023, cash loans at discounted interest rates were reintroduced into the shareholder preference and privilege programme.

Shareholders Consultative Council

The Shareholders Consultative Council (SCC) is an independent expert advisory and consultative body that advocates the interests of the Bank's retail investors. SCC consists of VTB's minority shareholders.

SCC members are elected by the vote of VTB shareholders once every four years. Each shareholder has 12 votes (irrespective of their stake), which are distributed among all candidates. The fourth line-up of the SCC was elected in 2021 and will remain in office until 2025. Chairman elected by the SCC members provides overall guidance and leadership for the Shareholders Consultative Council.

In 2023, the SCC members took active part in the preparation and organisation of face-to-face meetings with shareholders. Feedback and recommendations collected during these events were included in the plan of communications with VTB management and underpinned initiatives proposed to the Bank. Among other things, the SCC discussed development of VTB's brokerage business and new digital services, performance of the Medium and Small Business segment, and plans for creating a line of products and services for entrepreneurs. Discussions resulted in proposals on enhancement of the product offering, service quality improvements, streamlining of communications with customers and shareholders, and promotion of new avenues and opportunities for collaboration with management.

The SCC actively supported operations of the Association of Retail Investors, which had been established at the initiative of the SCC members and through their direct involvement. In 2023, the Association drew attention of the investment community to the problems faced by retail investors. With backup from the SCC, it engaged in a dialogue with the Bank of Russia, Russian Ministry of Finance and Ministry of Economic Development, State Duma, Moscow Exchange, Russian public joint-stock companies and leading associations. In the span of one year, the Association received over 200 queries and proposals, with more than 10,000 people participating in its events or viewing their streams and about 700 users starting to follow its online accounts. The SCC member and chief executive officer of the Association of Retail Investors was invited to join the Expert Council for the Protection of Retail Investor Rights under the Central Bank of Russia.

In December 2023, the Association of Retail Investors organised the Retail Investor: New Era, New Opportunities forum in Moscow to sum up the results of the past 12 months. More than 300 people participated in the forum, with 20 speakers talking to the audience and over 1,000 viewers joining the online stream. Session speakers included representatives of the Russian Ministry of Finance and Ministry of Economic Development, Bank of Russia, Moscow Exchange, major issuers and well-known investment bloggers.

In 2023, the SCC held the first meeting of its Club comprising current and previous SCC members. During these meetings, the Club members plan to develop proposals and recommendations on improving the corporate governance practices of the Russian stock market and putting in place tools to protect the rights and interests of retail investors.

The Annual General Meeting of Shareholders in 2023 elected two SCC members to the Supervisory Council. Another SCC member joined the Bank's Statutory Audit Commission. This gives the SCC more leverage in protecting the interests of minority shareholders.

The SCC proceeded with the implementation of its inclusive financial literacy project launched in late 2022. The SCC members regularly provide consultations to the readers of Russian Disabled, a nationwide charity newspaper published by the Moscow Municipal Organisation of the All-Russian Society of Disabled People in a circulation of 15,000 copies and distributed across the country free of charge. In 2023, 10 publications were made on financial and legal topics that might be of interest to readers.

2.6. Information policy and disclosures

Disclosure is one of the most important tools for the Bank's interaction with shareholders, investors, customers, and other stakeholders. It contributes to the creation of long-term, transparent and trust-based relationships with all stakeholders, while also improving the Bank's investment case.

The existing disclosure system allows providing all necessary information to the Bank's stakeholders. In 2023, however, disclosures were subject to certain limitations designed to minimise the sanctions risks from unfriendly countries.

Throughout 2023, the Bank's Supervisory Council monitored compliance on the part of the Bank and its employees with the requirements of the laws of the Russian Federation on the securities market, on the protection of the rights and legitimate interests of investors in the securities market and on advertising; the regulations of the Bank of Russia concerning financial markets; and the requirements and standards of self-regulatory organisations of professional securities market participants that the Bank is a member of; as well as the Bank's internal regulations, including the Regulation on the Information Policy[42].

In the reporting year, the Bank resumed partial disclosure of financial statements under Russian and international standards, its Annual and Sustainability reports.

INFORMATION ABOUT THE BANK'S OPERATIONS CAN BE DIVIDED INTO THREE GROUPS

1 Information that must be disclosed in the prescribed manner and by the means specified in regulatory documents and by regulatory authorities.

2 Information disclosed by the Bank on a voluntary basis by any means chosen by the Bank.

3 Publicly available information that is freely provided at the request of stakeholders for informational purposes.

42. Approved by the Supervisory Council (Minutes No. 18 dated 1 December 2017).

1st place

in Interfax's ranking of Disclosure Leaders of the Year

≈86 million

visitors on the Bank's website

≈900

published press releases

In its 2023 disclosures, the Bank heeded ongoing developments, promptly changing Russian legislation, requirements of the Moscow Exchange and recommendations of the Bank of Russia on information disclosure, Regulation on the Information Policy, VTB's Corporate Governance Code, and other requirements and regulations.

In view of the sanctions risks, in 2023 the Bank also sought to maintain a balance between the scope of information disclosed that is mandatory for public joint-stock companies and complying with the recommendations of the Bank of Russia[43] and the Russian Government to limit the disclosure of sensitive information.

Disclosure principles

Regularity, consistency and timeliness of disclosures

Veracity, completeness, and comparability

Accessibility of disclosed data

Reasonable balance between openness and commercial interests

Protection of information, containing state, trade and / or banking secrets and / or meant for internal use by the Bank only, as well as any other information protected by law, including insider information and personal data

43. Information letter of the Bank of Russia No. IN-03-23/69 dated 20 May 2022, information letter of the Bank of Russia No. IN-02-28/81 dated 14 June 2022, information letter of the Bank of Russia No. IN-02-28/108 dated 24 August 2022.

Primary disclosure channels	2023 results[44]
The Interfax newswire and the Bank's dedicated page: http://www.e-disclosure.ru/portal/ company.aspx?id=1210	• 8,267 statements — the 1st place in Interfax's ranking of Disclosure Leaders of the Year • 4 amendments to the Charter • 2022 Annual Report • annual accounting statements for 2022 • interim accounting statements for six and nine months of 2023 • consolidated financial statements for 2022 • interim consolidated financial statements for six and nine months of 2023 • issuer's report for six months of 2023 • new versions of the Regulation on the Management Board and the Regulation on the Statutory Audit Commission • other documents as required by law
VTB Bank's official website: www.vtb.ru and www.vtb.com, which offer the most complete information about the Bank's operations and are regularly updated in accordance with the applicable laws and the Bank's internal regulations.	In addition to information published in accordance with the applicable laws, the Bank disclosed: **877** press releases **85.8 million** website visits in 2023
The Bank's account with the Unified Federal Register of Legally Significant Information on Activities of Legal Entities, Individual Entrepreneurs and Other Subjects of Economic Activity https://fedresurs.ru/ company/83665852f-517a-4f4f-a4ff- c779c25035bd	**217** statements
Information workshops, conferences, press conferences, meetings, forums and other meetings with stakeholders:	• 4 conference calls following the disclosure of IFRS statements • 5 workshops for shareholders and investors and 3 retail investor days • video podcast for shareholders and investors • online conference for shareholders and investors

VKontakte

220
THOUSAND FOLLOWERS

Odnoklassniki

66
THOUSAND FOLLOWERS

Telegram

262
THOUSAND FOLLOWERS

44. The scope and/or volume of some disclosures were limited in line with applicable Russian laws.

Pushing the boundaries and shaping the future

03. Sustainable development

VYACHESLAV GRULEV IN THE RPL MATCH FROM SOCHI. © FCDYNAMO.RU

3.1. Sustainable Development Strategy: progress in 2023

In 2023, the Bank continued to implement its Sustainable Development Strategy[45] through 2025. Key achievements:

Contributing to sustainable economic development

Investments in infrastructure

The Bank met its target of RUB 150 billion investments in infrastructure projects by 2023. Key results:

- Infrastructure facilities were built in the industrial park of the Alabuga Special Economic Zone in Tatarstan.
- Deng Xiaoping logistics hub and related infrastructure in the Ethylene-600 industrial park in Tatarstan are under construction.
- In Bashkortostan, a regional public road (Eastern exit) connecting Ufa to the M-5 Ural federal highway is under construction.
- The Bank is a concessioner in installing photo and video cameras. After completing the installation of video surveillance systems in Murmansk in 2022, the Bank joined forces with Rostelecom to embark on a similar project in St. Petersburg in the reporting year. On top of that, the Bank is a concessioner in the creation and reconstruction of tram lines in the largest urban agglomerations.
- Investments in highway concessions: the Group and its partners applied for private concessions in constructing and operating sections 2–4 and 5–6 of Shirotnaya, a new urban expressway in St. Petersburg. The parties signed a concession agreement for section 5–6 in December 2023. The first section of the Shirotnaya expressway — the interchange between Vitebsky Avenue and the Western High-Speed Diameter — is now at the construction stage. The Group helped build and operate the WHSD, too.
- VTB is running a joint project with the Russian Post to upgrade logistics infrastructure and set up 16 postal hubs across Russia. Hubs in Novosibirsk, Nizhny Novgorod and Perm are already up and running.

Support of small and medium enterprises

In 2023, similarly to previous years, VTB participated in government business support programmes, offering preferential financing terms and facilitating lending to SME customers. The Bank continued to advance its digital platform for SME lending.

For more details on SME support, see Medium and Small Business

A credit conveyor is in place to issue loans to medium enterprises under the general credit procedure. This is a completely new proprietary solution integrated with several dozen other information systems of the Bank, including a limit server, a builder of loan products, a creator of loan and collateral documents, and loan committees. The credit conveyor embraces establishment,

45. Approved by the Supervisory Council on 19 November 2021 (Minutes No. 17).

review, approval and change of limits along with decision-making on transactions and amendments of transaction terms, and decision-making in the process of monitoring.

The credit conveyor for small enterprises saw a new process launched that enables the approval of several lending products in a single application. This helps cut review labour inputs, fast-track applications, create a single document package, and make decisions on several products at once.

Mobile bank development

VTB is among few players to provide its customers with access to mobile banking on any operating system despite the pressure of sanctions.
2023 results:

- The number of mobile-only customers surged by 140%.
- The number of monthly active mobile users in the SME segment reached around 200 thousand, up 69% year-on-year.
- User activity rose by 84% to 6.9 million sessions in December 2023.
- The base of active mobile banking users expanded by 58% year-on-year to exceed 265 thousand.
- Number of payments via the mobile app went above 1.2 million in December 2023.

Better accessibility of non-financial services

In 2023, the Bank made 36 business services available to its customers, including 26 through the website and mobile versions of VTB Business Platform. Offices also provide access to 20 most popular services. Key highlights of the year:

- The Business Connect procurement and bidding platform expanded the list of participants and deepened integration with the Bank's services. VTB Group companies leverage the platform to procure goods and services. Business Connect is integrated with the platform of non-financial services and available in the Bank's digital channels.
- VTB continued to develop its Closer to Business portal for entrepreneurs. To attract the target business audience, the team fine-tuned the capabilities and user communications formats. In 2023, the portal received recognition from the professional business community winning three prizes in the Russian SME Education and Support category.
- As a bank authorised by the Certification Centre of the Federal Tax Service of Russia, VTB continued to issue electronic signature certificates. In 2023, we issued some 46 thousand certificates for the verified electronic signature to legal entities and individual entrepreneurs. From 2021, the Bank provided around 89 thousand such signatures.
- VTB's foreign trade digital ecosystem for importers and exporters continued to grow. To cut expenditure on customs clearance and logistics support and to minimise risks, VTB launched a unique Customs Services toolkit, a set of solutions for all stages from preliminary cost estimation to certification of goods and their delivery to the warehouse. One of the main advantages is a convenient, secure, and fully electronic process of transferring documents and information via the SME Internet bank. A unified digital document package enables our customers to obtain all necessary services on a single screen without contacting multiple companies.
- VTB kicked off a new online accounting service for individual entrepreneurs and limited liability companies, which offers full-fledged accounting and HR records.

Support of the self-employed

- VTB added new functionality in the Internet bank and mobile app for self-employed retail customers. They can now take advantage of a variety of lending products such as consumer, mortgage and business lending along with in-demand and high-margin non-banking services.
- The Internet bank and mobile app for SMEs now feature settlements with the self-employed. They are available as one-off payments or a ledger of payments made via the Faster Payments System with closing documents issued to the payer.
- When making payments to the self-employed in the online banking system, customers can select a convenient option in the account-to-account (a2a) or the Faster Payments System format.

Creating financial opportunities to improve the quality of life

Social support

In 2023, the Bank launched a number of important social services to educate users on available social support measures and help them direct payments to their VTB account (Social Calculator, Allowances and Payments super service, automatic filling of bank details in social support applications for children, including a general child allowance for low-income families, notifications from government agencies, and the use of maternity capital to refinance loans).

On top of that, the Bank introduced new social support measures:

- free critical illness insurance for children;
- Safe Children's Vacations with VTB campaign (50 thousand kids obtained insurance policies for vacations in summer caps);
- special aid to new beneficiaries of children support payments transferred to VTB MIR multicards (115 thousand families received RUB 2,000 in addition to children's allowances);
- support of pensioners (compensations for redirecting pension payments to VTB, crediting pension payments via a call to the contact centre, an extra 1 p.p. to the deposit rate for those receiving pension payments to accounts with VTB, anti-fraud insurance under a free programme);
- zero fee on utility, kindergarten and school payments.

Affordable housing

In 2023, VTB became the first in the market to start accepting applications for IT mortgage loans under simplified requirements for young professionals up to 35 years of age.

- The Bank launched loans for new categories (teachers and doctors) as part of the Far East mortgage programme.
- Under the Unified Regional Mortgage Programme, the Bank started issuing loans to participants in the Republic of Chuvashia, Samara and Ryazan regions, and Khabarovsk Territory.

In 2023, Responsible Products, a lending project for private housing construction using the services of contractors, was launched as part of the key government support programmes.

For more details on housing availability, see Retail Business

Digital channels

As at the end of 2023, *VTB Online* served 17.7 million users, with 15.3 million or 80% of active customers signing in and performing actions online at least once a month.

For more details on digital channels, see Retail Business

Paperless document flow

In 2023, we introduced a number of improvements in CRM processes, including:

- mortgage lending — transitioning to electronic records to eliminate the need to request documents from customers;
- SME lending — requesting and receiving electronic documents from borrowers via the SME Internet bank as part of the credit conveyor;
- gold bars — dramatic (threefold) cutting of paperwork when selling the product;
- account opening — active retail customers can open an account for individual entrepreneurs online.

The share of electronic document flow with VTB contractors rose to 92%.

Support of participation in social and environmental initiatives

In 2023, the Bank continued to take part in Give the Forest to a Friend! and Mission: Clear Water initiatives.

- The Give the Forest to a Friend! online project seeks to restore forests in nature reserves and urban parks across Russia. The service is available in the Multibonus loyalty programme and on the Bank's website even for users who are not yet VTB's customers. Since the start of the programme nine years ago, the participants have planted more than 4 million trees. Protected areas are growing in numbers, with urban parks of Moscow, the Leningrad and Kostroma regions now included in the project scope.

  We raised awareness about Give the Forest to a Friend! through student case championships in the Leningrad, Smolensk and Vologda regions. The project served as a reference for an educational case for students of the Higher School of Economics and was included in the collection of best eco-practices published by the Ministry of Natural Resources and the Environment.

  In 2023, VTB started engaging legal entities in the project on a case-by-case basis, with the Mir payment system purchasing 2 thousand trees planted in Smolensk and the Dinamo rugby club buying 100 trees planted in the Kaluga Region.

- Mission: Clear Water seeks to protect and preserve over 140 water bodies in eight federal districts. As part of the project, volunteers of the All-Russian Society of Nature Conservation cleaned up 348 km of the waterside area. Multibonus participants can select one or several federal districts to make one-off or regular transfers of their bonus points worth from RUB 100 to RUB 5,000. Besides, they can explore Russian water bodies through the loyalty programme's website and mobile app.

Service availability and inclusivity

The Bank transforms its most efficient and popular offices so that they meet the requirements of a new high-tech format. As at the end of 2023, the number of such offices was 659, including seven light ones. Over the year, multifunctional offices emerged in 16 cities[46].

New multifunctional offices are reformatted into centres of financial knowledge and services, enabling customers and managers to communicate in any convenient spot. VTB employees give qualified advice on sophisticated banking matters, while stream transactions are automated and digitalised. When a customer visits an office, they can confirm a transaction and sign documents with an electronic signature in the app or the website version of *VTB Online*.

The infrastructure of all new or refurbished offices is geared to serve people with disabilities (barrier-free environment, ATM signs and sign plates adapted for vision-impaired and blind people), with 49% of ATMs equipped with headphone jacks.

Mobile and Internet banks are also fit to serve people with vision impairments, motor disorders and dyslexia. Special features include:

- adaptive design in online banking;
- screen readers for the blind;
- friendly font size and contrast;
- comfortable dark mode.

Promoting social development across the regions of operation

Equal access to healthcare, sports and cultural heritage

VTB is taking a large-scale systemic effort to advance Russia's development goals. The Bank's social projects are united under six umbrella programmes: Sporting Country, Patriotism and a Country of Traditions, Cultural Country, Educated Country, Healthy Country, and Country For Business.

For more details on social initiatives, see Social Projects

46. Anapa, Apatity, Vladivostok, Volgograd, Grozny, Yekaterinburg, Ivanovo, Kemerovo, Kursk, Lipetsk, Moscow, and others.

Environmental projects

VTB seeks to contribute to the health and well-being of future generations as part of the Healthy Country programme.

Participation in national projects and international representation:

- the Ecology national project implemented together with the Russian Ministry of Natural Resources and the Environment;
- Russia's Arctic projects.

Sponsorship of events and forums:

- the 14th International Forum Ecology;
- the 13th International Forum Arctic: Today and the Future;
- the second stage of the Ecosystem. Protected Land Russian National Youth Environmental Forum in Kamchatka.

Charitable support of biodiversity conservation:

- nature reserves and specially protected natural areas (the Kronotsky Nature Reserve);
- preservation of big cats in areas supervised by Amur Tiger Autonomous Non-profit Organisation and the Land of the Leopard National Park.

Educational and awareness-raising initiatives:

- the 2023 Arctic Floating University expedition run by Lomonosov Northern (Arctic) Federal University;
- the 9th The Most Beautiful Country Photo Contest of the Russian Geographical Society;
- the Russian Ecological Dictation.

Creating opportunities for self-fulfilment and talent growth

In 2023, the Higher School of Management at St. Petersburg State University (the School), the Bank's partner, demonstrated robust progress in achieving goals under the Development Strategy for 2020–2025:

- the School tops the rating of the best business schools in Russia according to employers;
- the School received a grand prix of the SMART Pyramid 2022 contest in the Corporate Training of the Year category;
- the share of digitalised courses reached 90%, significantly exceeding the 50% target;
- the number of graduates reached 8 thousand annually.

Cooperation with the Financial University

In 2023, VTB's Modern Banking Practices and Technologies department of the Financial University held an optional course on modern banking practices and technologies, an interactive exhibition on automated systems in banking, a Youth Dream Card case championship, and an upskilling course on financial analysis and risk management.

VTB Accelerator

The Piloting of Innovative Technologies stream served as a foundation for VTB's innovations management system, a toolkit for research, testing, piloting and design of innovative technological solutions for the Bank's units and interactions with the leading innovators. Designated to ensure fast and efficient management of innovations, the stream embraces three teams:

- VTB Accelerator, a platform and toolkit for start-up scouting and testing innovative technologies in the Bank;
- a technology lab — infrastructure, processes and competencies for the successful testing of hardware and infrastructure solutions, including those aimed at digital sovereignty;
- a venture studio — a cluster of researchers and developers tasked with improving the Bank's exiting products, creating and testing concepts and MVPs[47] for new solutions, and continuously scouting and analysing the market of financial technologies.

47 A minimum viable product is a product with just enough features to be usable by early customers who can then provide feedback for future product development.

In 2023, stream teams did the following:

- ran 167 pilots of various formats, from market research, MVP launch, piloting of Russian start-up solutions to testing infrastructure and hardware technologies;
- reviewed over 300 start-ups;
- substituted imported solutions in 14 technological domains.

Positive working environment and support of personal fulfillment

In early 2023, we updated our value proposition for job seekers and our employees, an employer slogan, and visual identity. VTB ranked high in the leading ratings of Russian employers. For the third year running, we are among the leaders in the platinum category of Russia's Best Employers rating from Forbes. Over the past four years, the Bank has been recognised as a Top 10 best employer by HeadHunter, Russia's largest online recruitment platform. In 2023, we moved to the third position in the rating for the first time in our history.

Internship programme

- Our internship programme was launched in 2023 and saw a record number of requests. All interns went through a multi-tier selection process facing strong competition — over 75 people per position.
- VTB's fifth More.Tech 5.0 IT hackathon brought together 1,065 developers from all over Russia, a record number in the project's history.
- The Bank received over 6,000 applications for participation in the fourth season of the Your Future Start personal grant programme.

Training and development

- Over 56,000 Bank's employees took professional and mandatory training and developed soft skills during the reporting year.
- Digital skills programmes covered more than 50,000 employees.
- Over 3,000 middle and line managers took part in programmes to develop their leadership potential, manage teams, and leverage emotional intelligence.
- White-collar employees could select sets of programmes best suited to meet their individual growth trajectories. In total, catalogues featured 148 programmes.

Digitalisation and hybrid work arrangement

- Bank employees from all units can work remotely, including as part of a hybrid work arrangement, except for job functions that cannot be performed distantly (e.g. drivers and cash collectors). This practice is especially popular in the Technology Unit where 77.7% of employees benefit from the hybrid work arrangement.
- The Start corporate mobile app offers over 170 self-service solutions, news feed, and a phone book for employees. We expanded the functionality of the Team corporate messenger designed for internal communications. Employees can now read Team Energy and Book of Values on an external website using the internal network.
- E-signing of employment documents is available via the Avtograf platform and the Goskey mobile app.

Employee engagement

The Speak Up employee survey measured the engagement index at 88.2% in the Group, which beats the banking industry average and ranks among the best results across all Russian businesses.

For more details on employee development, see Personnel

3.2. Social projects

As part of its Sustainable Development Strategy and Corporate Social Responsibility Policy, VTB Bank contributes to the national and global sustainable development goals both through its core activities and through participation in initiatives aimed at improving the quality of life in the regions where it operates, developing healthcare, science, education, and culture, and protecting the environment.

Decisions related to the allocation of funds for sponsorship and charitable activities are made by the standing Committee for VTB Bank's Sponsorship and Charitable Activities which reports to the Bank's Management Board and to the President and Chairman of the Management Board. As part of its sponsorship and charitable activities, VTB continues to implement the following six targeted programmes:

Sporting Country

Patriotism and a Country of Traditions

Country for Business

Educated Country

Healthy Country

Cultural Country

Financing these programmes enables the Bank to share its core values and social mission with the society. The programmes include both sponsorship and charity projects.

Regional charity projects and those under the federal programme A World without Tears are mainly steered by VTB-Strana, our corporate Charitable Foundation for Support of Social Initiatives and Provision of Targeted Assistance. In 2023, it provided support to 292 hospitals, 62 veterans organisations, 40 sports organisations, and 28 cultural institutions.

The Foundation also held four grant competitions for RUB 39.8 million focused on promoting best practices in socialising orphaned children and NGO projects in education and financial literacy, with 61 grassroots organisations enjoying our support.

During the year, we launched three partnership projects and six fundraising events, having doubled the funds collected by our customers and employees to RUB 8.4 million. This helped the Foundation keep up 47 children's institutions catering to 3 thousand parentless children.

In 2023, VTB implemented a total of 408 federal social projects and 2,286 regional charity projects in 82 regions.

As part of strategic projects, we separately finance long-term and large-scale projects of national importance.

Environmental projects are our contribution to ensuring the health and well-being of future generations in Russia, which is the focus of VTB's Healthy Country programme.

Sporting Country

2,350
RUB million

46
federal projects

44
regional projects

The Bank's Sporting Country programme is the focal point of our efforts to foster physical activities among people of all ages and walks of life in line with Russia's national development goal for preservation of its population, and people's health and welfare. Our programme seeks to support both high-performance and mass sports with a view to promoting healthy lifestyles.

In 2023, VTB supported 90 sports projects worth RUB 2.3 billion, primarily targeting long-term partners, including the Russian Volleyball Federation, VTB United Basketball League, the Artistic Gymnastics Federation of Russia, KAMAZ Master rally team, etc.

VTB Group regularly finances sports events in the regions where it operates. For instance, the Bank sponsored the Far Eastern Tennis Tournament in Khabarovsk, the Ugra Ski Marathon, the Russian sailing team race championship in Taganrog, the volleyball tournament for the cup of the Chuvash Republic, and more.

In August 2023, St. Petersburg hosted VTB sponsored Garage Fest full of speed, music and drive at Igora Drive. To promote a sporting lifestyle among people, two racing stages were combined in one event with a lot of family-friendly fun and entertainment. For the second year running, it became the key automotive summer attraction scoring more than 30 thousand visitors.

Our special focus is on youth sports and equal opportunities for the younger generation. The Bank supports Lev Yashin Dynamo Junior Football Academy, with six branches already opened in the Voronezh and Novgorod regions, the Primorye Territory, the Republic of Dagestan and in Ulyanovsk providing training facilities to more than 900 kids. In 2023, the Bank helped regional children's sports schools and clubs hold competitions and purchase sports equipment. VTB sponsored a junior football tournament in Krasnodar, the Open Ring junior kickboxing contest in Kaliningrad, and the Outdoor Sports competition in Barnaul.

We also backed competitions of the Novokuznetsk Chess Federation, the Ufa Swimming Federation, the Point of Support Foundation for Promotion of Sports for the Disabled, etc. The United Country — Accessible Environment inclusive project enjoys our support, too. In October 2023, the Bank helped organise the 9th International Retsept-Sport Wheelchair Half-Marathon in Sochi. Six sports grounds were built in boarding schools using funds from the Sports for All grant competition run by VTB-Strana.

In 2023, VTB marked the 10th anniversary of its Velobike bike-sharing project, which seeks to promote healthy lifestyles and improve the urban environment. During the season, Moscow operated more than 780 parking stations, with a combined fleet exceeding 10 thousand bicycles. Local residents travelled more than 2 million kilometers on 2.0 electric bikes. The Velobike migrated to Russian software. The parking stations are mostly solar-driven. The project keeps expanding beyond Moscow, with its services now available in the Moscow region (Balashikha and Skolkovo).

Patriotism and a Country of Traditions

3,346
RUB million

63
federal projects

773
regional projects

The Bank supports projects aimed at fostering a sense of patriotism and reviving national and spiritual values, while also rendering assistance to socially minded foundations with a focus on encouraging federal and local veterans foundations, bringing up young people in the spirit of respect for the elderly and the Russian history.

In 2023, VTB allocated funds for socially-oriented programmes of St. Petersburg Cadets, the Vologda Seekers Association, the Warm Heart all-Russian public state initiative with international participation, the *Young Army* all-Russian military and patriotic social movement association for children and youth, the Russian Union of Free Youth, etc.

In 2023, we invested heavily in projects seeking to restore social infrastructure in the newly incorporated regions, while also sending humanitarian supplies to those affected by the Special Military Operation and catering to mobilised soldiers' families. As part of the *NASHI* programme, *VTB-Strana* rendered RUB 127 million worth of humanitarian aid to 13 regions.

Since inception, our mission and primary social focus have been set to preserve and restore cultural heritage sites. In the reporting year, VTB continued to financially support the Novgorod State United Museum and the Resurrection New Jerusalem Monastery, while also contributing to the restoration of the Church of St Basil of Ryazan. We give a helping hand to the Moscow Theological Academy of the Russian Orthodox Church and the Kazan Convent, among others.

The Bank has traditionally supported patriotic film projects. VTB was the official sponsor of *Nuremberg*, a historical drama film theatrically released in March 2023. The film also premiered on 9 May 2023 on multiple TV channels, having cumulatively garnered over 6.7 million views. On 13 February 2023, to commemorate the 150th anniversary of Russia's greatest opera singer Fyodor Shalyapin, Russia-1 television channel started broadcasting *Shalyapin* biopic series also sponsored by the Bank. The viewing audience exceeded 20 million people.

To foster national traditions in Russian regions, VTB sponsored the *Legends of the North* international garden sculpture festival and competition in the Yamal-Nenets Autonomous Area, the 21st Cup of the North international folk music contest under the aegis of the Glazunov Petrozavodsk State Conservatory, etc. The Bank implemented a total of 836 related projects in 2023, mostly in the form of charity.

Cultural Country

1,601
RUB million

66
federal projects

36
regional projects

VTB Bank contributes to the Culture national project by rendering support to Russia's cultural institutions, national heritage sites, music bands and performers at the federal and regional level, as well as projects encouraging the propagation of cultural values (film production, TV, online). In 2023, the Bank contributed to 102 projects hitting the headlines on the cultural scene.

As part of the 26th St. Petersburg International Economic Forum, VTB signed a cooperation agreement with the Russian Ministry of Culture aiming to implement joint digital and social projects. The Bank intends to provide federal universities of culture and arts with campus (on-site) and digital solutions to make the learning process safer and smoother. We also agreed to cooperate on a number of social projects, including those enhancing financial literacy.

The Bank is a patron of leading Russian theatres, including the Bolshoi Theatre, the Mariinsky Theatre, the Eifman Ballet, the Chekhov Moscow Art Theatre, the Pyotr Fomenko Workshop Theatre, the Russian Academic Youth Theatre, the Tabakov Theatre, the Vakhtangov Theatre, and the Teresa Durova Theatre. During the year, they staged 43 premieres and gave more than 4 thousand performances attended by 1.8 million guests. On top of that, VTB caters to major cultural events, such as the Baltic House International Theatre Festival in St. Petersburg and the International Volkov Festival in Yaroslavl.

The Bank's regular partners include the Moscow State Conservatory and St. Petersburg Philarmonia, as well as music theatres and groups such as the Primorsky Stage of Mariinsky Theatre, the Charity Foundation of Valery Gergiev, and the musicAeterna orchestra and choir. VTB sponsored more than 700 concerts and 50 live streams. While on a tour in China, the Eifman Ballet and St. Petersburg Philarmonia garnered 32 thousand listeners on 34 concerts in over 10 cities.

In 2023, VTB Bank supported 14 exhibitions at leading museums of Moscow and St. Petersburg, including the Tretyakov Gallery, the Hermitage, the Russian Museum, St. Petersburg State Museum of Theatre and Music, with overall attendance exceeding 2 million people. The hallmarks were Nicholas Roerich exhibition at the Tretyakov Gallery (143 thousand visitors in the first three months since inception) and Vasily Surikov: the 175th Anniversary of the Artist at the Russian Museum (over 100 thousand visitors in the first month and a half).

The exhibitions were accompanied by an extensive educational programme, including video tours and podcasts, as well as special online projects (*Music Dimension* and *What I Hear*) implemented by the Bank in collaboration with the music *Aeterna* orchestra. 2023 saw a new *Talk about Music* podcast released with Teodor Currentzis, Vitaly Polonsky and Alexey Retinsky discussing the music culture with scholars of various sciences.

One year into its existence, the Zotov Centre, one of VTB's flagship cultural projects and the first project in Russia fully dedicated to constructivism, won 14 awards from the professional community and the general audience for careful restoration of the building, original style, exhibition catalogue, etc. It hosted more than 2,500 events, including four exhibitions, 1,600 guided tours, 1,100 film shows, 120 lectures, 240 workshops, and over 50 inclusive events, attracting more than 100 thousand visitors, including Russian President Vladimir Putin.

The Bank also promotes an accessible environment in cultural institutions. Since 2020, VTB has been a partner of the inclusive programme at the Jewish Museum and Tolerance Centre, while also producing Dialogues on Art: A Podcast for the Hearing Impaired, a special project in the Russian sign language. In 2023, this project released four more video guides, scoring nearly 400 thousand views. This was the third time the podcast made into the finalists of the Culture Online Award. In 2023, we launched a new project named *Meet My First Profession* to increase the accessibility of vocational training in online marketing for the visually impaired children.

To make cultural values more accessible, the Bank supports online and offline programmes for kids, including *Pavlovsk for Everyone* from the Pavlovsk State Museum and the *Big Music for Little People in Every Home* from the Tchaikovsky Moscow State Conservatory.

Healthy Country

1,820
RUB million

24
federal projects

318
regional projects

Modern demographic challenges require the participation of business leaders in federal projects and government programmes aimed at keeping people in good health, stabilising the birth rate, and improving Russia's healthcare and the accessibility of high-tech services. VTB's Healthy Country programme helps address these challenges by providing assistance to healthcare institutions and projects related to cutting-edge medical technologies. The programme also supports biodiversity conservation projects across Russia.

The Bank believes that investing in people's health and well-being will bring long-term benefits not only to some individuals but to the society as a whole, and help us build a healthier future together. As part of the programme, VTB spent RUB 1.8 billion, including over RUB 1 billion to support regional healthcare institutions. *VTB-Strana* delivered equipment and medicines to 292 hospitals.

In 2023, the Bank marked the 20th anniversary of its corporate charity programme A World without Tears seeking to finance the purchase of state-of-the-art equipment for children's hospitals in 79 Russian regions. 16 hospitals received new equipment in 2023, with twelve institutions participating in *I Made It* charity campaign aiming to improve patients' morals. The children undergoing in-patient treatment at the participating hospitals handed over more than 2.5 thousand letters to Santa via the Bank and received gifts according to their hobbies on New Year's Eve.

We also focus on promoting scientific research and the development of medical infrastructure. Backed by the Bank, the *Nauka–Detyam* Foundation for Support and Development of Paediatric Haematology, Oncology and Immunology implements its programme of molecular genetic diagnosis for children with cancer predisposition syndromes, with over 500 studies conducted. VTB also supports the Life Genome Charity Fund for medical and social genetic aid projects running genetic tests for patients with rare inherited diseases in 71 Russian regions, following which 385 children are getting treatment they need.

Environmental projects

To preserve Russia's natural riches and deliver on the Ecology national project, the Bank supports environmental initiatives, educational and awareness-raising campaigns, and related events. We do our best to involve our customers and employees in these activities.

In 2023, VTB supported nine environmental and biodiversity conservation projects worth RUB 174.6 million. In 2023, the Bank continued to work together with specially protected natural areas, such as Amur Tiger Autonomous Non-profit Organisation and the Kronotsky Nature Reserve, and entered into partnership with the Land of the Leopard National Park. VTB contributes to the programme for conserving big cats under the auspices of the Russian Ministry of Natural Resources and Environment.

The Bank also supported awareness-raising projects, including:

- the 14th International Forum Ecology;
- the 13th International Forum Arctic: Today and the Future;
- the Ecosystem: Protected Land Russian National Youth Environmental Forum in Kamchatka;
- the 2023 Arctic Floating University expedition run by Lomonosov Northern (Arctic) Federal University;
- the 9th The Most Beautiful Country Photo Contest of the Russian Geographical Society;
- the Russian Ecological Dictation.

To involve youth in VTB's Give the Forest to a Friend! environmental initiative, we organised a case championship for students of the Higher School of Management at St. Petersburg State University, Smolensk and Cherepovets universities. In 2023, our employees held tree planting events, clean-ups, collected recyclable materials (batteries, plastics, and waste paper), participated in the River Marathon national campaign, supported animal shelters, and vaccinated homeless animals against rabies.

Educated Country

908
RUB million

88
federal projects

1007
regional projects

Good education is key to personal self-fulfilment and social development. One of Russia's national development goals through 2030 is to join 10 best countries in the world in terms of general education. VTB's Educated Country programme focuses on:

- cooperation with universities in the regions where the Bank operates;
- charity projects aimed at supporting education in the regions where the Bank operates;
- improvement of financial literacy among people.

2023 saw VTB provide a total of RUB 0.9 billion to sponsor 1,095 educational projects, including:

- strategic partnership with St. Petersburg State University, with the Bank rendering expert support to its Higher School of Management and financing its statutory purposes and the equipment of the Mikhailovskaya Dacha campus;
- cooperation with the National Research University Higher School of Economics, with the Bank supporting scholarship programmes of the International College of Economics and Finance and the Laboratory for Comparative Social Research, while also contributing to its statutory purposes.

For the third year running, VTB became a financial partner of the Russian Ministry of Education. In 2023, the Bank sponsored the Year of Teachers and Mentors events in Russia, including:

- cash awards for 149 finalists of national professional contests, such as the Teacher of the Year, the Principal of the Year, the Daycare Worker of the Year, and the First Teacher;
- A Special Teacher for a Special Child grant competition (via *VTB-Strana*), with 10 institutions from six Russian regions winning grants;
- the Financial World awareness competition (in collaboration with the Mir national payment system) for future teachers, bringing on board 425 students from 17 universities;
- financial literacy online marathons in the Moscow and Leningrad regions for vocational schools, attracting 2.5 thousand students from 47 institutions;
- business solutions labs at Tyumen State University, Far Eastern Federal University and Vladivostok State University, arranging for case championships to provide VTB with insights into how its customers use and understand savings accounts, with 377 students enlisted.

The Bank continues to cooperate with leading universities, such as St. Petersburg State University, Higher School of Economics, Moscow State Institute of International Relations (MGIMO), Moscow State University, Moscow Institute of Physics and Technology, Far Eastern Federal University, Financial University, the Russian Institute of Theatre Arts, and Gerasimov Institute of Cinematography. VTB also funds renovating the teaching infrastructure, updating information media of educational institutions, and supporting gifted students. Launched in 2022 at the Financial University under the Russian Government, VTB's special Modern Banking Practices and Technologies Department stayed in business, too.

To foster an up-to-date learning environment and implement advanced edtech, we support secondary and higher education institutions across our footprint. 2023 saw 1,007 educational institutions and 49 endowments in 76 Russian regions receive funds to renovate their facilities, classrooms, lecture halls and gyms, as well as to carry out campus projects.

The Bank also shores up the Vega Institute Foundation promoting financial and actuarial mathematics. In 2023, we focused on enhancing the integration of its courses into Moscow State University's curriculum, opening a Vega learning space there, fostering and strengthening student groups and field trips to address the industry's current agenda (primarily those faced by VTB Group), and expanding the foundation's team to effectively develop and launch scientific and educational programmes.

Promoting the financial culture among people is one of top priorities for financial institutions in Russia. To this end, we co-founded, together with other leading Russian banks, the Association for the Development of Financial Literacy. The Bank participates in educational projects under the aegis of the Bank of Russia and the Russian Ministry of Finance and runs its own projects to improve financial literacy among its customers, shareholders, and some other audiences. As such, VTB develops the Financial ABC course in the Good Night, Little Ones! programme aired on the Karusel channel (50 broadcasts per year, over 43.3 million viewers in three years among children of preschool and primary school age). 2023 saw our Financial ABC and Aitisha digital financial assistant integrated into the Bank's offline communication events in Yekaterinburg and Moscow, including in the children's area at RUSSIA EXPO. We also focused our broadcasts on the environmental agenda, allowing children to be involved in eco-awareness from an early age.

To support the budgeting skills of schoolchildren and students, regular Olympiads (*Mission Possible: Your Vocation as a Financier* and *I am a Professional*) are held, with 70 thousand schoolchildren and some 850 thousand students enrolled.

The Bank systematically organises dedicated sessions aimed at different audiences, from the basic level (children, people with disabilities, public sector employees, pensioners) to the advanced one (financial analysts and investors). To make it easier for all age groups to search through related materials, we created the Financial Literacy for Families section on our website, which contains trending topics and the event schedule.

Country for Business

650
RUB million

121
federal projects

713
regional projects

As a systemically important bank, VTB focuses on encouraging investment and facilitating long-term projects that contribute to the development of individual industries and the Russian economy as a whole. Major business forums and industry conferences are of particular importance in times of economic upheavals and swinging relationships as an effective tool for maintaining business ties, exchanging opinions, and making agreements.

In 2023, VTB supported over 20 venues and exhibitions, including major ones, such as:

- the 26th *St. Petersburg International Economic Forum;*
- *Eastern Economic Forum;*
- *Moscow Financial Forum;*
- Finopolis *Forum of Innovative Financial Technologies;*
- *VTB Russia Calling!* Investment Forum;
- *RUSSIA EXPO.*

These initiatives are set to fuel the development of the Russian economy by creating an effective platform for a dialogue between governments, investors, and entrepreneurs from around the world. Using a shared platform, representatives from different sectors can freely exchange ideas and find solutions related to the needs of a particular sector or region. In 2023, VTB speakers attended more than 27 sessions, including six top-level sessions with top executives, with 47 cooperation agreements signed.

For its customers, the Bank regularly organises online and offline events on geopolitical trends, structural transformation of the economy, investment policy, strategic approaches, sectoral markets, financial literacy, and other relevant topics. VTB participates in events aimed at promoting advancements in technology in various sectors of the Russian economy. In 2023, the Bank arranged for 361 customer-oriented events on its own and supported 473 partners' business events.

Also gaining traction was Data Fusion, our annual project consisting of three events:

- *Data Fusion* Conference dedicated to data management and AI technology on a global footing:
- *Data Fusion* Contest, an annual data analytics and machine learning competition for data scientists;
- *Data Fusion* Awards, our national cross-industry big data award.

Data Fusion has been traditionally combining the economic, technological and scientific agenda. In 2023, it garnered members of the Russian Government and government officials in addition to over 180 speakers, with 2.5 million viewers watching the broadcast.

At *RUSSIA EXPO*, VTB sponsored the Bank of Russia' Smart Finance stand demonstrating national achievements in financial and payment products, services and technologies. The Bank presented its proprietary apps and projects, such as *Digital Mortgage, My Investments, Velobike, Charity Terminal*, and *VTB Voice Assistant*. VTB also arranged for children's area and a biometry station. By using VTB's proprietary biometrics, one can enter the exhibition area and various locations, as well as credit and debit digital roubles at gift shops. It also helped effect the first-ever marriage based on biometric authentication. At *RUSSIA EXPO*, we participated in the Federal Air Transport Agency's area presenting regional airports as part of the Russia in Motion shared stand of the Ministry of Transport. The Bank invested in the construction of the new Gelendzhik airport terminal with a total area of 16.7 thousand sq m and a capacity exceeding 1 million passengers per year. The construction was completed at a record speed.

On 7–8 December 2023, Moscow hosted the 14th *VTB Russia Calling!* Investment Forum, with its keynote being Deglobalisation: Uniting Sovereign Economies. The forum brought together government officials, the Russian business community, investors from China, India, Turkey, the Persian Gulf, Middle East, Africa, Asia, and other countries willing to cooperate with Russia, with a total of 295 representatives from 20 nations. The plenary session attended by Russian President Vladimir Putin was dedicated to how businesses and international cooperation were operating under sanctions, as well as information security and Russia's monetary and budgetary policy. The forum also hosted closed business meetings attracting more than 1 thousand retail investors.

Strategic projects

These include long-term and large-scale projects of national importance, such as our cooperation with Dynamo to preserve the national sporting traditions, promote mass sports, and bring up healthy young people.

The Bank has been supporting the Dynamo *All-Russian Society of Sports and Physical Training* for almost 15 years. Today, it is the only sports association that brings together more than 57 sports, of which VTB Bank provides regular assistance to hockey, football, gymnastics, and rugby.

In April 2023, Dynamo celebrated its 100th anniversary. As a principal financial partner, VTB also made a contribution. We helped complete the construction of the Dynamo training facility in Moscow, which will host competitions in football, gymnastics, basketball, and martial arts. To commemorate the 100th anniversary of Dynamo, the Bank issued a uniquely designed payroll card and sponsored a number of events, such as a sports festival at the renovated Dynamo stadium in Krasnodar, awards to Dynamo's regional hockey teams following the last season in Nizhny Novgorod, the autumn cup of Dynamo football schools in Lipetsk, an open mini-football championship of Dynamo's Irkutsk branch, regional junior competitions of the *All-Russian Boxing Festival* in Barnaul, etc. *VTB-Strana* and the Bank jointly helped parentless children from the Rybnoye boarding school (Ryazan Region) visit a hockey match between Dynamo (Moscow) and Lada (Togliatti).

On 21 April 2023, we helped launch the Dynamo Museum, a unique project creating an innovative museum where Dynamo's 100-year history is infused with that of Russia. The construction of the museum was jointly supported by Dynamo, VTB Arena, and VTB Bank. The state-of-the-art museum includes both material and virtual exhibits, along with interactive installation. It was for the first time ever that our visitors saw sports clubs' newly digitised records.

3.3. Personnel

Highly-skilled and motivated personnel is key to our success. VTB's HR management system sets stage for unlocking the potential and professional development of our people.

The Bank fully complies with Russian labour laws and offers equal employment, training and career growth opportunities to all employees regardless of sex, age, and nationality.

As of 31 December 2023, the Bank's headcount was 55.8 thousand employees compared to 55.0 thousand as of 31 December 2022, while the Group's headcount[48] went down to 98.5 thousand employees vs 99.0 thousand as of 31 December 2022.

	VTB BANK
HEADCOUNT, EMPLOYEES	55,834
AVERAGE PERIOD OF EMPLOYMENT, YEARS	6
PERCENTAGE OF WOMEN, %	72
PERCENTAGE OF MEN, %	28
AVERAGE AGE, YEARS	37
EMPLOYEES WITH HIGHER EDUCATION, %	81

48 For the purposes of this report the Group comprises the following companies: VTB Bank (PJSC), Bank Otkritie Financial Corporation, Business Finance, VTB Bank (Kazakhstan), VTB Bank (Armenia), VTB Leasing, BM-Bank, SAROVBUSINESSBANK, VTB Factoring, VTB Bank (Belarus), VTB Real Estate, Banco VTB Africa, VTB Specialised Depository, VTB DC, VTB Registrar, VTB Pension administrator, VTB Pension Fund, and VTB Bank (Azerbaijan).

Staff acquisition

In 2023, VTB Bank increased its headcount, while also accelerating hiring and closing vacancies within a reasonable timeframe.

Thanks to these efforts, we filled over 13 thousand vacancies, including more than 1 thousand for management positions and more than 8 thousand for positions in the regional network.

13 thousand
people were hired to the Bank in 2023

>1 thousand
managers

>8 thousand
employees for positions in the Bank's regional network

Leading positions in employer ratings

Platinum
in the Forbes rating in 2021–2023

Top 10
best employers according to HeadHunter in 2020–2023

Top 3
in the HeadHunter rating in 2023

Young talent development

Every year, VTB expands internship opportunities. In 2023, it invited over 450 interns across Russia.

In 2023, we received a record high of more than 30 thousand requests for internship, up 50% year-on-year. All interns went through a multi-tier selection process facing strong competition — over 75 people per position (20+ people more than in 2022).

>450
interns selected all over Russia in 2023

>30 thousand
requests for internship in 2023

>75
people per position

1,065

developers (a record number) took part in the fifth More.Tech 5.0 hackathon

>6,000

applications filed for Your Future Start

>1,500

participants selected

In 2023, VTB held the fifth More.Tech 5.0 hackathon for IT professionals. It was attended by a record number of developers in the project's history: 1,065 specialists from all over Russia were trying to address the Bank's most pressing technological issues.

In the reporting year, the Bank launched the fourth season of the Your Future Start personal grant programme as a training course for students of Russian universities.

20 best participants received RUB 200,000 grants. In 2023, we processed over 6,000 requests, with over 1,500 applicants selected as participants and 20 receiving a RUB 200,000 grant for professional development after completing a training course.

Incentive and remuneration system

The Bank's incentive and remuneration system serves to ensure decent working conditions, productive environment and competitive salaries. In 2023, the Bank indexed salaries by an average of 10%, with pay rise for each employee contingent on individual performance and efficiency, and alignment of the current salary with the market.

VTB keeps an eye on market trends and makes sure employee salaries meet the target. Following the review in 2023, the Bank increased salary brackets and revised regional corporate indices starting 1 January 2024.

Assessment

VTB Bank organises annual personnel assessments. In 2023, it evaluated the 2022 performance of some 38 thousand employees. Among others, VTB assessed over 4 thousand employees from cross-functional teams and streams of the Retail Business, Medium and Small Business, and Technology Unit using dedicated methodology. The results of cross-functional team assessment are used for paying out bonuses. In 2023, the Bank set performance and development KPIs for 46 thousand employees, including in the form of individual growth plans.

To strengthen its talent pool, the Bank conducts regular employee assessments as requested by managers and selects candidates for its talent pool. The assessment is held by internal experts or counterparties using a variety of tools (psychometric tests and competency interviews). In the reporting year, the assessment covered 1,127 employees.

Training and development

In 2023, training programmes primarily focused on the fast adaptation of employees to a new environment, change of strategic goals and achievement of day-to-day objectives by the Bank's business lines and units.

A total of over 56 thousand employees took training, including more than 50 thousand who improved their digital competencies and learned to operate domestically made software (My Office.Text, My Office.Tables, My Office.Presentations, New Email — Samoware, Digital Accounting, etc.). On top of that, more than 4 thousand members of cross-functional teams and streams studied under niche programmes to develop, implement and maintain IT solutions (Agile Basics, ProPro, Stream and Team Work, etc.).

Over 3 thousand middle and line managers took courses to unlock their leadership potential, manage teams, and integrate emotional intelligence in HR management.

Training programmes paid special attention to staff development in line with corporate values. For this purpose, VTB created catalogues of programmes and enabled its managers and employees to choose the most suitable ones. Over 5 thousand managers and more than 25 thousand employees received training in 148 value-driven development programmes.

In 2023, the Bank continued to work with the Higher School of Management at St. Petersburg State University. The parties piloted a new Essentials programme called Finance Essentials: Corporate Finance Basics. The programme seeks to hone competencies in investment project modelling, business planning, and financial data-driven decision-making.

The Continuous Improvement open lecture club available to all employees regardless of region, position, work stream and role, has been gaining traction for the second year running. This is a platform for meeting with internal and external experts on an array of topics, including personal and professional efficiency, health, family, and hobbies. The project's audience grew 24% year-on-year to more than 7,500 participants. Over two years, online meetings have welcomed more than 14 thousand employees, including over 8.5 thousand specialists and nearly 5 thousand managers. Some 29 thousand employees could watch meeting recordings.

In 2023, the club launched a new section called Let's Talk with the Bank's Experts to inform employees on projects, products, and processes and create an in-house platform for knowledge and experience exchange.

Internal communications

In 2023, the Bank continued to improve digital workplaces and digitalise internal communication channels with a focus on domestic technologies.

- The Start corporate portal was rolled out;
- The Start corporate mobile app was rolled out providing access to over 170 self-service solutions, news feed, and a phone book for employees;
- The Bank expanded the functionality of the Team corporate messenger;
- Employees can now read Team Energy and Book of Values on an external website using the internal network.

88 %

employee engagement index in 2023

78 %

loyalty index

In October 2023, VTB Group carried out Speak Up!, an employee engagement survey leveraging a uniform methodology. Some 84% of invited employees participated in the survey, up 11 p.p. as compared to 2021, which highlights employees' active involvement in corporate life. Open statements provided during the survey exceeded 13 thousand.

The survey measured the engagement index at 88.2% in the Group (up 4.8 p.p. vs 2021), which beats the banking industry average and ranks among the best results across all Russian businesses. The loyalty index stood at 78% for the Group (up 3.9 p.p. vs 2021).

>250 events

In 2023, the Bank held more than 250 events covering over 32 thousand people, including integration initiatives for VTB and Otkritie Bank teams. The events focused on strategic planning, improving processes, and fostering corporate culture.

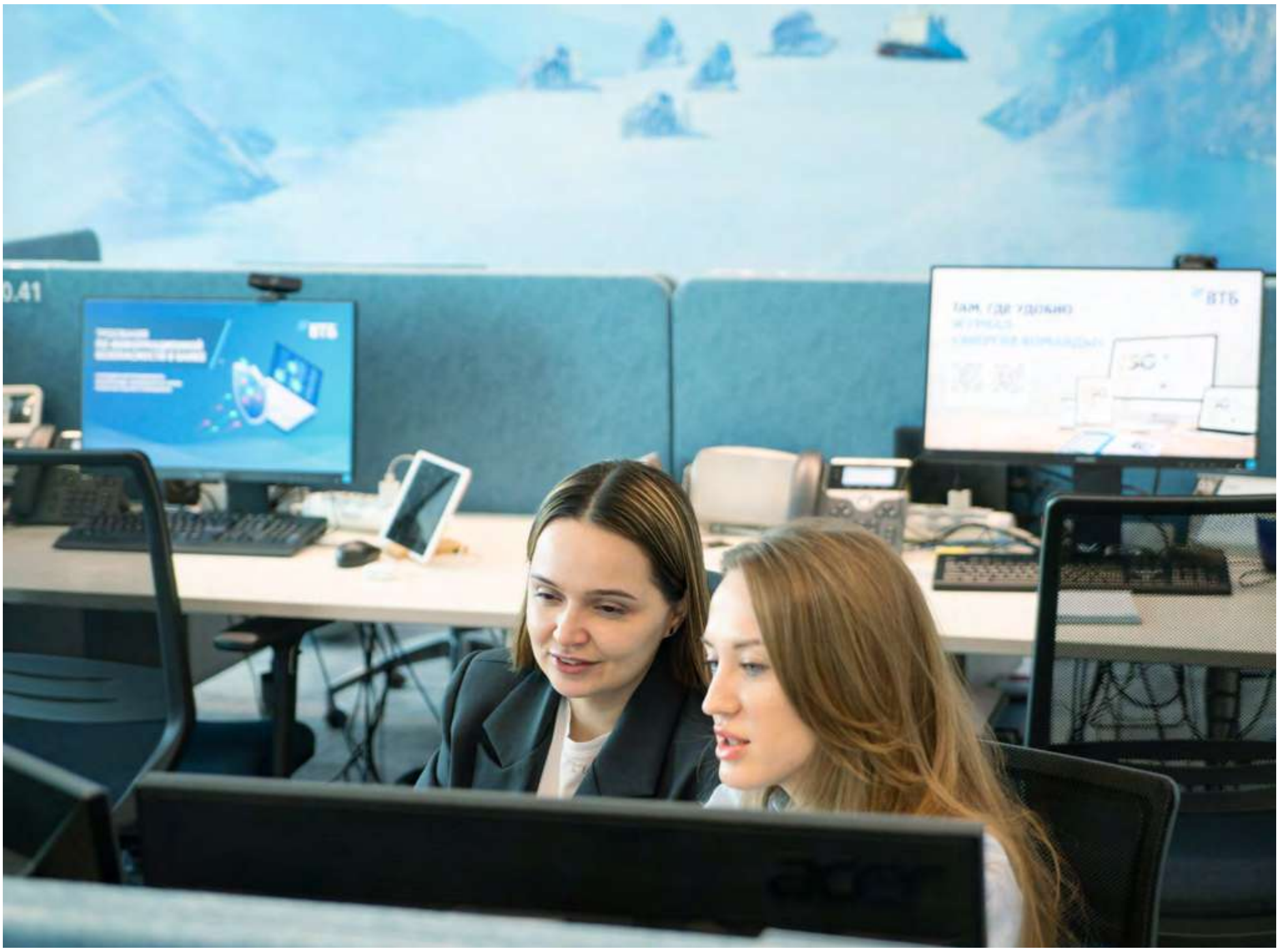
In 2023, the ambassador community (created back in 2020 to unite employees from the regional network) expanded by 75% to 350 members after the Head Office's units joined in. In three years, the portal and other internal communication channels increased news publications by 20 times to around 100 a month.

Digitalisation of HR processes

In the reporting year, the Bank launched e-signing of employment documents via the Avtograf platform and the Goskey mobile app. Starting from 2Q 2023, the procedure was used to hire over 11 thousand employees.

Many standard processes previously performed by the HR Department were robotised[49], which allowed VTB to release employees from routine activities and eliminate technical errors. The Bank keeps improving its robotic recruitment technology to reduce talent sourcing time and ensure high qualifications of candidates. In 2023, the technology was instrumental in hiring over 7,500 employees across Russia.

The Bank also put in place digital onboarding tools, including an automated service to onboard new hires during the first three months of employment. In 2023, more than 2,300 managers used the service to induct over 8,200 new employees. In particular, the Bank expanded the capabilities of the chatbot, which prepares a new hire for the first working day, answers questions, and provides information on the Bank's values. Over the year, the chatbot helped onboard 3,000 new employees.



49 In furtherance of the Russian Government directives and the requirements of the Russian Ministry of Digital Development, Communications and Mass Media for 2023–2024, and as part of the Bank's Digital Transformation Strategy for 2022–2024.

3.4. Responsible resource management

Respect for nature is an important part of VTB's corporate philosophy. The Bank prioritises responsible resource management to reduce its impact on the environment.

VTB Bank embraces the green office principles by:

- upgrading real estate assets to improve their environmental efficiency;
- reducing electricity, fuel, and paper consumption;
- recycling waste.

Reducing the environmental impact

In 2023, the Bank focused on improving its energy efficiency, upgrading operational assets, implementing resource-saving technologies and training employees in the rational use of resources.

- Energy-saving LED lighting and inverter air conditioning are used in the construction and renovation of offices.
- 99% of the Bank's points of sale are equipped with energy-saving LED lighting.
- Some 55% of the Bank's facilities are equipped with energy-efficient inverter air conditioning.
- In 2023, we continued implementing the Smart Office utility monitoring system, which enables remote management of energy consumption. 461 offices have been furnished with Smart Office so far.
- 163 more Bank facilities were switched to direct contracts with independent energy suppliers, allowing VTB to save RUB 4.6 million annually.

Resource saving

VTB takes steps to reduce its resource consumption.

Initiative	Consumption cuts / resource savings resulted from implemented initiatives
Motion sensors[50]	Up to 10% reduction in electricity consumption in premises equipped with sensors
74% of mixers equipped with infrared sensors in bathrooms[51]	Up to 30% reduction in water consumption
Thermostatic radiator valves installed on heating systems during reconstruction	Up to 20% reduction in heat consumption
Transition to electronic document flow	31% reduction in paper consumption
Installation of additional monitors for document verification without printing	
Development of paper procurement standards for the regional network by business format (subject to different business modules)	
Electronic approval of printed inventory forms	
Electronic compilation and approval of reports on business trip expenses	
Upgrade of the transport infrastructure (acquisition of electric vehicles)	13% reduction in fuel consumption (gasoline and diesel)

50 In administrative buildings and additional offices in Moscow and the Moscow Region, as well as in the buildings of the Regional Centre for Operational Support and the Customer Service Department in the Central Federal District.
51 In administrative buildings and additional offices in Moscow and the Moscow Region.

Paperless banking

VTB launched its Paperless Banking programme in late 2020. To cut down on paper use, we introduced new tools and paperless technologies in both internal processes and interactions with customers and partners.

In just three years, the Bank successfully transitioned to efficient paperless document storage and electronic document flow. In 2023, paper consumption went down by 31% year-on-year.

Waste management

2023 highlights:

- **350 kg** of batteries collected and sent to the Federal Environmental Operator for disposal.
- **561 kg** of plastic caps collected as part of the Kind Caps ecological and charity volunteer project.
- The following materials were sent for recycling:
  - **589.95 tonnes** of paper;
  - **92.4 tonnes** of metal scrap;
  - **545.6 tonnes** of office waste (recycled by the Bank's waste disposal partner into resources and materials intended for new uses: aluminium scrap, copper scrap, brass scrap, stainless steel scrap, printed circuit boards, copper cable, secondary crushed plastic, fuel pellets, and ABS, BS, PP granules).
- More than **53,400 kg** of recycled metal-containing materials accumulated at the Bank's warehouse facilities were sold.

Resource consumption by VTB Bank

Resource type	2023		2022		2021	
	Volume	Financial equivalent (RUB)	Volume	Financial equivalent (RUB)	Volume	Financial equivalent (RUB)
Heat, Gcal	171,983	405,374,240	147,722	314,048,271	172,663	359,796,611
Electricity, thousand kWh	227,332	1,600,747,065	212,853	1,383,420,199	229,614	1,363,623,100
Gas, thousand m^3	1,993	16,103,155	2,836	21,755,775	1,860	12,189,736
Paper, tonnes	1,044	110,471,569	1,522	205,483,767	2,066	188,024,453
Drinking water, thousand litres	3,918	41,596,036	3,850	34,070,142	3,592	25,501,475

Tracking market trends and driving investment returns

04. Financial statements

4.1. Consolidated financial statements under IFRS

Independent auditor's report

To the Shareholders and Supervisory Council of VTB Bank (public joint-stock company)

Opinion

The accompanying summary consolidated financial statements, which comprise the summary consolidated income statement and summary consolidated statement of comprehensive income for the year ended 31 December 2023, summary consolidated statement of financial position as at 31 December 2023, and related note to summary consolidated financial statements, are derived from the audited consolidated financial statements of VTB Bank (public joint-stock company) and its subsidiaries (hereinafter, the "Group") for 2023 prepared in accordance with International Financial Reporting Standards (hereinafter, the "audited consolidated financial statements").

In our opinion, the accompanying summary consolidated financial statements are consistent, in all material respects, with the audited consolidated financial statements, in accordance with the criteria specified in Note 1 "Basis of preparation of the summary consolidated financial statements".

Audited consolidated financial statements and our auditor's report thereon

We expressed an unmodified audit opinion on the audited consolidated financial statements in our report dated 20 February 2024. That report also includes the communication of key audit matters. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period.

Management's responsibility for the summary consolidated financial statements

Management is responsible for the preparation of the summary consolidated financial statements in accordance with the principles specified in Note 1 "Basis of preparation of the summary consolidated financial statements".

Auditor's responsibility

Our responsibility is to express an opinion on whether the summary consolidated financial statements are consistent, in all material respects, with the audited consolidated financial statements based on our procedures, which are conducted in accordance with International Standard on Auditing (ISA) 810 (Revised) Engagements to Report on Summary Financial Statements.

Yushenkov Oleg Vladimirovich,
acting on behalf of TSATR — Audit Services Limited Liability Company on the basis of power of attorney 18 April 2022, partner in charge of the audit resulting in this independent auditor's report (main registration number 22006013398)

20 February 2024

Details of the auditor

Name: TSATR — Audit Services Limited Liability Company

Record made in the State Register of Legal Entities on 5 December 2002, State Registration Number 1027739707203.

Address: Russia 115035, Moscow, Sadovnicheskaya naberezhnaya, 77, building 1.

TSATR — Audit Services Limited Liability Company is a member of Self-regulatory organization of auditors Association "Sodruzhestvo". TSATR — Audit Services Limited Liability Company is included in the control copy of the register of auditors and audit organizations, main registration number 12006020327.

Details of the audited entity

Name: VTB Bank (public joint-stock company)

Record made in the State Register of Legal Entities on 22 November 2002, State Registration Number 1027739609391.

Address: Russia 191144, Saint-Petersburg, Degtyarnyy Pereulok, 11a.

SUMMARY CONSOLIDATED INCOME STATEMENT for the year ended 31 December, RUB billions

	2023	2022 (corrected)
Interest income calculated using the effective interest method	2,356.2	1,554.7
Other interest income	98.2	80.6
Interest expense	(1,648.2)	(1,305.7)
Payments to deposit insurance system	(44.8)	(31.6)
Net interest income	**761.4**	**298.0**
Provision charge for expected credit losses on debt financial assets	(175.6)	(423.2)
Net interest income/(expense) after provision charge for expected credit losses	**585.8**	**(125.2)**
Net fee and commission income	**217.0**	**147.7**
Losses net of gains arising from financial instruments at fair value through profit or loss and through other comprehensive income	(45.4)	(66.4)
Gains net of losses/(losses net of gains) arising from foreign currencies and precious metals	132.9	(299.6)
Gains arising from extinguishment of liabilities and other gains net of losses other than interest arising from financial instruments at amortised cost	19.0	5.6
Share in profit of associates and joint ventures	29.8	15.1
Impairment of investments in associates and joint ventures	(7.5)	(2.3)
Gains net of losses/(losses net of gains) from disposal of subsidiaries, associates and joint ventures	3.0	(228.6)
Provision for credit losses on credit related commitments and other financial assets	(11.9)	(94.9)
Reversal of provision for legal claims and other commitments	0.3	5.0
Revenue and other gains from operating lease of equipment	14.8	16.2
Expenses related to equipment leased out	(7.7)	(9.0)
Net result from investment of non-state pension funds' assets	64.0	13.9

	2023	2022 (corrected)
Finance expense of insurance companies and non-state pension funds	(67.2)	(14.8)
Insurance revenue from insurance companies and non-state pension funds activity	120.8	12.0
Insurance service expenses from insurance companies and non-state pension funds activity	(114.8)	(6.2)
Excess of fair value of acquired net assets over cost	35.4	130.5
Other operating income	11.3	9.0
Other non-interest gains/(losses) from financial activities	**176.8**	**(514.5)**
Revenue and other gains from other non-financial activities	35.5	33.7
Cost of sales and other expenses from other non-financial activities	(29.8)	(33.7)
Expenses from write-down of property held for sale in the ordinary course of business	(0.2)	(0.1)
Impairment of land, premises and intangible assets other than goodwill used in non-financial activities	–	(1.7)
Net loss from disposal of land, premises and intangible assets other than goodwill used in non-financial activities	(0.4)	–
Net gain/(loss) from change in fair value of investment property recognised on revaluation or disposal	1.5	(7.3)
Revenues less expenses from other non-financial activities	**6.6**	**(9.1)**
Impairment of goodwill	(1.7)	–
Impairment of land, premises and intangible assets	(6.3)	(5.7)
Net loss from disposal of land, premises and intangible assets other than goodwill	(16.2)	(29.4)
Other operating expense	(43.5)	(30.8)
Staff costs and administrative expenses	(400.3)	(283.5)
Non-interest expenses	**(468.0)**	**(349.4)**
Profit/(loss) before tax	**518.2**	**(850.5)**
Income tax (expense)/benefit	(86.0)	183.0
Net profit/(loss)	**432.2**	**(667.5)**
Net profit/(loss) attributable to:		
Shareholders of the parent	420.6	(674.4)
Non-controlling interests	11.6	6.9
Basic and diluted earnings/(loss) per share (expressed in Russian roubles per share)	0.01910	(0.05405)

SUMMARY CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME for the year ended 31 December, RUB billions

	2023	2022 (corrected)
Net profit/(loss)	**432.2**	**(667.5)**
Other comprehensive income/(loss)		
Other comprehensive income/(loss) to be reclassified to profit or loss in subsequent periods:		
Net change in fair value of debt financial assets at fair value through other comprehensive income, net of tax	(15.8)	29.2
Reclassification of fair value reserve to income statement on sale of debt financial assets at fair value through other comprehensive income, net of tax, to income statement	(1.0)	2.9

	2023	2022 (corrected)
Finance income of non-state pension funds, disaggregated to other comprehensive income	7.2	–
Share of other comprehensive income/(loss) of associates and joint ventures	3.6	(13.0)
Effect of translation, net of tax	13.7	(56.6)
Total other comprehensive income/(loss) to be reclassified to profit or loss in subsequent periods	**7.7**	**(37.5)**
Other comprehensive income/(loss) not to be reclassified to profit or loss in subsequent periods:		
Net change in fair value of equity financial assets at fair value through other comprehensive income	0.5	(3.3)
Land and premises revaluation, net of tax	0.3	(1.9)
Actuarial losses net of gains arising from difference between pension plan assets and obligations	–	(2.2)
Total other comprehensive income/(loss) not to be reclassified to profit or loss in subsequent periods	**0.8**	**(7.4)**
Other comprehensive income/(loss), net of tax	**8.5**	**(44.9)**
Total comprehensive income/(loss)	**440.7**	**(712.4)**
Total comprehensive income/(loss) attributable to:		
Shareholders of the parent	428.9	(718.4)
Non-controlling interests	11.8	6.0

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION as at 31 December, RUB billions

	2023	2022 (corrected)
ASSETS		
Cash and short-term funds	1,210.8	918.8
Mandatory cash balances with central banks	54.2	31.9
Trading financial assets	865.4	1,270.4
Derivative financial assets	122.2	101.5
Due from other banks	1,082.9	818.9
Loans and advances to customers	19,857.7	16,310.6
Investment financial assets	3,901.6	2,952.3
Investments in associates and joint ventures	364.3	289.4
Assets of disposal groups	2.2	10.5
Land, premises and equipment	420.4	406.8
Investment property	103.7	103.3
Goodwill and other intangible assets	548.2	456.4
Deferred income tax asset	388.9	376.7
Other assets	459.7	330.8
Total assets	**29,382.2**	**24,378.3**

	2023	2022 (corrected)
LIABILITIES		
Due to other banks	1,677.3	1,617.5
Customer deposits	22,346.8	18,545.9
Derivative financial liabilities	78.5	55.2
Other borrowed funds	1,048.9	853.2
Debt securities issued	316.9	187.8
Liabilities of disposal groups	0.3	0.7
Deferred income tax liability	48.1	36.7
Insurance liabilities	1,101.5	999.4
Other liabilities	476.7	390.7
Total liabilities before subordinated debt	**27,095.0**	**22,687.1**
Subordinated debt	122.9	219.7
Total liabilities	**27,217.9**	**22,906.8**
EQUITY		
Share capital	798.4	659.5
Share premium	540.6	433.8
Perpetual bonds and loan participation notes	456.5	387.0
Treasury shares and bought back perpetual bonds and loan participation notes	(11.4)	(12.2)
Other reserves	53.9	48.7
Retained earnings/(loss)	283.3	(84.4)
Equity attributable to shareholders of the parent	**2,121.3**	**1,432.4**
Non-controlling interests	**43.0**	**39.1**
Total equity	**2,164.3**	**1,471.5**
Total liabilities and equity	**29,382.2**	**24,378.3**

Approved for issue and signed on 20 February 2024.

A.L. Kostin
President — Chairman of the Management Board

D.V. Pyanov
First Deputy President —
Chairman of the Management Board

1. Basis of preparation of summary consolidated financial statements

These summary consolidated financial statements are based on the audited consolidated financial statements of VTB Bank for the year ended 31 December 2023 prepared in accordance with International Financial Reporting Standards and consist of summary consolidated income statement and summary consolidated statement of comprehensive income for the year ended 31 December 2023, a summary consolidated statement of financial position as at 31 December 2023 and notes.

The summary consolidated financial statements do not contain all the information required to be disclosed in accordance with International Financial Reporting Standards. Therefore, reading the summary consolidated financial statements and the independent auditor's report on such summary consolidated financial statements does not replace reading the audited consolidated financial statements and the independent auditor's report on such consolidated financial statements.

These summary consolidated financial statements are intended to summarize and present aggregated information of the consolidated statement of financial position, consolidated statement of profit and loss, consolidated statement of comprehensive income and do not include information about the movement in equity and cash flows.

Summary consolidated statement of profit and loss and summary consolidated statement of comprehensive income contain data of the consolidated statement of profit and loss and the consolidated statement of comprehensive income presented in the audited consolidated financial statements without exception.

Summary consolidated statement of financial position contains data of the consolidated statement of financial position presented in the audited consolidated financial statements, excluding detailing of assets, pledged under repurchase agreements.

Note "Basis of Preparation of Summary Consolidated Financial Statements" explain the basic summary principles and difference from the audited consolidated financial statements.

Note "Analysis by Segment" contain data of the respective note presented in the audited consolidated financial statements, excluding analysis by geographical segment.

These summary consolidated financial statements exclude other notes that form an integral part of the audited consolidated financial statements.

The audited consolidated financial statements of VTB Bank for the year ended 31 December 2023 can be provided subject to sending a targeted request to the official mailing address investorrelations@vtb.ru

2. Analysis by segment

In accordance with IFRS 8, Operating Segments, the Group has defined five reportable segments:

- Corporate-Investment banking (CIB)
- Medium and Small banking (MSB)
- Retail business (RB)
- Treasury
- Other business

The Group has also separately disclosed Corporate Centre.

The composition of reportable segments is approved by resolutions of VTB Group's Management Committee (Chief Decision Makers), the body that on a regular basis assesses performance of reportable segments and allocates resources to them.

(a) Factors that management used in order to identify the reportable segments

The Group's segments are strategic business lines that are managed separately, focus on different clients and have product specialisation.

The majority of the Group's activities and resources are allocated and managed, and their performance is assessed via the respective segment information.

(b) Segments' business activities

The CIB, MSB and RB segments are global business lines that focus on servicing different customer segments.

The Treasury and Other business segments, as well as Corporate Centre do not constitute separate global business lines.

The Group Management Committee sets the criteria used to identify client segments for each global business line. They include principles for allocating customers between large, medium and small business customer segments.

CIB and MSB

CIB global business line encompasses operations with corporate customers that are "large business" customers, banking financial institutions, Internet and mobile acquiring operations with retail stores chains, as well as operations on the securities market, excluding operations with securities for liquidity management purposes. In addition, CIB global business line makes direct equity investments, becoming a partner in socially significant infrastructure projects and companies in various industries. CIB's global business line offers partnership experience, infrastructure and financial resources of VTB Group, which allows them to increase their operational efficiency and investment appeal as part of a long-term strategy.

MSB global business line encompasses operations with corporate customers of "medium business" and "small business" categories.

Reportable segments comprise:

- operations with prevailing market risk including loans with exposure to market risks;
- corporate finance operations;
- asset management, brokerage services and financial consulting;
- all types of operations with precious metals;
- profit-taking operations on the financial and currency markets, including interbank market;
- other products and services with prevailing market risk;
- operations with prevailing credit risk and interest rate risk, such as lending to corporate customers (large and medium businesses segments), including overdrafts on customers' current accounts;
- trade and export financing;
- operations with corporate customers: current and settlement accounts and term deposits;
- documentary operations, including letters of credit and guarantees;
- depositary operations;
- fee-based services of all kinds not related to operations on the financial markets and currency valuables: settlement and cash services, collection, storage box, remote banking services;
- internet and mobile acquiring operations with retail stores chain;
- investments in non-banking digital business.

Retail business

RB global business line encompasses operations with individuals and specific operations with corporate customers.

The retail business comprises operations with all banking services for individuals, operations of individuals with plastic cards, payroll related services, payment processing centre service, all types of insurance products and services and Investments in non-banking digital business.

Treasury

The Treasury comprises:

- operations to manage liquidity (including those
- with securities portfolios maintained for liquidity management purposes);
- operations on financial and interbank markets as
- a part of management of payment and currency positions, as well as interest rate risk management;
- debt financing operations;
- reallocation of resources between segments both within the Head office and subsidiary and between VTB Group members.

The net financial results of the Treasury reportable segment are allocated to other reportable segments in accordance with established methodology.

Corporate Centre

The Corporate Centre represents unallocated staff and administrative expenses related to VTB Group's management, as well as expenses on strategic programmes connected with VTB Group's brand development. It may also include other items resulting from intersegment reallocations as determined by VTB Group's Management Committee. Corporate Centre also includes investments in associates not allocated to reportable segments.

Other business

The other business includes two lines of business: Construction and development and Other.

The Construction and development business line is non-banking operations undertaken by Group members operating in the construction and development industry.

The Other activities represent non-banking business, including assets, which were transferred to the Group as a result of debt settlement and operations of companies in non-banking digital business.

(c) Managing operating segments' profit or loss, assets or liabilities

The performance of a segment and its profit or loss are measured in accordance with IFRS, as adjusted by intersegment reallocations and decisions of VTB Group's Management Committee regarding the allocation of operations between segments.

The Head office and the Group members prepare segment reporting using unified rules.

Intersegment transactions within a single entity of the Group are settled using the internal transfer prices, which are designed to reflect the cost of resources. For VTB Group members operating in the Russian Federation, transfer rates are set centrally. For VTB Group members operating outside the Russian Federation, transfer rates are set and regularly reviewed within a specific legal entity. VTB Group's Management Committee evaluates segments' performance based on their net profit after tax, as well as other qualitative and quantitative information.

Intersegment transactions are predominantly conducted in the normal course of business.

ANALYSIS BY SEGMENT (CONTINUED)	CIB 2023	CIB 2022 (corrected)	MSB 2023	MSB 2022	RB 2023	RB 2022 (corrected)	Treasury 2023	Treasury 2022
Revenues from:								
External customers	1,293.6	1,034.0	383.6	231.8	962.0	636.3	406.2	169.8
Other segments	545.3	443.3	290.1	191.6	581.2	547.3	1,770.9	1,230.4
Total revenues	**1,838.9**	**1,477.3**	**673.7**	**423.4**	**1,543.2**	**1,183.6**	**2,177.1**	**1,400.2**
Segment income and expense:								
Interest income	1,647.2	1,222.6	584.0	374.7	1,305.9	1,068.3	2,080.2	1,385.4
Interest expense	(1,431.3)	(1,021.6)	(425.1)	(271.4)	(963.0)	(842.7)	(1,998.4)	(1,572.3)
Payments to deposit insurance system	(3.0)	(2.8)	(8.6)	(4.7)	(32.5)	(24.0)	–	(0.1)
Treasury result allocation	45.6	15.8	2.9	(5.4)	(55.1)	(203.3)	(137.6)	660.3
Net interest income/(expense)	**258.5**	**214.0**	**153.2**	**93.2**	**255.3**	**(1.7)**	**(55.8)**	**473.3**
(Provision charge)/reversal of provision for credit losses on debt financial assets	(72.8)	(222.1)	(12.8)	(19.1)	(71.0)	(98.8)	(6.6)	(38.0)
Net interest income/(expense) after provision charge for credit losses	**185.7**	**(8.1)**	**140.4**	**74.1**	**184.3**	**(100.5)**	**(62.4)**	**435.3**
Net fee and commission income/(expense)	66.7	47.3	62.1	38.5	75.5	57.9	3.1	3.5
Gains net of losses/(losses net of gains) arising from financial instruments and foreign currencies	40.4	84.6	2.1	0.7	(1.2)	(1.0)	63.9	(442.3)
Share in profit of associates and joint ventures	5.1	3.4	0.4	0.1	9.0	3.5	0.4	0.2
Gains/(losses) from disposal of subsidiaries and associates	7.0	(218.0)	–	–	–	0.3	(4.4)	10.3
(Provision charge)/reversal of provision for impairment of other assets, credit related commitments and legal claims	4.9	(86.7)	(1.3)	(4.2)	(1.4)	(0.9)	–	(5.9)
Other operating (expense)/income	4.7	6.0	(4.4)	(2.2)	(31.6)	(45.7)	(0.6)	(1.1)
Net operating income/(expense)	**314.5**	**(171.4)**	**199.3**	**107.0**	**234.6**	**(86.4)**	**–**	**–**
Staff costs and administrative expenses	(72.7)	(59.9)	(68.0)	(47.4)	(162.1)	(118.7)	–	–
Profit/(loss) before tax	**241.8**	**(231.3)**	**131.3**	**59.6**	**72.5**	**(205.1)**	**–**	**–**
Income tax (expense)/benefit	(49.8)	11.2	(23.5)	(11.1)	(10.7)	43.4	–	–
Net profit/(loss)	**192.0**	**(220.1)**	**107.8**	**48.5**	**61.8**	**(161.7)**	**–**	**–**
Capital expenditure	**52.3**	**23.5**	**27.7**	**14.2**	**43.5**	**93.9**	**–**	**–**
Depreciation	**13.0**	**11.8**	**13.2**	**8.1**	**35.1**	**22.8**	**–**	**–**
Net result on financial assets at fair value through other comprehensive income, net of tax	(3.1)	(4.2)	–	–	(20.4)	(8.8)	7.2	42.1
Share of other comprehensive income/(loss) of associates and joint ventures	(0.1)	–	–	–	2.4	(4.5)	1.3	(8.5)
Effect of translation, net of tax	0.2	–	–	–	–	–	13.5	(56.6)

Corporate Centre		Other business		Non-distributed acquisitions		Inter-segment eliminations		Total	
2023	2022	2023	2022 (corrected)	2023	2022 (corrected)	2023	2022 (corrected)	2023	2022 (corrected)
20.1	0.6	48.8	36.3	42.6	–	–	–	3,156.9	**2,108.8**
–	–	9.5	11.4	1.0	–	(3,198.0)	(2,424.0)	–	**–**
20.1	**0.6**	**58.3**	**47.7**	**43.6**	**–**	**(3,198.0)**	**(2,424.0)**	**3,156.9**	**2,108.8**
–	–	7.4	8.1	31.3	–	(3,201.6)	(2,423.8)	2,454.4	**1,635.3**
(5.7)	(0.1)	(25.5)	(21.7)	(8.5)	–	3,209.3	2,424.1	(1,648.2)	**(1,305.7)**
–	–	–	–	(0.7)	–	–	–	(44.8)	**(31.6)**
140.7	(475.6)	3.5	8.2	–	–	–	–	–	**–**
135.0	**(475.7)**	**(14.6)**	**(5.4)**	**22.1**	**–**	**7.7**	**0.3**	**761.4**	**298.0**
1.0	(14.7)	–	–	(13.4)	(30.5)	–	–	(175.6)	**(423.2)**
136.0	**(490.4)**	**(14.6)**	**(5.4)**	**8.7**	**(30.5)**	**7.7**	**0.3**	**585.8**	**(125.2)**
(0.3)	-	0.9	0.6	9.3	-	(0.3)	(0.2)	217.0	**147.7**
(1.8)	(0.1)	1.5	(3.7)	0.6	–	1.0	1.4	106.5	**(360.4)**
–	–	14.9	7.9	–	–	–	–	29.8	**15.1**
–	(20.7)	0.9	(0.5)	(0.5)	–	–	–	3.0	**(228.6)**
(15.8)	7.8	(1.9)	–	3.9	–	–	–	(11.6)	**(89.9)**
(0.1)	(1.0)	(2.3)	(8.0)	35.3	130.6	(13.0)	(4.3)	(12.0)	**74.3**
118.0	**(504.4)**	**(0.6)**	**(9.1)**	**57.3**	**100.1**	**(4.6)**	**(2.8)**	**918.5**	**(567.0)**
(48.2)	(37.5)	(41.2)	(24.1)	(11.3)	–	3.2	4.1	(400.3)	**(283.5)**
69.8	**(541.9)**	**(41.8)**	**(33.2)**	**46.0**	**100.1**	**(1.4)**	**1.3**	**518.2**	**(850.5)**
(9.2)	132.4	9.2	7.3	(1.9)	–	(0.1)	(0.2)	(86.0)	**183.0**
60.6	**(409.5)**	**(32.6)**	**(25.9)**	**44.1**	**100.1**	**(1.5)**	**1.1**	**432.2**	**(667.5)**
18.7	**12.7**	**73.9**	**47.8**	**1.0**	**–**	**–**	**–**	**217.1**	**192.1**
4.5	**2.9**	**18.6**	**9.5**	**0.8**	**–**	**(0.2)**	**(0.1)**	**85.0**	**55.0**
–	(0.3)	–	–	–	–	–	–	(16.3)	**28.8**
–	–	–	–	–	–	–	–	3.6	**(13.0)**
–	–	–	–	–	–	–	–	13.7	**(56.6)**

ANALYSIS BY SEGMENT (CONTINUED)	CIB		MSB		RB		Treasury	
	2023	2022 (corrected)	2023	2022	2023	2022 (corrected)	2023	2022
Actuarial losses net of gains arising from difference between pension plan assets and obligations	–	(2.2)	–	–	–	–	–	–
Finance income of non-state pension funds, disaggregated to other comprehensive income	–	–	–	–	–	–	–	–
Land and premises revaluation, net of tax	–	(0.3)	–	(0.4)	–	(1.0)	–	–
Total other comprehensive income/(loss) before treasury result allocation	**(3.0)**	**(6.7)**	**–**	**(0.4)**	**(18.0)**	**(14.3)**	**22.0**	**(23.0)**
Treasury result allocation	5.8	(8.1)	2.0	2.5	4.4	7.1	(22.0)	23.0
Total other comprehensive income/(loss)	**2.8**	**(14.8)**	**2.0**	**2.1**	**(13.6)**	**(7.2)**	**–**	**–**
Total comprehensive income/(loss)	**194.8**	**(234.9)**	**109.8**	**50.6**	**48.2**	**(168.9)**	**–**	**–**
Cash and short-term funds	127.5	85.2	21.4	14.2	322.1	259.8	691.2	437.0
Mandatory cash balances with central banks	–	–	–	–	–	–	53.6	28.3
Due from other banks	623.9	306.9	–	0.1	73.2	4.9	284.9	155.6
Loans and advances to customers	10,008.4	7,696.8	3,038.5	1,889.6	6,424.9	4,601.7	142.3	141.0
Other financial instruments	751.3	614.3	7.6	5.3	103.7	299.8	3,123.4	2,243.9
Investments in associates and joint ventures	200.7	152.4	1.4	1.1	120.1	110.0	6.6	5.0
Other assets items	557.1	401.2	213.1	180.5	535.0	472.6	5.2	29.4
Net amount of intersegment settlements	–	–	667.1	461.5	1,683.5	450.1	1,567.6	1,516.0
Segment assets	**12,268.9**	**9,256.8**	**3,949.1**	**2,552.3**	**9,262.5**	**6,198.9**	**5,874.8**	**4,556.2**
Due to other banks	513.9	215.8	1.1	–	1.4	0.5	1,160.8	1,184.1
Customer deposits	6,642.9	5,897.6	3,584.1	2,348.0	8,222.5	5,455.9	3,574.4	2,365.8
Other borrowed funds	117.1	94.4	0.2	0.1	4.2	3.1	923.9	755.6
Debt securities issued	29.4	10.4	25.8	28.1	171.6	77.9	87.8	19.3
Subordinated debt	–	–	–	–	–	–	122.9	219.5
Other liabilities items	332.7	197.8	45.9	33.8	272.4	378.1	5.0	11.9
Net amount of intersegment settlements	3,853.8	2,419.9	–	–	–	–	–	–
Segment liabilities	**11,489.8**	**8,835.9**	**3,657.1**	**2,410.0**	**8,672.1**	**5,915.5**	**5,874.8**	**4,556.2**

	Corporate Centre		Other business		Non-distributed acquisitions		Inter-segment eliminations		Total	
	2023	2022	2023	2022 (corrected)	2023	2022 (corrected)	2023	2022 (corrected)	2023	2022 (corrected)
	–	–	–	–	–	–	–	–	–	**(2.2)**
	7.2	–	–	–	–	–	–	–	7.2	**–**
	–	(0.1)	0.3	(0.1)	–	–	–	–	0.3	**(1.9)**
	7.2	**(0.4)**	**0.3**	**(0.1)**	**–**	**–**	**–**	**–**	**8.5**	**(44.9)**
	9.8	(24.5)	–	–	–	–	–	–	–	**–**
	17.0	**(24.9)**	**0.3**	**(0.1)**	**–**	**–**	**–**	**–**	**8.5**	**(44.9)**
	77.6	**(434.4)**	**(32.3)**	**(26.0)**	**44.1**	**100.1**	**(1.5)**	**1.1**	**440.7**	**(712.4)**
	19.8	–	0.3	0.1	28.5	122.5	–	–	1,210.8	**918.8**
	–	–	–	–	0.6	3.6	–	–	54.2	**31.9**
	87.5	–	0.1	–	13.3	351.4	–	–	1,082.9	**818.9**
	(39.1)	(61.3)	2.9	2.3	279.8	2,040.5	–	–	19,857.7	**16,310.6**
	834.1	–	19.1	14.8	50.0	1,146.1	–	–	4,889.2	**4,324.2**
	–	–	35.0	19.5	0.5	1.4	–	–	364.3	**289.4**
	133.9	84.5	453.3	343.4	25.5	172.9	–	–	1,923.1	**1,684.5**
	188.8	83.7	–	–	49.7	162.3	(4,156.7)	(2,673.6)	–	**–**
	1,225.0	**106.9**	**510.7**	**380.1**	**447.9**	**4,000.7**	**(4,156.7)**	**(2,673.6)**	**29,382.2**	**24,378.3**
	–	–	–	–	0.1	217.1	–	–	1,677.3	**1,617.5**
	–	–	0.2	0.1	322.7	2,478.5	–	–	22,346.8	**18,545.9**
	–	–	–	–	3.5	–	–	–	1,048.9	**853.2**
	–	–	–	–	2.3	52.1	–	–	316.9	**187.8**
	–	–	–	–	–	0.2	–	–	122.9	**219.7**
	967.6	15.7	58.2	37.1	23.3	808.3	–	–	1,705.1	**1,482.7**
	–	–	302.9	253.7	–	–	(4,156.7)	(2,673.6)	–	**–**
	967.6	**15.7**	**361.3**	**290.9**	**351.9**	**3,556.2**	**(4,156.7)**	**(2,673.6)**	**27,217.9**	**22,906.8**

Annexes

5.1. Share capital

As of 31 December 2023, VTB Bank's share capital stood at RUB 789,925,164,901.90 and was divided into ordinary shares and Type 1 and Type 2 preference shares.

Type of shares	Nominal value, RUB	Number of shares as of 31 December 2023	Number of shares as of 31 December 2022
Ordinary shares	0.01	26,849,669,465,190	12,960,541,337,338
Type 1 preference shares	0.01	21,403,797,025,000	21,403,797,025,000
Type 2 preference shares	0.1	3,073,905,000,000	3,073,905,000,000

To offset the negative impact of the sanctions on the Bank's regulatory capital, VTB organised a capital injection, which included two additional ordinary share issues in 2023 increasing its equity by RUB 243.2 billion.

1Q 2023

Private offering of 8.7 trillion ordinary shares at a price of RUB 0.017085 per share for a total of RUB 149.4 billion.

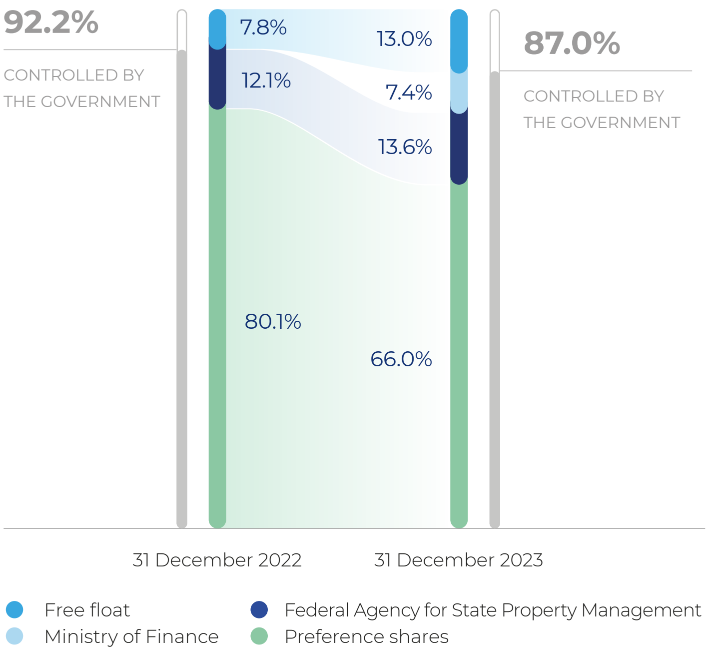
- 55 billion shares (RUB 1 billion) were paid in cash as shareholders exercised their pre-emptive right to acquire them.
- 8.7 trillion shares (RUB 148.4 billion) were paid for with non-cash funds:
  - RUB 48.4 billion — contribution of 100% of RNCB shares to VTB's capital,
  - RUB 100 billion — conversion of subordinated deposit received by VTB Bank from the National Wealth Fund in 2014.

2Q 2023

Public offering of 5.1 trillion ordinary shares at a price of RUB 0.018225 per share for a total of RUB 93.8 billion.

Following the capital injections, the share of the Bank's capital formed by ordinary shares and controlled by the government increased from 60.9% as at the end of 2022 to 61.8% as at the end of 2023. The share of non-residents in the Bank's capital reduced almost twofold from 20.5% to 10.5%.

Changes in the share capital in 2023



In accordance with its Charter, as of 31 December 2023, the Bank had the right to issue a maximum number of 51 trillion ordinary shares with a nominal value of RUB 0.01 each. The state registration number of ordinary shares is 10401000B. The state registration date of the ordinary share issue is 29 September 2006.

Ordinary shares of VTB Bank trade on the Moscow Exchange. As of the end of 2023, the shares of VTB Bank (PJSC) were included in the Level 1 quotation list of the Moscow Exchange and in the following indices:

- MOEX Russia Index;
- RTS Index;
- MOEX Russia Index (all sessions);
- MOEX Equity Subindex;
- MOEX Broad Market Index;
- MOEX Financials Index;
- RTS Finances Index;
- RTS Broad Market Index; and
- MOEX Active Management Index (IMOEXW);
- National Corporate Governance Index;
- MOEX 10.

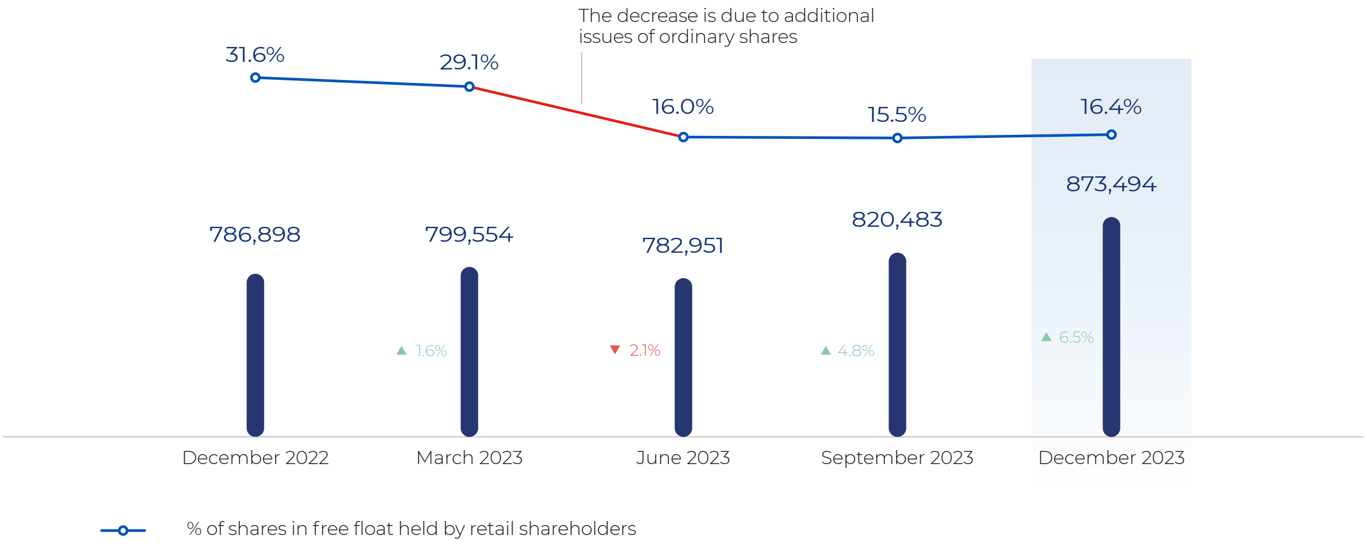
VTB Bank Type 1 and Type 2 preference shares are not traded on exchanges and do not offer a fixed dividend for the year. The amount of dividend is approved by the General Meeting of Shareholders. In addition, the Bank's Charter provides for the possibility of paying out interim dividends.

The state registration number of Type 1 preference shares is 20301000B. The state registration date of the issue is 13 December 2016. All Type 1 preference shares were issued to one shareholder, the Russian Federation, represented by the Russian Ministry of Finance.

The state registration number of Type 2 preference shares is 20401000B. The state registration date of the issue is 13 December 2016. All Type 2 preference shares are owned by one shareholder, the State Corporation Deposit Insurance Agency.

As of 1 December 2023, the Bank had a total of 876,516 shareholders, including 873,494 retail shareholders. In 2023, the number of shareholders increased by 11.15%, or 87,956 shareholders. The share of retail shareholders in total free float was 16.4%.

Changes in the number of retail shareholders



5.2. Dividends

One of the main rights of shareholders is the right to receive a share of the Bank's net profit in the form of dividend payments. Dividend payments are approved by the Bank's Annual General Meeting of Shareholders.

The Bank's Charter also provides for the possibility of paying interim dividends for the first quarter, six months and nine months of the reporting year.

The record date for persons entitled to receive dividend income is determined by the General Meeting of Shareholders, but may not be earlier than 10 days before the date when the decision to pay dividends is made or later than 20 days following such decision. The time period for the payment of dividends depends on the type of registered shareholder.

Dividend payments to nominal shareholders and trustees listed in the shareholder register shall be made within 10 business days, while dividend payments to other registered shareholders shall be made within 25 business days of the record date.

Shareholders unable to receive dividend because VTB Bank or the registrar lack accurate and necessary address or bank account details, or due to any other delay on the creditor's part, can claim such unpaid (unclaimed) dividend within three years of the date on which the dividend is approved.

Any dividends accrued but unclaimed by shareholders within three years are reallocated to retained earnings of the Bank, and the related obligation is deemed discharged. Accordingly, a shareholder failing to claim the accrued dividends within three years loses the right to receive them. Dividends credited to a shareholder's bank account are considered paid.

	2017	2018	2019[52]	2019[53]		2020
Total amount of dividend payments, RUB million	73,516	26,820	3,781	20,120	4,376[54]	32,737[55]
Dividend payout ratio						
% of VTB Bank's net profit under RAS	73	12	-	10	-	100
% of the Group's net profit under IFRS	61	15	-	10	-	100
Dividend payments, RUB million						
Ordinary shares	44,759	14,240	-	10,024	-	18,146
Type 1 preference shares	11,804	5,164	3,781	4,144	4,376	5,989
Type 2 preference shares	16,953	7,416	-	5,952	-	8,601
Dividend per share, RUB						
Ordinary shares	≈0.00345	≈0.00110	-	≈0.00077	-	≈0.00140
Type 1 preference shares	≈0.000551	≈0.00024	≈0.00018	≈0.00019	≈0.00020	≈0.00028
Type 2 preference shares	≈0.005515	≈0.00241	-	≈0.00193	-	≈0.00280
Dividend yield, %						
Ordinary shares	5.5	2.4	-	1.9	3.7	-
Type 1 preference shares	5.5	2.4	-	1.9	2.8	-
Type 2 preference shares	5.5	2.4	-	1.9	2.8	-

52. The payment was made from retained earnings from previous years.
53. Excluding dividends paid as part of the capital transfer following the transfer of credit claims related to state defence procurement contracts to another authorised bank.
54. The payment was made from retained earnings from previous years.
55. The amount of dividend consists of payments from the 2020 net profit (RUB 0.0000173965919370917 per ordinary share) and payments from retained earnings from previous years (RUB 0.00138273422595461 per ordinary share).

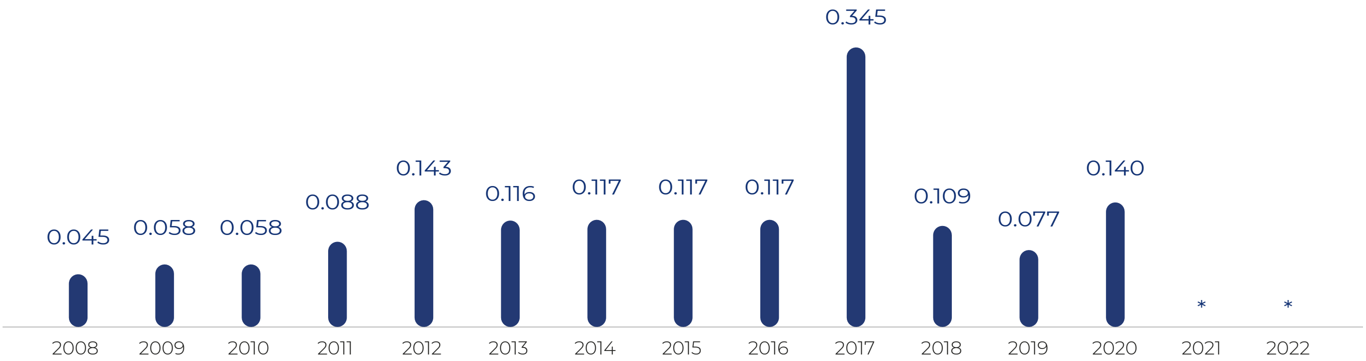
Payments are made by bank transfer to bank accounts provided to the Bank's registrar by shareholders and nominal shareholders of record. Where the registrar lacked accurate and necessary bank account details, dividends were paid by postal order.

Dividends for previous periods were paid in full except for shareholders of record with missing or incorrect address and/or bank account details. There are no outstanding liabilities for dividends owed to the budget.

On 30 June 2023, the Annual General Meeting of Shareholders approved a decision to pay no dividends for 2022. No dividends were declared and paid for 2021, either.

The Dividend Policy on the Bank's website

Record of dividend payments, kopecks per ordinary share (rounded)



* No dividends were declared and paid for 2021 and 2022.

Dividend taxation

The Bank, as a tax agent, withholds dividend tax and transmits it to tax authorities.

To claim a withholding tax exemption or a reduced tax rate on dividends paid to mutual funds and foreign organisations and individuals, documents confirming the right to preferential tax treatment must be provided at the place of share registration:

- the Bank's registrar (VTB Registrar);
- depository;
- trustee in the case of shares placed under trust management.

The dividend tax rate is 13% for individual and corporate residents of the Russian Federation and 15% for non-residents. Starting from 2021, a new progressive tax rate has been introduced. If the tax base for income from the resident's equity participation exceeds RUB 5 million in a given tax period, a tax rate of 15% applies to the excess amount.

The tax rate is applied to the taxable amount of dividends, which may be less than the total amount of dividend payments, as those are reduced by the amount of income received by VTB Bank in the form of dividends from equity participation in other companies because tax on these amounts has already been withheld.

If there is an applicable international double tax treaty, tax is paid at a rate specified in the treaty, subject to Russian laws.

5.3. Long-term development programme and key performance indicators

Long-term development programme

The Long-Term Development Programme of VTB Bank for 2020–2023 was approved by its Supervisory Council[56]. In 2023, the Supervisory Council approved an updated version of the Long-Term Development Programme for 2020–2023[57], adding new strategic initiatives for 2023.

The Long-Term Development Programme defines the Group's target development model, including priority development areas and strategic goals and objectives by area, key and additional performance indicators, as well as strategic initiatives to implement the same.

In accordance with the instructions of the Russian Government[58], the Bank conducts an annual audit of the Long-Term Development Programme implementation. The audit is governed by the Standard for Assessing the Implementation of the Long-Term Development Programme[59], which stipulates the requirements for selecting the auditor (bidding process), planing and conducting the audit within specified deadlines, and making decisions based on the audit results, as well as by the relevant terms of reference for conducting the audit.

The audit of the Long-Term Development Programme implementation in 2023 was performed by Centre for Audit Technologies and Solutions LLC, an independent auditor, with an audit report prepared based on the the results. The report on the Long-Term Development Programme implementation in 2023 and the results of the audit of the same are approved by the Bank's Supervisory Council.

Key performance indicators system

Introducing key performance indicators (KPIs) into the incentive system for responsible executives is an essential mechanism for monitoring the achievement of the goals set in the Bank's Development Strategy and Long-Term Development Programme and ensuring that employee performance is aligned with the Bank's overall strategic direction. The Bank has[60] the following regulations in place governing the development of its KPI system:

56. Minutes No. 15 of the Bank's Supervisory Council dated 22 December 2020. The current version of the Strategy was drafted in furtherance of the Bank's Development Strategy for 2019–2022 approved by the Supervisory Council in line with the Guidelines on Long-Term Development Programmes for Strategic Open Joint-Stock Companies and Federal State Unitary Enterprises, and Open Joint-Stock Companies in which the Aggregate Share of the Russian Federation Exceeds 50% introduced by Russia's Ministry of Economic Development and the Federal Property Management Agency as part of implementing Russian President's Instructions No. Pr-3086 dated 27 December 2013, as well as the requirements of the new directives of the Russian Government to update the Long-Term Development Programme, taking into account the plan of action to accelerate growth and increase the efficiency of investments in fixed assets, bring the Long-Term Development Programme in line with the goals of the Russian President's Decree No. 204 On National Goals and Strategic Objectives of the Russian Federation until 2024 dated 7 May 2018 (Directives No. 276p-P13 dated 17 January 2019), and transition to priority use of domestic software (Directives No. 10068p-P13 dated 6 December 2018). In pursuance of Directives of the Russian Ministry of Digital Development, Communications and Mass Media (Directives No. 3438p-P13 dated 14 April 2021), the Bank introduced Amendments No. 1 to the LTDP (Minutes of the Supervisory Council No. 12 dated 13 September 2022) on 12 September 2022 to enhance the LTDP with the initiatives of the Digital Transformation Strategy.
57. Minutes No. 12 of the Bank's Supervisory Council dated 31 July 2023.
58. Directives No. 4955p-P13 dated 17 July 2014.
59. Approved by the Bank's Supervisory Council (Minutes No. 1 dated 29 January 2021).
60. As of 31 December 2021.

- Regulation on Remuneration and Key Performance Indicators for Executive Bodies of VTB Bank[61];
- List of Key Performance Indicators for Assessing the Performance of Members of VTB Bank's Management Board[62];
- Procedure for Calculating Remuneration of the Members of VTB Bank's Management Board Based on KPI Achievement[63];
- Methodology for Calculating the Total Shareholder Return KPI and Assessing its Achievement[64].
- Methodology for Establishing Performance-Based KPIs for Members of the Management Board of VTB Bank[65].

The Regulation on Remuneration and Key Performance Indicators for Executive Bodies of VTB Bank sets out the following principles:

- alignment of the Bank's remuneration system with the nature and scale of its operations, its performance, risk profile and risk appetite;
- dependence of remuneration of the Bank's executive bodies on the achievement of goals and objectives defined in the Long-Term Development Programme;
- dependence of KPIs of the sole executive body on corporate Group KPIs based on the Bank's and its subsidiaries' IFRS consolidated financial statements and defined in the Long-Term Development Programme.

The variable part of remuneration payable to members of the Management Board is aligned with the achievement of established KPIs as stipulated in the Procedure for Calculating the Variable Part of Remuneration of the Members of the Bank's Management Board, Methodology for Establishing Performance-Based KPIs for Members of the Management Board of VTB Bank, as well as the employment contracts of the Bank's top management.

KPIs are established to evaluate performance of the executive bodies, taking into account the areas of responsibility of the Bank's executives. Individual targets set for the executives with regard to the quality of project/task/programme implementation may also serve as KPIs.

The annual list of KPIs, their target values and weight are set by the Supervisory Council individually for each member of the Management Board in accordance with the regulations adopted by the Bank.

Core Group-wide KPIs

Net profit:

Target value: RUB 282 billion. Actual value: RUB 432.2 billion. Performance: 153%.

Comments:
The actual value is higher than the target primarily as a result of exceeding the income plan through revaluation of the structural open currency position and net interest income (exceeding growth targets for the interest-bearing assets).

Net fee and commission income

Target value: RUB 196 billion. Actual value: RUB 217 billion. Performance: 111%.

Net operating income (before provisions):

Target value: RUB 938 billion. Actual value: RUB 1,106 billion. Performance: 118%.

Cost/income ratio (CIR) (the ratio of staff & administrative expenses to net operating income before provisions)

Target value: 42.7%. Actual value: 36.2%. Performance: 115%.

Total shareholder return (TSR) (total return of a shareholder in a given year), %

Target value: 100%. Actual value: 81.5%. Performance: target not achieved.

Comments:
The actual value is 18.5 p.p. below the target. VTB's TSR came in at 37.16% vs 68.23% in the MOEX Financials Index.

61. Minutes No. 4 of the Bank's Supervisory Council dated 15 April 2019.
62. Minutes No. 4 of the Bank's Supervisory Council dated 25 March 2021.
63. Minutes No. 26 of the Bank's Supervisory Council dated 30 December 2014.
64. Minutes No. 26 of the Bank's Supervisory Council dated 30 December 2014.
65. Minutes No. 10 of the Bank's Supervisory Council dated 2 July 2021.

Cost of risk (CoR)

Target value: 1.15%. Actual value: 0.88%. Performance: 123%.

Increase in productivity

Target value: ≥5.0%. Actual value: 9.3%. Performance: 186.6%.

Comments:
The Bank exceeded the target KPI thanks to the strong loan portfolio growth across all segments (including due to robust market growth).

Growth of SME loan portfolio balances

Target value: >12%. Actual value: 47.5%. Performance: 396%.

Comments:
The Bank exceeded the target KPI thanks to strong loan portfolio growth in the SME segment.

5.4. Non-core asset management

VTB identifies non-core asset management as one of the priority areas to focus on to improve operating efficiency. The Bank carries out an annual review of non-core assets[66]. Reporting on the disposal of non-core assets and the scope of assets scheduled for disposal in the reporting period contains information on the Bank and its subsidiaries[67].

Further to their non-core asset disposal programmes, VTB Group companies develop and approve registers of non-core assets as well as action plans for their disposal. The Bank regularly updates the Register of Non-Core Asses and the Action Plan for Disposal of Non-Core Assets of VTB Bank[68] and discloses them on the interagency (IA) portal for state property management of the Federal Agency for State Property Management and on the Bank's website[69]. Also in line with the Asset Disposal Programme, the Bank prepares quarterly progress reports on the disposal of non-core assets, publishing them on the IA Portal. Progress reports on the disposal of non-core assets disclosed on the IA portal in 2023 provide data about non-core asset disposal by Group companies.

In 2023 , the Bank made the following transactions in line with the Asset Disposal Programme and Action Plan for Disposal of Non-Core Assets:

Asset group No.[70]	Asset No. / asset group name	Non-core asset name	Balance sheet line where the asset was recorded as of the balance sheet date preceding its disposal	Book value of the asset, RUB thousand	Actual value of the disposed asset / assets received following the liquidation of a company, RUB thousand	Variance between the actual disposal value and the book value of the asset, RUB thousand
Subsection "Shareholding", Section 6 "Assets and Property", Chapter A "Balance Sheet Accounts"						
4	**JSC SG-Development**			5,129,506.20	-	-
	4	JSC SG-Development Shareholding: 98.11%	60102-810-0-0000-0000000	5,129,506.20	-	-
6	**Ryabinovaya LLC**			993,000.00	693,757.00	(299,243.00)
	6	Ryabinovaya LLC Shareholding: 99.99%	60202-810-0-0000-0000000	993,000.00	693,757.00	(299,243.00)
Total				**6,122,506.20**	**693,757.00**	**(299,243.00)**

66. For the purpose of updating and improving internal regulations and increasing the efficiency of non-core asset management in accordance with Amendments No. 2 to the Charter of VTB Bank approved by the Extraordinary General Meeting of Shareholders (Minutes No. 57 dated 22 November 2021).
67. In accordance with Minutes No. 28-05-06/1-pr dated 26 April 2022 from the Meeting of the Interagency Commission for Monitoring the Disposal of Non-Core Assets by State Corporations, State-Owned Companies and Joint-Stock Companies in which the Share of the Russian Federation Exceeds 50%, and by their Subsidiaries.
68. Minutes No. 17 of the Bank's Supervisory Council dated 22 December 2022.
69. https://www.vtb.com/ir/disclosure/documents/. Due to the sanctions imposed on VTB Bank in 2022, the disclosure of approved forms was suspended in 2022–2023.
70. Asset groups are numbered in line with the numbering used in the Register of Non-Core Assets of VTB Bank dated 1 January 2023 (Minutes No. 3 of the Bank's Supervisory Council dated 21 February 2023).

In 2022, SG-Development was under liquidation, which was finalised in January 2023. Upon receipt of the liquidation statement, the investment in the company's share capital was written off from the Bank's balance sheet in full from the existing provisions.

In 3Q 2023, the Bank sold its investment in the share capital of Ryabinovaya at market value according to the valuation report[71].

In 2024, the Bank plans to enhance the management of non-core assets by improving its current practices.

71. Pursuant to the Supervisory Council's resolution, Minutes No. 12 dated 26 July 2021.

5.5. Procurement

The Bank's procurement ensures the acquisition of necessary goods and services, maintaining quality and timely delivery. Our procurement relies on the following principles:

- transparency;
- cost-efficiency;
- broad participation for all businesses, particularly small and medium enterprises, and individuals;
- promotion of fair competition.

Applicable Russian laws[72] govern our procurement activities and key approaches the Bank adopts in procurement:

- information disclosure;
- equal, fair, non-discriminatory competition among bidders without undue restrictions;
- targeted and cost-efficient use of procurement funds, considering the value of purchased items throughout their lifecycle, with a focus on cost optimisation;
- no requirements for bidders that cannot be quantified;
- counteracting corruption and other abuses;
- protection of the Bank's financial, reputational, and other interests.

To that end, the Bank employs advanced management and technical solutions. Key focus areas for improvement:

- transforming the organisational model by setting up a unified competence centre (procurement as a service);
- rolling out procurement best practices at subsidiaries;
- digitalising procurement management;
- implementing effective tools (including category management, selection and evaluation of potential suppliers based on established criteria, conducting multi-vendor procurement);
- introducing continuous process improvement;
- supporting small and medium enterprises;
- implementing an import substitution programme.

In 2023, the Bank pioneered numerous procurement enhancements across the board:

- standardising procurement activities within some of Group companies, including those in CIS countries, aligning them with uniform standards and principles (revising regulatory framework, and designing new processes reflecting the Bank's practices);
- rolling out the procurement system further across the Group and other associated companies;
- launching a user-friendly contract builder;
- migrating the procurement system to a refreshed UI that conforms to prevailing banking standards;
- increasing the share of legally binding electronic document flow to over 90%;
- boosting the performance of the robotic solution to support transactional procurement twofold, with the number such procurements exceeding 2,000.

In recognition of the Bank's commitment to ongoing supplier support, VTB Bank received accolades for its dedication to SMEs at the St. Petersburg International Economic Forum.

72. Federal Law No. 223-FZ *On Procurement of Goods, Work and Services by Certain Types of Legal Entities* dated 18 July 2011, along with laws and regulations enacted in furtherance of this law.

256.5
RUB billion
total procurement in 2023

790
competitive procurements procedures

>23
RUB billion
realised procurement savings

5.6. Information on VTB Bank's transactions

Information on significant transactions

In 2023, the Bank did not enter into significant transactions recognised as such in accordance with the Federal Law of the Russian Federation On Joint-Stock Companies[73]. A significant transaction is considered to be a transaction (several interrelated transactions) that goes beyond the ordinary course of business and at the same time:

1. related to the acquisition, alienation or the possibility of alienation by the company directly or indirectly of property (including a loan, pledge, guarantee, purchase of such a number of shares or other equity securities convertible into shares of a public company, which will entail the company's obligation to send a mandatory offer), the price or book value of which is 25 percent or more of the book value of the company's assets determined according to its accounting (financial) statements as of the last reporting date;
2. providing for the obligation of the company to transfer property to a temporary possession and (or) use or grant to a third party the right use of the result of intellectual activity under a licence, if the book value amounts to 25 or more percent of the balance sheet value of the company's assets, determined according to the data of its accounting (financial) statements on last reporting date.

Information on interested-party transactions

In 2023, there were no interested-party transactions (groups of interrelated interested-party transactions) in the amount of at least 2% of the assets value determined based on the consolidated financial statements (financial statements) of a public joint-stock company as of the last reporting date (the end date of the last completed reporting period preceding the transaction date).

73. Article 78 of Federal Law No. 208-FZ On Joint-Stock Companies dated 26 December 1995.

5.7. Report on compliance with the principles and recommendations of the Corporate Governance Code

The report on compliance with the principles and recommendations of the Corporate Governance Code was reviewed by the Supervisory Council of VTB Bank at its meeting on 22 April 2024 as part of the preliminary approval of VTB Bank's Annual Report for 2023.

VTB Bank's Supervisory Council confirms that the data provided in this report present complete and accurate information about the Bank's compliance with the principles and recommendations of the Code of Corporate Governance in 2023.

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance[74]	Comments / explanation of deviation from the principle
1.1	**The company shall ensure equal and fair treatment for all its shareholders in exercising their rights to participate in the management of the company.**			
1.1.1	The company creates the best possible conditions for its shareholders to participate in the general meeting, for the development of sound positions related to agenda items at the general meeting, for coordinating their activities, as well as an opportunity to express their views on the issues under consideration.	The company has established a straightforward means of communicating with the company, such as a hotline, email or online forums, allowing shareholders to express their opinions and send questions regarding the agenda during preparations for the general meeting. The company undertook such actions before each general meeting that took place during the reporting period.	Compliance	
1.1.2	The procedure for giving notice of the general meeting and the provision of materials for the general meeting gives shareholders an opportunity to properly prepare for participation in the meeting.	1. In the reporting period, notices of an upcoming general meeting of shareholders were posted (published) on the website no later than 30 days before the date of the general meeting, unless a longer period was stipulated by the applicable laws. 2. The notice about an upcoming meeting indicated the documents required for admission to the premises. 3. Shareholders were provided with access to information about who proposed the agenda items and who nominated individuals to the board of directors and the statutory audit commission (in case its appointment is provided for in the company's charter).	Compliance	
1.1.3	In the course of the preparation for, and the holding of, a general meeting, shareholders had the opportunity to receive information about the meeting and materials for the meeting without hindrance and in a timely manner to pose questions to the executive bodies and members of the board of directors and to communicate with one another.	1. In the reporting period, shareholders had the opportunity to pose questions to members of the executive bodies and members of the board of directors in the course of the preparation for, and during, the general meeting. 2. The position of the board of directors (including dissenting opinions, if any, entered in the minutes) on each agenda item at general meetings held during the reporting period was included in the materials for the general meeting. 3. The company provided entitled shareholders with access to the list of persons entitled to participate in the general meeting from the date of its receipt by the company in all cases regarding general meetings held during the reporting period.	Compliance	

74. "Compliance" means that the company meets all the criteria for assessing compliance with the respective principle of corporate governance. Otherwise, the status of "partial compliance" or "non-compliance" is indicated.

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
1.1.4	Implementation of the shareholder right to request that a general meeting be convened, to nominate candidates to governing bodies and to make proposals for the inclusion of items to the general meeting agenda did not involve needless difficulties.	1. According to the company's charter, shareholders have the right to submit proposals for the inclusion of items to the annual general meeting agenda within at least 60 days after the end of the respective calendar year. 2. During the reporting period, the company did not refuse to accept proposals for the agenda or nominations to the company's various bodies as a result of typos or other insignificant errors in the shareholder's proposal.	Compliance	
1.1.5	Every shareholder had an opportunity to freely exercise their right to vote in the simplest and most convenient way.	According to the company's charter, shareholders have the right to fill out electronic voting ballots using a link to the website specified in the notice of the general meeting of shareholders.	Compliance	
1.1.6	The procedure established by the company for conducting general meetings grants all individuals present at the meeting equal rights to express their opinions and ask questions.	1. When conducting general meetings of shareholders during the reporting period in the form of a meeting (joint presence of shareholders), sufficient time was provided for reports on agenda items, as well as time to discuss those items; shareholders had an opportunity to express their opinions and ask questions on the agenda. 2. The company invited nominees to the governing and oversight bodies and took all necessary measures to ensure their participation in the general meeting of shareholders where their nominations were put to vote. The nominees to the governing and oversight bodies present at the general meeting of shareholders were available to answer questions from shareholders. 3. The sole executive body, person in charge of accounting, chairman and other members of the audit committee of the board of directors were available to answer questions from shareholders during general meetings held in the reporting period. 4. In the reporting period, the company used telecommunications facilities to enable shareholders to participate remotely in general meetings, or the board of directors made an informed decision against the use of telecommunications facilities due to that being unnecessary (impossible).	Compliance	
1.2	**Shareholders shall be given equal and fair opportunities to participate in the profits of the company by receiving dividends.**			
1.2.1	The company has developed and implemented a transparent and clear mechanism for determin-ing the amount and payment of dividends.	1. The company's regulation on dividend policy has been approved by the board of directors and disclosed on the company's official website. 2. If the dividend policy of the company which prepares consolidated financial statements uses the company's reporting indicators to determine the amount of the dividend, then the relevant provisions of the dividend policy shall take into account the consolidated financial statements. 3. In the reporting period, the reasons for the proposed distribution of net profit, including to pay dividends and cover the company's own needs, and their assessment for compliance with the company's dividend policy, along with economic justification of the allocation of a certain portion of net profit for the company's own needs, were included in the materials for the general meeting of shareholders whose agenda contained an item on profit distribution (including the payment/announcement of dividends).	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
1.2.2	The company does not adopt a decision to pay dividends if such a decision, while not formally in violation of legal restrictions, is unjustified from an economic point of view and could lead to misconceptions about the company's activities.	Apart from legal restrictions, the company's regulation on dividend policy defines financial and economic circumstances under which the company should not pay dividends.	Compliance	
1.2.3	The company does not permit any diminution of the dividend rights of existing shareholders.	During the reporting period, the company did not take any actions that led to the diminution of the dividend rights of existing shareholders.	Compliance	
1.2.4	The company is committed to preventing shareholders from using other means of earning a profit (income) at the company's expense beyond dividends and liquidation value.	In the reporting period, the company's controlling persons have not earned any profit (income) at the company's expense beyond dividends (e.g. through transfer pricing, unjustified rendering of services by the controlling person to the company at inflated prices, dividend-replacing corporate loans to the controlling person and/or its controlled entities).	Compliance	
1.3	**The corporate governance system and practices shall ensure equal terms and conditions for all shareholders owning shares of the same class (category), including minority and foreign shareholders, as well as their equal treatment by the company.**			
1.3.1	The company has created conditions for the fair treatment of each shareholder by the company's governing and oversight bodies, including conditions preventing abuse by major shareholders in relation to minority shareholders.	In the reporting period, the company's controlling persons prevented abuse of shareholder rights; conflicts between the controlling persons and shareholders of the company did not take place or, if any, were given due attention by the board of directors.	Compliance	
1.3.2	The company does not undertake actions that lead or may lead to artificial redistribution of corporate control.	There are no quasi treasury shares or their holders did not exercise voting rights in the reporting period.	Compliance	
1.4	**Shareholders shall be provided with reliable and effective ways to register their rights to their shares, as well opportunity to dispose of their shares freely and easily.**			
1.4.1	Shareholders shall be provided with reliable and effective ways to register their rights to their shares, as well opportunity to dispose of their shares freely and easily.	The techniques and conditions of services provided by the company's registrar meet the needs of the company and its shareholders and ensure most effective registering of the rights to shares and exercise of shareholders' rights.	Compliance	
2.1	**The board of directors shall carry out strategic management within the company, define the basic principles and approaches to organising a risk management and internal control system within the company, supervise the activity of executive bodies and also perform other key functions.**			
2.1.1	The board of directors is responsible for decisions relating to the appointment and dismissal of members of executive bodies, including in connection with improper performance of their duties. The board of directors also carries out oversight measures to ensure that the company's executive bodies act in accordance with the approved development strategy and the company's main areas of activity.	1. The board of directors has the authority, per the charter, to appoint and dismiss members of executive bodies, as well as to determine the terms of their contracts. 2. In the reporting period, the nominations (appointment, HR) committee considered whether the qualification, skills and experience of members of the executive bodies meet the existing and prospective needs of the company as per its approved strategy. 3. In the reporting period, the board of directors reviewed the report(s) of the sole executive body and of members of the collective executive body (if any) on the implementation of the company's strategy.	Compliance	
2.1.2	The board of directors establishes the basic guidelines for the company's activities in the long term, evaluates and approves the company's key performance indicators and key business goals, and evaluates and approves the strategy and business plans for the company's core activities.	In the reporting period, the board of directors at its meetings addressed issues related to progress on the implementation and update of the company's strategy, approval of the company's financial and economic plan (budget), as well as the consideration of criteria and indicators (including interim) related to implementation of the company's strategy and business plans.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.1.3	The board of directors determines the principles of, and approaches to, organising a risk management and internal control system in the company.	1. The principles of, and approaches to, organising a risk management and internal control system in the company have been defined by the board of directors and set out in the company's internal regulations on risk management and internal control. 2. In the reporting period, the board of directors approved (reviewed) the acceptable level of risk (risk appetite) of the company or the audit and/or risk committee (if any) considered the feasibility of submitting the matter of reviewing the company's risk appetite for the board of directors' consideration.	Compliance	
2.1.4	The board of directors defines the company's policy on remuneration and / or reimbursement (compensation) of expenses to members of the board of directors, executive bodies and other key executives.	1. The company has developed and implemented a policy (policies), approved by the board of directors, on the remuneration and reimbursement (compensation) of expenses to members of the board of directors, executive bodies and other key executives. 2. Matters related to this policy (policies) were considered during the reporting period at meetings of the board of directors.	Compliance	
2.1.5	The board of directors plays a key role in the prevention, detection and resolution of internal conflicts between the company's bodies, shareholders and employees.	1. The board of directors plays a key role in the prevention, detection and resolution of internal conflicts. 2. The company has established a system for identifying transactions involving a conflict of interest, and a system of measures to resolve such conflicts.	Compliance	
2.1.6	The board of directors plays a key role in ensuring the transparency of the company, timely and complete disclosure of information, and unhindered access of shareholders to corporate documents.	The company's internal regulations designate officers in charge of implementing the information policy.	Compliance	
2.1.7	The board of directors oversees the company's corporate governance practices and plays a key role in its material corporate events.	In the reporting period, the board of directors reviewed the results of the self-assessment and/ or external assessment of the company's corporate governance practices.	Compliance	
2.2	**The board of directors shall be accountable to the company's shareholders.**			
2.2.1	Information about the board of directors' performance is disclosed and presented to shareholders.	1. The company's annual report for the reporting period includes information on individual attendance of directors at board and committee meetings. 2. The company's annual report includes information on key results of the assessment (self-assessment) of the board of directors' performance carried out in the reporting period.	Compliance	
2.2.2	The chairman of the board of directors is available to the company's shareholders.	The company has in place a transparent procedure enabling shareholders to direct their queries to the chairman of the board of directors (or the senior independent director, as applicable) and receive their feedback.	Compliance	
2.3	**The board of directors shall be an efficient and professional governing body capable of making objective and independent judgements and passing resolutions for the benefit of the company and its shareholders.**			
2.3.1	Only individuals who have impeccable business and personal reputation, knowledge, skills and experience required to make decisions that fall within the remit of the board of directors and ensure that its functions are discharged effectively are elected to the board of directors.	During the reporting period, the board of directors (or its nominations committee) evaluated nominees to the board of directors for having the required experience, knowledge and business reputation, being free from conflicts of interest, and meeting other criteria.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.3.2	The members of the board of directors are elected through a transparent procedure that enables shareholders to receive information about the nominees that is sufficient to get an understanding of their personal and professional qualities.	Whenever the agenda of a general meeting of shareholders held during the reporting period included the election of the board of directors, the company provided shareholders with biographical details of all nominees to the board of directors, the results of their assessment by the board of directors (or its nominations committee) and the information on each nominee's compliance with the independence criteria set forth in Recommendations 102–107 of the Code, as well as the nominees' written consent to be elected to the board of directors.	Compliance	
2.3.3	The board of directors is balanced, including in terms of qualifications of its members, their experience, knowledge and business qualities, and is trusted by the shareholders.	During the reporting period, the board of directors analysed its needs in terms of professional qualifications, experience and skills and determined what competencies are required in the short- and long-term.	Compliance	
2.3.4	The board of directors has a sufficient number of members to organise its operation in the most efficient way, including the possibility to set up its committees, and to enable substantial minority shareholders to elect a nominee for whom they vote.	In the reporting period, the board of directors reviewed whether the number of its members was sufficient to meet the company's needs and protect the interests of shareholders.	Compliance	
2.4	**The board of directors shall include a sufficient number of independent directors.**			
2.4.1	An independent director is a person having sufficient professional skills, experience and independence to form their own opinions and make unbiased and fair judgements that are not influenced by the company's executive bodies, individual groups of shareholders or other stakeholders. It should be noted that, under normal circumstances, a nominee (elected member of the board of directors) who is associated with the company, its major shareholders, significant counterparties, competitors or the government may not be deemed independent.	During the reporting period, all independent members of the board of directors met all the independence criteria set forth in Recommendations 102–107 of the Code or were recognised as independent by a resolution of the board of directors.	Compliance	
2.4.2	The nominees to the board of directors and elected directors are assessed for compliance with the independence criteria, with the latter assessed on a regular basis. In such assessment, substance shall prevail over form.	1. During the reporting period, the board of directors (or its nominations committee) formed an opinion on each nominee's independence and presented respective conclusions to the shareholders. 2. During the reporting period, the board of directors (or its nominations committee) at least once reviewed the independence of the directors listed as independent directors in the company's annual report. 3. The company has the procedures in place stipulating the steps required to be taken by a director who fails to maintain their independence, including such director's obligation to promptly notify the board of directors accordingly.	Compliance	
2.4.3	Independent directors constitute at least one third of the board of directors.	Independent directors constitute at least one third of the board of directors.	Compliance	
2.4.4	Independent directors play a key role in preventing internal conflicts within the company and overseeing material corporate actions to be taken by the company.	Independent directors (who have no conflict of interest) carry out a preliminary review of material corporate actions implying a potential conflict of interest, and the results of such review are presented to the board of directors.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.5	**The chairman of the board of directors shall ensure that the board discharges its functions to the best of its ability.**			
2.5.1	The board of directors is chaired by an independent director, or a senior independent director is appointed from among the independent directors to coordinate their work and liaise with the chairman of the board of directors.	1. The board of directors is chaired by an independent director, or a senior independent director is appointed from among the independent directors. 2. The role, rights and duties of the chairman (and, if applicable, of the senior independent director) are duly set out in the company's internal regulations.	Compliance	By decision of the Bank's Supervisory Council, a senior independent director was elected from among the independent directors.
2.5.2	The chairman of the board of directors maintains a constructive atmosphere during meetings, facilitates open discussion of agenda items and oversees implementation of the board of directors' resolutions.	The performance of the chairman of the board of directors was evaluated as part of the board of directors' performance assessment (self-assessment) in the reporting period.	Compliance	
2.5.3	The chairman of the board of directors ensures timely provision to members of the board of directors of information required to make decisions on agenda items.	The duty of the chairman of the board of directors to ensure timely provision to members of the board of directors of complete and reliable information concerning agenda items is stipulated in the company's internal regulations.	Compliance	
2.6	**The duty of the chairman to ensure timely provision to members of the board of directors of materials concerning agenda items shall be stipulated in the company's internal regulations.**			
2.6.1	Members of the board of directors make decisions based on all available information, without any conflict of interest, subject to equal treatment of the company's shareholders, and assuming normal business risks.	1. The company's internal regulations stipulate that a board member shall notify the board of directors if they have a conflict of interest in respect of any item on the agenda of a meeting of the board or a board committee prior to the discussion of the relevant agenda item. 2. The company's internal regulations stipulate that a board member shall abstain from voting on any item where they have a conflict of interest. 3. The company has established a procedure that allows the board of directors to get professional advice on matters within its remit at the company's expense.	Compliance	
2.6.2	The rights and duties of members of the board of directors are clearly defined and set out in the company's internal regulations.	The company has adopted and published an internal regulation that clearly defines the rights and duties of members of the board of directors.	Compliance	
2.6.3	Members of the board of directors have sufficient time to perform their duties.	1. Individual attendance at board and committee meetings as well as the time committed to serving on the board of directors and its committees were reviewed as part of the board of directors' performance assessment (self-assessment) in the reporting period. 2. In accordance with the company's internal regulations, members of the board of directors shall inform the board of directors of their intention to join management bodies of other entities (except for entities controlled by the company), as well as of relevant appointments made.	Compliance	
2.6.4	All members of the board of directors have equal access to the company's documents and information. Newly elected members of the board of directors are provided, in the shortest possible time, with sufficient information about the company and the operation of the board of directors.	1. In accordance with the company's internal regulations, members of the board of directors have the right to access documents and make queries regarding the company and its controlled entities, and the company's executive bodies shall provide relevant information and documents. 2. The company has in place a formalised induction programme for newly elected members of the board of directors.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.7	**Meetings of the board of directors, preparations for them and their attendance by board members shall ensure effective performance of the board of directors.**			
2.7.1	Meetings of the board of directors are held as necessary, taking into account the scale of operations and the targets of the company at a given period of time.	The board of directors held at least six meetings during the reporting year.	Compliance	
2.7.2	The company's internal regulations set out procedures for the preparation and holding of board meetings that enable members of the board of directors to prepare for such meetings in a proper manner.	1. The company has an approved internal regulation that sets out procedures for the preparation and holding of board meetings and also stipulates that a notice of a board meeting shall be given, as a rule, at least five days before the date of the meeting. 2. In the reporting period, directors unable to attend a board meeting in person had an opportunity to participate in the discussion of the agenda items via a conference call and video conferencing.	Compliance	
2.7.3	The format of each meeting of the board of directors is determined based on the importance of the agenda items. The most important matters are resolved at meetings of the board of directors held in person.	The company's charter or internal regulations provide for the most important matters (as per the list set out in Recommendation 168 of the Code) to be considered at in-person meetings of the board of directors.	Compliance	
2.7.4	Resolutions on the most important matters concerning the company's operations are passed at meetings of the board of directors by a qualified majority or a majority of all elected members of the board of directors.	The company's charter provides for resolutions on the most important matters listed in Recommendation 170 of the Code to be passed at meetings of the board of directors by a qualified majority of at least three quarters of the votes or by a majority of all elected members of the board of directors.	Compliance	
2.8	**The board of directors shall set up committees for preliminary consideration of the most important matters related to the company's operations.**			
2.8.1	An audit committee comprised of independent directors has been set up for preliminary consideration of matters related to controlling the company's financial and business operations.	1. The board of directors has set up an audit committee comprised solely of independent directors. 2. The company's internal regulations set out the tasks of the audit committee, including those listed in Recommendation 172 of the Code. 3. At least one member of the audit committee, who is an independent director, has experience and knowledge in preparing, analysing, assessing and auditing accounting (financial) statements. 4. Meetings of the audit committee were held at least once a quarter during the reporting period.	Compliance	
2.8.2	A remuneration committee, comprised of independent directors and headed by an independent director who is not the chairman of the board of directors, has been set up for preliminary consideration of matters related to adopting an efficient and transparent remuneration scheme.	1. The board of directors has set up a remuneration committee comprised solely of independent directors. 2. The remuneration committee is chaired by an independent director who is not the chairman of the board of directors. 3. The company's internal regulations set out the tasks of the remuneration committee, including those listed in Recommendation 180 of the Code, as well as the conditions (events), upon the occurrence of which the remuneration committee considers revising the company's remuneration policy for members of the board of directors, executive bodies and other key executives.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.8.3	A nominations (appointments, HR) committee has been set up for preliminary consideration of matters related to talent management (succession planning) and professional composition and performance of the board of directors.	1. The board of directors has set up a nominations committee (or its tasks listed in Recommendation 186 of the Code are fulfilled by another committee) predominantly comprised of independent directors. 2. The company's internal regulations set out the tasks of the nominations committee (or the tasks of the committee with combined functions), including those listed in Recommendation 186 of the Code. 3. During the reporting period, the nominations committee, either independently or jointly with other committees of the board of directors or the company's dedicated shareholder relations unit, liaised with the shareholders, including but not limited to major shareholders, in selecting nominees to the company's board of directors with a view to forming the board of directors most fit for the company's goals and objectives.	Compliance	The functions of the nominations committee are performed by the Supervisory Council's HR and Remuneration Committee.
2.8.4	Taking into account the company's scale of operations and level of risks, the company's board of directors made sure that the composition of its committees is fully in line with the company's business goals. Additional committees were either set up or not deemed necessary (strategy committee, corporate governance committee, ethics committee, risk management committee, budget committee, health, safety and environment committee, etc.).	During the reporting period, the company's board of directors considered whether the structure of the board of directors was consistent with the scope and nature of the company's operations, as well as its goals, needs and the risk profile. Additional committees were either set up or not deemed necessary.	Compliance	The Bank has set up a Strategy and Sustainable Development Committee, which has an active work programme. The Committee reviews, and prepares recommendations on, matters of strategic development, sustainability, social and environmental responsibility, corporate governance improvements, and better management of the Bank's capital.
2.8.5	Committees are composed in a manner so as to enable comprehensive discussions of matters under preliminary consideration, taking into account the diversity of opinions.	1. During the reporting period, the audit committee and the nominations committee (or another relevant committee with combined functions) were chaired by independent directors. 2. The company's internal regulations (policies) include provisions stipulating that persons who are not members of the audit committee, the remuneration committee and the nominations committee (or another relevant committee with combined functions) may attend committee meetings only at the invitation of the chairman of the respective committee.	Compliance	
2.8.6	Committee chairmen inform the board of directors and its chairman on the work of their committees on a regular basis.	During the reporting period, committee chairmen reported to the board of directors on the work of committees on a regular basis.	Compliance	
2.9	**The board of directors shall ensure performance assessment of the board of directors, its committees, and members of the board of directors.**			
2.9.1	The board of directors' performance assessment is aimed at determining the efficiency of the board of directors, its committees and members, consistency of their work with the company's development requirements, as well as bolstering the work of the board of directors and identifying areas for improvement.	1. The company's internal regulations set out the procedures for the assessment (self-assessment) of the board of directors' performance. 2. The assessment (self-assessment) of the board of directors' performance conducted in the reporting period included performance assessment of the committees, individual members of the board of directors and the board of directors as a whole.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
		3. The results of the assessment (self-assessment) of the board of directors' performance conducted in the reporting period were reviewed at an in-person meeting of the board of directors.		
2.9.2	The board of directors' performance assessment is aimed at determining the efficiency of the board of directors, its committees and members, consistency of their work with the company's development requirements, as well as bolstering the work of the board of directors and identifying areas for improvement.	To conduct an independent assessment of the board of directors' performance during the last three reporting periods, the Company engaged a third party (advisor) at least once.	Compliance	
3.1	**The company's corporate secretary shall ensure efficient ongoing interaction with shareholders, coordinate the company's efforts to protect shareholder rights and interests, and support the effective work of the board of directors.**			
3.1.1	The corporate secretary has knowledge, experience and qualifications sufficient to perform their duties, has impeccable reputation and is trusted by the shareholders.	The company's website and annual report provide biographical information about the corporate secretary (including age, education, qualifications, experience) and information about the positions in governing bodies of other legal entities held by the corporate secretary for at least the last five years.	Compliance	
3.1.2	The corporate secretary is sufficiently independent of the company's executive bodies and has the necessary authority and resources to perform their tasks.	1. The company has adopted and disclosed an internal regulation on the corporate secretary. 2. The board of directors approves the appointment and dismissal of the corporate secretary, as well as decisions to award additional remuneration to the corporate secretary. 3. The company's internal documents stipulate the right of the corporate secretary to request and receive company documents and information from governing bodies, business units and officers of the company.	Compliance	
4.1	**Remuneration payable by the company shall be sufficient to attract, motivate and retain employees who have the required skills and qualifications. Remuneration payable to members of the board of directors, executive bodies and other key executives of the company shall be paid in accordance with the remuneration policy adopted by the company.**			
4.1.1	The remuneration payable by the company to members of the board of directors, executive bodies and other key executives provides sufficient motivation for them to work effectively, enabling the company to attract and retain competent and skilled professionals. At the same time, the company avoids unnecessarily high remuneration, as well as unjustifiably large gaps between remunerations of the above listed persons and the company's employees.	Remuneration payable to members of the board of directors, executive bodies and other key executives takes into account remuneration levels at peer companies.	Compliance	
4.1.2	The company's remuneration policy was drafted by the remuneration committee and approved by the board of directors. The board of directors, assisted by the remuneration committee, oversees the introduction and implementation of the company's remuneration policy, revising and amending it as required.	During the reporting period, the remuneration committee reviewed the remuneration policy (policies) and/or its (their) implementation, assessed their effectiveness and transparency, and made recommendations to the board of directors to revise the same as necessary.	Compliance	
4.1.3	The company's remuneration policy includes transparent mechanisms for determining the amount of remuneration payable to members of the board of directors, executive bodies and other key executives of the company and regulates all types of payments, benefits and privileges provided to such persons.	The company's remuneration policy (policies) includes (include) transparent mechanisms for determining the amount of remuneration payable to members of the board of directors, executive bodies and other key executives of the company and regulates (regulate) all types of payments, benefits and privileges provided to such persons.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
4.1.4	The company defines a policy on the reimbursement (compensation) of expenses detailing a list of reimbursable expenses and specifying service levels that members of the Board of Directors, executive bodies and other key executives of the company may qualify for. Such a policy can be part of the company's remuneration policy.	The policy (policies) on remuneration or other internal regulations of the company establish rules for reimbursement of expenses incurred by members of the board of directors, executive bodies and other key executives of the company.	Compliance	
4.2	**Remuneration system for members of the board of directors shall ensure alignment of the financial interests of members of the board of directors with the long-term financial interests of shareholders.**			
4.2.1	The company pays fixed annual remuneration to members of the board of directors. The company does not pay remuneration for attending individual meetings of the board of directors or its committees. The company does not provide any short-term or additional financial incentives to members of the board of directors.	1. During the reporting period, remuneration payable to members of the board of directors was paid in line with the company's approved remuneration policy. 2. During the reporting period, the company did not provide to members of the board of directors any short-term or additional financial incentives linked to the company's performance. The company did not pay remuneration for attending individual meetings of the board of directors or its committees.	Compliance	
4.2.2	Long-term holding of the company's shares is the best way to align the financial interests of members of the board of directors with the long-term interests of shareholders. At the same time, the company does not link the right to dispose of shares to performance targets, and members of the board of directors do not participate in stock option plans.	If the company's internal regulation(s), i.e. the remuneration policy (policies), provides (provide) for the granting of the company's shares to members of the board of directors, clear rules shall be defined and disclosed in respect of share ownership by members of the board of directors with a view to encouraging long-term ownership of such shares.	Compliance	Members of the Board of Directors do not participate in the Bank's stock option plans.
4.2.3	The company does not provide for any extra payments or compensations in the event of early termination of powers of members of the board of directors resulting from the change of control or any other circumstances.	The company does not provide for any extra payments or compensations in the event of early termination of powers of members of the board of directors resulting from the change of control or any other circumstances.	Compliance	
4.3	**The company's system of remuneration for members of executive bodies and other key executives shall be linked to the company's performance and personal contribution of members of executive bodies and other key executives to delivering that performance.**			
4.3.1	Remuneration payable to members of executive bodies and other key executives of the company is determined in such a way as to provide for a reasonable and justified ratio of the fixed and variable parts of remuneration, depending on the company's performance and the employee's personal contribution to delivering the same.	1. During the reporting period, annual KPIs approved by the board of directors were used to determine the amount of the variable part of remuneration payable to members of executive bodies and other key executives of the company. 2. As part of the latest assessment of the remuneration system for members of executive bodies and other key executives of the company, the board of directors (remuneration committee) made sure that the company applied an effective ratio of the fixed and variable parts of remuneration. 3. The amount of remuneration payable to members of the board of directors, executive bodies and other key executives of the company is determined with due regard to the risks posed to the company to avoid providing decision-makers with incentives to take excessive risks.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
4.3.2	The company has in place a long-term incentive programme for members of executive bodies and other key executives of the company based on the company's shares (options or other equity-linked instruments of the company).	The long-term incentive programme for members of executive bodies and other key executives based on the company's shares (equity-linked financial instruments) adopted by the company (if any) implies that the right to dispose of the awarded shares and other equity-linked financial instruments takes effect at least three years after such shares or equity-linked financial instruments are awarded. The right to dispose of such shares or other equity-linked financial instruments is linked to the achievement of the company's performance targets.	Compliance	
4.3.3	The compensation (golden parachute) payable by the company in case of early termination of powers of members of executive bodies or key executives at the company's initiative, provided that there have been no actions in bad faith on their part, does not exceed the double amount of the fixed part of their annual remuneration.	During the reporting period, the compensation (golden parachute) payable by the company in case of early termination of powers of members of executive bodies or key executives at the company's initiative, provided that there had been no actions in bad faith on their part, did not exceed the double amount of the fixed part of their annual remuneration.	Compliance	
5.1	**The company shall have in place an effective risk management and internal control system providing reasonable assurance that the company's goals will be achieved.**			
5.1.1	The board of directors has determined the principles of, and approaches to, organising a risk management and internal control system in the company.	Functions of different governing bodies and units of the company pertaining to risk management and internal controls are clearly defined in the company's internal regulations / relevant policy approved by the board of directors.	Compliance	
5.1.2	The company's executive bodies establish and maintain an effective risk management and internal control system in the company.	The company's executive bodies ensured the distribution of duties, powers and responsibilities related to risk management and internal control between their subordinate unit and department heads.	Compliance	
5.1.3	The company's risk management and internal control system ensures an objective, fair and clear representation of the current state of the company and its future prospects, integrity and transparency of the company's reporting, as well as reasonable and acceptable risk exposure.	1. The company has an approved anti-corruption policy in place. 2. The company has arranged for safe, confidential and accessible means (a hotline) of notifying the board of directors or the audit committee of the board of directors about violations of the law, the company's internal procedures and code of ethics.	Compliance	
5.1.4	The board of directors takes necessary measures to ensure that the company's risk management and internal control system is consistent with the principles and approaches set by the board of directors with regard to its operation, and that it functions effectively.	1. During the reporting period, the board of directors (the audit committee and/or the risk committee (if any)) arranged for the assessment of the reliability and effectiveness of the company's risk management and internal control system. 2. During the reporting period, the board of directors reviewed the findings from the assessment of the reliability and effectiveness of the company's risk management and internal control system, with the review results disclosed in the company's annual report.	Compliance	
5.2	**The company shall perform internal audits for regular independent assessment of the reliability and effectiveness of the risk management and internal control system and corporate governance practices.**			
5.2.1	To perform internal audits, the company sets up a separate internal audit unit or engages an independent external organisation. The functional and administrative subordination of the internal audit unit are separated. The internal audit unit functionally reports to the board of directors.	To perform internal audits, the company has set up a separate internal audit unit functionally reporting to the board of directors or engaged an independent external organisation under the same principle of subordination.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
5.2.2	The internal audit unit assesses the effectiveness of internal control, risk management, and corporate governance systems. The company applies generally accepted standards of internal audit.	1. During the reporting period, the reliability and effectiveness of the risk management and internal control system was assessed as part of the internal audit process. 2. During the reporting period, the quality of corporate governance practices (select corporate governance practices), including communication procedures (in particular those related to internal control and risk management) across all management levels of the company, and the quality of stakeholder engagement were assessed as part of the internal audit process.	Compliance	
6.1	**The company and its operations shall be transparent to shareholders, investors and other stakeholders.**			
6.1.1	The company has developed and implemented an information policy ensuring efficient communication between the company and its shareholders, investors and other stakeholders.	1. The board of directors approved the company's information policy developed in line with the Code's recommendations. 2. During the reporting period, the board of directors (or one of its committees) reviewed matters related to the efficiency of communication between the company and its shareholders, investors and other stakeholders, and the potential need to revise the company's information policy.	Compliance	
6.1.2	The company discloses information on its corporate governance system and practices, including detailed information on compliance with the principles and recommendations of the Code.	1. The company discloses information on its corporate governance system and applied general principles of corporate governance, with relevant disclosures made, in particular, on its corporate website. 2. The company discloses information on the composition of executive bodies and the board of directors, independence of members of the board of directors, and their membership in committees of the board of directors (as defined in the Code). 3. If the company has a controlling person, the company publishes a memorandum of the controlling person setting out the latter's plans for the company's corporate governance.	Compliance	
6.2	**The company shall make timely disclosures of complete, up-to-date and reliable information about itself to enable shareholders and investors to make informed decisions.**			
6.2.1	The company discloses information based on the principles of regularity, consistency and timeliness, as well as accessibility, reliability, completeness and comparability of disclosed data.	1. The company has established a procedure to coordinate the work of all its structural units and employees whose activities are related to or may require information disclosure. 2. If the company's securities are traded on organised foreign markets, the company ensures that the disclosure of material information in the Russian Federation and in the said markets throughout the reporting period is made at the same time and to the same extent. 3. If foreign shareholders held a significant number of the company's shares, information disclosures during the reporting year were made in the Russian language as well one of the most widely used foreign languages.	Compliance	
6.2.2	The company avoids a formalistic approach to information disclosure, and discloses material information about its operations even if such disclosure is not required by law.	1. The company's information policy defines approaches to disclosing information about other events (actions) that have a material impact on the price of its securities and the disclosure of which is not required by law. 2. The company discloses information on its capital structure in its annual report and on its website in line with Recommendation 290 of the Code.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
		3. The Company discloses information on its material controlled entities, including their key business areas, mechanisms for ensuring their accountability, and powers of the company's board of directors to set their strategy and assess their performance. 4. The company discloses a non-financial report, i.e. a sustainability report, environmental report, corporate social responsibility report or other report containing non-financial information, including ESG data (including data related to climate change), other than the report of the issuer of issue-grade securities and the annual report of a joint-stock company.		
6.2.3	The annual report, as one of the most important tools of information exchange with shareholders and other stakeholders, contains information that makes it possible to assess the company's performance in the reporting year.	1. The company's annual report contains information on the results of the audit committee's evaluation of the effectiveness of the external and internal audit process. 2. The company's annual report contains information on the company's environmental protection and social policies.	Compliance	
6.3	**The company shall provide information and documents requested by shareholders in compliance with the equal access principles.**			
6.3.1	The company provides information and documents requested by shareholders in compliance with the principles of equal and unhindered access.	1. The company's information policy (internal regulations governing the information policy) stipulates (stipulate) a procedure for providing shareholders with unhindered access to the company's information and documents at their request. 2. The information policy (internal regulations governing the information policy) contains (contain) provisions stipulating that if a shareholder requests information about the company's controlled entities, the company shall take the necessary steps to obtain such information from the relevant controlled entities.	Compliance	
6.3.2	When providing information to shareholders, the company ensures reasonable balance between the interests of particular shareholders and its own interests consisting in preserving the confidentiality of important commercial information which may materially affect its competitiveness.	1. During the reporting period, the company did not refuse shareholders' requests for information, or such refusals were justified. 2. In cases stipulated by the company's information policy, shareholders are warned about the confidential nature of information and take responsibility for maintaining its confidentiality.	Compliance	
7.1	**Actions which materially affect or may materially affect the shareholding structure or financial position of the company and, consequently, the position of its shareholders (material corporate actions) shall be taken on fair terms ensuring that the rights and interests of shareholders and other stakeholders are protected.**			
7.1.1	Material corporate actions include reorganisation of the company, acquisition of 30% or more of the company's voting shares (takeover), execution by the company of material transactions, an increase or decrease in the company's charter capital, listing or de-listing of the company's shares, as well as other actions which may lead to material changes in the rights of shareholders or violation of their interests. The company's charter sets out a list of (criteria for) transactions or other actions deemed to be material corporate actions, and such actions fall within the remit of the company's board of directors.	The company's charter sets out a list of (criteria for) transactions or other actions deemed to be material corporate actions. As per the company's charter, decisions regarding material corporate actions fall within the remit of the board of directors. If the laws expressly reserve such corporate actions to the general meeting of shareholders, the board of directors provides shareholders with appropriate recommendations.	Partial compliance	The Bank's Charter does not specify a list of transactions and material corporate actions. At the same time, it reserves decision-making regarding such material corporate actions to the Bank's Supervisory Council and General Meeting of Shareholders as per the recommendation.

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				In addition, the Regulation on the Audit Committee of the Bank's Supervisory Council stipulates a special procedure for the Committee to deal with matters related to the Bank's material and unconventional transactions (clause 2.2.1 of the Regulation), including a review of their compliance with the applicable standards. Given the above, to avoid overlapping provisions in the Bank's Charter on decision-making on matters reserved to the Supervisory Council and the General Meeting of Shareholders, and also in view of the lack of relevant practice at peer companies, the Bank has deemed it unnecessary to have provisions on material corporate actions and relevant decision-making additionally included in the Charter.
7.1.2	The board of directors plays a key role in making decisions or working out recommendations regarding material corporate actions, taking account of the opinions of the company's independent directors.	The company has in place a procedure enabling independent directors to express their opinions on material corporate actions prior to their approval.	Compliance	
7.1.3	Equal terms and conditions are ensured for all shareholders when taking material corporate actions affecting the rights and legitimate interests of the company's shareholders, and, in case of insufficient statutory mechanisms for protecting shareholder rights, additional measures are taken to protect the rights and legitimate interests of the company's shareholders. In ensuring this equality, the company is guided by the corporate governance principles set forth in the Code on top of formal statutory requirements.	1. In accordance with the company's charter, the board of directors' remit exceeds statutory requirements and covers approval of material transactions other than those stipulated by law, with due regard to the specifics of the company's operations. 2. During the reporting period, all material corporate actions were subject to approval prior to execution.	Partial compliance	Amid the continuing sanctions pressure, the Bank's Supervisory Council throughout the reporting year focused on the Bank's priority tasks, which are addressed not only within the remit set out by applicable laws and the Bank's Charter but also as part of the protection of rights and interests of the Bank's main shareholder in line with Decree of the Government No. 738 dated 3 December 2004. Given the above, the Bank deemed it unnecessary to expand the remit of the Supervisory Board in the reporting period.

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				In order to minimise potential risks, the Regulation on the Audit Committee of the Bank's Supervisory Council stipulates a special procedure for handling material and unconventional transactions (clause 2.2.1 of the Regulation). At the same time, the Code's recommendations regarding the expansion of the Supervisory Council's remit to approve transactions meeting lower materiality criteria than those stipulated by the law remains a focus of attention for the Bank and will be explored additionally subject to the evolving external environment.
7.2	**The company shall ensure that material corporate actions are taken in a manner enabling shareholders to receive full information on such actions in due time, while also providing shareholders with the opportunity to influence such actions and guaranteeing respect and due protection of shareholder rights when such actions are taken.**			
7.2.1	Information about material corporate actions is disclosed along with the reasons, terms and conditions, and consequences of such actions.	During the reporting period, the company disclosed detailed information about material corporate actions (if any) to shareholders in a timely manner along with the reasons, terms and conditions, and consequences of such actions.	Compliance	
7.2.2	Rules and procedures related to material corporate actions are set out in the company's internal regulations.	1. The company's internal regulations set out a procedure and criteria for engaging an independent appraiser to determine the value of the property disposed of or acquired as part of a major transaction or an interested-party transaction. 2. The company's internal regulations set out a procedure for engaging an independent appraiser to assess the value of the company's shares as part of their repurchase (buyback). 3. If there is no formal interest but there exists a conflict of interest or other actual interest with regard to the company's transactions on the part of a member of the board of directors, sole executive body, member of the collective executive body of the company, controlling person of the company, or person entitled to give the company binding instructions, the company's internal regulations stipulate that such persons shall refrain from voting on the transaction in question.	Compliance	

5.8. Bank's details and contacts

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Shareholder mobile app

Shareholder centres